

Craftsman Auto (CRAFTSMAN)

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Call: Jul 2022

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30th July, 2022

To

The Manager- Listing,
BSE Limited,
Rotunda Building,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001

Scrip Code: 543276

Dear Sir/Madam,

SyBL Transcript of theThe Manager- Listing,
National Stock Exchange of India Limited,
Exchange Plaza,
Bandra Kurla Complex ,
Bandra (East),
Mumbai -400051

Stock Code: CRAFTSMAN

Earnings Conference Call on the Unaudited Financial

Results for the quarter ended 30th June, 2022.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our intimation and outcome letter dated 6th July, 2022 and 26th July, 2022, we are enclosing herewith the transcript of the earnings conference call organized on Tuesday, the 26th July, 2022 at 03.30 P.M. (1ST) on the Unaudited Financial Results for the quarter ended 30th June, 2022.

The transcript of the earnings conference call will be uploaded on the website of the Company at [www. craftsmanautomation. com](http://www.craftsmanautomation.com).

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,

for CRAFTSMAN AUTOIVIATION LIMITED

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Shainshad Aduvanni

Company Secretary and

End: As abovepliance Officer

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CRAFTSMAN AUTOMATION LIMITED

Q1 FY 22-23 Earnings Conference Call

26th July, 2022

Moderator: Ladies and gentlemen, good day and welcome to the Investor Call to Discuss the Financial Performance of Craftsman Automation Limited for the Quarter-ended 30th June 2022. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operate by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Srinivasan Ravi, Chairman and Managing Director of Craftsman Automation Limited. Thank you. And over to you Mr. Ravi.

Srinivasan Ravi: Good afternoon, everyone. It gives me immense pleasure in welcoming you all

for the Earnings Call for Q1 FY'23.

We are happy to announce that recently the credit rating of our company got upgraded with "A+" (A Plus) with stable outlook; it was improved from A with stable outlook.

We would like to also bring the attention of all the shareholders and all the people on the call that we have integrated the industrial aluminium business with the auto aluminum and now we call this segment as "Aluminum Product Segment." This gives better focus on the aluminum business as a whole. It also gives a lot of synergy and operating leverage on the business and the marketing and other resources within the company and outside also, I think, it's a coordinated effect. I think this will improve the profitability of the division going forward. It is already implemented now.

I just want to touch upon the industry situation now. Last year Q1 is strictly not comparable with this year Q1 because of the pandemic. So, I will refrain from comparing year-on-year Q1 rather than that I will do the Q4 FY22 with Q1 FY23 comparison in my talk today.

Yes, there are a lot of headwinds across the world; the geopolitical situation, the Ukraine situation, the inflation, all that is known to you. But fairly I think we had a decent first quarter as a company.

So, I'll just run you through the headlines of the Q1. The auto powertrain business in Q1 was Rs.348 crores in comparison of Q4 it was Rs.338 crores, a 3% growth. And in the aluminum products, we had Rs.171 crores and the Q4 was Rs.167 crores, again a 3% growth. On the i

ndustrial and engineering front, we had Rs.157 crores vis-à-vis Rs.150 crores, a 4% growth. So, as a whole, we are at Rs.676 crores comparably on Q4 we were at Rs.654 crores, a 3% growth.

The segment wise EBIT on Q1 was Rs.95 crores on the auto powertrain vis-à-vis Rs.86 crores in Q4 and aluminum products was Rs.20 crores vis-à-vis Rs.11 crores. Industrial engineering was Rs.11 crores, of course lower than

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Q4, was Rs.20 crores. So, totally, our EBIT stands at Rs.112 crores vis-à-vis Q4 of Rs.105 crores.

So, thank you very much and I will just leave the floor open for questions.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Jinesh Gandhi: First of all, can you share the value add numbers for auto powertrain and aluminum business?

Srinivasan Ravi: Yes, I can share with you. The value add for the auto powertrain has been Rs.223 crores, the aluminum products has been Rs.71 crores and industrial and engineering was Rs.58 crores.

Jinesh Gandhi: Secondly, when I look at the blended RM cost, it has seen a reduction on QoQ basis as percentage of sales. So, is that a reflection of stability in commodity prices and the cost pass-through coming through and hence, that's the reduction or there is something more to that?

Srinivasan Ravi: No, it is a combination of many factors: One is the raw material price has been steadily coming down... even as we speak, it is coming down. So, it is a weighted average which is happening and the pass-through is also more or less in line with the current situation which is we don't have too much spice on that. And the product mix also we are conscious to make more products with more value add as we speak. That is another important point. All three have

contributed towards the reduction of cost of material.

Jinesh Gandhi: That is also reflecting in the margin improvement for powertrain business on QoQ basis.

Srinivasan Ravi: There's only very marginal improvement from Q4 to Q1. That is also slightly due to the better operating leverage. The top line has also gone up a little.

Jinesh Gandhi: So, the powertrain business seem to have seen almost 200 basis points increase on EBIT margins. So, that would be predominantly reflection of the drivers, which led to RM cost reduction. Is that correct?

Srinivasan Ravi: No, I would say that in a different way that we have a mixture on the auto powertrain of commercial vehicles, farm sector, construction machinery, industrial engines and also some passenger vehicles and others. So, there is some shift you know that the farm sector was still not picking up in Q1 overall. So, we had higher value add on certain of the machining products in the commercial vehicles segment. So, I think the product mix has slightly changed in Q1. That is always a seasonal effect, I would say.

Jinesh Gandhi: Lastly, we have seen increase on the staff cost side. What we've seen in this quarter is a sustainable number or were there any one-offs?

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Srinivasan Ravi: No, we have been consciously adjusting upwards the cost of the employees because you know very well there's an inflation totally. So, you're talking about that or -?

Jinesh Gandhi: Yes, I'm talking of the staff cost, QoQ increase which has happened.

Srinivasan Ravi: I think bonus adjustment would have been there in the last year and also in the Q1.

CB Chandrasekar: Bonus provision we have made this time in Q1 itself. Normally, it will be in the Q3.

Srinivasan Ravi: Yes, two things are contributing as clarified by Mr. CB Chandrasekar, CFO, that we are confident about the profitability. So, we started providing on bonus in Q1 itself now. On top of it, we have given some salary increase to the employees.

Jinesh Gandhi: Lastly, can you indicate the net debt as of June '22?

Srinivasan Ravi: There has been overall debt increase of Rs.50 crores, but I would say that there has been a reduction of Rs.30 crores in the long-term loans and Rs.80 crores increase in the short-term loans.

Moderator: Next question is from the line of Chetan Gindodia from AlfAccurate. Please go ahead.

Chetan Gindodia: Sir, wanted to understand on the margins of our powertrain business. So, during Q3, Q4, from what I understand is that due to the fall in tractor volumes, we had seen a reduction in our margin also for the segment. Given that now this quarter tractor has seen a very sharp rebound at least on a quarter-on-quarter basis, so the reflection in margin improvement is not there in the powertrain segment. So, am I missing something or can you explain about this?

Srinivasan Ravi: Overall, if you look at it, the farm sector in the last two months it has been doing well. But it's not in April, there was no rebound. Commercial vehicles wise, some of the our customers have not increased sales in Q1 which is normally a weak quarter. We also have had to export on the commercial segment in a big way totally. So, it is a blended average. I think plant wise capacity utilization,

each of the plants, not one single plant we're looking at better operating leverage, we have seven, eight plants located across the country closer to the customer. So, some of the plants have been suboptimal, some of the plants have been optimal. So, that was one of the reasons for the change. That will constantly fluctuate. Even among the product mix also, there are sub-segments in the product, we have high value added products and normal value added products

Chetan Gindodia: Within the storage and engineering segment, can you give what is the breakup between storage and engineering?

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Srinivasan Ravi: For the Q1, the sales has been Rs.157 crores as a whole. The sub segment sales of storage solutions has been Rs.88 crores out of the Rs.157 crores.

Chetan Gindodia: And this storage solution would be earning lower margin right now?

Srinivasan Ravi: No, we cannot say lower margin. Material content is normally lower. It has got a very good ROCE. But the point will be that since it is material-intensive, the EBITDA number will be lower, but EBIT numbers I think it's reasonable overall. But I think if we look at percentage of EBITDA, yes, it is lower.

Moderator: Next question is from the line of Nishit Jalan from Axis Capital. Please go ahead.

Nishit Jalan: My first question is more on the industry, especially in Europe, there is a power crisis that we are all seeing. Have you started to see more enquiries from some of the OEMs or customers in Europe to source more casting products from India, anything on that front, can India be a beneficiary of some shift in casting business from the developed markets to India?

Srinivasan Ravi: I have to say yes and no. Not from the auto sector. I have a very clear explanation for that. There is a lot of support from the OEMs to their tier-1 suppliers within Europe. They're showing I think really an united front in fighting this problem. So, the OEMs are giving compensation for the power or the gas or fuel, whatever is the prices which is happening there, so the key tier-1 suppliers are fully compensated. So, they are not shifting business at all and it's not easy to shift business also. Shifting business will be shooting on their own foot, because then the tier-1 suppliers in Europe will collapse and shifting business takes years to happen. So, I don't see that happening. But whereas in other pockets not in the auto sector, the auto OEMs are quite big, large and also they are coated with the cash, I would say. But I would say that the normal segment of the engineering business and all, there is a thought process to shift some of the production to other countries. There is also a de-risking policy for the geopolitical si

tuation which everybody is aware. For our Asian neighbor, who is also very key supplier to Europe. They are looking at sourcing from India as an additional source I would say. That is coming up, that is not for the automotive sector as of now.

Nishit Jalan: I understand that typically takes a long time and it's a strategic decision to change your sourcing in terms of geography, but do you think over a period of time, it can pick up and we as a company can benefit out of it either by exporting directly or some of the tier-1 companies setting up a plant or starting to source more from India in that sense, do you think it is something which can play out in the next three, four years or do you think that it might not play out but in the non-auto segment it will still play out?

Srinivasan Ravi: It will play out in the auto segment as well as non-auto segment. We are still too small in the manufacturing capacity when compared to our Asian neighbor; they are I think 12 times more or 10 times more, I will not exactly say that number, but even a small shift, I think India's to gear up. So, we will benefit, as a country I think we will see a growing trend towards exports, that is very sure.

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Nishit Jalan: And within the industrial segment, will it be possible for you to give some color as to which kind of industrial businesses you are seeing more traction or this is in general a more generic phenomena, which is starting to play out?

Srinivasan Ravi: The other Asian giant was the manufacturing hub for the entire world. But now, the policy of the multinational seems to be that the market there is sufficient or very big enough to absorb the capacity. So, for rest of the world, they are looking at other sources like India to also reduce the geopolitical risk. So, there we are seeing a lot of opportunity.

Nishit Jalan: A couple of housekeeping questions. One, what was the overall Daimler revenues that we saw in this quarter? And based on the order wins and company's plans how much can it ramp up further going ahead? And secondly, obviously, you're showing a better top line growth. Does that bring any changes to the CAPEX assumptions, or the CAPEX guidance that you had given previously?

Srinivasan Ravi: Pardon me, but I don't want to give exact customer wise sales. But for Brazil, Daimler, we have got the cylinder head order, we just started last month to starting to supply, that we'll be adding to our Daimler business, which is currently only in the cylinder block for Brazil. So, that is going to grow. What was your second question, please?

Nishit Jalan: My second question was on CAPEX. You are growing at a faster pace. Does that require any change in your CAPEX guidance? I think last quarter you had talked about 220, 230 crores.

Srinivasan Ravi: We have guided for I think 20% growth on the top line as well as an absolute EBITDA number growth. For that Rs.225 crores CAPEX is good enough. If we go beyond that and maybe marginally CAPEX may go up, maybe for capacity balancing or debottlenecking.

Moderator: Next question is from the line of Abhishek Jain from Dolat Capital. Please go ahead.

Abhishek Jain: My first question is related with powertrain business where that this quarter tractor volume was very strong, and that's reflected in the top line and the margin both. So, going ahead, as inventory is quite high in the tractor segment now, so production will be reached. So, how's the outlook ahead for this powertrain business?

Srinivasan Ravi: Q2, we don't see big upsurge, but it is going on similar lines for Q1 as far as Craftsman is concerned. We are only three weeks into the month. So, we may get more traction in the coming months. But as of now, I think Q2 looks on similar lines to Q1.

Abhishek Jain: For the second half of FY'23, sir?

Srinivasan Ravi: Q4 is normally very strong across all segments. Q3 depends on various factors.

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Abhishek Jain: How is the outlook for the margin side? Most of the time you just pass on all cost to the client. So, has the RM price gone down, so most probably you will pass on the cost to the clients from the next quarter onwards? So, how will be the impact on both the top line and the margin side?

Srinivasan Ravi: I think we are having a very decent fair pass-through on the RM across all the segments of the business. I don't see any issue and RM is also stabilizing or even coming down now. So, I don't see that being an spoiler for any profitability

going forward. When you ask about demand, yes, if the demand increases, our operating leverage will improve and that may improve our margins. But at this level, I think we are at a stable level.

Abhishek Jain: In the non-auto segment, we have seen a sharp correction in the metal prices, sharp correction in the margin, despite the correction in the metal prices basically the steel and aluminum both. So, what is the reason of such sharp fall in the margin side and how is the outlook ahead?

Srinivasan Ravi: If you look at the storage solution, we have grown from Rs.65 crores in Q4 to Rs.88 crores whereas the total segment of the business has grown from Rs.150 crores to Rs.157 crores because the aluminum portion has been removed and added to the aluminum products. On sub-assemblies there has been a little drop in the sales, 15% drop. So, this is one of the reasons the product mix changing has led to more raw material consumption in the storage solution. So, it looks artificially that the margin has come down. The margin is stable across the sub-segment of the products, but as a segment, yes, I agree that the margin has come down.

Abhishek Jain: Storage solutions business will also benefit from the fall in the prices of steel. So, how is the outlook ahead and what kind of the volume and the margin guidance for the non-automotive segment?

Srinivasan Ravi: For the industrial and engineering, better operating leverage will improve our margins going forward and in storage solutions, the automated solutions is increasing in the coming quarters, that will also yield better margins compared to the static racking business.

Abhishek Jain: And my last question is on the aluminum casting side. So, how is the contribution from two wheelers versus the four wheelers in the first quarter and how about going ahead for FY'23?

Srinivasan Ravi: Our basic purpose of merging the auto aluminum and industry aluminum also because the overlap was becoming larger. We are getting more business from the gravity die casting, low pressure die casting from the auto which was predominantly more used for the industrial and engineering segment. So, by merging the segments, we are having very good operating leverage, shared costs and also flexibility to ramp up faster. So, with these two segments now, the new businesses, everything coming mainly from the passenger vehicles segment. Our dependence on two wheelers is already started coming down, but in the next few quarters I think it will be significantly down.

Abhishek Jain: How was the mix in first quarter, two wheeler versus the four wheeler?

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Srinivasan Ravi: I don't want to state those numbers exactly. We are in a transition stage. At least last month I can tell you that the passenger vehicle segment and the commercial vehicle segment that the numbers have increased. Please wait for one more quarter things will be more transparent to give the correct number because we are in a transition stage now.

Abhishek Jain: How much impact do you see in revenue from Daimler India in a powertrain business for the near term due to the fact with that coming, I mean to say for FY'23 and '24?

Srinivasan Ravi: For us if we take Daimler business as a whole, there are three components to the Daimler business or you can even say four components to the Daimle

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business. The biggest component which is around 75% of our turnover is coming from Daimler Brazil. There the transition from say Euro-VI or BS-VI equivalent to the next level of norms is going to take place at the end of the decade only. Still they are at BS-V stage. They have not implemented BS-VI at all. So, only next year, they're implementing BS-VI. From BS-V to BS-VI, they have taken I think seven, eight years for a transition. So, what is expected is 2028 or '29 they will move to the next level possibly, that time they will adopt

the Cummins engine. So, 80% of our business or 70% of our business is fully protected until 2028. Daimler India has got three components I would say what we're talking about. Two components; one is the medium duty vehicle or the upper fuso range of vehicles, which they have got a good share of the export market also. There, the Cummins engine is not planned to be implemented as of now. The heavy duty truck, yes, by 2024, 2025. around that range, they will introduce the Cummins engine. For the rest of the world where again, they're using the Daimler engine for the other emission countries, I think they will continue to use the Daimler engine. So, in the Daimler portfolio, we will lose around 15% of the Daimler portfolio by 2024.

Abhishek Jain: 15% of the value addition or total value addition?

Srinivasan Ravi: Value addition of the Daimler portfolio.

Abhishek Jain: In terms of the revenue, how much it would be?

Srinivasan Ravi: I would not like to speak about customer revenue, but it will be in very low single digit as far as powertrain is concerned itself whatever we're going to miss, because we are growing on the powertrain as a whole. We will continue to grow even after 2024 on the powertrain business, because the new businesses are kicking in. Because heavy duty segment of Daimler, the numbers are in public domain. So, only that will get affected in 2024.

Moderator: Next question is from the line of Vishal from Svan Investments. Please go ahead.

Vishal: My first question is regarding the new reorganization scheme which you have stated. Your industrial and engineering business has seen sharp drop in the EBIT margin. So, as you said, there was some mix change also. But on a sustainable basis, what kind of margins you're targeting?

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Srinivasan Ravi: To your first question, it will be somewhere in between the Q4 margins and the Q1 margins is what is sustainable going forward. And when the operating leverage improves, I think we can do better than the Q4 margins. Now, what you see is that there is a disproportionate increase in the storage solutions business as a composition of the industrial and engineering business. That will set to change in the coming quarters, because we have got new businesses in the machining area, also in the industrial and engineering business, plus the automated solutions business is growing now with the new order inflow. So, we'll be very close to restoring the I&E margins in similar lines with Q4 by this year Q4.

Vishal: Last quarter was somewhere around 13.7% and this quarter was around 7.8%. So, you are targeting somewhere around 10%, 11% margins going forward on a sustainable basis for the year?

Srinivasan Ravi: Yes, by Q4, I think we will be restoring the margins equivalent to the last year Q4 with the product mix.

Vishal: In terms of auto aluminum business as per the new organization scheme, the PV casting business will also fall in this business which I presume is high margin business and plus as the demand in the two wheeler industry in this, what kind of scope you are expecting for margin improvement for this business?

Srinivasan Ravi: Now, I would first answer this very important question holistically, then I will drill down to details. We have high pressure die casting, we have low pressure die casting, we have gravity casting, we have sand casting. In

sand casting,

we have green sand casting and also chemically bonded two part sand. I will start with the high pressure die casting. High pressure die casting with the most of the products are of course the automotive parts only, industrial and engineering parts we have a few. We have the biggest of course as of today is

the two wheeler, but followed by now the passenger vehicle segment will kick in next year with the Stellantis business, then we're also having the commercial vehicle business for the high pressure die casting and we also started to get farm sector business on the high pressure die casting. Now, on the low pressure die casting, it is both automotive and non-automotive, industrial and engineering business also there in the low pressure die casting. Gravity today predominantly we are having mostly almost a 50:50 split between industrial and engineering and auto. There we are getting more and more business from the auto in the gravity die casting for two reasons; one reason is because of the move towards EV, these alloys are structural parts and more aligned with the industrial and engineering aluminum portion of our business what we see, because these are not traditionally high pressure die casting part, alloy cannot be high pressure die casting also. So, with this sort of growth happening on the gravity die casting, our margins will improve as a whole apart from the operating leverage by merging these divisions totally.

Vishal: Any ballpark expectation if you can share, that will be great sir?

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Srinivasan Ravi: Of course, there can be small changes quarter-to-quarter. I cannot say because of the product mix which is changing. But by this operating leverage

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Vishal: On a yearly basis, what kind of margin would you like to complete the year?

Srinivasan Ravi: We will be on the similar lines of Q1 for the year, but if the operating leverage further improves with more order position, I think it may improve also.

Vishal: Just one more small question in terms of data. What would be the capacity utilization levels across the businesses?

Srinivasan Ravi: It has slightly improved. We are closing to 70%., Up to 90% we can go, beyond 85% I think we need to be very careful because some segments we will run out of capacity. It cannot be uniformly across all the plants and across all the lines of business, we can be uniformly 85%. So, that means today we are comfortable I would say. There's still a lot of headroom and we may end up if not in Q2 at least one month in Q3 utilizing capacity up to 80% is what we see going forward. So, our performance in Q1 is I would say that is a realistic situation today of the company's performance.

Vishal: Sir, what is the kind of CAPEX you are expecting for the year?

Srinivasan Ravi: For this year growth we have guided for 20% growth on top line and 20% absolute value of the EBITDA number, for that maintenance CAPEX and growth CAPEX or new lines of CAPEX, all put together we estimate at Rs.225 crores. You know that our depreciation is around Rs.205, 208 crores. Out of the Rs.225 Crore CAPEX, around Rs.150 crores is actually maintenance CAPEX only. So, if we see any opportunity which is going beyond the 20-25% growth which we have planned, then we may look at revising marginally the number in Q4 which I don't foresee as of today.

Vishal: Any plans of debt reduction because with this increase in the debt for this quarter that our overall debt will be closely touching to Rs.800-odd crores?

Srinivasan Ravi: Overall debt is Rs.760 crores. Overall our debt has increased by Rs.50 crores, yes, but Rs.80 crores debt has increased in short term for working capital. Long term debt has already reduced by Rs.30 crores. There are two reasons for the short-term debt. We are holding more inventory days, but our turnover has also increased, plus the raw material prices was high and now it is coming down. With all

these things, we expect to reduce debt from this particular point of around Rs.100 crores in Q4.

Vishal: So, total debt you are expecting around Rs.100 crores reduction from these

levels?

Srinivasan Ravi: Yes. To put the record straight... I will not talk about debt-equity, but I'll talk debt-to-EBITDA. The Q1 number if you are extrapolating for the full year, debt-to-EBITDA is 1.17:1 which is an improvement from 1.33 for the last year totally. So, I think that is a good matrix. And another good matrix for the performance whether the debt is yielding result or not, we have reduced the creditor number

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of days and we have taken cash discounts. That is also reflecting in the ROCE. The ROCE is showing annualized basis of 26% pre-tax vis-à-vis 20% for the full year last year. So, I think the number of days of inventory has slightly increased only, but I think the turnover by itself has increased totally. The second point is of course the raw material cost portion. A substantial reduction of Rs.70-odd crores I think so in creditors. Because our credit rating has improved, our borrowing percentage cost is much lower now compared to some of our suppliers. So, we are getting some discounts which is adding to our margins.

Moderator: Next question is from the line of TS Vijay Sarathy from Anand Rathi. Please go ahead.

TS Vijay Sarathy: Just wanted to understand sir, you said gravity die casting is more preferred. So, do you expect that proportion of business to be higher than that of HPDC, LPDC, number one? Does it mean that profitability is higher because there is lesser tooling cost and how should one look at this? I'm given to understand even the CAPEX is also very less when you do more gravity die casting than LPDC?

Srinivasan Ravi: On your last question, there is CAPEX on gravity also but is substantially lesser than high pressure die casting, yes. The value addition of gravity when compared to the high pressure die casting which is an automated process is much higher on gravity. The complexity some of the parts on the alloy chemistry is much higher, yes, and we are used to using sand cores on our industry engineering business which is helping us in the new scheme of things in the auto powertrain because auto powertrain business has changed dramatically now. Aluminum products means it is high pressure die casting normally. But now the trend is changing. Also, gravity is growing at much faster rate than high pressure die casting the way it is.

TS Vijay Sarathy: So, tooling cost, all of that will come down, am I right?

Srinivasan Ravi: Tooling cost is part of customer cost, it's not part of our cost.

TS Vijay Sarathy: You said that some of the aluminum business in the industrial side has moved to aluminum. I'm sorry I missed that point. Are those high margin products and that's the reason we see sequential margin expansion in aluminum, is that the understanding right?

Srinivasan Ravi: Partially there is some high margin, but I think we have more increased our margin because of the operating leverage by merging these two divisions.

TS Vijay Sarathy: Could you tell me what proportion of aluminum which got transferred to that segment sir, what is that number?

Srinivasan Ravi: I think the percentage is quite small...I don't have the numbers readily here. We'll take it up later.

Moderator: Next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

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Nitin Arora: Just one clarification on this Daimler engine which will be done by Cummins going forward. You said the impact for us is about high single digit. First

question is you're talking about high single digit when the engine gets phased out completely by FY'28 because my understanding was though you don't share the client revenue but it's quite high percentage, so for '24 is that the number quite higher and that number which you are say

ing is high single digit
is more towards ending the program?

Srinivasan Ravi: In FY'24, I think it will be single digit only for us the impact overall. So, yes, it will be double digit by '28. But I think it will not be high double digit, but it will be double digit, that's clear, it will be not in the teens also, because our overall pie is growing faster now on the auto powertrain.

Nitin Arora: Because what Daimler is saying globally on their mission is to start rolling out the program itself from FY'26, I was wondering why FY'28 came, so.

Srinivasan Ravi: FY'28 is when Brazil is likely to move to Cummins engine.

Moderator: Thank you, next question is from the line of Jay Shah from Jay Shah PMS. Please go ahead.

Jay Shah: Can you throw some light on how the storage solutions and equipments business is picking up and in terms of are the incumbents also going for the automation or is this the new warehouses/logistics setups that are coming up, are they going further automated is the reason that you offer?

Srinivasan Ravi: The warehouses are still going by the conventional method, not automated as of now, but the manufacturing fraternity is going for automated solutions. Both are our customers.

Jay Shah: There is a shift right now from the incumbent in the logistics to the automation.

Srinivasan Ravi: Today, our order book is quite healthy. On automated solutions, we are fully booked for next six months the way it is.

Moderator: Next question is from the line of Shyam Garg from Niveshaay. Please go ahead.

Shyam Garg: My first question is are we in machine casting and if we are, then what basically is machine casting, can you give throw lights on that?

Srinivasan Ravi: This is a little difficult for me to explain very quickly, but the casting is a process where molten metal is poured into a mold and that is near net shape profile is brought over, then after that it has to be finished in machining and further process like including honing a cylinder block. I would in generic terms put it across the casting is like, say cloth, we are doing the tailoring to finish it, if we put in very simple terms. So, the we do value addition and finish the product by machining.

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Shyam Garg: When we say that we customize casting with respect to the particular needs of the customer, that we can do machine casting according to the shape and size?

Srinivasan Ravi: Foundries-made castings in the auto powertrain business, we do not have any foundry at Craftsman. So, we are doing only the higher value added stream which is we're doing. In the aluminum business, we're doing the entire process of dye making, casting making and also the machining.

Moderator: Next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Sir, just wanted to reconfirm, you mentioned about Rs.100 crores debt reduction in FY'23?

Srinivasan Ravi: Yes, from the current levels

Deepak Poddar: Regarding your 20% growth in top line and absolute EBITDA, isn't that little conservative given the low base of first quarter last year? So, automatically, the growth in this year is quite exorbitant, right. So, on an annual basis 20% growth looks a little conservative.

Srinivasan Ravi: I agree, it is conservative. Hopefully, we will do much, much better.

Deepak Poddar: What's the vision for us for next two to three years in terms of maybe our growth CAGR or anything on those lines?

Srinivasan Ravi: Growth CAGR for the next three, four years, we'll have 20%. From year-to-year, it may change a little, yes, agreed, But we are very confident about a 20% CAGR.

Deepak Poddar: Ideally, because you're speaking about operating leverage advantage. So, ideally, your bottom line should grow faster than your top line, right?

Srinivasan Ravi: No, all of it will grow on similar lines. We are also seeing some inflation, right.

So, some of the operating leverage portion, we may lose out a little of it to the inflation. So, in spite of that, I think, you are right, when the growth is faster, the bottom line may grow faster, yes.

Moderator: Next question is from the line of Pranay Roop Chatterjee from Burman Capital Management. Please go ahead.

Pranay R Chatterjee: My question is more business related. So, if we think about seasonality from Q1, Q2, Q3 and then Q4 and then back to Q1 of next year, in normalized situation, right, in terms of macro factors remaining normal, what kind of a trend can we see seasonally? And given the seasonality and the new orders that would kick in over the next two to three quarters, What kind of QoQ growth on the top line can we expect across the divisions till Q4 essentially?

Srinivasan Ravi: The past is any indicator of what it is, is a 40% split between H1 and 60% to H2, that is normal. But we have seen slight changes are happening. But surely,

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Q4 will be the strongest, that is we're very confident about that. So, Q3 normally there is a correction if the market is having some headwinds. So, we saw that last time when we had a good run in Q2, we anticipated that there may be a drop in Q3, it happened like that. But this year, the Q2 is not going on a runaway sort of system. So, it is accelerating, but it is accelerating moderately. So, we are confident that Q3 also will be quite steady.

Pranay R Chatterjee: Just to confirm then you had mentioned a 3% QoQ growth from Q4 last year and you have said that Q4 is the strongest usually. So, despite the seasonal impact, it's a 3% growth QoQ. Because if we look at the historical last two years, most of the Q1s are actually impacted. So, it's difficult to understand the usual Q4 to Q1 performance. So, is this a normalized number or have you performed over and above the seasonal impact?

Srinivasan Ravi: I would first make a disclaimer; first, how our customers perform, and what products we supply to the customer, and those products are doing well in the market, I think we will be growing faster. You know on the passenger vehicle segment, we have negligible exposure on the auto powertrain, hardly a 10%, our auto powertrain business itself is passenger vehicles totally and passenger vehicles we are doing for two customers mainly; one is a major customer and you know the product launches which has happened in the recent past. So, that was not there in that significant portion earlier and we are seeing continuous product launches happening. So, that segment is growing for us. So, when you ask about Q4 of this financial year, definitely it will be better than this Q1 what we have closed. And if I may say so this Q2 also is looking in a similar line like Q1, it's a very good sign.

Pranay R Chatterjee: More from a tracking perspective, we know that in your powertrain segment, roughly half is from MHCV and over there Tata Cummins and Daimler are the main clients. So, again, I'm not looking for exact data points, but the sense we have is that you have major wallet share with Tata Cummins, who in turn have a major share with Tata Motors. Would that be a fair statement?

Srinivasan Ravi: I'll answer it holistically. You mentioned two customers names. Yes, Tata Cummins also supplies their products outside India which we are supplying machining for them. The second point is Daimler is both domestic as well as export, that I already have clarified earlier. We are also tier-2 supplier to two customers in India who are exporting to North America and to Europe on the commercial vehicles business. So, that way we are well diversified on the commercial vehicles business itself. So, we are growing on the tier-2 exports on the commercial vehicles business also.

Pranay R Chatterjee: Largely on the farm sector which contributes roughly 20% again and Escorts and John Deere are some of your clients there. Again, not looking for exact numbers, but would Escorts be a material portion of that revenue, roughly 50:50 or is it different?

Srinivasan Ravi: We supply to almost all the tractor manufacturers except ITL. So, it is fairly distributed I would say. We don't have too much customer concentration in any single customer including the market data. So, it is fairly spread. I will name the customers because it's already mentioned at DRHP. Top three or top four

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customers are very close to each other, I would say, totally. We have of course Mahindra, we have the TAFE and Simpson group, Simpson is the engine manufacturer, then we have John Deere, we have CNH. All of that we are substantial. The smaller customers are of course for us are Escorts and now we have started supplying to Indian arm of Japanese heavy engine manufacturer, who is supplying also to the other tractor manufacturers, but I think except ITL, we are supplying to everybody.

Pranay R Chatterjee: Lastly, a data-related question. You gave the value added numbers for Q1 this time. The numbers you gave for the auto aluminum segment, I understand that would be including the industrial aluminum portion also, right?

Srinivasan Ravi: Yes.

Pranay R Chatterjee: So, could you please give the comparable number value added for aluminum products and I&E based on the new classification for the Q4 as well?

Srinivasan Ravi: For Q4 FY'22, the aluminum products in the new classification value add was Rs.57.5 crores and for Q1 FY'23 it was Rs.71 crores.

Pranay R Chatterjee: What would it be for the I&E segment?

Srinivasan Ravi: For the I&E segment, the value add for Q4 was Rs.63 crores and for Q1 now it has been Rs.58 crores.

Moderator: Next question is from the line of Pritesh Chheda from Lucky Investment. Please go ahead.

Pritesh Chheda: Why the numbers got restated in segmental and what goes in and goes out between aluminum and industrial?

Srinivasan Ravi: We are doing aluminum castings for the industrial sector for electrical switchgear and other gearboxes, medical equipments, everything we are doing in the industrial aluminum. The new scheme of things especially in the EV sector most of the parts fit into the industrial aluminum segment of our business, the new parts coming in. So, we thought then classifying that and mixing this is a problem. Anyway, both the divisions have started to work together. So, we just merged the divisions.

Pritesh Chheda: So, part of the aluminum casting which are sitting in industrial and engineering moved to aluminum products, that's how it is right?

Srinivasan Ravi: Yes, that is a smaller portion, it has moved to.

Pritesh Chheda: Now industrial and engineering will only consist of engineering and storage solutions products?

Srinivasan Ravi: Yes.

Pritesh Chheda: There is no auto?

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Srinivasan Ravi: There will be no auto or aluminum products. Non-auto, non-aluminum will be in our industrial and engineering business.

Pritesh Chheda: Aluminum products will be all auto and aluminum?

Srinivasan Ravi: These aluminum predominantly it was auto aluminum and industrial and engineering aluminum, but we are also getting other commodity aluminums (which are also critical, I would say) in consumer durables, everything, enquiries are coming. So, there's no point in trying to say this industrial aluminum, auto aluminum, the facilities are same. So, we are also processing that. Still it's not coming to our kitty, but it's going to come.

Pritesh Chheda: The second division for us if you could just give some idea how much would be passenger cars for aluminum what would be business coming from passenger cars and two wheelers and other area?

Srinivasan Ravi: I would just give an approximate number for this financial year when we close this year. The two wheeler segment will be around 50% Next year two wheeler segm

ent will be only 30% 40% is what we see.

Pritesh Chheda: And the other is passenger cars, right?

Srinivasan Ravi: Balance will be mostly passenger cars... of course industrial aluminum is already there and we'll be adding some even white goods durables there.

Pritesh Chheda: So, then white goods also be part of aluminum products?

Srinivasan Ravi: In aluminum, we'll be adding it there only. So, far we are not doing it, but we are seeing potential there.

Pritesh Chheda: As of now, it's not there. As of now, it is two wheeler and passenger car?

Srinivasan Ravi: Just to clarify, today, we don't have anything in the white goods area, but we are seeing possibilities in the future which will come up in the aluminum products.

Moderator: Next question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh: I just wanted to know what are the margin levers that we have going forward? And second question is on the EV segment. As we are seeing more transition from the ICE to EV, so, what kind of benefit we are seeing in the Europe region and overall what are the benefits for the company?

Srinivasan Ravi: First, I will talk about auto powertrain. Our exposure to passenger vehicle segment is negligible in the auto powertrain; it is hardly 10% of our auto powertrain as a segment, and as a company it's only 5% totally. So, there we are having very strong product launches from our key customer and we see a lot of traction in the auto powertrain, in the passenger vehicle segment which

is of course not EV, it is the IC engine. We feel that the business will go on for five, seven years in that segment. But I again wish to repeat, 10% of our auto

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powertrain and 5% of our Craftsman Automation as a company is exposed to passenger vehicle segment totally. So, with EV coming into the picture, there are structural parts, there are battery related parts which we are getting enquiries both from the four wheeler segment and as well as the two wheeler segment. We are working on that.

Jyoti Singh: Sir on the margin lever side what we have going forward, if you can throw some light?

Srinivasan Ravi: The operating leverage with better capacity utilization, still as mentioned, we are around 70%, and hopefully capacity utilization in this Q2 or Q3, we will see some good traction going forward. And when that happens, our margins will improve surely. The last point is the new products, which our customers are launching, where we are one of the key suppliers there. I think that also will add to the margins, because there are new products and new pricing.

Moderator: Next question is from the line of Jeetendra Khatri from Tata Mutual Fund. Please go ahead.

Jeetendra Khatri: Sir, have you seen Rhino 5536? It's an electric truck from IPLTECH.

Srinivasan Ravi: I think it is from the Delhi region, right.

Jeetendra Khatri: My question is, do you see this as an opportunity or a threat? I mean, I don't know. We'll see aluminum intensity in electric goes up. It might be a big opportunity. Not particularly this product, but this product is just an example of a heavy duty electric.

Srinivasan Ravi: No, we see that there is a small segment of the market where there are shuttle runs around 200, 250 kilometer radius, where there are milk run slides happening on the heavy duty commercial vehicle itself, which will move to EV which is a very small segment of the market. But I will come from the three wheeler, three wheeler is most likely to move to EV, most of it, that is very sure. And sub-1 ton vehicle also will move to EV, most of it again. The above 1-ton is a trade-off between CNG and EV, because I think today, CNG will be winning for the next few years. I do not know after that. Coming to the next higher segment, I think still it will be predominantly IC engine. Now, the whole world is working on hydrogen also. An

d hydrogen is very difficult to transport. But there's a lot of work going on in international market with mixing up with ammonia and they call it green ammonia. But there is a lot of work to be done like terminals have to be built, barges, tankers have to be built to handle this green ammonia. Once that happens, we will also see that hydrogen also will be coming into the commercial vehicle segment, but yes, it is going to happen.

Jeetendra Khatri: The segments which are electrifying, so, do you see opportunity of aluminum out there for you guys?

Srinivasan Ravi: Aluminum content on even electrical buses or electrical trucks if it happens is very less. And that by itself is a smaller segment. Today, we see CNG as the way going forward on this matter because of the battery weight, battery cost. Let us look at the hierarchy. I'll just give one example. What the mobile phone

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manufacturers, whether it is iPhone or anybody else, what they can pay for a chip and what passenger car manufacturer can pay for a chip, what they can pay for a battery what can they pay for a truck, I think the mobile phone manufacturer can pay more for a battery because the product is sold at a premium cost, whereas a truck cannot pay so much for premium, these are all rarer, so there can be price pressures when coming for larger battery subjects.

I think we have to wait for a solid state batteries, then only we could be able to take a decision how much penetration will be there in the commercial vehicle segment.

Jeetendra Khatri: Lastly, sir in the industrial business, so I see it as a whole, non-automotive powertrain, so it will have aluminum casting plus your industrial and engineering. So, what is the long term growth that you see there? I know it's a deep cycle business, but the growth rate will not be comparable to automotive powertrain, but what is one long term growth you keep in mind and which sector will have a largest exposure there?

Srinivasan Ravi: In the industrial and engineering sector, after we removed the aluminum portion and merge it with the aluminum products as a whole, we will still see a CAGR of 20% going forward across all, including the critical sub-assemblies what we are doing or critical components machining we are doing in the industrial and engineering segment along with our storage solutions, mainly the automated storage solutions products. So, we are seeing traction all over.

Jeetendra Khatri: So, this is because you're providing import substitution to your clients?

Srinivasan Ravi: Yes, even one of our clients has put something in LinkedIn where we are doing for green power. We are going to machine sub-gearbox housing for them for wind turbines. So, yes, the customers themselves have disclosed. We just received the token orders I would say, but we've got some agreements there in place, we will be developing those parts for them. So, we see that as GDP grows, we will grow there.

Moderator: The next question is from the line of Jinesh Gandhi from Motilal Financial Services. Please go ahead.

Jinesh Gandhi: Can you share the value adds for 1Q FY'22 including the revised classification?

Srinivasan Ravi: Can you rephrase the question please or repeat the question if you don't mind?

Jinesh Gandhi: The value add for one 1Q FY'22.

Srinivasan Ravi: For which division?

Jinesh Gandhi: All the three.

Srinivasan Ravi: Auto powertrain Rs.157 crores, aluminum products Rs.42 crores and industrial and engineering Rs.39 crores.

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Moderator: As there are no further questions, we have reached the end of question-and-answer session. I would now like to hand the conference over to Mr. Srinivasan Ravi for closing comments.

Srinivasan Ravi: Thank you very much all of you to join this meeting today and thank you for asking very interesting questions which will also help the company to think on the way forward. A

t the same time, I would like to reiterate that our order position is quite strong and we are looking at a strong performance in this year. Thank you very much.

Moderator: On behalf of Craftsman Automation Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purposes)

Call: Oct 2022

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22nd October, 2022

To

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Dalal Street, Bandra (East),
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Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call on the Unaudited Financial Results for the quarter and half year ended 30th September, 2022.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our intimation and outcome letter dated 1st October, 2022 and 17th October, 2022, we are enclosing herewith the transcript of the earnings conference call organized on Monday, the 17th October, 2022 at 4.00 P.M. (IST) on the Unaudited Financial Results for the quarter and half year ended 30th September, 2022.

The transcript of the earnings conference call will be uploaded on the website of the Company at www.craftsmanautomation.com .

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
for CRAFTSMAN AUTOMATION LIMITED

Shainshad Aduvanni
Company Secretary and Compliance Officer

Encl: As above

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CRAFTSMAN AUTOMATION LIMITED

Q2 FY 22-23 Earnings Conference Call

17th October, 2022

Moderator: Ladies and gentlemen, good day and welcome to Q2 FY23 Conference Call of Craftsman Automation Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Srinivasan Ravi – Chairman and Managing Director of Craftsman Automation Limited. Thank you and over to you sir.

Srinivasan Ravi: Good afternoon ladies and gentlemen, thank you very much for joining this Earnings Call. It gives me a lot of pleasure to address you again after one quarter. We have had a decent performance in Q2 in spite of the large headwinds we had regarding the war as well as the recession in Europe and US. We have as a company performed reasonably well because our broad based strategy about and a good product mix and a reasonable execution. I'll just run you through the headlines and the highlights of this quarter and leave more time for the Q&A. We have clocked a sales of 1447 crore vis-à-vis 1000 crore on H1 last year, PBT 180 crore, comparable which is 62% higher than last year H1, PAT of 116 crore which is 61% higher, EBITDA of 337 crore which is 31% higher than H1 of last year. I will just run you through the financial ratios, debt equity has improved to 0.58, debt to EBITDA is 1.08, EBITDA margins is slightly reduced from 24 to 23. EBIT has increased from 15 to 16. PBT has improved from 11 to 12, and comparing with the last financial year, PAT has improved from 7% to 8% now, current ratio is 1.16, return on capital employed pre-tax analyzed for H1 is 24%, for last year it was 20%. ROE analyzed is 20%, for last year it was 15%. So, I will also give the headline numbers for the segment wise revenue. Auto powertrain has clocked a revenue of 726 crore vis-à-vis 524 crore over H1 last year. Aluminium products 368 over 242 last year, last H1. Industry engineer

ing

353, comparable H1 for last year was 234. The EBIT margins have shown some fluctuations but I will explain that later. Auto powertrain the EBIT has been 188 comparable H1 was 148 last year, aluminum products 35 crore EBIT comparable 19 crore last year. Industrial engineering, 35 crore H1 last year was 6 crore. So, overall our EBIT is 229 for H1 comparable to H1 of last year was 151. With this, I will leave the floor open to questions-and-answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Joseph George from IIFL. Please go ahead.

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Joseph George: So, you mentioned in your opening remarks about the fluctuations in the EBIT margin if you can spend a couple of minutes explaining the fall in EBIT margin in both the powertrain and the aluminium segment, that is the first question. And the second question is, your guidance of CAPEX for the full year because if I recall correctly in the 4Q call of last year and the 1Q call of this year, you had indicated a number of about 225 or so, whereas the first half itself, the company has clocked a CAPEX of about 170. So, what is the renewed guidance for the full year these are the two questions. Thank you.

Srinivasan Ravi: Thank you Joseph. Regarding the EBIT margins, on the auto powertrain we have grown but it was slightly disproportional growth on the material business and the other machining charges business. So, there is a small margin drop which is optical. In aluminium business on Q2, we had a sequential month-on-month drop in the raw material prices and normally we carry an inventory of 8 to 10 weeks, 12 weeks with the raw material in process put together. So, we had to take a hit on the raw material a little and so that increase the cost and that depress the EBIT margins. But overall overhead absorption has been very good on the industry engineering business plus also the steel price has been more stable, the bulk of the revenue which the growth has also come from the storage solutions. So, we have seen margin expansion on the industry engineering. So, it has been a mixed bag, overall as a company we are in line with the margins whatever we had in the previous quarters.

Coming to the CAPEX, last year we grew by 40% and now the growth also it is almost more than 40%. So, we had to do some little capacity balancing CAPEX and we are guided yes 225 crore, 250 crores in the region for the CAPEX, we have already done 150 crore. In April this year we received quite a sizable order for aluminium business which we didn't expect to be done in this particular financial year. But customer needs the production to start in this financial year itself at the end of Q4. So, we had an additional CAPEX of 70 crore which is underway. So, we are trying to control the CAPEX in spite of the unplanned CAPEX of 75 crore to 275 crores. So, we will be around to 275 crore this year. This CAPEX will be vindicated by the situation that we had two years 40% the CAGR growth year-on-year. And we will leave some headroom for further growth if it happens in Q4.

Joseph George: Understood sir, thank you. Just one follow up, so this year if you are bidding 275 should we look at lower CAPEX next year?

Srinivasan Ravi: No, as it is the plan is around the same level only, provided we have guided the

market for 120% CAGR. So, in spite of the 40% what we are clocking now, we are hoping to clock 20% next year totally, but the base has become absolutely high, because we will be very close to around 2900 crore this year and then we are

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looking at more than 20% growth, then we need to understand that there will be some CAPEX, but if we grow at 20% we will be still continuing the CAPEX in the region of 250 crores. And, I want to also remind that the our depreciation is hovering around the 210 to 220 crore this region. So, the net block will not be inc

reasing or

the capital employed also will not be increasing, even the working capital we have, in spite of the top line growth we are able to manage the working capital situation so, overall debt also is under control.

Moderator: Thank you. We have our next question from the line of Abhishek Jain from Dolat Capital. Please go ahead.

Abhishek Jain: Sir, can you give value addition figure of each segment in Q2?

Srinivasan Ravi: Yes, I will give it. For Q2 of this year value addition for auto powertrain is 232 crore, aluminium product 68, industry engineering is 76.

Abhishek Jain: Okay. Sir, in the powertrain business more customers are now asking to buy material this time. So, floor machining or value addition will go down in the coming quarter. So, this will impact your margin going ahead?

Srinivasan Ravi: No, this will not impact margin going ahead. There are products which are casting intensive there are certain products which are missioning intensive, cylinder blocks fully finished are missioning intensive. So, there I don't think there is any change there but the tractor segment where the structural parts, the casting to missioning prices are totally, very much skewed. So, there it may change, but overall our value addition as a segment of the business has increased quarter-on-quarter also, but it is not equal so that's what I wanted to mention.

Abhishek Jain: And sir first half captive production was strong but going ahead it will be muted in the second half. So, how do we see the impact on the price rise business margin, will it be continued to be at lower side?

Srinivasan Ravi: It is already muted in Q2 because we are impacted a little earlier than the numbers which has actually sold in retail or by the OEMs. So, even in Q2 itself we are highly impacted on the tractor I don't see that number dropping very much in Q3, it is already at a very low level in Q2.

Abhishek Jain: Okay. Sir, couple of questions from the aluminium casting side, in aluminium business now margin has gone down too despite a strong growth in the top line, as you mentioned that this is because of the old inventory. So, going ahead what sort of the margin do you see and what would be the growth driver for the margin?

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Srinivasan Ravi: I would clarify that inventory, inventory is not old inventory for any company to work we need 8 weeks to 10 weeks inventory, because of the different product segments and two different locations for the manufacturing plus also WIP is there, some finished goods per customers will be there. So, we are around between around eight weeks it may be plus or minus depending on the particular quarter inventory is there. So, the pricing now the mechanism is more straightforward where it is fair to customer as far as the supplier it is moving very smoothly. So, it is not a delayed impact that when the price goes down, we get a benefit in the current quarter because, we are billing at a higher rate and next quarter it will be down, no it's not like that, it is happening more in the live situation. So, we had reduced the selling price to our customer in line with the market price drop in aluminium which has dropped by around a 10% approximately in the retail we look at the LME prices or the product prices, input raw material prices they have dropped by 10%. So, that impact slowly has affected us on the COGS a little. So, it looks a little optically that we have not performed but as a company, as a division, it is going in the same line as Q1.

Abhishek Jain: So, now in aluminium casting business 80% revenue comes from the two wheeler only, which is only casting products not a machining, as you will move into the more passenger vehicle and CVs your margin will see sharp expansion. So, just wanted to understand what is the current mix and how do you see the mix ahead in aluminium products?

Srinivasan Ravi: I wish to clarify 95% of our castings we machine i

t, whether it is two wheeler, four

wheeler, commercial vehicle or industry aluminium, 90% more than 95% is machined and the product segment today the two wheeler business as a segment has come down totally, two wheeler is approximately in the aluminium business is 68%, passenger vehicles is around very low up to 2%, commercial vehicle is around 9% and non-auto aluminum products is around 15%.

Abhishek Jain: So, despite the improvement in the mix, both the passenger vehicle, CVs and non-automotive parts, your margin has not expanded and going ahead you also looking for the good orders from the export side especially for the battery motor housing and all these things. So, what would be the margin visibility going ahead and the top line growth?

Srinivasan Ravi: The margin or the aluminum price we had to take an impact of 10%, because this is in a steep drop of aluminium prices, which if you look at the trend, it is quarter-on-quarter there's a drop of 10% because of we had to take the brunt, the margin looks depressed actually the margins have been in line with the Q1, the operational margins at least.

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Moderator: Thank you. We have our next question from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Jinesh Gandhi: Continuing on the aluminum business margins. So, what you are indicating is that, we had to give the 10% price reduction because of change in the aluminum pricing revenue, however we did not get the benefit in our actual shifting, that is the reason why margins are impacted?

Srinivasan Ravi: See the 10% is not on one single drop, it is month-on-month drop. So, overall we have been impacted around 5%, because of the pipeline inventory what we had.

So, the 5% is on the raw material means is around 4% on the top line totally.

Jinesh Gandhi: Okay. So, it's fairly the timing difference between when you realize the benefit versus when you're passed on the benefit to customers, because of its marginal impact?

Srinivasan Ravi: It is around 3% to 4% it has impacted on the top line.

Jinesh Gandhi: Got it, and secondly can you share the value add data for 2Q FY22 as well across three segments?

Srinivasan Ravi: Can you come again, you asked for the value addition for Q2 or H2, H1 I didn't understand?

Jinesh Gandhi: 2Q FY22, same quarter last year.

Srinivasan Ravi: Q2 FY22 okay. Value addition on Q2 FY22 on auto powertrain was 88 crore, aluminium products was 80 and industry engineering was 94.

Jinesh Gandhi: And this 24 crores is including or excluding aluminum industry segment?

Srinivasan Ravi: No, it is reclassified already see what happened Q2 FY22 to Q2 FY23 I will read the numbers in sequence. The FY22 auto powertrain was 88 and Q2 FY23 was 146, aluminum products Q2 FY22 was 80 crore, Q2 FY23 was 128, sorry I'm reading the wrong numbers. I am reading the COGS, I will read the value addition.

Q2 on the value addition portion for auto powertrain has been 204 crore and Q2 for this year is 232, aluminum products was 61 crore last year, this year Q2 has been 68 crore, Industrial engineering was 42 and this year it is 76.

Jinesh Gandhi: Got it. And would you be having storage solution revenue for this year and last year?

Srinivasan Ravi: Yes, we have. You want quarter-on-quarter or you would like to have H1 over H1?

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Jinesh Gandhi: 2Q FY23 versus 2Q FY22.

Srinivasan Ravi: Q2 in FY22, I will not have it. I will read H1 in last year and H1 this year. Storage solutions for FY22 as a whole was 253 and Q1 FY23 was 88 and Q2 FY23 was 111 and if you compare H1 and H2, H1 FY22 was 134 and this year H1 FY23 has been 199.

Jinesh Gandhi: Okay, got it. And are you increasing sales of automotive storage in this number or that is yet to see a material ramp up?

Srinivasan Ravi: Sorry, the line is not so clear or it is echoing, I'm not sure I'm not able to hear you.

Jinesh Gandhi: So, are we seei

ng increasing salience of automotive storage in this number?

Srinivasan Ravi: Automotive storage no. It is general storage solutions across all segments and new segments, it is not automotive storage, negligible percentage.

Jinesh Gandhi: Right. And lastly, would you comment on any new order wins in current quarter and till October have you seen any major new order wins in either powertrain or

aluminum side?

Srinivasan Ravi: So, we are getting a continuous inflow of new customers and new orders. At the same time, there is some attrition which is happening at the other end the older products are going out. So, overall net debt we are having traction for growth, the timeline for each of these projects are different and it is linked to certain sometimes it is emission, sometimes it is a new model launch it is also related to strategy. So, I don't want to talk about customers. Now, we have taken for the company when we are looking at 20% growth next year, we are more looking at a strategy that what is realistically going to come, we cannot add up all the numbers of the customer projections and projected to our investors that will be giving a wrong picture. There will be some failures from customer side or there may be some delay in projects. So, overall, the traction is good enough for the 20% growth.

Jinesh Gandhi: Okay. And the aluminum order which we got in April 22 for which we're putting up this CAPEX, how big would be the annual revenues from this order?

Srinivasan Ravi: We can expect for FY24 150 crore revenue. FY23 will be a transition period.

Jinesh Gandhi: Fair point, 150 crores on full year.

Srinivasan Ravi: FY25- 150 crore. FY24 will be ramp up period.

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Moderator: Thank you. We have our next question from the line of TS Vijay Sarthy from Anand Rathi. Please go ahead.

TS Vijay Sarthy: Sir just want to understand from you sir it's because of the with material with the margin sequentially has fallen, so just want to understand what kind of product that we actually source material and make it and then sell it out or is it within the cylinder block and cylinder head there is some customer specification and some clarity on that, because this we've experienced both in first quarter as well the second quarter, both on a Y-o-Y basis and sequential basis?

Srinivasan Ravi: This is related to only aluminium products, aluminium is the basic raw material we have to buy. So, where the price have dropped so, that has impacted all the aluminum products.

TS Vijay Sarthy: The powertrain division where there has been more less of machining and more of with material, just wanted to understand is there any different product category apart from cylinder and cylinder block

Srinivasan Ravi: No, we have a lot of parts, we have transmission parts, gearbox parts, we have other also structural parts are also there everything and also what you need to take into account is the commodity prices have gone up so that itself will depress the EBITDA numbers, so only the top line will go up.

TS Vijay Sarthy: Okay. So, this we have witness both in Q1 and Q2 on a Y-o-Y basis, does this situation continue even going forward?

Srinivasan Ravi: Yes, it will continue because commodity price has settled at a higher level.

TS Vijay Sarthy: Okay. And with respect to aluminium business, so this 125 crore that you said in FY25 this is over and above the peak revenue of 650 crores that you would reach based on your existing capacity am I right sir or this is include them?

Srinivasan Ravi: Already the run rate on the aluminum products as a whole we have clocked a 196-crore revenue in the last quarter. So, we are already at a run rate of around 800 crore.

Moderator: Thank you. We have our next question from the line of Sandeep Agarwal from Melody Investment. Please go ahead.

Sandeep Agarwal: Sir, what is our net debt and the cost of borrowing, what is the plan to reduce it?
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Srinivasan Ravi: The cost of borrowing is very, very competitively we are borrowing thanks to our lenders, bankers and also financial institutions. Whatever you call we look at its

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financial cost, this also the other as per IndAS standards the lease rentals what we are paying is classified as depreciation and financial cost as accounting standards, that is why the financial cost looks high and I would say 70% is actual financial cost, 30% is related to interest and depreciation classified in the IndAS. And the borrowings, we look at it sequentially quarter-on-quarter the borrowings is same.

Sandeep Agarwal: Okay. Sir just I want to say that if you share any presentation, with the presentation or such details so it will be more beneficial for us to understand and can be better.
Thank you.

Srinivasan Ravi: The borrowings are quite straightforward, there is a term borrowing and there is a short term borrowing. Overall, it is sometimes changing a little, but overall it is

around 720 crores now.

Moderator: Thank you. We have our next question from the line of Dhaval Shah from Girik Capital. Please go ahead.

Dhaval Shah: A couple of questions from my side. Sir, firstly if you can spend some time on this high end efficient products what sort of traction are you seeing, a lot goes to the capital goods industry. So, what traction do you see there, that's our first question.

Srinivasan Ravi: The traction is not picked up to the extent what we expected because of the current headwinds in the global economy, we would have seen it going better, but overall the current set of customers, current set of products everything is doing well, we are adding more product portfolio there also, there will be some time delay between that, the gestation period will be there before we can scale up so overall we are seeing good traction in the industry engineering segment. Overall inclusive of the precision sub-assemblies and products in the contract construction.

Dhaval Shah: So, almost everything are we exporting in this?

Srinivasan Ravi: Mostly we are exporting, yes.

Dhaval Shah: Okay. And if you would tell which would be your top three or top five products, the breakup of this 90-crore quarterly revenue it may help us better understand the number.

Srinivasan Ravi: Export per quarter is we are clocking around 40, 50 crores something like this, 40 crores on the industry engineering segment.

Dhaval Shah: Okay. So, 40 out of 90 is exports?

Srinivasan Ravi: Yes.

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Dhaval Shah: What are we exporting in that, what is the product in that 40 crores?

Srinivasan Ravi: We are exporting major to North America to Europe and to also Japan each of the customers are different, the end usage is different somebody is in wall manufacturing, some gearbox manufacturing, one is in oil and gas, the other is in printing, the other is cartoon box manufacturing. So, it is quite a diversified requirement as a contract manufacturers we are making products to their design and also we are making fully finished machines also tested here and we ship it to the end customer so it is too diverse.

Dhaval Shah: Okay. With the level of the engineering and the detail which we go into within our strength is that the same or it's a little low end working in this business?

Srinivasan Ravi: No, entry barrier is extremely high and where we are not having any competition here from the Indian market and our diverse engineering team and capability, design capability and our manufacturing infrastructure is required to do this sort of high-end assembly so we need to have the knowhow also. So, when we are making this equipment and shipping across the world, we don't have much competitors anywhere in the world.

Dhaval Shah: Okay. So, what visibility would you have over the next FY23 and 24, what should be the size of the business?

Srinivasan Ravi: Business has been steady it has not been grow

ing exponentially you could have

seen from our export revenue overall, we have not been adding customers aggressively there, but now I think there are some new chances of adding customers now but there will be a time gap between product development and to actual revenue. So, we may see a gap of one year.

Dhaval Shah: Okay and sir my question on the aluminium side. So, we had this order from Peugeot Motors. So, has they started product manufacturing this year and then ramp up in '24-25 so have we started going?

Srinivasan Ravi: It is, product development is going on time, infrastructure is getting set up, we will be giving samples in Q4, the customer requires four-five months for testing the product, the production will start by Q3 if not in Q2 of next financial year. And we will get 30%, 40% of the revenue, so you should be able to clock in the next financial year, subject to approval.

Dhaval Shah: Okay, because we are supposed to do some 50, 60 crore revenue in FY23 out of this order.

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Srinivasan Ravi: So, FY23 we were thinking that they will not go through the full product testing cycle, but the customer is cautious even though the product has been tested and it's coming from a different source, they want to go through that. So, they are asking for four to five months testing period. So, we cannot actually really do, we're ready.

We will be ready in Q4.

Dhaval Shah: So, now lastly, the entire demand. So, last question is that the demand destruction which we expect, in Europe so are we experiencing anything right now in, so you mentioned in your hike decision, there is a thought that, the momentum of order is not very high. But in the aluminium component and powertrain do you see the impact of this problem.

Srinivasan Ravi: I am sorry, maybe not sent the right message, when some of the segments are growing in H1 at 40%, in relative terms the export order is not growing at that level.

That's what I meant on the momentum side totally. So, the storage business is some carrying bulk of the momentum in the industry engineering business is what I wanted to mention. But we're growing even on the export side, we are growing.

Moderator: Thank you. We have our next question from the line of Mukesh Saraf from Spark Capital. Please go ahead.

Mukesh Saraf: Firstly, sir on the powertrain segment could you just remind us of the revenue mix there sir, how do we probably this quarter or the first half between CVs, tractors, construction equipment, et cetera.

Srinivasan Ravi: Yes. I will talk for H1 that maybe better, will give a better number instead of having that. 385 crore for commercial vehicle, off high way is 150, Farm sector 125 and Passenger vehicle is 66.

Mukesh Saraf: Right, thank you so much. And secondly, the power cost in Tamil Nadu have gone up so, given that we are basically power intensive, how is that expected to impact us or how much it has already impacted this quarter because we do have .

Srinivasan Ravi: Maybe we can read out the power cost as a company, we will not be able to give it in for Tamil Nadu.

Mukesh Saraf: No, at the company level.

Srinivasan Ravi: 60% of the power we consume is in, more than 60% is in Tamil Nadu you are right 40% is rest of India. We will dig out in some time, you can ask next question meanwhile.

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Mukesh Saraf: And even if the number is not readily available, just want to understand the impact of this heightened power tariff in Tamil Nadu. So, is there an impact or are we having a mitigation efforts such as sourcing, renewable, etc., so anything like that?

Srinivasan Ravi: Sourcing and renewable, we are weighing the options, yes, we are thinking whether to go for captive or whether to go for third party because the wheeling charges and other cross subsidy everything all put together. It is becoming uneconomical and governments are changing policies regarding cross subsidy. So, it m

ight not be

viable for us to take a long-term contract with any of the service providers and getting into this third party power purchase agreements for the future might not be viable because carbon credit we will not get it and maybe getting valuable also in the future. So, power and fuel when compared to the whole of last financial year where we were as a company level we were at 112 crores, we are at 70 crore for this first half of this year. So, efficiencies of scale pro rata we are still keeping almost the same percentage if you look at.

Mukesh Saraf: Got it. And just lastly sir in the past you have mentioned about, the EV segments within two wheelers, for the aluminum business that we have. You had mentioned about kind of looking at that and probably looking to enter that segment. So, how are we placed there given that a lot of the OEMs are finding capacities, such as TVS for example. So, how are we looking at the aluminium business for EV two wheelers?

Srinivasan Ravi: Early this year we got orders from new startup for EVs, we got orders yes some are under parts under development, some are already in trial production now, but overall the numbers are a little not very appealing for financial results. So, is the long way off for a minimum economic scale of this business to be fruitful as a company. So, whatever revenue we have seen this 190 odd crore in Q2 on aluminium business doesn't carry any EV portion of it. So, we have factored in EV sales only next year even though we are going to start from Q3 onwards.

Mukesh Saraf: Okay. So, we are not aggressively looking to expand into that segment, because you have made in the past as well as to how volumes might not.

Srinivasan Ravi: I would say that we are aggressive to take critical parts, we don't want to take simple parts on a commodity pricing, and plus at automotive pricing we need automotive numbers, volumes. And if it is the volumes are getting split up with 10 to 20 players, and at the same automotive price we stand to lose. So, we have to pick out the winners, we have to pick out the volumes, we have to get the pricing

also right, which may be much higher than the, which we need to be, it needs to be higher because of the lower volumes. So, there is a challenge there, so we don't want it to get a big development cycle, we are developing a lot of EV parts but all

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parts put together looking at the volume, it doesn't change the top line too much. So, we are very careful about how much focus we are giving into the current state. And models also are evolving because these models have been designed in a way in the beginning and now when it comes to cost many models are getting redesigned for a cost effectiveness by the startups. The mature companies will do very good design in the start with itself. You can see the cautious approach, which I really appreciate and the market will mature in the coming years.

Moderator: Thank you. We have our next question from the line of Yash Agarwal from IIFL Securities. Please go ahead.

Yash Agarwal: Just a couple of questions for FY23, we factor in a tax rate of 35% on account of the MAT implication so from the next financial year, I assume that we fall back into the 25%, 26% bracket. Am I correct on that?

Srinivasan Ravi: You are correct, you are absolutely correct still we are having some MAT even post Q2. But in Q3, we made a change our situation or we may take a change in Q4 to write-off the MAT credit which will have no impact on the P&L, but we may go to a new tax structure. So, we are weighing the cash outflow versus the total benefit what we have. Today all pointers are that but we are likely to move to the new tax structure in the current financial year itself.

Yash Agarwal: Okay, got it. Secondly, on your guidance of 20% revenue growth in FY24, is it on a value added basis or a reported revenue basis?

Srinivasan Ravi: Yes, I would always

say 20% on a value-added basis because topline can be different with the product mix what we have and the commodity prices. I've been always advocating the value add personally.

Moderator: Thank you. We have our next question from the line of Chetan Gindodia from AlfAccurate. Please go ahead.

Chetan Gindodia: Sir, with respect to aluminium segment. So, while the aluminium price was going up, consistently during last one and half years, we were impacted in terms of taking hit on the margins but now that the aluminium prices coming down. So, we had assumed that we would be benefiting at least for some period in terms of margin expansion, because there's generally a lag in passing on to the customer. But we are seeing exactly the opposite so, we hope we have been impacted both on the rising commodity, on the falling commodity also. So, can you explain a bit on this?

Srinivasan Ravi: Thanks for this question, this needs to be explained thoroughly before we, I'll clarify this. Last financial year, I would say it was with some of the customers on a trailing quarter, the trailing quarter aluminium prices were applied on the next quarter. So,

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when the price were continuously increasing, we were getting a lower selling price when compared to what we're buying. So, we managed to and also the customers then entire market change to a real time pricing that is the average of the current quarter or the monthly quarterly or monthly correction, on pricing both are the same, fundamentally both are the same. So, that is the real time situation where we do not have big changes for a long time. Suppose the prices have gone down in this quarter whatever inventory we're carrying only is having affected, not having a residual effect going into the next quarter totally. But this average is a big problem totally overall. So, the aluminum prices are at a level which it was three years ago or two and a half years ago, now it is going to increase we made get some little benefit in one quarter maybe it is very partial benefit which will again like this we may have some positive aberration then a negative aberration, but last time it was to give a number, I'll add a number to it from Rs.180 a kilo the alloy price went up all the way to Rs.285 within a year's time and every quarter we face the music.

Chetan Gindodia: Got it sir. Sir, secondly with respect to our aluminium segment so now that two wheeler contribution in the mix is declined to 68% and now lot is increasing to 15. So, what would be the difference in margin that we earn on two-wheeler versus the non-two-wheeler side?

Srinivasan Ravi: It is a mixed bag it be different from product to product and there a lot of synergy is there between there are the gravity casting, low pressure die casting parts, in all the three segments in the industrial aluminium business, in the passenger vehicle,

commercial vehicle as well as in the two-wheeler business. So, we have a common audits and we are managing, but calculation wise it is showing the same, predominantly the high-pressure die casting is being used for a two-wheeler and a very little of gravity and low-pressure die casting, but the margins are more or less same.

Chetan Gindodia: And lastly the 70 crore CAPEX that we are planning to commission for the new order on the aluminum side. So, can you shed some light on what is the nature of the customer or the segment is it a two wheeler or an export order, domestic any kind of details if you can share?

Srinivasan Ravi: No sorry, I cannot share that, but because we had done some CAPEX in the previous years which we have now diverted for this particular customer order, the additional CAPEX what we're doing is only 70 crore, we are not saying 70 crore is the CAPEX, we are using the current building we are diverted many things from various other projects and we have done it apart from the new CAPEX whatever we have planned, so I would

Id not like to share competitive information in a general platform. Sorry, I have to abstain myself here.

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Moderator: Thank you. We have our next question from the line of Pranay Roop Chatterjee from BCMPL. Please go ahead.

Pranay Roop Chatterjee: Firstly, I will just go segment wise one question for each segment. In powertrain, it was not entirely clear in the first part, the reason for a Q-on-Q drop in margins. So, one reason could be that let me correct me if I'm wrong, that the tractors have actually gone down in the mix versus other, the tractor is supposed to be high in machining so that could be one of the reasons, but you actually mentioned couple of other reasons, some charges and you mentioned commodity prices were at a higher level. So, given commodity prices have decreased Q-o-Q steel especially, and aluminum, how would you break down this Q-on-Q drop in powertrain and should we expect it to come back to normal in the next one or two quarters?

Srinivasan Ravi: There has not been any dramatic change in the value addition between Q1 and Q2, the value addition has been 223 going up to 232 practically it is only nine crore has been increase in the total value addition in the auto powertrain. There has been of course inflation all over whether it is salary, power or whatever maybe plus on certain segment of the business, where we had little more profitable sunken capacity which is available, the capacity utilization was slow because the farm sector went down, some of the plants were suboptimal utilization. So, it had impacted a little but overall the EBIT margins we are maintained, waiting from the drop from say 95 crore to 93 crore. So, overall it is not any significant drop come in compared to inflation which is three months apart, where we had implemented also the salary increases for our employees.

Pranay Roop Chatterjee: Got it, okay. Next is trying to understand something on the aluminium segment. So, how I track this is basically I see how much the average aluminum price has moved Q-on-Q, then I see your overall revenue Q-on-Q and then I see your value addition Q-o-Q. And usually it is additive in nature but what I've seen this quarter is that aluminum prices LME average prices have actually gone down.

Srinivasan Ravi: We were billing at a lower price, because the price drop we are billing at a lower price to customer that is the reason for the depression in value addition in aluminum.

Pranay Roop Chatterjee: No, so that is not my question. My question is that the overall revenue has gone up by double digit percentage despite the value addition and aluminum prices Q-o-Q dropping so, which would imply as the non-value-added portion, products and increase in the mix is that a correct understanding?

Srinivasan Ravi: Non value-added products means, what do you mean by non-value added products?

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Pranay Roop Chatterjee: Okay. So, just to simplify again, the aluminum price quarter-on-quarter has dropped. So, part of your portfolio is where you directly pass on the aluminum price.

So, that portion the top line should have dropped. Then the other portion is the value added portion which is also Q-on-Q there is a slight drop from 71 crore last quarter to 68 crore in this quarter. So, but overall on the revenue we see that there is a double digit growth quarter-on-quarter so I'm just trying to tie how it is working out.

Srinivasan Ravi: The revenue quarter-on-quarter is grown by 10% totally, it should have grown by 20% if the remaining prices had been stable that is exponential.

Pranay Roop Chatterjee: Okay, got it. Just quickly on the margin, aluminium margin so you mentioned that your inventory hit was the reason that is well understood. My question is, if the inventory hit had not happened whether the alumina price would have been same, given the product mix this quarter, would the margin still have come at around 11%, 12% a

nd should we expect it to go back to 11%, 12% in the next few quarters or would there still be a pressure on margins because of prices?

Srinivasan Ravi: Thanks for the question. Now, on the aluminum products as I mentioned their top line revenue was moved from 171 to 196, if the aluminum prices had not dropped this 196 would have been approximately 205, the 205 would have resulted in another 10 crore increase in value addition instead of 68 crore it would have been 78 crore, so that entire say around 10 crore would have flowed through the EBITDA level and that means the margin would have been normalized.

Pranay Roop Chatterjee: Got it okay. And the last question is on basically the Stellantis order. Again, it was not entirely clear at my end did you mention that the order around 40% to 50% would be booked in FY24 instead of the entire revenue being booked as was previously stated?

Srinivasan Ravi: Here I will take a little back step, now I stop talking about customers and names, these customer numbers do not add up, you could see that without Stellantis anything being here, we are talking 200 crore on the business quarter and we are continuing to grow. Putting a customer projection here their project delays or their product strategies or whatever is happening in Europe is impacting us. So, we will take it as it comes so now production is supposed to start next year yes, but how much it is starting, how much will be the sale I will not like to put a number to it now, but we can commit as a company that all aluminum business will grow by 20% next year compared to this year.

Pranay Roop Chatterjee: Got it, and if I could slip in one more on revenue for FY23 would you expect the second half to be materially stronger than the first half?

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Srinivasan Ravi: So, here it is for FY23 or FY24?

Pranay Roop Chatterjee: 23 this year?

Srinivasan Ravi: The quarter three is always a challenge for inventory correction for customers, end of the year multinational companies within the country closing down their plants for two weeks plus also the automotive December production keeping it low for a year of manufacture reasons all that and the post festive season inventory correction. So, all put together we always see a challenge on Q3. It is difficult to even replicate the current Q2 and Q3, but compared to last year Q3, we will be far, far better off in this Q3 yes, Q4 if there is no further new headwinds coming in where we have international issues, the geopolitical issues also we are still facing a huge inflation of not only for the industries but for the common man, and this continues for more time, we may see some depressed retail off take, there may be some challenges but we are even factoring that in Q4 will be a good number because of our diverse portfolio one cylinder is not kicking in, not doing well we will do better on something else. So, we are still very confident about Q4, not about Q3.

Moderator: Thank you. We have our next question from the line of Jeetendra Khatri from Tata Mutual Fund. Please go ahead.

Jeetendra Khatri: Sir, my question was, how much of light weighting aluminum division provide in automotive. So, would there be a range which you can provide like a 15% to 20% or what is the range of light weighting?

Srinivasan Ravi: Light weighting, still it is not very effectively happening in India. So, we are yet to see any significant change there.

Jeetendra Khatri: Okay. So, is it that the aluminum division the product that is leaking is it that structurally it is always, it has always been made in aluminium or is it that the industry shifting to aluminum like the housing and all those things which you make in aluminum for automotive?

Srinivasan Ravi: Currently what we are doing is traditionally has been in aluminum always. So, we are not seeing the benefit of the industry moving into aluminum so far, which has to happen in the future, but still

it's not happened.

Jeetendra Khatri: Okay. Any reason that it has traditionally been in aluminium?

Srinivasan Ravi: It was more suitable for aluminium from the very beginning, even if it's a cost

performance or it is the strength and durability requirement and it is the near net shape requirement of the casting which is done on high pressure die casting. So, there was a big advantage of doing it aluminium which continues, but for the reason

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for light weighting with the new aluminum prices, there can be a shift which may happen but at the earlier last year it was around Rs.280 a kilo now, it has come to 180 so, that range approximately. So, we may again look at it, but also there requires a fundamental model design change or new platforms to come in on the vehicles to accommodate this new standards. Yes, safety standards, testing has been done so whenever a new platform comes only it is going to happen.

Jeetendra Khatri: Okay. And would you have any international benchmark in the automotive aluminum division like some European player or someone who you can anchor it.

Competitor or let say the guy who has been there for a very long time?

Srinivasan Ravi: You are talking about the size of the aluminum business or you are talking about.

Jeetendra Khatri: I am talking about any competition in the auto aluminum division, any major competitor or any major benchmark company which you might be following?

Srinivasan Ravi: Okay. We have three big companies in Japan, but I would put the names to you, one is Ryobi ,next is Hiroshima Die Casters , third is RHT. All of them are in the range of 1.3 to 1.5, \$1.7 billion in top line only in the aluminum business, they're quite fully integrated, some are with machining. And most of them are with the making the dies also. But in Europe, you know very well Linamar of Canada, Nematik of Mexico, there are a lot of companies in North America, as well as in Europe. They are dominating the space, including George Fisher has been acquired. Then we have Martin Ansel, we have Rain Metal, we have Euro Castings.

There are players for more than €1 billion to around €3 billion, there are around seven, eight players in Europe, either they are standalone in Europe, or maybe owned by companies from like Linamar of Canada or it may be Nematik of Mexico, this is a well-known fact, I'm really using the names because they are market leaders. And Magna is also very big name in North America. But all of them are more than a billion dollars that is very, very clear maybe 2 to \$3 billion or so.

Jeetendra Khatri: So, the scale is very big.

Srinivasan Ravi: Yes.

Moderator: Thank you. We have our next question from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Sir, I'm a bit new to the company so sorry, if my questions are a bit basic. I just got a bit confused when you were referring to 20% growth on value added and on reported terms. So, could you just help me figure that out our 20% growth we're talking about the revenue that we just did about 170 crores right or how does that would factor in?

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Srinivasan Ravi: We have been advocating in the past for that top line minus COGS is the value addition and that is the real work the company does otherwise it is a commodity price fluctuation which is either inflating the top line or depressing the top line accordingly which is not an apple to apples comparison, when you look on year-on-year with the sort of large movements in the commodity prices, which we have witnessed in the last two, three years. So, our margin comes from the work we do and that is we call it the top line minus the COGS, it is the value addition or some of the calculations, some of the way of denoting that is the gross profit totally. So, when we say growth, we say normally that growth in gross profit or growth in value addition.

Darshil Jhaveri: So, basically, we talkin

g about growth. Okay, thank you so much that helps me a

lot and other thing I just wanted to ask about our margin, we just said about aluminum and I've understood about that. So, now that 10% drop has come so going forward we will have similar margin that we had in previous quarters right.

Srinivasan Ravi: If the operating leverage remains the same, if the top line is getting depressed because of demand, then our overheads absorption will not be sufficient enough.

Moderator: Thank you. We have our next question from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh: Sir, I want to understand your view on the energy cost as currently its cycle loss.

So, how we are seeing the impact on our company overall,

Srinivasan Ravi: We are not an energy intensive usage company as a whole. If you look at the top

line for H1, the power and fuel has been 70 crore on a top line of 1447crore totally.

Jyoti Singh: Okay. So, we don't have any impact because of the increased energy cost in Europe?

Srinivasan Ravi: No, there is impact globally because of the energy cost of the fuel, which has increased and also in India power cost is also increasing. So, I mentioned that today on our top line it's around 5% so it may go up to 6%, 7% if there is a big there is an impact. It's an impact for everybody it is on public domain whatever is there, from state to state it varies on the power cost but at least the diesel or the gas or CNG or LPG gas also we use for melting. There has been it'll be different from state to state, there has been increase all over.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Srinivasan Ravi for closing comments. Over to you sir.

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Srinivasan Ravi: Thank you everybody for the active participation and also the detailed questions which also helps us to do some thinking again, that we on the right track, yes we are confident about the company and we have demonstrated that over the last six quarters we are a very versatile company. And we have withstood the different ups and downs in the industry, which has happened and still managed to grow we'll keep that spirit up going forward and thank you for all your support.

Moderator: On behalf of Craftsman Automation Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purposes)

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Craftsman Automation Limited

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22nd October, 2022

To

The Manager - Listing, The Manager - Listing,
BSE Limited, National Stock Exchange of India Limited,
Rotunda Building, Exchange Plaza,
Phiroze Jeejeebhoy Towers, Bandra Kurla Complex ,
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051
Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call on the Unaudited Financial Results for the quarter and half year ended 30th September, 2022.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our intimation and outcome letter dated 1st October, 2022 and 17th October, 2022, we are enclosing herewith the transcript of the earnings conference call organized on Monday, the 17th October, 2022 at 4.00 P.M. (IST) on the Unaudited Financial Results for the quarter and half year ended 30th September, 2022.

The transcript of the earnings conference call will be uploaded on the website of the Company at www.craftsmanautomation.com .

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
for CRAFTSMAN AUTOMATION LIMITED

Shainshad Aduvanni
Company Secretary and Compliance Officer

Encl: As above

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CRAFTSMAN AUTOMATION LIMITED

Q2 FY 22-23 Earnings Conference Call

17th October, 2022

Moderator: Ladies and gentlemen, good day and welcome to Q2 FY23 Conference Call of Craftsman Automation Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Srinivasan Ravi – Chairman and Managing Director of Craftsman Automation Limited. Thank you and over to you sir.

Srinivasan Ravi: Good afternoon ladies and gentlemen, thank you very much for joining this Earnings Call. It gives me a lot of pleasure to address you again after one quarter. We have had a decent performance in Q2 in spite of the large headwinds we had regarding the war as well as the recession in Europe and US. We have as a company performed reasonably well because our broad based strategy about and a good product mix and a reasonable execution. I'll just run you through the headlines and the highlights of this quarter and leave more time for the Q&A. We have clocked a sales of 1447 crore vis-à-vis 1000 crore on H1 last year, PBT 180 crore, comparable which is 62% higher than last year H1, PAT of 116 crore which is 61% higher, EBITDA of 337 crore which is 31% higher than H1 of last year. I will just run you through the financial ratios, debt equity has improved to 0.58, debt to EBITDA is 1.08, EBITDA margins is slightly reduced from 24 to 23. EBIT has increased from 15 to 16. PBT has improved from 11 to 12, and comparing with the last financial year, PAT has improved from 7% to 8% now, current ratio is 1.16, return on capital employed pre-tax analyzed for H1 is 24%, for last year it was 20%. ROE analyzed is 20%, for last year it was 15%. So, I will also give the headline numbers for the segment wise revenue. Auto powertrain has clocked a revenue of 726 crore vis-à-vis 524 crore over H1 last year. Aluminium products 368 over 242 last year, last H1. Industry engineer

ing

353, comparable H1 for last year was 234. The EBIT margins have shown some fluctuations but I will explain that later. Auto powertrain the EBIT has been 188 comparable H1 was 148 last year, aluminum products 35 crore EBIT comparable 19 crore last year. Industrial engineering, 35 crore H1 last year was 6 crore. So, overall our EBIT is 229 for H1 comparable to H1 of last year was 151. With this, I will leave the floor open to questions-and-answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Joseph George from IIFL. Please go ahead.

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Joseph George: So, you mentioned in your opening remarks about the fluctuations in the EBIT margin if you can spend a couple of minutes explaining the fall in EBIT margin in both the powertrain and the aluminium segment, that is the first question. And the second question is, your guidance of CAPEX for the full year because if I recall correctly in the 4Q call of last year and the 1Q call of this year, you had indicated a number of about 225 or so, whereas the first half itself, the company has clocked a CAPEX of about 170. So, what is the renewed guidance for the full year these are the two questions. Thank you.

Srinivasan Ravi: Thank you Joseph. Regarding the EBIT margins, on the auto powertrain we have grown but it was slightly disproportional growth on the material business and the other machining charges business. So, there is a small margin drop which is optical. In aluminium business on Q2, we had a sequential month-on-month drop in the raw material prices and normally we carry an inventory of 8 to 10 weeks, 12 weeks with the raw material in process put together. So, we had to take a hit on the raw material a little and so that increase the cost and that depress the EBIT margins. But overall overhead absorption has been very good on the industry engineering business plus also the steel price has been more stable, the bulk of the revenue which the growth has also come from the storage solutions. So, we have seen margin expansion on the industry engineering. So, it has been a mixed bag, overall as a company we are in line with the margins whatever we had in the previous quarters.

Coming to the CAPEX, last year we grew by 40% and now the growth also it is almost more than 40%. So, we had to do some little capacity balancing CAPEX and we are guided yes 225 crore, 250 crores in the region for the CAPEX, we have already done 150 crore. In April this year we received quite a sizable order for aluminium business which we didn't expect to be done in this particular financial year. But customer needs the production to start in this financial year itself at the end of Q4. So, we had an additional CAPEX of 70 crore which is underway. So, we are trying to control the CAPEX in spite of the unplanned CAPEX of 75 crore to 275 crores. So, we will be around to 275 crore this year. This CAPEX will be vindicated by the situation that we had two years 40% the CAGR growth year-on-year. And we will leave some headroom for further growth if it happens in Q4.

Joseph George: Understood sir, thank you. Just one follow up, so this year if you are bidding 275 should we look at lower CAPEX next year?

Srinivasan Ravi: No, as it is the plan is around the same level only, provided we have guided the

market for 120% CAGR. So, in spite of the 40% what we are clocking now, we are hoping to clock 20% next year totally, but the base has become absolutely high, because we will be very close to around 2900 crore this year and then we are

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looking at more than 20% growth, then we need to understand that there will be some CAPEX, but if we grow at 20% we will be still continuing the CAPEX in the region of 250 crores. And, I want to also remind that the our depreciation is hovering around the 210 to 220 crore this region. So, the net block will not be inc

reasing or

the capital employed also will not be increasing, even the working capital we have, in spite of the top line growth we are able to manage the working capital situation so, overall debt also is under control.

Moderator: Thank you. We have our next question from the line of Abhishek Jain from Dolat Capital. Please go ahead.

Abhishek Jain: Sir, can you give value addition figure of each segment in Q2?

Srinivasan Ravi: Yes, I will give it. For Q2 of this year value addition for auto powertrain is 232 crore, aluminium product 68, industry engineering is 76.

Abhishek Jain: Okay. Sir, in the powertrain business more customers are now asking to buy material this time. So, floor machining or value addition will go down in the coming quarter. So, this will impact your margin going ahead?

Srinivasan Ravi: No, this will not impact margin going ahead. There are products which are casting intensive there are certain products which are missioning intensive, cylinder blocks fully finished are missioning intensive. So, there I don't think there is any change there but the tractor segment where the structural parts, the casting to missioning prices are totally, very much skewed. So, there it may change, but overall our value addition as a segment of the business has increased quarter-on-quarter also, but it is not equal so that's what I wanted to mention.

Abhishek Jain: And sir first half captive production was strong but going ahead it will be muted in the second half. So, how do we see the impact on the price rise business margin, will it be continued to be at lower side?

Srinivasan Ravi: It is already muted in Q2 because we are impacted a little earlier than the numbers which has actually sold in retail or by the OEMs. So, even in Q2 itself we are highly impacted on the tractor I don't see that number dropping very much in Q3, it is already at a very low level in Q2.

Abhishek Jain: Okay. Sir, couple of questions from the aluminium casting side, in aluminium business now margin has gone down too despite a strong growth in the top line, as you mentioned that this is because of the old inventory. So, going ahead what sort of the margin do you see and what would be the growth driver for the margin?

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Srinivasan Ravi: I would clarify that inventory, inventory is not old inventory for any company to work we need 8 weeks to 10 weeks inventory, because of the different product segments and two different locations for the manufacturing plus also WIP is there, some finished goods per customers will be there. So, we are around between around eight weeks it may be plus or minus depending on the particular quarter inventory is there. So, the pricing now the mechanism is more straightforward where it is fair to customer as far as the supplier it is moving very smoothly. So, it is not a delayed impact that when the price goes down, we get a benefit in the current quarter because, we are billing at a higher rate and next quarter it will be down, no it's not like that, it is happening more in the live situation. So, we had reduced the selling price to our customer in line with the market price drop in aluminium which has dropped by around a 10% approximately in the retail we look at the LME prices or the product prices, input raw material prices they have dropped by 10%. So, that impact slowly has affected us on the COGS a little. So, it looks a little optically that we have not performed but as a company, as a division, it is going in the same line as Q1.

Abhishek Jain: So, now in aluminium casting business 80% revenue comes from the two wheeler only, which is only casting products not a machining, as you will move into the more passenger vehicle and CVs your margin will see sharp expansion. So, just wanted to understand what is the current mix and how do you see the mix ahead in aluminium products?

Srinivasan Ravi: I wish to clarify 95% of our castings we machine i

t, whether it is two wheeler, four

wheeler, commercial vehicle or industry aluminium, 90% more than 95% is machined and the product segment today the two wheeler business as a segment has come down totally, two wheeler is approximately in the aluminium business is 68%, passenger vehicles is around very low up to 2%, commercial vehicle is around 9% and non-auto aluminum products is around 15%.

Abhishek Jain: So, despite the improvement in the mix, both the passenger vehicle, CVs and non-automotive parts, your margin has not expanded and going ahead you also looking for the good orders from the export side especially for the battery motor housing and all these things. So, what would be the margin visibility going ahead and the top line growth?

Srinivasan Ravi: The margin or the aluminum price we had to take an impact of 10%, because this is in a steep drop of aluminium prices, which if you look at the trend, it is quarter-on-quarter there's a drop of 10% because of we had to take the brunt, the margin looks depressed actually the margins have been in line with the Q1, the operational margins at least.

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Moderator: Thank you. We have our next question from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Jinesh Gandhi: Continuing on the aluminum business margins. So, what you are indicating is that, we had to give the 10% price reduction because of change in the aluminum pricing revenue, however we did not get the benefit in our actual shifting, that is the reason why margins are impacted?

Srinivasan Ravi: See the 10% is not on one single drop, it is month-on-month drop. So, overall we have been impacted around 5%, because of the pipeline inventory what we had.

So, the 5% is on the raw material means is around 4% on the top line totally.

Jinesh Gandhi: Okay. So, it's fairly the timing difference between when you realize the benefit versus when you're passed on the benefit to customers, because of its marginal impact?

Srinivasan Ravi: It is around 3% to 4% it has impacted on the top line.

Jinesh Gandhi: Got it, and secondly can you share the value add data for 2Q FY22 as well across three segments?

Srinivasan Ravi: Can you come again, you asked for the value addition for Q2 or H2, H1 I didn't understand?

Jinesh Gandhi: 2Q FY22, same quarter last year.

Srinivasan Ravi: Q2 FY22 okay. Value addition on Q2 FY22 on auto powertrain was 88 crore, aluminium products was 80 and industry engineering was 94.

Jinesh Gandhi: And this 24 crores is including or excluding aluminum industry segment?

Srinivasan Ravi: No, it is reclassified already see what happened Q2 FY22 to Q2 FY23 I will read the numbers in sequence. The FY22 auto powertrain was 88 and Q2 FY23 was 146, aluminum products Q2 FY22 was 80 crore, Q2 FY23 was 128, sorry I'm reading the wrong numbers. I am reading the COGS, I will read the value addition.

Q2 on the value addition portion for auto powertrain has been 204 crore and Q2 for this year is 232, aluminum products was 61 crore last year, this year Q2 has been 68 crore, Industrial engineering was 42 and this year it is 76.

Jinesh Gandhi: Got it. And would you be having storage solution revenue for this year and last year?

Srinivasan Ravi: Yes, we have. You want quarter-on-quarter or you would like to have H1 over H1?

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Jinesh Gandhi: 2Q FY23 versus 2Q FY22.

Srinivasan Ravi: Q2 in FY22, I will not have it. I will read H1 in last year and H1 this year. Storage solutions for FY22 as a whole was 253 and Q1 FY23 was 88 and Q2 FY23 was 111 and if you compare H1 and H2, H1 FY22 was 134 and this year H1 FY23 has been 199.

Jinesh Gandhi: Okay, got it. And are you increasing sales of automotive storage in this number or that is yet to see a material ramp up?

Srinivasan Ravi: Sorry, the line is not so clear or it is echoing, I'm not sure I'm not able to hear you.

Jinesh Gandhi: So, are we seei

ng increasing salience of automotive storage in this number?

Srinivasan Ravi: Automotive storage no. It is general storage solutions across all segments and new segments, it is not automotive storage, negligible percentage.

Jinesh Gandhi: Right. And lastly, would you comment on any new order wins in current quarter and till October have you seen any major new order wins in either powertrain or

aluminum side?

Srinivasan Ravi: So, we are getting a continuous inflow of new customers and new orders. At the same time, there is some attrition which is happening at the other end the older products are going out. So, overall net debt we are having traction for growth, the timeline for each of these projects are different and it is linked to certain sometimes it is emission, sometimes it is a new model launch it is also related to strategy. So, I don't want to talk about customers. Now, we have taken for the company when we are looking at 20% growth next year, we are more looking at a strategy that what is realistically going to come, we cannot add up all the numbers of the customer projections and projected to our investors that will be giving a wrong picture. There will be some failures from customer side or there may be some delay in projects. So, overall, the traction is good enough for the 20% growth.

Jinesh Gandhi: Okay. And the aluminum order which we got in April 22 for which we're putting up this CAPEX, how big would be the annual revenues from this order?

Srinivasan Ravi: We can expect for FY24 150 crore revenue. FY23 will be a transition period.

Jinesh Gandhi: Fair point, 150 crores on full year.

Srinivasan Ravi: FY25- 150 crore. FY24 will be ramp up period.

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Moderator: Thank you. We have our next question from the line of TS Vijay Sarthy from Anand Rathi. Please go ahead.

TS Vijay Sarthy: Sir just want to understand from you sir it's because of the with material with the margin sequentially has fallen, so just want to understand what kind of product that we actually source material and make it and then sell it out or is it within the cylinder block and cylinder head there is some customer specification and some clarity on that, because this we've experienced both in first quarter as well the second quarter, both on a Y-o-Y basis and sequential basis?

Srinivasan Ravi: This is related to only aluminium products, aluminium is the basic raw material we have to buy. So, where the price have dropped so, that has impacted all the aluminum products.

TS Vijay Sarthy: The powertrain division where there has been more less of machining and more of with material, just wanted to understand is there any different product category apart from cylinder and cylinder block

Srinivasan Ravi: No, we have a lot of parts, we have transmission parts, gearbox parts, we have other also structural parts are also there everything and also what you need to take into account is the commodity prices have gone up so that itself will depress the EBITDA numbers, so only the top line will go up.

TS Vijay Sarthy: Okay. So, this we have witness both in Q1 and Q2 on a Y-o-Y basis, does this situation continue even going forward?

Srinivasan Ravi: Yes, it will continue because commodity price has settled at a higher level.

TS Vijay Sarthy: Okay. And with respect to aluminium business, so this 125 crore that you said in FY25 this is over and above the peak revenue of 650 crores that you would reach based on your existing capacity am I right sir or this is include them?

Srinivasan Ravi: Already the run rate on the aluminum products as a whole we have clocked a 196-crore revenue in the last quarter. So, we are already at a run rate of around 800 crore.

Moderator: Thank you. We have our next question from the line of Sandeep Agarwal from Melody Investment. Please go ahead.

Sandeep Agarwal: Sir, what is our net debt and the cost of borrowing, what is the plan to reduce it?
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Srinivasan Ravi: The cost of borrowing is very, very competitively we are borrowing thanks to our lenders, bankers and also financial institutions. Whatever you call we look at its

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financial cost, this also the other as per IndAS standards the lease rentals what we are paying is classified as depreciation and financial cost as accounting standards, that is why the financial cost looks high and I would say 70% is actual financial cost, 30% is related to interest and depreciation classified in the IndAS. And the borrowings, we look at it sequentially quarter-on-quarter the borrowings is same.

Sandeep Agarwal: Okay. Sir just I want to say that if you share any presentation, with the presentation or such details so it will be more beneficial for us to understand and can be better.
Thank you.

Srinivasan Ravi: The borrowings are quite straightforward, there is a term borrowing and there is a short term borrowing. Overall, it is sometimes changing a little, but overall it is

around 720 crores now.

Moderator: Thank you. We have our next question from the line of Dhaval Shah from Girik Capital. Please go ahead.

Dhaval Shah: A couple of questions from my side. Sir, firstly if you can spend some time on this high end efficient products what sort of traction are you seeing, a lot goes to the capital goods industry. So, what traction do you see there, that's our first question.

Srinivasan Ravi: The traction is not picked up to the extent what we expected because of the current headwinds in the global economy, we would have seen it going better, but overall the current set of customers, current set of products everything is doing well, we are adding more product portfolio there also, there will be some time delay between that, the gestation period will be there before we can scale up so overall we are seeing good traction in the industry engineering segment. Overall inclusive of the precision sub-assemblies and products in the contract construction.

Dhaval Shah: So, almost everything are we exporting in this?

Srinivasan Ravi: Mostly we are exporting, yes.

Dhaval Shah: Okay. And if you would tell which would be your top three or top five products, the breakup of this 90-crore quarterly revenue it may help us better understand the number.

Srinivasan Ravi: Export per quarter is we are clocking around 40, 50 crores something like this, 40 crores on the industry engineering segment.

Dhaval Shah: Okay. So, 40 out of 90 is exports?

Srinivasan Ravi: Yes.

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Dhaval Shah: What are we exporting in that, what is the product in that 40 crores?

Srinivasan Ravi: We are exporting major to North America to Europe and to also Japan each of the customers are different, the end usage is different somebody is in wall manufacturing, some gearbox manufacturing, one is in oil and gas, the other is in printing, the other is cartoon box manufacturing. So, it is quite a diversified requirement as a contract manufacturers we are making products to their design and also we are making fully finished machines also tested here and we ship it to the end customer so it is too diverse.

Dhaval Shah: Okay. With the level of the engineering and the detail which we go into within our strength is that the same or it's a little low end working in this business?

Srinivasan Ravi: No, entry barrier is extremely high and where we are not having any competition here from the Indian market and our diverse engineering team and capability, design capability and our manufacturing infrastructure is required to do this sort of high-end assembly so we need to have the knowhow also. So, when we are making this equipment and shipping across the world, we don't have much competitors anywhere in the world.

Dhaval Shah: Okay. So, what visibility would you have over the next FY23 and 24, what should be the size of the business?

Srinivasan Ravi: Business has been steady it has not been grow

ing exponentially you could have

seen from our export revenue overall, we have not been adding customers aggressively there, but now I think there are some new chances of adding customers now but there will be a time gap between product development and to actual revenue. So, we may see a gap of one year.

Dhaval Shah: Okay and sir my question on the aluminium side. So, we had this order from Peugeot Motors. So, has they started product manufacturing this year and then ramp up in '24-25 so have we started going?

Srinivasan Ravi: It is, product development is going on time, infrastructure is getting set up, we will be giving samples in Q4, the customer requires four-five months for testing the product, the production will start by Q3 if not in Q2 of next financial year. And we will get 30%, 40% of the revenue, so you should be able to clock in the next financial year, subject to approval.

Dhaval Shah: Okay, because we are supposed to do some 50, 60 crore revenue in FY23 out of this order.

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Srinivasan Ravi: So, FY23 we were thinking that they will not go through the full product testing cycle, but the customer is cautious even though the product has been tested and it's coming from a different source, they want to go through that. So, they are asking for four to five months testing period. So, we cannot actually really do, we're ready.

We will be ready in Q4.

Dhaval Shah: So, now lastly, the entire demand. So, last question is that the demand destruction which we expect, in Europe so are we experiencing anything right now in, so you mentioned in your hike decision, there is a thought that, the momentum of order is not very high. But in the aluminium component and powertrain do you see the impact of this problem.

Srinivasan Ravi: I am sorry, maybe not sent the right message, when some of the segments are growing in H1 at 40%, in relative terms the export order is not growing at that level.

That's what I meant on the momentum side totally. So, the storage business is some carrying bulk of the momentum in the industry engineering business is what I wanted to mention. But we're growing even on the export side, we are growing.

Moderator: Thank you. We have our next question from the line of Mukesh Saraf from Spark Capital. Please go ahead.

Mukesh Saraf: Firstly, sir on the powertrain segment could you just remind us of the revenue mix there sir, how do we probably this quarter or the first half between CVs, tractors, construction equipment, et cetera.

Srinivasan Ravi: Yes. I will talk for H1 that maybe better, will give a better number instead of having that. 385 crore for commercial vehicle, off high way is 150, Farm sector 125 and Passenger vehicle is 66.

Mukesh Saraf: Right, thank you so much. And secondly, the power cost in Tamil Nadu have gone up so, given that we are basically power intensive, how is that expected to impact us or how much it has already impacted this quarter because we do have .

Srinivasan Ravi: Maybe we can read out the power cost as a company, we will not be able to give it in for Tamil Nadu.

Mukesh Saraf: No, at the company level.

Srinivasan Ravi: 60% of the power we consume is in, more than 60% is in Tamil Nadu you are right 40% is rest of India. We will dig out in some time, you can ask next question meanwhile.

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Mukesh Saraf: And even if the number is not readily available, just want to understand the impact of this heightened power tariff in Tamil Nadu. So, is there an impact or are we having a mitigation efforts such as sourcing, renewable, etc., so anything like that?

Srinivasan Ravi: Sourcing and renewable, we are weighing the options, yes, we are thinking whether to go for captive or whether to go for third party because the wheeling charges and other cross subsidy everything all put together. It is becoming uneconomical and governments are changing policies regarding cross subsidy. So, it m

ight not be

viable for us to take a long-term contract with any of the service providers and getting into this third party power purchase agreements for the future might not be viable because carbon credit we will not get it and maybe getting valuable also in the future. So, power and fuel when compared to the whole of last financial year where we were as a company level we were at 112 crores, we are at 70 crore for this first half of this year. So, efficiencies of scale pro rata we are still keeping almost the same percentage if you look at.

Mukesh Saraf: Got it. And just lastly sir in the past you have mentioned about, the EV segments within two wheelers, for the aluminum business that we have. You had mentioned about kind of looking at that and probably looking to enter that segment. So, how are we placed there given that a lot of the OEMs are finding capacities, such as TVS for example. So, how are we looking at the aluminium business for EV two wheelers?

Srinivasan Ravi: Early this year we got orders from new startup for EVs, we got orders yes some are under parts under development, some are already in trial production now, but overall the numbers are a little not very appealing for financial results. So, is the long way off for a minimum economic scale of this business to be fruitful as a company. So, whatever revenue we have seen this 190 odd crore in Q2 on aluminium business doesn't carry any EV portion of it. So, we have factored in EV sales only next year even though we are going to start from Q3 onwards.

Mukesh Saraf: Okay. So, we are not aggressively looking to expand into that segment, because you have made in the past as well as to how volumes might not.

Srinivasan Ravi: I would say that we are aggressive to take critical parts, we don't want to take simple parts on a commodity pricing, and plus at automotive pricing we need automotive numbers, volumes. And if it is the volumes are getting split up with 10 to 20 players, and at the same automotive price we stand to lose. So, we have to pick out the winners, we have to pick out the volumes, we have to get the pricing

also right, which may be much higher than the, which we need to be, it needs to be higher because of the lower volumes. So, there is a challenge there, so we don't want it to get a big development cycle, we are developing a lot of EV parts but all

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parts put together looking at the volume, it doesn't change the top line too much. So, we are very careful about how much focus we are giving into the current state. And models also are evolving because these models have been designed in a way in the beginning and now when it comes to cost many models are getting redesigned for a cost effectiveness by the startups. The mature companies will do very good design in the start with itself. You can see the cautious approach, which I really appreciate and the market will mature in the coming years.

Moderator: Thank you. We have our next question from the line of Yash Agarwal from IIFL Securities. Please go ahead.

Yash Agarwal: Just a couple of questions for FY23, we factor in a tax rate of 35% on account of the MAT implication so from the next financial year, I assume that we fall back into the 25%, 26% bracket. Am I correct on that?

Srinivasan Ravi: You are correct, you are absolutely correct still we are having some MAT even post Q2. But in Q3, we made a change our situation or we may take a change in Q4 to write-off the MAT credit which will have no impact on the P&L, but we may go to a new tax structure. So, we are weighing the cash outflow versus the total benefit what we have. Today all pointers are that but we are likely to move to the new tax structure in the current financial year itself.

Yash Agarwal: Okay, got it. Secondly, on your guidance of 20% revenue growth in FY24, is it on a value added basis or a reported revenue basis?

Srinivasan Ravi: Yes, I would always

say 20% on a value-added basis because topline can be different with the product mix what we have and the commodity prices. I've been always advocating the value add personally.

Moderator: Thank you. We have our next question from the line of Chetan Gindodia from AlfAccurate. Please go ahead.

Chetan Gindodia: Sir, with respect to aluminium segment. So, while the aluminium price was going up, consistently during last one and half years, we were impacted in terms of taking hit on the margins but now that the aluminium prices coming down. So, we had assumed that we would be benefiting at least for some period in terms of margin expansion, because there's generally a lag in passing on to the customer. But we are seeing exactly the opposite so, we hope we have been impacted both on the rising commodity, on the falling commodity also. So, can you explain a bit on this?

Srinivasan Ravi: Thanks for this question, this needs to be explained thoroughly before we, I'll clarify this. Last financial year, I would say it was with some of the customers on a trailing quarter, the trailing quarter aluminium prices were applied on the next quarter. So,

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when the price were continuously increasing, we were getting a lower selling price when compared to what we're buying. So, we managed to and also the customers then entire market change to a real time pricing that is the average of the current quarter or the monthly quarterly or monthly correction, on pricing both are the same, fundamentally both are the same. So, that is the real time situation where we do not have big changes for a long time. Suppose the prices have gone down in this quarter whatever inventory we're carrying only is having affected, not having a residual effect going into the next quarter totally. But this average is a big problem totally overall. So, the aluminum prices are at a level which it was three years ago or two and a half years ago, now it is going to increase we made get some little benefit in one quarter maybe it is very partial benefit which will again like this we may have some positive aberration then a negative aberration, but last time it was to give a number, I'll add a number to it from Rs.180 a kilo the alloy price went up all the way to Rs.285 within a year's time and every quarter we face the music.

Chetan Gindodia: Got it sir. Sir, secondly with respect to our aluminium segment so now that two wheeler contribution in the mix is declined to 68% and now lot is increasing to 15. So, what would be the difference in margin that we earn on two-wheeler versus the non-two-wheeler side?

Srinivasan Ravi: It is a mixed bag it be different from product to product and there a lot of synergy is there between there are the gravity casting, low pressure die casting parts, in all the three segments in the industrial aluminium business, in the passenger vehicle,

commercial vehicle as well as in the two-wheeler business. So, we have a common audits and we are managing, but calculation wise it is showing the same, predominantly the high-pressure die casting is being used for a two-wheeler and a very little of gravity and low-pressure die casting, but the margins are more or less same.

Chetan Gindodia: And lastly the 70 crore CAPEX that we are planning to commission for the new order on the aluminum side. So, can you shed some light on what is the nature of the customer or the segment is it a two wheeler or an export order, domestic any kind of details if you can share?

Srinivasan Ravi: No sorry, I cannot share that, but because we had done some CAPEX in the previous years which we have now diverted for this particular customer order, the additional CAPEX what we're doing is only 70 crore, we are not saying 70 crore is the CAPEX, we are using the current building we are diverted many things from various other projects and we have done it apart from the new CAPEX whatever we have planned, so I would

Id not like to share competitive information in a general platform. Sorry, I have to abstain myself here.

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Moderator: Thank you. We have our next question from the line of Pranay Roop Chatterjee from BCMPL. Please go ahead.

Pranay Roop Chatterjee: Firstly, I will just go segment wise one question for each segment. In powertrain, it was not entirely clear in the first part, the reason for a Q-on-Q drop in margins. So, one reason could be that let me correct me if I'm wrong, that the tractors have actually gone down in the mix versus other, the tractor is supposed to be high in machining so that could be one of the reasons, but you actually mentioned couple of other reasons, some charges and you mentioned commodity prices were at a higher level. So, given commodity prices have decreased Q-o-Q steel especially, and aluminum, how would you break down this Q-on-Q drop in powertrain and should we expect it to come back to normal in the next one or two quarters?

Srinivasan Ravi: There has not been any dramatic change in the value addition between Q1 and Q2, the value addition has been 223 going up to 232 practically it is only nine crore has been increase in the total value addition in the auto powertrain. There has been of course inflation all over whether it is salary, power or whatever maybe plus on certain segment of the business, where we had little more profitable sunken capacity which is available, the capacity utilization was slow because the farm sector went down, some of the plants were suboptimal utilization. So, it had impacted a little but overall the EBIT margins we are maintained, waiting from the drop from say 95 crore to 93 crore. So, overall it is not any significant drop come in compared to inflation which is three months apart, where we had implemented also the salary increases for our employees.

Pranay Roop Chatterjee: Got it, okay. Next is trying to understand something on the aluminium segment. So, how I track this is basically I see how much the average aluminum price has moved Q-on-Q, then I see your overall revenue Q-on-Q and then I see your value addition Q-o-Q. And usually it is additive in nature but what I've seen this quarter is that aluminum prices LME average prices have actually gone down.

Srinivasan Ravi: We were billing at a lower price, because the price drop we are billing at a lower price to customer that is the reason for the depression in value addition in aluminum.

Pranay Roop Chatterjee: No, so that is not my question. My question is that the overall revenue has gone up by double digit percentage despite the value addition and aluminum prices Q-o-Q dropping so, which would imply as the non-value-added portion, products and increase in the mix is that a correct understanding?

Srinivasan Ravi: Non value-added products means, what do you mean by non-value added products?

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Pranay Roop Chatterjee: Okay. So, just to simplify again, the aluminum price quarter-on-quarter has dropped. So, part of your portfolio is where you directly pass on the aluminum price.

So, that portion the top line should have dropped. Then the other portion is the value added portion which is also Q-on-Q there is a slight drop from 71 crore last quarter to 68 crore in this quarter. So, but overall on the revenue we see that there is a double digit growth quarter-on-quarter so I'm just trying to tie how it is working out.

Srinivasan Ravi: The revenue quarter-on-quarter is grown by 10% totally, it should have grown by 20% if the remaining prices had been stable that is exponential.

Pranay Roop Chatterjee: Okay, got it. Just quickly on the margin, aluminium margin so you mentioned that your inventory hit was the reason that is well understood. My question is, if the inventory hit had not happened whether the alumina price would have been same, given the product mix this quarter, would the margin still have come at around 11%, 12% a

nd should we expect it to go back to 11%, 12% in the next few quarters or would there still be a pressure on margins because of prices?

Srinivasan Ravi: Thanks for the question. Now, on the aluminum products as I mentioned their top line revenue was moved from 171 to 196, if the aluminum prices had not dropped this 196 would have been approximately 205, the 205 would have resulted in another 10 crore increase in value addition instead of 68 crore it would have been 78 crore, so that entire say around 10 crore would have flowed through the EBITDA level and that means the margin would have been normalized.

Pranay Roop Chatterjee: Got it okay. And the last question is on basically the Stellantis order. Again, it was not entirely clear at my end did you mention that the order around 40% to 50% would be booked in FY24 instead of the entire revenue being booked as was previously stated?

Srinivasan Ravi: Here I will take a little back step, now I stop talking about customers and names, these customer numbers do not add up, you could see that without Stellantis anything being here, we are talking 200 crore on the business quarter and we are continuing to grow. Putting a customer projection here their project delays or their product strategies or whatever is happening in Europe is impacting us. So, we will take it as it comes so now production is supposed to start next year yes, but how much it is starting, how much will be the sale I will not like to put a number to it now, but we can commit as a company that all aluminum business will grow by 20% next year compared to this year.

Pranay Roop Chatterjee: Got it, and if I could slip in one more on revenue for FY23 would you expect the second half to be materially stronger than the first half?

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Srinivasan Ravi: So, here it is for FY23 or FY24?

Pranay Roop Chatterjee: 23 this year?

Srinivasan Ravi: The quarter three is always a challenge for inventory correction for customers, end of the year multinational companies within the country closing down their plants for two weeks plus also the automotive December production keeping it low for a year of manufacture reasons all that and the post festive season inventory correction. So, all put together we always see a challenge on Q3. It is difficult to even replicate the current Q2 and Q3, but compared to last year Q3, we will be far, far better off in this Q3 yes, Q4 if there is no further new headwinds coming in where we have international issues, the geopolitical issues also we are still facing a huge inflation of not only for the industries but for the common man, and this continues for more time, we may see some depressed retail off take, there may be some challenges but we are even factoring that in Q4 will be a good number because of our diverse portfolio one cylinder is not kicking in, not doing well we will do better on something else. So, we are still very confident about Q4, not about Q3.

Moderator: Thank you. We have our next question from the line of Jeetendra Khatri from Tata Mutual Fund. Please go ahead.

Jeetendra Khatri: Sir, my question was, how much of light weighting aluminum division provide in automotive. So, would there be a range which you can provide like a 15% to 20% or what is the range of light weighting?

Srinivasan Ravi: Light weighting, still it is not very effectively happening in India. So, we are yet to see any significant change there.

Jeetendra Khatri: Okay. So, is it that the aluminum division the product that is leaking is it that structurally it is always, it has always been made in aluminium or is it that the industry shifting to aluminum like the housing and all those things which you make in aluminum for automotive?

Srinivasan Ravi: Currently what we are doing is traditionally has been in aluminum always. So, we are not seeing the benefit of the industry moving into aluminum so far, which has to happen in the future, but still

it's not happened.

Jeetendra Khatri: Okay. Any reason that it has traditionally been in aluminium?

Srinivasan Ravi: It was more suitable for aluminium from the very beginning, even if it's a cost

performance or it is the strength and durability requirement and it is the near net shape requirement of the casting which is done on high pressure die casting. So, there was a big advantage of doing it aluminium which continues, but for the reason

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for light weighting with the new aluminum prices, there can be a shift which may happen but at the earlier last year it was around Rs.280 a kilo now, it has come to 180 so, that range approximately. So, we may again look at it, but also there requires a fundamental model design change or new platforms to come in on the vehicles to accommodate this new standards. Yes, safety standards, testing has been done so whenever a new platform comes only it is going to happen.

Jeetendra Khatri: Okay. And would you have any international benchmark in the automotive aluminum division like some European player or someone who you can anchor it.

Competitor or let say the guy who has been there for a very long time?

Srinivasan Ravi: You are talking about the size of the aluminum business or you are talking about.

Jeetendra Khatri: I am talking about any competition in the auto aluminum division, any major competitor or any major benchmark company which you might be following?

Srinivasan Ravi: Okay. We have three big companies in Japan, but I would put the names to you, one is Ryobi ,next is Hiroshima Die Casters , third is RHT. All of them are in the range of 1.3 to 1.5, \$1.7 billion in top line only in the aluminum business, they're quite fully integrated, some are with machining. And most of them are with the making the dies also. But in Europe, you know very well Linamar of Canada, Nemak of Mexico, there are a lot of companies in North America, as well as in Europe. They are dominating the space, including George Fisher has been acquired. Then we have Martin Ansel, we have Rain Metal, we have Euro Castings.

There are players for more than €1 billion to around €3 billion, there are around seven, eight players in Europe, either they are standalone in Europe, or maybe owned by companies from like Linamar of Canada or it may be Nemak of Mexico, this is a well-known fact, I'm really using the names because they are market leaders. And Magna is also very big name in North America. But all of them are more than a billion dollars that is very, very clear maybe 2 to \$3 billion or so.

Jeetendra Khatri: So, the scale is very big.

Srinivasan Ravi: Yes.

Moderator: Thank you. We have our next question from the line of Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Sir, I'm a bit new to the company so sorry, if my questions are a bit basic. I just got a bit confused when you were referring to 20% growth on value added and on reported terms. So, could you just help me figure that out our 20% growth we're talking about the revenue that we just did about 170 crores right or how does that would factor in?

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Srinivasan Ravi: We have been advocating in the past for that top line minus COGS is the value addition and that is the real work the company does otherwise it is a commodity price fluctuation which is either inflating the top line or depressing the top line accordingly which is not an apple to apples comparison, when you look on year-on-year with the sort of large movements in the commodity prices, which we have witnessed in the last two, three years. So, our margin comes from the work we do and that is we call it the top line minus the COGS, it is the value addition or some of the calculations, some of the way of denoting that is the gross profit totally. So, when we say growth, we say normally that growth in gross profit or growth in value addition.

Darshil Jhaveri: So, basically, we talkin

g about growth. Okay, thank you so much that helps me a

lot and other thing I just wanted to ask about our margin, we just said about aluminum and I've understood about that. So, now that 10% drop has come so going forward we will have similar margin that we had in previous quarters right.

Srinivasan Ravi: If the operating leverage remains the same, if the top line is getting depressed because of demand, then our overheads absorption will not be sufficient enough.

Moderator: Thank you. We have our next question from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh: Sir, I want to understand your view on the energy cost as currently its cycle loss.

So, how we are seeing the impact on our company overall,

Srinivasan Ravi: We are not an energy intensive usage company as a whole. If you look at the top

line for H1, the power and fuel has been 70 crore on a top line of 1447crore totally.

Jyoti Singh: Okay. So, we don't have any impact because of the increased energy cost in Europe?

Srinivasan Ravi: No, there is impact globally because of the energy cost of the fuel, which has increased and also in India power cost is also increasing. So, I mentioned that today on our top line it's around 5% so it may go up to 6%, 7% if there is a big there is an impact. It's an impact for everybody it is on public domain whatever is there, from state to state it varies on the power cost but at least the diesel or the gas or CNG or LPG gas also we use for melting. There has been it'll be different from state to state, there has been increase all over.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Srinivasan Ravi for closing comments. Over to you sir.

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Srinivasan Ravi: Thank you everybody for the active participation and also the detailed questions which also helps us to do some thinking again, that we on the right track, yes we are confident about the company and we have demonstrated that over the last six quarters we are a very versatile company. And we have withstood the different ups and downs in the industry, which has happened and still managed to grow we'll keep that spirit up going forward and thank you for all your support.

Moderator: On behalf of Craftsman Automation Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purposes)

Call: Jan 2023

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31st January, 2023

To

The Manager - Listing, The Manager - Listing,
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Phiroze Jeejeebhoy Towers, Bandra Kurla Complex ,
Dalal Street, Bandra (East), Mumbai - 400 001 Mumbai - 400 051
Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call on the Unaudited Financial Results for the quarter and nine months ended 31st December, 2022.

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our intimation and outcome letter dated 3rd January, 2023 and 23rd January, 2023, we are enclosing herewith the transcript of the earnings conference call organized on Monday, the 23rd January, 2023 at 4.00 P.M. (IST) on the Unaudited Financial Results for the quarter and nine months ended 31st December, 2022.

The transcript of the earnings conference call will be uploaded on the website of the Company at www.craftsmanautomation.com.

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
for CRAFTSMAN AUTOMATION LIMITED

Shainshad Aduvanni
Company Secretary and Compliance Officer
Encl: As above

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CRAFTSMAN AUTOMATION LIMITED
Q3 FY 22-23 Earnings Conference Call
23st January, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY '23 Conference Call of Craftsman Automation Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Ravi, Chairman and Managing Director of Craftsman Automation Limited. Thank you and over to you, sir.

Srinivasan Ravi: Good afternoon, everybody and thank you very much for joining this earnings call.

I'll just give a brief introduction on the last quarter performance. The Q3 volumes on the powertrain were good, on the aluminum segment were poor. And because of that, I think we have seen overall growth, but not so much, not a good quarter for the aluminum business. The demand for automotive, automobiles, has been quite stable. And I just want to give a comparison nine-month figure on year-to-year.

The turnover was INR 2,195 crores, vis-à-vis last year, full year we did INR 2,206 crore. And nine months PBT is INR 259 crore, which is more than last year's full year PBT. Nine months PAT has been INR 167 crores which is higher than the INR 160 crores PAT of the full year. EBITDA for the nine months has been INR 499 crore.

It is slightly lower than the full year figure of INR 537 crores but much higher than the INR 380 crores for the corresponding last period for the nine months. Capex is at INR 249 crores, mainly the maintenance capex and technological improvement. And all the key financial parameters improved overall, while we consider the DR acquisition, borrowing separately. If it is added to that and then we look at the correct numbers, I would say.

Debt-to-equity is 0.82. Debt-to-EBITDA is 1.6, but if you are removing the acquisition finance, the debt-to-EBITDA will

be also around 1.3. EBITDA margin is

23% overall, for the nine months period. Last year, full year, it was 24%. EBIT margin has been 15%, for the last full year have been 15% also. PBT is 12% for nine-month period, comparably 11% for the full last year. PAT margin has been 8% for the nine months. And in the comparable full year, it's been 7%. The ROCE pretax annualized has improved to 23% in comparison for the 20% last year, for

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the full year. ROE annualized was 18% and last year is 15%. EPS not annualised is INR 79.24. For last year it has been INR 75.94.

The nine months segment for the auto powertrain, it has grown by 39%. It has grown from INR 817 crores to INR 1,134 crores. Aluminum segment has grown from INR 385 crore to INR 544 crore. But on a quarter-to-quarter, there is some decline, on the aluminum segment. Industrial engineering segment has grown 48% year-on-year, INR 350 crore to INR 517 crore. Storage business has achieved a turnover of INR 279 crore. Previous year, year-to-date December was INR 188 crore, so we had a 48% growth.

Automotive powertrain segment EBITDA has grown by 33%, INR 218 crore to INR 289 crore. Aluminum segment EBIT has grown for the nine-month period from INR 30 crores to INR 42 crores that is 38%. Industrial engineering EBIT has grown from INR 13 crores to INR 44 crores that is quite significant absolute in percentage.

So I leave the floor open for question-and-answers, please.

Moderator: The first question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services.

Jinesh Gandhi: Can you share value-add for each of the segments?

Srinivasan Ravi: For the quarter?

Jinesh Gandhi: For the quarter, yes.

Srinivasan Ravi: For the auto powertrain, it has been INR 249 crore. Aluminum has been INR 61.5 crore. And industrial engineering has been INR 58.3 crore.

Jinesh Gandhi: And what is the reason for such a sharp drop in margins for the aluminum business? I mean, this is second quarter in a row, where we are seeing drop despite aluminum prices also being soft?

Srinivasan Ravi: Yes. I will answer that logically and what is the actual situation. We had a first good quarter Q1 has been very good on the aluminum business, extraordinary quarter.

On Q2, we had a declining aluminum prices and normally the pipeline inventory will be there a little so that adjustment happens in real time but should be the stock cannot adjusted for the lower value, so we had some drop of the Q2. And the aluminum prices continued to soften from Q3, so we couldn't rebound. If the price had been stable, we would have rebounded or if price had increased, we would've got some benefit, but still it didn't happen there also.

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The operating leverage has come down quite substantially in Q3. We had a topline reduction of INR 20 crores even though our gross margin or value addition has

been as a percentage has been more or less same, the topline reduction of INR 20 crores resulted in INR 8 crores, INR 9 crores of, practically, the value-addition reduction, which is actually reflected in the EBITDA absolute number and such a low base on the topline, the INR 8 crores has got a big impact to look at when we look at as a percentage. But absolutely it's only INR 8 crores. And we are now seeing stable aluminum prices or increasing aluminum prices. So I'm not worried about that particular factor for Q4. On a near basis, I think we'll be far, far better on this.

Jinesh Gandhi: What would be the utilization rate for the aluminum business in the quarter and for nine months?

Srinivasan Ravi: I think, the topline is showing that already we were operating around 60%-odd. I think it has come down below that. In Q4, there are two aspects which are unique to that quarter. One is the festive season, so we'll have a October, very steep ramp-up. I mean September, October, in hope that festive season will

pick up, but in

October end, I think the call will be taken by the customers to either slow down production or continue the production at that rate, depending on the actual sale. So and we saw that the sale didn't pick up and then we have the festival holidays. So there is also a disruption. There is a cost there also. And the inventory was still available for the OEMs. Especially, we are heavily dependent on two-wheeler, you may understand that we're around 70% still dependent on two-wheeler, close to 70% on the aluminum product segment. Their plant shutdowns and also annual shutdowns have happened. So this has put on pressure. Normally in Q3, even last year Q3 has not been great for us. We have always been performing in Q4 far, far better. This is the fundamental.

Jinesh Gandhi: So 60% is for the nine months utilization or for third quarter.

Srinivasan Ravi: Yes, if you look at it, it is average for nine months, it's 60%, but for the Q3, it would have been much lesser.

Jinesh Gandhi: Lastly, can you talk about DR Axion acquisition? What was your thought process behind acquiring an aluminum business? What do you expect out of it? Throw more light on that?

Srinivasan Ravi: As you may know that whatever is in public domain, only those numbers I can give, because everything else will come post the actual takeover which is going to happen shortly. It is only the legal formality is going on, everything is going smoothly. That is the good news.

Jinesh Gandhi: More than number more so about your thought process on...

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Srinivasan Ravi: I will speak more broadly because the DR Axion management in Korea and we will come out with a joint statement and we are going to jointly cooperate also in the future so I will not like to make futuristic statements without, I would say the continued shareholder, it is going to be a subsidiary of Craftsman vehicle, but they'll be continuing shareholders, there'll be strategic cooperation between us.

Having said that, consolidated basis, if you look at the next financial year, if you look at it, more than 60% will come from the passenger vehicle segment. So that is a major strategy behind this move on a consolidated basis, number one.

Number two is we are looking at the OEM. We have Indian OEMs we are supplying on the auto powertrain and some of the major Indian OEMs also on the aluminum segment also. And we've got some new businesses there also.

But on the Japanese and the Korean majors, we don't have any exposure or we didn't get any breakthrough. With this, we are a key supplier, and I think strategically it's very important, so that we are looking at a customer who is today Number 3 in the world. They've overtaken the earlier Number 3 as a passenger vehicle manufacturer globally. And more importantly, this particular manufacturer, of course, is very-very strong on EV, even in North America, to tally. So this is the idea behind our acquisition.

Moderator: The next question is from the line of Dhaval from Girik Capital.

Dhaval: Couple of questions from my side. Sir first would be so you said the fourth quarter visibility for aluminum components, if you can comment on that. And also, overall, what visibility you have for FY '24 across each of the segment? This is my first question.

Srinivasan Ravi: We don't give forward-looking statement as number for a guidance, but what I can say is the Q4 will be much better than Q3 and it will be better much better than Q4 of last year, that far, I can say, across all the three segments of the business. I think that's what I can comment and commit.

Dhaval: And on the industrial and engineering side, if you can give the breakup between storage solution and precision products?

Srinivasan Ravi: I can give it to you, Storage, quarterly turnover has been INR 80 crores in Q3, before this, INR 111 crores on Q2. So we had a decline of around INR 30 crores

on storage business for Q3.

Dhaval: And this decline would be because overall the industrial activity has been good, what has led to this decline?

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Srinivasan Ravi: Some of the major consumers, including the retail as well as e-commerce players, the major two players in the country, one is multinational, one is Indian, yes, they held back investments and they're going to start doing it again only from January. And this is the main reason. These are big-ticket customers where big value was there. We are a supplier to one of the customer, one of these two. So that is the major impact. I think the whole market turn has seen some contraction in Q3 when compared to Q2, but we'll see that coming back Q4 onwards, it will be more or less stable. One good thing is our percentage of automated solutions as a percentage to overall storage solutions has been increasing.

Dhaval: And even high-end solution...

Srinivasan Ravi: I'll give you a number on this. The overall INR 277 crores on the storage solutions for the nine months, the automated solutions have been INR 80 crores versus the static solutions have been INR 197 crores. So that is very healthy way forward. On the automated storage, the gestation periods are little longer. The site readiness and the project finalization and implementation takes more time. So we will gather momentum as we move on.

Dhaval: And sir, how much would be the debt on the books and how do you see the debt moving for the next three financial years post the acquisition? So if you can just give some rough visibility, how do you see your debt moving?

Srinivasan Ravi: So I will now mention the numbers. If you look at March '22, our debt was, INR 716 crores, overall, as a company. And when we look at it net of cash for December '22, it is INR 650 crores. And when you look at the equal year-on-year on last December to this December, it is last December was INR 679 crores and, this, INR 650 crores, so net of cash. So overall, debt has sorry, I have to read the numbers differently, I'm sorry. Net of cash, the debt is INR 650 crores in December compared to INR 679 crores in March '22.

So we have come down by INR 29 crores on debt net of cash. But now we have taken some borrowing for the I would not like to reveal numbers now, on the acquisition. But in spite of that, I think the operating leverage or the financial ratios are not getting adverse. I would say, it is within line of slightly above last year. There is no need to raise any equity in the current situation and the way we are going it, by September itself, on an annualized basis, it will be improved further in spite of the acquisition of DR Axion.

Dhaval: So, right now your gross debt would be roughly around INR 700 crores.

Srinivasan Ravi: Gross debt has been higher. Because we have one FD which is a large amount. So, net of cash, INR 650 crores is of December end.

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Dhaval Shah: So your gross will be how much, if you can give it?

Srinivasan Ravi: See, the problem is, I don't want to we have talked that acquisition cost of something and we have taken some loans. So that FD is sitting there, that FD either will be used to close loans or it will be used to pay for the DR Axion acquisition. So this is real cash, not cash which is sitting as FD.

Dhaval Shah: And sir, over next two-year to three-year period, how do you plan to repayment of the debt or how will it move?

Srinivasan Ravi: So the acquisition finance that has just been taken is over a period of seven, eight years. So we are seeing a repayment of only around INR 30 crores, INR 40 crores. And usually, there'll be an interest also of INR 20 crores, INR 30 crores. We don't see that as some big subject, and also that will put less pressure on Craftsman aluminum division through increased capacity on gravity die casting and low pressure die casting, which is the only

egment which DR Axion is there. So I think

being a capex cycle on aluminum will be much lower for Craftsman.

So in that way, you look at it, it is front end of the capex which is there. So the borrowing, if any, will be for maintenance capex and opportunities in the powertrain business mostly and some in the industrial engineering segment.

Moderator: The next question is from the line of Abhishek from Dolat Capital.

Abhishek Jain: Sir, as you mentioned that in debt, total debt has gone down to INR 6.5 billion, but if we see this quarter number, there's a sharp jump on interest costs. So, one reason is that there's an increase in the interest costs. What is the other reason, sir?

Srinivasan Ravi: There are three reasons for it, Mr. Abhishek. One reason is, as I mentioned, 200 basis points, the interest has gone up, number one point. Number two is, we have drawn down loan and put it as FD, that has its quite a huge money. I'm talking about upward of INR 300 crores. So the point is that is driving in this arbitrage, which has affected a little or for a few months at least couple of months.

The third thing is the forex one-time loss because of the exchange rate which may get partially corrected in Q4, because it's a notional one which can go up and down.

Already, we are seeing rupee gaining a little now. So that is a round to the tune of INR 5 crores. So that is an impact. These are the three major points which has affected the financial cost.

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Abhishek Jain: And as you are saying, sir, in the coming years, you'd like to repay your debt of INR 40 crores to INR 50 crores. But the acquisition of DR Axion, that would be cost would be around INR 375 crores to INR 400 crores. In that case, don't you think that your debt will increase to INR 800 crores, INR 900 crores or INR 1,000 crores kind of a number?

Srinivasan Ravi: As I mentioned that, our debt is around INR 625 crores -- INR 650 crores as of now, there will be cash generation in Q4 and there will be outflow towards acquisition of DR finance. And I've mentioned a number, which is in line with the EBITDA to debt on that number. I think that number will be we want to bring it down to one, but we may remain at it was 1.33 last year. We will be maintaining same 1.33 for this financial year also. We thought, without that question, if you look at it, it would have been at one I think so 1:1.

Abhishek Jain: And, sir, what is the capex plan for the quarter four or FY '23 and FY '24?

Srinivasan Ravi: So FY '24, the estimate will be between INR 325 crores - INR 350 crores is the estimate, overall. Its maintenance capex as well as capex. And Q4, I will not be able to say correctly. In the region of INR 30 crores, INR 35 crores will be the capex because some shipments of capex deliveries may come in March or may come in April, that may change the equation a little, so just an estimation.

Abhishek Jain: So you are talking about the INR 300-plus crores as capex for the FY '24, is it because of the acquisition first or is it excluding.

Srinivasan Ravi: No, it's not the acquisition. Now look at standalone Craftsman, we were INR 1,500 crores two years ago. Now, we have grown at least in the topline by 30%, 40% and on the value-addition, maybe around 30-odd-percent year-on-year for two years. So the topline of around INR 3,000 crores is the topline has doubled, so there has to be -- there has capacity utilization is improving quarter-on-quarter, I mean, in a year-on-year average. So we may run out of capacity if the market picks up in the next few quarters, totally.

So there may be some capex requirement apart from the maintenance capex, apart from capacity balancing. So the two years of capex, I mean, if you look at the numbers of the two years of capex, which is around INR 550 crores for FY '22 and FY '23 combined, but the turnover has gone from INR 1,500 to maybe close to INR

R

3,000, I would say.

Abhishek Jain: And this capacity addition would be mainly in the powertrain business, right, sir?

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Srinivasan Ravi: Yes, aluminum, with only one or two equipment, which on high pressure die casting, which we still need to do, it is there, but mostly it will be on the powertrain business. Powertrain business, by the size of the business, is larger, number one.

Number two is, it's an older business where maintenance capex are also slightly higher as a percentage of the total capex of the company. The third thing is capacity addition for the new order, something we need to add at that particular situation, bulk of it will go to powertrain.

And as you know, the powertrain business, the gestation period is not too much from the time of investment to the returns, which will be better for the shareholders. In that when the earlier question, some the earlier questioner asked me one particular question, why DR Axion? There is no time gap between the times of investment to the returns coming in. This is very, very important in this market condition where going for Greenfield projects may be little more futuristic. And we want to create a base price, not only on turnover, on EBITDA numbers also to have a better momentum in the future.

Abhishek Jain: Sir, despite fall in the RM cost and better mix, EBITDA of aluminum, industrial & Engineering segment continue to be under pressure. You had already done inventory correction in the last quarter as well. So what kind of the EBIT margin visibility from quarter four or for FY '24 from these two segments?

Srinivasan Ravi: The aluminum segment is today still very, very small segment on the topline and there what happens is the INR 8 crores value-addition reduction because of turnover reduction or demand reduction is changing the percentage very, very adversely. But you look at absolute amount, it's earning only INR 8 crores.

Abhishek Jain: And that means the capacity utilization is quite low. It is not.

Srinivasan Ravi: It is for Q3, it's been very low.

Abhishek Jain: So we don't see better margin visibility until and unless we get a better operating leverage than this.

Srinivasan Ravi: No, for the full year, the margin will be far, far better than the whole of last year. So that is very, very sure because we have worked out our numbers. I don't want to give an estimate today, but I think we are growing on absolute value-addition apart from topline and also on EBITDA as a percentage, when compared to last year and absolute EBITDA number also, which will be quite substantial growth over last year.

Abhishek Jain: And what is the issue with the...

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Srinivasan Ravi: Also, more importantly, ROCE will be better compared to last year, for this year.

Abhishek Jain: And what is the issue with the industrial engineering segment? This quarter, the revenue from the storage segment was lower, despite the company is not able to make EBITDA margin?

Srinivasan Ravi: I mean, sorry, the line is not clear, please, Mr. Abhishek.

Abhishek Jain: So what is the reason of industrial engineering segment's lower EBIT margin? Despite the lower revenue from the storage segment, the company is not able to make a good EBIT margin. What are the challenges actually?

Srinivasan Ravi: Actually, there's no challenges. Actually, there's the I mean, bunched up capex capital goods, what we have manufactured for our own powertrain business which customer has paid for and also our aluminum machines that customers have paid for, so there strategically, we have not added any margin at all, it'll benefit the powertrain business as well as the aluminum product division.

So that has bunched up in Q3, but otherwise, for annual basis overall, for the nine-month period, we are looking at the pre-tax ROCE for industrial engineering has improved from the whole of last year it was

as 10%, now, it's 15% and for nine-month period, last year it was 5%, it has increased to 15%. And the absolute EBITDA number also for the nine-month period is high. So full year, we will be doing better, Q4 will be having a reversal of these bunch-up.

Actually, there is no challenge. Because the base is small, the product segment is wide, any shift in the segment of the product sales will have an impact that is the reason. So once we reach double or triple the size, we'll not have this big variation on a quarter-to-quarter, but now, there will be big variation, say 5 crores, 10 crores can change a lot.

Abhishek Jain: Thank you sir, for your detailed insight.

Moderator: The next question is from the line of Senthilkumar from Joindre Capital Services Limited.

Senthilkumar: Good evening, sir. Am I audible?

Srinivasan Ravi: Yes, good evening.

Senthilkumar: So congratulations first of all, congratulations for the good set of numbers despite raw material cost pressure. I just want to understand what is the percentage of contract entails pass-through of raw material costs in our business, sir?

Srinivasan Ravi: All powertrain business and aluminum business is pass-through. There can be a little delay, one, due to the quarterly or monthly, whatever, contracts we have with the customer. There can be a delay because of the inventory, which can be adverse effect or the positive effect. So we have seen the positive effect also coming in Q1 and we've got an adverse in the little of the adverse in Q2, Q3, and we'll see some positive in the Q4. We're not having any problem about a pass-through on an annual basis. But you look on quarter-on-quarter, there can be little mismatch between the buying time and the price correction time with the customer.

Senthilkumar: I understand, sir. So do we have any high-cost inventory in our books as on December 2022?

Srinivasan Ravi: No.

Senthilkumar: Sir, I just want to understand, what is the order book as on December 2022?

Srinivasan Ravi: On powertrain and on the aluminum product, we never have an order book. It is on a monthly schedule basis, it's some quarterly forecast. Actually, there's no purchase order as such. We have to see the portal and supply that is it. But the annual numbers or whatever our customers are there in the commercial vehicle, farm sector, construction equipment and the industrial engines as well as passenger vehicle and two-wheeler, I think, the top 10 customers are very, very clear for us.

And the segment is we have got the prime products, so there is the newer products also. I think whatever growth or contraction happens; it will directly have a bearing on us. But on the powertrain business, we are adding new businesses. So contraction might not be effected fully, but growth will come in total for us. So even in the powertrain business on a nine-month period, we have grown, overall, 39% compared to last year for a nine-month period, but the industry has not grown that much. But why we have grown is of the new products, which are also contributing.

Senthilkumar: And last question is, what is the working capital cycle in terms of days?

Srinivasan Ravi: Cash conversion cycle is around 60 days.

Senthilkumar: 60 days, increased from 52 days, sir, from as on March 2022. Am I right, sir?

Srinivasan Ravi: No, it has been for FY '22, it has been also 62 days, now, it is 59 days.

Senthilkumar: So 59 days decreased from 62 days. And lastly, can you give a breakup of revenue

Srinivasan Ravi: The overall sales for the export, INR 162 crores has been the nine-month direct export.

Senthilkumar: Your thoughts on your visibility on Europe region, market.

Srinivasan Ravi: We are little affected now for the exports to Brazil, there's political turmoil. So we have seen some contraction of 20% for Q4. But overall, on the powertrain

business

we are growing quite strongly in Q4. So this small contraction is not going to affect us.

Senthilkumar: Sir, for FY '24? For the next to full year?

Srinivasan Ravi: FY '24, we see powertrain business, aluminum business, industrial engineering business, all growing in the range of 15% to 20% compared to this year.

Senthilkumar: Thanks, sir. That's it from my side.

Srinivasan Ravi: I mean, I'd like to make one statement. We've been always saying that we are going to grow at 20% CAGR from the time of IPO on this matter. I think we'll stick to that number, some years we may grow more, some years we may grow less.

But we will ensure I mean, not ensure, we are working towards our promise about 20% CAGR.

Moderator: The next question is from the line of Akshat Mehta from Sameeksha Capital.

Akshat Mehta: I think majority of my questions are already answered. So if I have any question, I'll get back and do it. Thank you.

Moderator: The next question is from the line of Disha Sheth from Anvil Wealth Management Private Limited.

Disha Sheth: Wanted to check what is your view on CV demand, two-wheeler and PCR since we supply lot of things to all the categories? How is the demand on the ground?

Srinivasan Ravi: I will just like to make generic statement without going into any specifics. I will also look at talking about only Q4 and the next financial year, not dwelling too much on

the future, because I think the OEMs are in a better situation to clarify all their plans. Going into Q4, the powertrain demand will be very high well, not very high, means much higher than the Q3 demand also on the aluminum segment on the two-wheeler. The reason being there is pent-up demand, both on the commercial vehicle segment as well as on the two-wheeler segment, where predominantly we supply.

On the commercial vehicle segment, there is a real-time emission norms test, which is applicable from April and, hopefully, the government's regulations which are yet to be out may come out with saying that you could manufacture until the last working day of this financial year, that is March 31st and sell it any time during

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the next year. This may lead to some not inventory no one wants to keep inventory, but they might not abruptly stop production in early March and then affect the quarter sales. So we will have a smooth transition, which is happening. There can be a little pre-buy and a little push in the market because of the real-time emission standards which are there on the commercial vehicle.

On the two-wheeler segment, it cannot go lower than this. Yes, we have seen EV coming in, we have also got business for EV, which is not substantial in numbers, not substantial in the products what we have. Our contribution towards EV as an aluminum segment is not that great. I mean aluminum requirement itself is not so high on critical parts I mean. We are waiting and watching because still it is in fragmented segment.

We are with the at least one of the Top three players in this segment. But still we find that the subsidy has got a very big role to play in the sales of these vehicles number growing. At these numbers, yes, they will be able to sustain and grow, but I'm not very confident or sure that this growth can be exponential growth can happen without government extending the subsidies for a few more years. And so I will not like to comment anything beyond that. My knowledge is limited to this.

Disha Sheth: And sir, one more thing, you mentioned at the start that INR 20 crores, there were some loss of sale on aluminum products. Can you repeat that? I just missed that.

Srinivasan Ravi: So there's no loss and all. Reduction in sales INR 20 crores topline reduction means that the value addition portion is INR 8 crores is the hit which we take. That INR 8 crores hit on a small topline, the percentage it goes top-sy-turvy is what I tried to explain.

Disha Sheth: And sir, next year, we have a INR 350 crores, capex plan, plus the higher debt which we took for acquisition. So sir, our cash flow would be affected, which would again lead us to take more debt. So how are we managing that? Any views on that?

Srinivasan Ravi: I will wish to clarify that the EBITDA numbers for the nine-month figure is INR 499 crores totally. So you could annualize it or maybe it is slightly more than normal because Q4 is always a better number, then we can apply some percentage which we'll do better than next year. So overall, I think the company will debt will reduce next year.

Now when you look at the absolute debt, if you are minusing the DR Axion acquisition payout, which will happen, then debt would have in real terms itself would have reduced quite by 15%, 20% is what is my estimate compared to last year in spite of the capex what we have done this year.

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So the overall cash generation, going forward, if any growth in absolute EBITDA number, the cash generation will be there. So we have we do not measure ourselves by debt to equity, because that is not the right metrics. That will be looking very, very rosy, but I would say that next year, we will end up at around 1.3 to EBITDA-to-debt, which is our target is one, but because of the acquisition I think even this year, we could again one without acquisition. So next year, we will be at 1.3 or better.

Disha Sheth: And sir, when we are riding on 15% to 20% CAGR growth, so what margins do you think for FY '24 we are working on the range with?

Srinivasan Ravi: I don't see any margin expansion happening. There can be possibly the advantage or the tailwind of operating leverage. There is also headwind of upward inflation overall at the product mix. So I think if we grow at 20%, we can nullify the inflation and we'll still manage to keep the margins intact is what we are hoping for.

Disha Sheth: 23% is what we think it's intact?

Srinivasan Ravi: No this 23% and product mix changing is many things. Some are in the powertrain are job work so which is not an apple-to-apple comparison, the margin will come only on our value-addition.

If there's any commodity price increase, it will be only the topline getting inflated but our re-value-addition will remain the absolute number may remain the same. So we measure ourselves from the value-addition of the gross margin or material margin, various terms are there for accounting, that is what we measure on our margin side.

Disha Sheth: And sir, last question, when you gave the numbers out of power train value-added is INR 249 crores versus what was it last year? Value-added product was INR 249 crores.

Srinivasan Ravi INR 190 crores and.

Disha Sheth: And for aluminum, it was.

Srinivasan Ravi Last year was Q3 was INR 190 crores on value-addition for powertrain and this year it has been for the powertrain has been INR 249 crores.

Disha Sheth: Yes. And aluminum same, it was INR 61 crores for this quarter. So last year, how much it was?

Srinivasan Ravi Aluminum this year has been INR 61 crores for this quarter. Last year, it has been INR 60 crores.

Disha Sheth: And Industrial, again INR 58 crores this year, last year has been?

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Srinivasan Ravi INR 48 crores.

Moderator: The next question is from the line of Pranay Roop Chatterjee from BCMPL.

Pranay Chatterjee Firstly on the powertrain business, I think we had a slight margin contraction last quarter itself, and you had mentioned quite a few reasons like inflation etcetera this quarter, despite strong volumes, the margin is still sort of lagged. So should we take number one, why is this margin not improving, basis volumes in powertrain? And is this like the new normal in terms of strategic months?

Srinivasan Ravi No, there is a we are looking at the topline and looking at the product mix, we have to look at again the va

lue-addition there. So if, say, a Daimler business increases or some more area where we're doing some tractor parts where you're buying the casting, the percentage may look different. So what we have to see is the absolute growth in the EBITDA number when you compare to last year and then if you look at nine month to nine month. Let us look at nine-month number. It is INR 302 crores, has grown to INR 380 crores.

Pranay Chatterjee So you're saying the quarter-on-quarter, month-on-month, there will be a difference because you're doing different kinds of work so margin might not make sense, you're saying we should look at the absolute number.

Srinivasan Ravi Yes, please look at the absolute number of value addition, COGS you have to remove. There will be inflation, there will be operating leverage to our advantage, the inflation to our disadvantage. With the growth happening, we'll be hopefully nullifying, but the product mix change, that will have an impact positively and negatively depending on the if we look at as a total as a percentage.

Pranay Chatterjee Then secondly, on aluminum products division, I think you mentioned a few points on why the margin has moved how it has? My question is, what can we expect the steady-state margins to be over here, after things sort of normalize? We can speak ex the DR Axion, just your segment of the business, what is the sort of normalized level? And also on aluminum products, so you had two large order wins. One was a INR 200 crores order and one was a INR 150 crores order. Any update on when we can expect which quarter revenues would start coming in?

Srinivasan Ravi Already one of the parts has started, it is ramping up. And the other product will come in Q2 of next year, that is before the festive season on the passenger vehicle for the domestic customer. So both of it will have a good benefit in H2, not in H1, a portion of Q2 and full of H2 is what we look at. When you said stability will come, the absolute EBITDA number or it has to grow.

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And when I look at the INR 100 crores EBITDA number is too small for aluminum division, which will be there in and around that particular number this year. And

when you look at when we cross that INR 175 crores, INR 200 crores level that is the topline also has to grow. It will grow in a couple of years, at that level we'll not have this bigger fluctuation for INR 5 crores, INR 10 crores. It may be that 1% may or 2% may go up and down, but not as much, the base being bigger.

Pranay Chatterjee Then on the I&E margins, you mentioned sorry, if I got it wrong, you mentioned something around supplying some something to your aluminum and powertrain divisions at 0% margin because of which the numbers were affected. If you can explain to me what the quantum of that was, let me understand better?

Srinivasan Ravi No, I would like to clarify. It is we didn't supply it to the division, we supplied to our customers who were paying for that equipment. That equipment is being placed in our auto parts division as well as our auto, things for aluminum product division for the production of those parts for them. So the option is that we are one of the key suppliers in the country for such sort of equipment.

So we had some repeat orders coming in which the orders were first placed in '18, '19 and the same product volumes have increased for this domestic passenger vehicle manufacturer. I don't want to refer names, but you may guess on this matter, where we were obliged to take it up at the same old price where there is no margin at all, totally. It is almost like COGS to COGS, but there is a INR 30 crores number, which has come for this particular quarter.

Everything has come this quarter. So if we knock off the INR 30 crores, then look at the EBITDA numbers, I think it is reasonable. So next quarter itself, we will see that change happening on that

. On an annual basis, it will get more or less average out or for a higher level of better performance.

Pranay Chatterjee And last question was on capex. You already have given some color, if I'm not wrong, you mentioned INR 350 crores for the next year, and do correct me if I'm wrong. That is one. And the larger question is, how can I think about the peak asset turns in your individual segments? And this, I'm speaking more from a medium-term perspective. So, let's say, we assume a 20% CAGR in each of your segments, theoretically, over the next four to five years. How can we build in capex accordingly so I would meet up the.

Srinivasan Ravi For you to build a model, then I have to give you certain raw numbers for you to understand just ballpark numbers. Our gross block is roughly around INR 3,071 crores, which might not be appearing in our annual reports, it may be reported lower because when we moved to Ind AS, the net block became the gross block.

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But our actual investment in plant and machinery is INR 3,000 crores approximately. So, now with the net block of now, you can say that this number has given this year a topline of INR 3,000 crores that means with this product mix. I will not and maybe value-addition of around overall of 45% or something like that. I don't know primarily just speaking through whatever I vaguely remember. I don't want you to hold me against this, but what I'm saying is, it is giving you 0.5 on the value-addition totally, overall.

So any incremental when you have a depreciation of around INR 225 crores, on the depreciation, then normally, maintenance capex itself is equal to the depreciation. So when we are saying INR 350 crores, theoretically, we are saying INR 100 crores to INR 150 crores is the capacity expansion. I think it is happening somewhere, which is actually leading to 5% of the increase in gross block overall totally.

But we shouldn't look at the gross block alone, we should also look at the net block. Net block is currently INR 1,675 crores. So we do INR 100 crores, it isn't practically on a INR 1,675 crores net block, it is, say, 6%, 7% increase in investment. So with that, we are able to manage to use capex effectively to our 15% to 20% growth.

Pranay Chatterjee And you mentioned next year, INR 350 crores, right, that was the number?

Srinivasan Ravi Yes.

Moderator: The next question is from the line of Joseph George from IIFL.

Joseph George: Sir, just one question. So when I look at the aluminum business, if I recall correctly, about three or four quarters back, once revenues scale up to about maybe INR *inaudible* crores or so, there is a potential for this business to generate about 17% to 18% EBITDA margin. Right now, when I look at this quarter, obviously, it's about 10% and you gave the explanation in terms of fluctuations in aluminum prices and all of that. But when all those things, those cost lines, RM, aluminum, etcetera, normalize, do you stand by what you had said three or four quarters back that this

can be a 17%, 18%, kind of EBITDA margin business?

Srinivasan Ravi: Yes, I stand by, but before that, I'll clarify the first detail because you're not so audible. On the nine-month year-to-date figure, the aluminum revenue has been INR 543 crores, which has yielded an EBITDA of INR 76 crores. So as a percentage, if you look at it in that way, INR 76 crores divided by we're at 14% for the nine-month period. So this 14% will improve with Q4, which is normally a good quarter for us. Yes, the scale is not sufficient, operating leverage also is not sufficient. So with better operating leverage, stick to the statement of 18% EBITDA once we cross the INR 1,200 crores topline on aluminum product division.

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Moderator: The next question is from the line of Darshil from Sapphire Capital.

Darshil: I think most of my questions have been answered. So I would

just like to know if

you could just share something more about our new acquisition in terms of our synergies or something that is expected. That would be very helpful?

Srinivasan Ravi: Again on the broader technical and strategy point, I will mention. Today, our aluminum business in Craftsman this year will be approximately around INR 800 crores, just for a ballpark number for you to understand. And in that ballpark number, it is predominantly 65% or something like that is coming from two-wheeler business, balance is coming from some passenger vehicle, commercial vehicle and other industrial segment, everything put together, I think, around 30%-odd, which is coming.

So approximately, again I'm talking, in the interest of time, not to give correct numbers. But we look at it, the next the process what we're using, for now, specifically coming to the auto aluminum, in auto aluminum, 90%, 80% or 90% of our sales revenue is coming from high pressure die casting and balance is coming from low pressure die casting and gravity die casting. So predominantly they're on the high pressure die casting.

Now the acquisition, DR Axion doesn't have high pressure die casting in India. Of course, they have it in the parent company. Strategically, we may do that there also, but there is a joint statement, which will need to come out in the future. The synergy is that 100% of DR Axion is today gravity die casting, which is 80% of that, and 20% is coming from low pressure die casting, again approximately.

So it and 100% of the products are going for passenger vehicle segment. So this gives a very good equilibrium and the half year sales has been INR 500 crores for this year. So hopefully, they do better, and next year, hopefully they grow. Yes, and we are also growing here. So this gives some exact synergy for attracting more customers and Craftsman need not invest further in gravity or low pressure in a big way.

Darshil: And I just wanted to ask about our capex plans. So with our 60% capacity utilization, what level would it reach maybe next year or something that we are targeting so that sorry, I would like to reframe the question? So when do at what kind of capacity utilization could we reach our previous EBITDA of above 25%?

Srinivasan Ravi: Please don't measure EBITDA as a percentage of the topline, again on the value-addition only, because the product mix changes, raw material costs, for example, the value-addition of certain customers, key automotive customers where you're doing cylinder blocks, the value-addition is only 20%. So our EBITDA when we look

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at it may be around 6% on the topline, but on the value-addition it may be 25% or 30%. So, I think, better we look at from the value-addition portion only.

The second point what I will mention when you said about 60% capacity utilization, that is on the aluminum segment, what we talked about. On the auto powertrain, it's very obvious that we have grown significantly in this particular year, and we cannot go beyond 80%, 85% because of the seasonality of some businesses and the line balancing which has to be done and customer peak demand, we have to meet the customer peak demand. So 80%, 85%, it's realistic.

On a very-very good year, we may reach that level, but 75% to 80% is the nominal operation, which will happen. And there in auto powertrain, we are almost reaching that level very soon. So with the maintenance capex, which is almost equal to depreciation of INR 225 crores, INR 250 crores, the overall capex, what we're saying is, INR 350 crores if the actual capex will be INR 100 to INR 120 crores,

again spread over all the three segments of the business, but mainly in auto powertrain.

Moderator: The next question is from the line of TS Vijay Sarthy from Anand Rathi.

TS Vijay Sarthy: Just one question. Sir, if I look at the value-addition figure that you had given, on the percentage terms

, I think sequentially both powertrain and aluminum has maintained, but more so in aluminum space. Now if the inventory cost is not factored in, then there is some impact in EBIT margin, but is there any other impact other than the inventory cost, because.

Srinivasan Ravi: The operating leverage is the major portion.

TS Vijay Sarthy: So which means the EBIT margins for Q4 should move up for aluminum because the leverage will come.

Srinivasan Ravi: Yes, correct.

TS Vijay Sarthy: And I mean, this is pertaining to Q1 versus Q2, sir, sorry for this. So powertrain business, value-addition had come down, percentage terms. What was it about, sir? Could you help me understand?

Srinivasan Ravi: Q1 to Q2 on auto powertrain?

TS Vijay Sarthy: Yes, sir.

Srinivasan Ravi: Yes, there's the product mix change, Mr. Vijay Sarthy.

TS Vijay Sarthy: No, is it because we had higher with material business.

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Srinivasan Ravi: No. We had a different customer which is a material consumer taking more supply from us in that quarter.

TS Vijay Sarthy: So that is unlikely to change? Is the proportion changed for?

Srinivasan Ravi: No, quarter-to-quarter, we might not be able to predict, but on an annual basis, there cannot be much change from one year to another year. There'll be a gradual shift because of the new orders coming in.

TS Vijay Sarthy: And the other thing which you talked about that some of the products that were sold without margin, is it relating to any development project?

Srinivasan Ravi: There's capital goods where it is not related to the auto power train nor to the aluminum product division. It is due to the machines what we manufacture where our customers buy and then we also get to use of machines for their production. There, in the interest of the entire activity, we have foregone the margin and supply to them more or less at a marginal cost.

TS Vijay Sarthy: Is it related to a development project or is it a proper commercial operation?

Srinivasan Ravi: It is in capital goods sale to the customer, where they give a purchase order and we supply the equipment to them. Yes, but there is some strategic advantage because this equipment is yet to be used by Craftsman itself during the life of the product.

TS Vijay Sarthy: But this is unlikely to I mean, this is likely to change in Q4 or how should we understand?

Srinivasan Ravi: That volume or value is very less. It was bunched up in Q3, so it seems to be an aberration, especially with storage division not performing to the expected levels in Q3. So it looks lopsided, that's not going to continue. The division itself is not a very big division, so it is.

Moderator: The next question is from the line of Khush Nahar from Electrum PMS.

Khush Nahar: So my question is regarding the DR Axion acquisition. So basically the cost structure would remain the same with respect to the employee cost and the gross profit margins?

Srinivasan Ravi: You have seen the numbers in public domain for FY '22 or you're talking about something in for the first half of the current year? Which is the number you are considering?

Khush Nahar: For FY '22.

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Srinivasan Ravi: FY '22 number?

Khush Nahar: Yes.

Srinivasan Ravi: FY '22 number, the operating leverage was not there. The new products have gone into heavy capex in FY '21 and FY '22. So the operating margins has improved in H1 totally. So that is not representative, that was an impact it has impacted a year,

I would say.

Moderator: The next question is from the line of Mukesh Saraf from Spark Capital.

Mukesh Saraf: Firstly, in some of the comments relating to DR Axion, you had mentioned about some EV components. So just wanted to check, are these the inverter housings etcetera, that we're talking about, sir? The aluminum casting.

Srinivasan Ravi: Mr. Mukesh, I would first clarify one thing. Today, in South Korea, 30% of the passenger vehicle

segment being manufactured in Korea are EV, currently. And today the customers for DR Axion in Korea as well as India, they are Number 3 in the world as a passenger vehicle manufacturer as a whole. After Toyota and Volkswagen, they're Number 3 for the last calendar year, which is a published number.

The most important factor is, in North American market, they are Number 2, behind Tesla, totally. They're the highest selling EV products and well-respected EV products. So even if the EV comes to India or any other place, we stand -- our continuing shareholder in this case, where we have a strategic alliance, are making components for EV vehicles back in Korea. So it is I have not visited them yet. So we plan to visit them in February.

So we are it's still at nascent stage, the demand is still not there and even whatever EV product is going to be manufactured in India, maybe the products or the assemblies may come from different countries. I'm not sure where it's going to come from. So when it matures, we will have an opportunity to have the early bird advantage because the knowledge is already available with our.

Mukesh Saraf: And probably, royalties, etcetera, might change based on these new products. But the current royalties that DR Axion is paying, does it include these EV products or is there like a product agreement there, sir? And anything that you can share on that?

Srinivasan Ravi: No, I cannot reveal beyond a certain point, but for the existing products, whatever we are doing, there is no royalty to be paid. For the new products, it's a different story.

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Mukesh Saraf: And just one last one is on the tax rate. We still see that you are on the full tax, the earlier tax regime. So when are we moving to the new tax regime, sir?

Srinivasan Ravi: We are at the crossroads now. It is the gaps are narrowed down to a single-digit number in crores probably. So, as we see it, most likely we may move to the new tax regime. And we have to restate to the.

Mukesh Saraf: So 4Q itself it might happen?

Srinivasan Ravi: Yes, fourth quarter, it's likely to happen because it has narrowed down and if we see a little advantage also, we will shift over.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Srinivasan Ravi for his closing comments.

Srinivasan Ravi: Thank you very much for the engaging conversation and thank you for all the confidence in the past few quarters and we're going to a very good, exciting next year, I would say. Fourth quarter will be reasonably okay. Yes, surely we'll do good.

But the point is, we are poised for a better year, next year. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, on behalf of Craftsman Automation Limited, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

(This document has been edited for readability purposes)

Call: May 2023

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15th May, 2023

To

The Manager - Listing, The Manager - Listing,
BSE Limited, National Stock Exchange of India Limited,
Rotunda Building, Exchange Plaza,
Phiroze Jeejeebhoy Towers, Bandra Kurla Complex ,
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051
Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call on the Audited Financial
Results for the quarter and year ended 31st March, 2023;

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015 and our intimation and
outcome letter dated 4th April, 2023 and 9th May, 2023 respectively, we are enclosing
herewith the transcript of the earnings conference call organized on Tuesday, the
9th May, 2023 at 4.00 P.M. (IST) on the Audited Financial Results for the quarter and
year ended 31st March, 2023.

The transcript of the earnings conference call will be uploaded on the website of the
Company at www.craftsmanautomation.com .

We request you to kindly take the aforesaid information on record and disseminate the
same on your respective websites.

Thanking you.

Yours faithfully,
for CRAFTSMAN AUTOMATION LIMITED

Shainshad Aduvanni
Company Secretary and Compliance Officer

Encl: As above

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CRAFTSMAN AUTOMATION LIMITED
Q4 & FY 22-23 Earnings Conference Call
9th May, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the Craftsman Automation
Limited Investor Call to discuss the financial performance of the company for the
quarter and year ended 31st March 2023. As a reminder, all participant lines will be
in the listen-only mode, and there will be an opportunity for you to ask questions
after the presentation concludes. Should you need assistance during the

conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Srinivasan Ravi, Chairman and Managing Director of Craftsman Automation Limited. Thank you, and over to you, Mr. Ravi.

Srinivasan Ravi: Good afternoon, everybody, and thanks for joining the earnings call. It gives me pleasure to welcome you all for the earnings call for the year ended March 2023.

The auto sector has seen a storm of headwinds for the last 4, 5 years, either 1 turbulence or other, which has resulted in higher cost of ownership, lower affordability restrictions and vehicle supplies, chip shortages. Of course, pandemic, we all have seen a very turbulent 5 years.

However, most of the headwinds are now receding and now better absorption of the cost of the inflation is accepted by the end customer. There is a realization of pent-up demand and a lot of improvement taken place in the supply chain. The FY23 volumes were improving significantly has improved, given the improving narrative of demand, supply and margins, we expect the auto sector earnings to grow significantly on a flat base of 5 years.

The company has acquired 76% equity of DR Axiom India Private Limited for a cost of INR375 crores and this company is engaged in the manufacturer of about 12 auto aluminium parts and mainly cylinder heads and cylinder blocks. I think we have also put up a presentation earlier on this acquisition.

I would just walk you through the highlights for the FY23, the standalone highlights.

The turnover has been the highest that is INR2,980 crores, 35% growth over the previous year, but in real value addition terms we have grown by 27% and it is reflected in the EBITDA growth of INR671 crores over INR539, that is a 25% growth inline with the value addition growth of 27%. So the EBITDA growth is 25%.

EBIT is 37% because the absolute depreciation amount has increased by only INR10 crores, so that has increased in the EBIT (growth) margin significantly raising to 37%. PBT has shown a 37% and PAT which has been aided by the shift to the new tax regime has shown a quantum jump by 48%.

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The company is opted for a beneficial tax rate of 25.168% over FY23 compared to the normal rate of 34.944%. Capex stands at INR309 crores, mainly to enhance technological upgradation and also to address all the bottleneck areas and balancing areas and as we know that we have doubled the sales in the last two years.

The key ratios, one or two, three ratios I would like to mention, debt equity of course has moved from 0.63 to 0.72 mainly because of the acquisition finance, what we have taken, the acquisition has costed INR 375 crores, the debt to EBITDA is 1.48, it was earlier 1.33 and ROCE has improved from pre-tax annualised from 20% to 22.5%. EPS has increased from INR75.94 to INR112.53.

Segment wise results, auto-powertrain segment turnover has grown by 32%, that is INR1,154 crores was last year and this year has been INR1,527 crores.

Aluminium has grown by 34% from INR552 crores to INR741 crores, industrial engineering has grown by 42% from INR500 crores to INR713 crores, storage business has increased to INR376 crores from INR253 crores, it is a 49% growth. Out of powertrain EBIT has grown by 26%, INR304 crores to INR382 crores and aluminium EBIT has grown from INR41 crores to INR65 crores by 57%, industrial engineering segment EBIT has grown by 89%, that is INR33 crores to INR62 crores.

Just run through the DR Axion financials for 2 months, the sales has been INR196 crores, EBITDA has been INR22 crores, EBIT 16 crores, PBT 12 crores and part of INR11 crores and the company -- the net worth of the company is INR253 crores and it has got a term loan of INR161 crores.

So with this, I will leave the floor open for Q&A.

Moderator: The first question is from the line of Abhishek from Dolat Capital.

Abhishek: Sir, despite fast jump in the commercial vehicle volumes in 4Q, why your revenue was down quarter-on-quarter in powertrain business? And how is the outlook? I had in the powertrain business in the first quarter, given the weak outlook for the CVs and the tractor segment?

Srinivasan Ravi: On the powertrain on the Q4, there are 2 major pointer which I like to give. We have own segment, which is domestic one segment which is towards export that is deemed export and it's also growing in a big way. There have been some margin headwinds in Daimler in Brazil, yes, you may be aware of the economical situation

in Brazil, number one.

Number two is that the supply chain, I think Q3 has been a good number. I think the product mix and the other things have not been favourable to Craftsman in Q4.

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The other point is the -- where the passenger vehicle segment has done well. Construction machinery and farm sector was very much muted in Q4. There was some adjustment in the farm sector business because of the supply to sales mismatch. I think these are the reasons for some minor correction in Q4.

But I think that we are starting Q1 stronger, that means there is some minor adjustments which has taken place in Q4. Going forward, we see traction only in the third quarter or fourth quarter for farm sector and construction equipment. The first 2 quarters mainly will be driven by the growth in the commercial vehicle business and the passenger vehicle business. I hope I answered the question.

Abhishek: And sir, in fourth quarter, how much value addition in each

segment?

Srinivasan Ravi: Fourth quarter, the value addition for Powertrain was INR241 crores for aluminium was INR79 crores and for industry engineering was INR73 crores.

Abhishek: And sir, my last question on the Industrial & Engineering business. How much -- in this quarter, there is a 20% growth quarter-on-quarter basis. So, what is the reason for the top revenue growth? And how much the export contribution in total industrial engineering business?

Srinivasan Ravi: No, the industry engineering business export number, I will just give it to you in a minute. And if you look at normally the capital goods sector, we'll see higher sales or I mean the turnover will happen in Q4, that's one of the reasons. The conditional mining export was for the year INR116 crores. This is a direct exports, yes.

Moderator: Thank you. The next question is from the line of Senthil Kumar from Joindre Capital Services Limited.

Senthil Kumar: Congrats for the great set of numbers. My first question is, can you give a breakup of exports and domestic revenue for Q4, as well as full year, sir?

Srinivasan Ravi: Yes. For the Q4, the exports, the total number has been 53 plus 51 plus 116, right?

Senthil Kumar: How much is that?

Srinivasan Ravi: INR60 crores has been for Q4. For the full year-- INR220 crores.

Senthil Kumar: INR220 crores. And sir in the last con call, you have mentioned about a slowdown in Brazil region. What is the status now sir?

Srinivasan Ravi: It is not still very clear. We have continued the supply, but I think the economic in the country is not doing internally well, but I don't know whether there will be some correction going forward at a lower level, or it remain sustained. But as far as now, we don't see new numbers.

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Senthil Kumar: And my last question, sir, on the raw material side, in the last quarter, you mentioned that we don't have a high cost inventory. But if I see this quarter, raw material costs as a percentage of revenue is still higher on both the sequential as well as y-o-y basis? Can you say what is the reason for that sir?

Srinivasan Ravi: No, that is mainly because of the product mix, it is not because of high-cost inventory.

Moderator: Thank you. We have the next question from the line of Jinesh Gandhi: from Motilal Oswal Financial Services.

Jinesh Gandhi: A couple of questions from my side. One is if you look at the margins for, EBIT margins for aluminium and industrial, we have seen a good evolution on Q-o-Q basis with the third quarter. So are there any one-offs in the aluminium business, the margins have improved from 4% to 11.4% of the sales and now normalization of all the costs on the op cost, which is now reflected in the fourth quarter?

Srinivasan Ravi: No. I think what I would like to mention here is that, it is not based on one-off that is pretty clear. I would say that the -- if you look at the capacity utilization. Utilization for aluminium has improved on the overall. I think I just speak to the numbers from the -- I think we look at the net block to -- yes, I have this number now. On FY 2022, for the full year, the value addition of aluminium business on the net block was 42%. For the year FY 2023, we ended up at 67%, so that is the value addition to gross net block on aluminium products. And Q4, value addition to net block has been 76%. Q3, it was 59%. So, I think the operating leverage is the main key for this improvement in margin in the aluminium segment.

Jinesh Gandhi: And if I look at the value add the numbers which you have given, so second quarter

was similar value add slightly better in this quarter. But despite that, margins look substantially ahead. So -- but the key point is that this run rate should sustain, if not improve as value further goes up with utilizations improve?

Srinivasan Ravi: There are two aspects to it. We had a little problem about aluminium prices dropping month-on-month a little. So, I think the

re is a small correction which has

happened in the previous segment now it has been pretty steady. So, we are not impacted by that, number one. Number two, the product mix also is passenger vehicle parts percentage has slightly improved and value add also improved, that is on two of the reasons. And the new products also have kicked in. I don't want to name customers, but we have started supplying to the EV also. These are currently coming at the normalized prices at the current levels.

Jinesh Gandhi: This is for EV for two-wheelers or for passenger vehicle?

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Srinivasan Ravi: EV for two-wheelers. So, we are saying that we are getting new orders and new orders have been quoted in the last year or two or something like that at the current trend of the prices which is there on the current operating costs. So, I think product mix is improving, and we will continue to see further improvement also. You can see we see the lower end of the two-wheelers, again, I don't want to make names here. There are significantly going down even the 100 CC vehicles are going down. So, new models are being introduced as 125CC. So there are-- the product pricing also of the two-wheeler segment, I think you have seen the 44% or 45% increase in the cost of the vehicle, some things are due to the new technology getting introduced. But I think there is an upgradation of the vehicle as a whole. So, I think the -- and the EV also has come into the picture. It's a combination of many things, but they are exports -- not exports, domestic business started.

Jinesh Gandhi: Okay, okay. And similarly for Industrial business, also, we have seen a good margin evolution. So, -- is that also linked to increased value add and increased utilization?

Srinivasan Ravi: There are two aspects to this area. Normally, we have one stop capital goods sales from -- to our customers wherever there is order because gestation period there is long, three months, four months, something like this. And also the high-end storage solution business, that is the automated storage solution business has seen some upswing and the exports also have done reasonably in 1Q.

Jinesh Gandhi: Got it. Okay. And what was the revenue for automated state solution for the full year.

Srinivasan Ravi: For the year, we have done INR376 crores in the storage solutions. In that automated has been 110 and the static storage like has been 265. So there's a significant change from year-on-year.

Jinesh Gandhi: And the sub INR110 crores in INR50 crores in FY 2022?

Srinivasan Ravi: On the automated storage, the previous year would have been, I think, has some half of this is what I guess, we will give the numbers. Totally itself, I think we were at INR 253 Crores and mostly towards static.

Moderator: So does that answer your question?

Srinivasan Ravi: Not fully, but I think the will trace the number. I think I'll get back to you during this call.

Jinesh Gandhi: Okay. Sure. I'll come back in queue.

Moderator: Thank you. The next question is from the line of Pranay Roop Chatterjee from BCMPL. Please go ahead.

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Pranay Chatterjee: So my first question is with regards to overall revenue growth, and I'm seeking more -- so basically, last year, you had consistent maintained a guidance of 20% revenue growth across segments. And I think you have more or less met that, except probably powertrain over the last couple of years. Now when we look ahead in FY 2024, -- in terms of the auto end segments, market commentary suggest probably high single-digit or low double-digit growth especially in tractors and your primary MHCV segment, which has a high base effect right now. So I'm just wondering, across segments, can you just qualitatively comment on that 20% growth guidance would you like to adjust that? And what would drive growth in each of the segments individually. If you could just help us.

Srinivasan Ravi: I think -- thank you that's a ve

ry important question. I'll just try to read out the numbers now, first of all, we had grown on the top line, on the powertrain last year vis-a-vis FY '22 by 32% on the powertrain, 34% on the aluminium products and industrial engineering was 42%. Having said that, as a company, we have top line revenue has grown by 35%. But in my opening statement, I had mentioned the value addition has improved by only 27%. That is a real growth, what we see as a company. But all the segments have done more than the 20% to have an average of 27%. To put a number correctly, auto powertrain has grown by value addition by 24%, aluminium products by 27% and industrial engineering by 38% totalling to giving the exact weightage of each of the turnovers.

As a company, we have grown by 27% on the value. So the number, whatever we say, going forward also, we'll be growing 20% year-on-year on the value addition on each of these segments. What is driving the segment is the marginally, maybe the growth in the existing product ranges or existing customer volumes. Yes, it is also new product ranges and new customers which are getting added, which have been ordered have been secured long back. So these are the two key points, which will drive even in the FY24, the 20% value addition growth in each of these three segments.

Pranay Chatterjee: So regarding this, in your aluminium segment, regarding the large PV clients that you won, Stellantis, I think, any update on that order, when that would scale up? Because I think that would contribute to a significant growth if that scales up this year?

Srinivasan Ravi: Yes, it will be scaling up in Q3. Already it's production started, number one, and the other domestic SUV manufacturer, where we are also supplying some critical items that is also starting by July, the production. Already the engine parts are under validation. So it will, Q2 onwards, we will see upward trend. I think Q3 will be quite a high peak with all the passenger vehicle segment business also increasing.

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Pranay Chatterjee: Got it. Got it. My next question was on DR Axion. So I remember in the last call regarding the acquisition, you had mentioned April to January 2023, the sales were around INR890 crores. And gross margin was averaging 32% and EBITDA margin was at 14%, but if I look at your two-month numbers, which you also called out, if I look at the delta between your standalone and consol numbers, the margins seem to have gone down a bit, 27% GM and about 11% EBITDA. Firstly, is this correct what I've calculated? And number two, what is the reason for this?

Srinivasan Ravi: What numbers you are stating is correct. The -- actually, it's correct. But there is an explanation to the pass-through on some of the die investments which has been done in March, quite significant portion, it's a pass-through, it is not part of the sales. If you remove that and then look at the -- also the migration into the new accounting system, totally overall a little, so I think the margins will normalize at the -- even in Q1 at the -- we are talking about whatever is the 10 month figure. There will be no change in that. So I would say that the dies what we received is exactly a pass-through to the customer. So that has only inflated the top line for February and March because we're looking at a smaller two-month period and trying to -- and that number has upset the ratios same.

Pranay Chatterjee: Got it. And a couple of very quick data-related questions. You mentioned the value-added number. I assume that the aluminium products value-add number does not include DR Axion for two months.

Srinivasan Ravi: No. Whatever I'm talking about is always standalone.

Pranay Chatterjee: Okay. And in Q4, can you please split out storage versus industrial? That's the last question.

Srinivasan Ravi: Yes. Total industrial for FY '23 has been INR713 crores. Out of that, the storage solutions has contributed INR37

6 crores.

Pranay Chatterjee: Got it. Okay. Great. Thanks a lot. I will get back into the queue.

Srinivasan Ravi: Thank you.

Moderator: Thank you. We have the next question from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda: Sir, could you share the growth outlook for all the three segments for FY '24?

Srinivasan Ravi: Yes. We will do a 20% growth on value addition, maybe 22% to 25% on the top line on Auto powertrain. Aluminium will be slightly higher because there is norm on the value addition portion of course, more than 20%. But on the top line also, we will be growing at 25%. Industrial and engineering also in a similar range, the 20%, 25% growth will be there on the -- both on the top line and value addition.

Pritesh Chheda: Just on the aluminium side. So when you look at this quarter, there is this merger(acquisition) of this for two months, right?

Srinivasan Ravi: No, the consolidated standalone, it will not be there.

Pritesh Chheda: Consol, consol.

Srinivasan Ravi: Yes. Consol, there is a merger (acquisition), yes.

Pritesh Chheda: Consol, there is a merger (acquisition), right? So when I look at your top line for the -- yes, for 12 months, it is about INR935 crores, in which INR196 crores comes from consolidation, right?

Srinivasan Ravi: Yes, you're right.

Pritesh Chheda: Right. And then there is a 10-month consolidation, so there would be INR1,000 crores odd consolidation, which has to flow in next year?

Srinivasan Ravi: Yes, correct.

Pritesh Chheda: Right, so INR1,000 plus INR935 crores that itself gives you about INR1,900 crores type top line and whatever you grow on that? Is that...

Srinivasan Ravi: We will grow at least more than 20% in Craftsman and maybe 10%, 15% in DR Axion.

Pritesh Chheda: Okay, okay. Done sir. Thank you very much.

Srinivasan Ravi: Thank you.

Moderator: Thank you. The next question is from the line of Yash Agarwal from IIFL Securities. Please go ahead.

Yash Agarwal: Hi, sir. Could you just give some guidance on capex for FY '24 for the core business and for DR Axion separately?

Srinivasan Ravi: DR Axion, maybe it is too premature for me to tell. I think, but the numbers will be maybe around INR30-odd crores something like this is what we expect for DR Axion totally. And or maybe less sir, I'm not sure there not much change in that. It's not a significant number. On the Craftsman stand-alone, I think that we are having depreciation of around INR220-odd crores. I think we are looking at overhauling some of the old equipment for refurbishment and also making it semi-automated in certain cases of material handling.

So we'll be looking at -- we are preparing for FY '25, so we'll be looking at INR320 crores or INR330 crores capex, if we are growing at this percentage. So the actual delta capex, which is adding to the net block, I would say, net block will raise by, say, around INR100-odd crores overall. But whereas the -- our top line or value addition will be growing at above 20%. So we are getting -- improving ROCE as we move forward.

Yash Agarwal: Okay. That answers my question. Thank you.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.

Jinesh Gandhi: DR Axion, what would have been the value add for the reporting period?

Srinivasan Ravi: See, the value add is calculated differently because I don't want to now confuse the entire activity. There is -- it is a foundry-based business, while Craftsman is also foundry based, but we are not much in the sandcasting mostly in the HPDC of course, there is gravity. But this -- DR Axion uses a lot of the cylinder head business, which is a little -- the consumables are also quite high, apart from the raw material aluminium. So we'll arrive at a level number how to state this going forward because cylinder head is a very critical part and a lot of

very critical sand and chemicals are used there.

There are some imported sand also used there, which is also partly consumable, of course, recyclable, but chemical is there. So we need to come to the exact percentage. But you asked me on the basic raw material, we are on the aluminium front. We are in line with whatever the current operational level, slightly better than the operational level of Craftsman because it is a high-end product, if we look at it.

Jinesh Gandhi: Okay. Okay. And considering that in this quarter, we had some die related pass-through impact. Any sense just for that, how would have the margins -- EBITDA margins of DR Axion.

Srinivasan Ravi: I think it would have been closer to around 13% is my feel. After taking over, we may have done, I will not say use a word, which is strong, but I think some accounting practices and how they do the inventory calculation, everything, we

have to be aligned with Craftsman because, we have gone or we have moved to ERP, Oracle ERP as of April 1st. So we have to align with that. So there can be some adjustments and the period is too small and very small things have taken an impact on. That is what I feel. It's a one-time operation.

Jinesh Gandhi: Right. And DR Axion for FY 2024 once we have full control, do you think we should be doing EBITDA margins upwards of 14%, 15% in FY 2024 or that will come little lag?

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Srinivasan Ravi: No, in FY 2024, itself, will be in the region of 14% to 15%. Only in case of very adverse commodity movement because, there the prices are settled on a trailing quarter, so I think you understand that. So if there is any big adverse movement, we have a decent inventory after we have taken over. In ERP accounting, we have the average inventory value. So I don't think it will be abruptly changing just like one day to another, but I think even that we can withstand even then I say that it will be upward of 13%. And if the aluminium pass-through is more perfect, it will be in the region of 15 plus.

Jinesh Gandhi: Okay. And do you expect DR Axion to grow at above 15%, 20% in FY 2024? I admit that number.

Srinivasan Ravi: It is too early to say that the 10% to 15% is a given, given the product mix and the customer base, whatever is there. One of the customers is looking at setting up one more new plant in the Western region. There is a new plant because there are a lot of capacities in the Chennai plant. If that happens, and this is awarded to us, I think and when the production starts, if the production starts, in the financial year, we may see better growth. But we know that customers are limited by their own capacities and customers are also improving their capacities. And we are talking about only three customers for DR Axion. So that is a limitation, which is -- will now limit the growth directly in proportion with the customer growth.

Jinesh Gandhi: Right. Right. And what was the utilization for DR Axion for fourth quarter?

Srinivasan Ravi: We are operating at around 80% on the installed capacity as of December 2022, but some capacity, which has been invested by the earlier management has come into operation only in the late part of Q4 and some is coming into early part of Q1.

But as some conscious step, we have already whatever I mentioned the capex of around INR35 crores, something like this for DR Axion, we factor in a capacity increase of another 10%. So we can have a headroom capacity in July by 20%.

Moderator: The line for the current participant in the queue seems to have disconnected, sir.

We will proceed with the next question, which is from the line of Pranay Roop

Chatterjee from BCMPL. Please go ahead.

Pranay Chatterjee: Hey Again, I just wanted to confirm something with respect to the last question I asked you had mentioned that the Stellantis order is scaling up in Q3. And you also mentioned a Domestic CV Manufacturer. I hear correct, Domestic Commercial Vehicle Ma

nufacturers starting in July.

Srinivasan Ravi: No, no, no, domestic SUV manufacturer, we have come in as a second supplier for a critical part. That is under validation, the engines are under validation will be starting production in July.

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Pranay Chatterjee: And so I just want to tie this to order win of 150 crores you had mentioned, couple of quarters back I think in aluminium. What is that for and when would that start?

Srinivasan Ravi: That is what I am now discussing in July, but everything is related to as a second supplier, we need to understand that if the volume growth is not as per the customer anticipation, we may not be able to deliver. But we are confident today the customer is bullish. So it will happen in Q2. It is the same order in which I am talking about.

Pranay Chatterjee: Got it. And one last question is, I understand your overall growth guidance of 20% plus across segments for the year. My question is more with regards to Q1 and Q2 up next year. So in April we already have seen MHCV volumes declining by 78% both for Tata and Ashok LeyLand because of the up-fronting of demand because of new fuel norms. So how do you see the remaining two months and even Q2 playing out in terms of volume? Do you see your growth in the MHCV portion at least flattening or maybe showing a decline on Y-o-Y basis? So how do you expect that to shape up in Q1 and Q2?

Srinivasan Ravi: The supply I mean the one good thing is about the product stock in the market or

the retail is not much. So that way I don't see any drop in Q1 and Q2 but I am very bullish about Q3 and Q4. Q3 itself I am bullish on commercial vehicles.

Pranay Chatterjee: Got it. Thank you very much.

Moderator: Thank you. The next question is from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda: Just a follow up. Is there any change in or increase in the working capital cycle because of DR Axion or is it that naturally the working capital cycle for us has gone up because what I see is that the cash conversion cycle for your company between FY '23 and FY '24 has gone up by 20 days. Is this the new number that we have to take or there is anyone else?

Srinivasan Ravi: The cash conversion cycle has come down from 60 days to 56 days for standalone craftsman but I think you may be looking at the consolidated -- no, consol as I mentioned they were having few, three to four days of raw material inventory which we think it is not the right thing going forward given the fluctuation of aluminium trailing quarter correction of the alloy prices. So we have raised the inventory to close to a month now.

Pritesh Chheda: Sorry, we have erased?

Srinivasan Ravi: No, we have raised and improved. Increase the stock of raw material from three days to four days to now to 30 days.

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Pritesh Chheda: So then your working capital, cash conversion cycle will go up further in FY '24?

Srinivasan Ravi: No, it is only for DR Axion it is not for Craftsman. Craftsman cycle has come down from 60 to 56.

Pritesh Chheda: I am looking at inclusive, I am looking at the consol.

Srinivasan Ravi: No, it is already done. Already inventory has, as of March the inventory has increased, no further inventory increase.

Pritesh Chheda: So which means this is the new increased Craftsman consol number. We will see a higher net working capital cycle?

Srinivasan Ravi: No, I think what is misunderstood is we have only two months we have calculated. The inventory is, we have taken only two months consolidation for DR Axion. So that is only upsetting the number.

Pritesh Chheda: Okay, okay sir.

Srinivasan Ravi: But if we look at one year number, it will be negligible. Even this number will further come down. I think on a consol basis, the 56 days we may come down because of DR Axion. DR Axion is holding lesser inventory than Craftsman.

Pritesh Chheda: So we will operate at 55 days and lesser as w

e see the next year's number.

Srinivasan Ravi: Yes, correct. Correct, sure. On a consolidated basis.

Pritesh Chheda: And how much debt repayment is possible next year after doing your INR300 crores capex?

Srinivasan Ravi: The financial cost I think will be on a consol basis. You are asking for a consol basis, right?

Pritesh Chheda: Consol, sir. Consol?

Srinivasan Ravi: Consol, I think all financial costs including lease rental, everything around INR175 crores, totally. No, no, 150 to 160, right?

Pritesh Chheda: That's the debt repayment you will do next year?

Srinivasan Ravi: No, no. I am talking about the financial cost outflow. So that is an outflow and tax outflow will be there. So depreciation is the day. EBITDA will grow in proportionate with the top line growth mostly. So yes, I think debt should come down by at least INR200 crores.

Pritesh Chheda: Perfect, sir.

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Srinivasan Ravi: On a consolidated basis.

Pritesh Chheda: Perfect, sir. Thank you very much.

Moderator: Thank you. We have the next question from the line of Prolin Nandu from Goldfish Capital. Please go ahead. We have the next question from the line of Devang Patel from Sameeksha Capital. Please go ahead.

Devang Patel: Hi, sir. On DRAIPL, if you can repeat for FY '23, what was the normalized gross profit and EBITDA margin? And what is the peak revenue margin that we are looking at here and other than operating leverage, what do you need in this business?

Srinivasan Ravi: No operating leverage will -- is improving month on month. I don't think the capacity

will also get utilized by September. Full capacity will come into operation. The orders are sufficient enough. And for the full year, I think we have closed it around 14% EBITDA. Yes.

Devang Patel: And the peak revenue we can do with the capacity?

Srinivasan Ravi: Capacity utilization has been... We look at December capacity, it has been 80% but some capacity has been already added in Q4. So looking at that, we have a headroom for growth by another 20%-25%.

Devang Patel: So the company was doing 17% EBITDA earlier if I am not wrong. So can we reach both levels in the next two years?

Srinivasan Ravi: Can you please repeat?

Devang Patel: Can we go back to 17%-18% margin in this business?

Srinivasan Ravi: There has never been 17%-18% margin in this business. It has been, I think, at a lower level. And I think, realistically, between 15%-17% is what we can look at it in a good year where capacity utilization is better. And of course, it depends on how we do cost management also. It can do better also. But I think 14% is the base what we are looking at and 15%-17% is normally achievable if there are no big end-way headwinds. And beyond that, it will be management and operational efficiency, I would say.

Devang Patel: Right, sir. And as you mentioned, EBITDA is one of the main agents for which you looked at this company. So how soon could we be looking at orders for passenger vehicle EV business?

Srinivasan Ravi: I cannot disclose anything, but we are already in discussion for parts for EV, for passenger vehicle from DR Axion, or through DR Axion.

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Devang Patel: This will be for domestic market or for exports also?

Srinivasan Ravi: No, it is for domestic market, I think, yes.

Devang Patel: Okay. And you also mentioned for electric two-wheelers, you got some orders.

What is the content per vehicle of these orders? What is the potential here?

Srinivasan Ravi: I will be upfront, open and little, sorry, I will be little blunt. Today, the numbers are small. Even you look at the leading players and the content on aluminium for the addressable market what we are in is also small and the value addition on machining is also small. So today is not contributing. What we are trying to say is that we are capturing the business. So we will continue to increase our trend. The conventional two-wheeler business is also coming back on certain

segments

because post subsidy there are some fears about the cost and the total cost of ownership, not the running cost alone. So we are confident that the aluminium business will continue to grow as of now. So I think it is too early to talk about two-wheeler EV. We have to see it only after the FAME subsidies are completed.

Devang Patel: Okay. Sir, there is some news today about a panel talking about banning diesel and LCVs in cities. Do we have any diesel, LCV exposure in our book across the two segments?

Srinivasan Ravi: Diesel, LCV or?

Devang Patel: Diesel vehicles, not the LCV, but other than the LCV in the light commercial vehicle?

Srinivasan Ravi: Light commercial vehicles are all diesel. There are CNG, there are LNG. CNG is there. Yes, many of them will move to CNG. But we are not worried about that because either way the engine is required, the axle is required, the gearbox is required. I think for us it doesn't make any difference.

Devang Patel: Fine, sir. That's all from my side. Thank you.

Srinivasan Ravi: Okay.

Moderator: Thank you. The next question is from the line of Sushrut Gokhale from Caprize Investments. Please go ahead.

Sushrut Gokhale: Hi, sir. Can I get the number of V-store in Q4 and the revenue from the same?

Srinivasan Ravi: No, I think that will be competitive data which I will not like to share. But we are by far the market leaders and the automated storage also. We are among the top two domestic players in the market. So this is very important in the emerging market. We will not like to, when it becomes a bit more mature in a couple of years, I would like to share data.

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Sushrut Gokhale: Thank you, sir.

Moderator: Thank you. The next question is from the line of Prolin Nandu from Goldfish Capital.

Please go ahead.

Prolin Nandu: Yes, thanks a lot, sir, for giving me this opportunity. So a couple of questions on DR Axion. Now you mentioned that DR Axion only has two to three customers, if I am not wrong right now. We have a lot larger customer base. So how will this growth selling happen between our company and the DR Axion? I mean, can you help us understand the pathway for the same?

Srinivasan Ravi: Yes, I will explain the first business. The craftsman business is predominantly high-pressure die casting, followed by gravity and very low pressure in the low-pressure die casting. And industrial aluminium products which are there is also the aluminium products, is just sand casting. So whereas DR Axion is 80% on the gravity die casting and 20% on the low-pressure die casting is exactly complimenting or it is giving the benefit of scale on the low-pressure and gravity. So I think the high-pressure die casting, which DR Axion doesn't have any facility within India, but of course they have capacities and capabilities and facilities in Korea, that will be leveraged on in Craftsman's facility, whatever order comes in Craftsman's way or DR Axion way.

I think but technology will be used both from Craftsman's side and from DR Axion side to execute the orders, which gives a lot of comfort to the customer. One added point, which is a little hidden from the public view of the market, is that DR Axion Korea has been one of the key suppliers for the EV passenger car vehicles in all the segments of the technologies of the aluminium manufacturing, including high-pressure die casting and low-pressure die casting and gravity, so that confidence of the end customer is there whenever they need to ramp up in India. I think DR Axion and Craftsman's combination will have the benefit of the confidence of the customer, I would say.

Prolin Nandu: So what I understand is that some of these Korean customers are already using imported material in their EVs right now, which can be ultimately substituted with our combined entity. Is that the right way to look at it?

Srinivasan Ravi: No sir, I think we have to look at it differently. They have just done see

ding with the

models on the high-end models, which are totally made in Korea only. They are not made here, so there is not import of parts and assembly here. But there is a plan for, there is not a plan, it is a plan in action already under implementation for ground-up EV designed for Indian market and to be manufactured in India, so that is where we are targeting.

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Otherwise those numbers will be miniscule numbers which have been already marketed in India. The names, whatever you are thinking about, I think they are only in seeding numbers. Those products will remain high-end and too costly out of reach of the common man. But the product is on the existing platform vehicles, which are already being produced in India on the IC platforms. And these manufacturers are far, far ahead on the game, there have been many years I think on the EV game. So they have made assembly lines already compatible for EV, plug-in hybrid, hybrid and IC engines.

And these vehicles will be launched anywhere between from now onwards to '24, I think 18 to 24 months is realistic to look at it. So those are the products which are being, otherwise the import substitution on the current products with the customers will not do, the OEMs will not do because the numbers are miniscule and they will be continued to be imported. And those models are not cost-viable in India also.

Prolin Nandu: Sure sir, that is very clear. And in the previous question you mentioned that this opportunity of EV within DR Axion, right? So is that again for the low-pressure die-casting or is that something which the parent of the existing DR Axion was maybe manufacturing and that we have access to at whatever royalty rate of around 2.5% if I am not wrong?

Srinivasan Ravi: Yes sir, royalty will come into place with the technology, whatever is being done on the technology being used on this low-pressure die-casting or new products are being developed at DR Axion, it is a total of 2.5% which is the stated number. What I am trying to say is DR Axion in Korea is having high-pressure die-casting, low-pressure die-casting and gravity and they also have some squeeze technology which is patented totally, they have 4 technologies, totally. In India they are only in low-pressure and gravity whereas Craftsman is also in high-pressure. So we may do the parts according to the technology required to do the parts either in DR Axion or in Craftsman. How it plays and how we are going to manage the development process? We have to develop on part, we have to look at part on part and then we

take a decision on this.

Prolin Nandu: Sure sir. So now sir, coming back to our core business, the standalone entity, you know, typically you do a capex of around INR250 crores to INR300 crores, that is our run rate. Could you break up this capex between how much would be maintenance and how much will it add to the actual capacity?

Srinivasan Ravi: I will answer that with first the financial numbers so that you get a better view of how efficiently we are doing the capex. I will just look at the value addition to net block which is the correct number to look at it because some of the equipment are more than 15, 20 years old. So we look at it for FY '22, we have reached a level of net block to value addition 78% totally.

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Prolin Nandu: Is it value addition to net block or other way round? I am sorry sir.

Srinivasan Ravi: Value addition to net block as a company. 78% right. 78% and for FY '23 we have ended the year at value addition has been 92% of the net block. And going forward we will be going beyond the 100 number. To give one example is for FY '22 the auto powertrain value addition has been 106% of the net block.

For FY '23 it is 103% you have seen a dip but I think that will get corrected because depreciation is very high on the auto powertrain, which is the biggest and oldest segment of the capex related business, I would sa

y. So we are creating some headroom there. So we will be moving as a company to above 125% in the time to come on the value addition to net block. So that answers the question of improving ROCEs as we move forward.

Prolin Nandu: Great. So that clarifies the question. And sir, in basically again coming back to our core business, are there -- I mean, one of the large product is -- one of the large customer is Daimler in some time, which is like a deemed export for us, are there more such orders in the pipeline where the share of deemed export can increase going forward in the next three years to five years without leaving the customer, but are we working on those kind of RFQs, are we working on validation for those kind of orders?

Srinivasan Ravi: Yes it is happening or we have multinational within India who set up plants or just beginning to start their trial productions or in a stage of ramping-up. All those orders are with us. Both in the construction equipment, in the SUV segment, in the farm segment, is our multinational companies. And more-and-more companies are setting up base here. And this I would say, Make in India policy of the government is also helping us in a great way. The China Plus One policy is really playing out now and we are very small.

I mean, I will answer your question different way. It is simply we are as Craftsman, we are simply too small to grab any big opportunity. So we continue to increase our capacities keeping an eye on improved ROCEs. We are not going to make any rash big decision making. But I think, there is enough head room to scale up the company in all the three segments of the business.

Prolin Nandu: Sure sir. That is very clear. Thanks a lot sir. I will come back in the queue some more questions. Thank you.

Moderator: Thank you. The next question is from the line of Joseph George from IIFL Securities. Please go ahead.

Joseph George: Thank you. Thank you for the opportunity. So just one question. You mentioned that you target growing 20% across categories, I mean across the three segments. So in the power train segment, when you look at the end market such as tractors,

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construction equipment etcetera, you mentioned that things are soft. And similarly, MHCV segment on a high base of a 50% growth last year. The expectation is that it might grow 10%, 12%. So if the underlying industry growth volumes are going to slow substantially compared to last year? How do you target getting towards 20% growth in the power train segment?

Srinivasan Ravi: Okay I will go on the power train segment, segment-by-segment. First I will talk about the simpler segments from the tractor. It will be flat or negative this year this is what is our opinion, but the contribution of farm sector to the entire power train will be around 20%. So I think, we have added some more new customers so still we will be growing marginally.

On the passenger vehicle segment which is insignificant looking at it for the power train, which is even if you look at the year FY '23, we are only at 10% of the power

train business. There we are significantly growing with our key domestic customer who is scaling up their vehicles for selling well and they are in the second phase of increasing expansion.

Now off highway vehicles has been already muted in the last financial year. And we see some traction coming back from Q3 onwards, which we are pretty confident. So we will see growth on the off highway.

Commercial vehicle business, we have grown significantly in the last few years.

There, the trucks which are getting sold now I think, we may be aware that a 15-ton trucks is gaining a lot of traction, overall. So the value addition per truck on the higher tonnage trucks is better for Craftsman so this is one of the key factors.

Second thing is about the deemed exports is also increasing there. And plus, the engine also has moved to higher horsepower. You might have noticed t

hat 230

horsepower, 250 horsepower, 280 horsepower is now declining in sales and 280 horsepower onwards now up to 300 horsepower, 350 horsepower is gaining traction. There also these are 6.7 litres engine or 7- litres engines earlier it was 5.6 litres and 5.9 litres. So there also we are having higher value addition of the bigger engine capacities. This is also giving the growth in sales for us, revenue for us.

Joseph George: Understood, sir. Thank you for that.

Srinivasan Ravi: On top of it, sorry, I failed to mention on the off highway vehicles and also the diesel generating sets. The multinationals are setting up stronger export basis. We have one, two or three major orders which we will see production starting from Q3 onwards. Orders were one years around two years, 1.5 years ago and these are multinational American companies mainly. I think there, we will see traction from Q3 onwards. These are not for commercial vehicle, these are maybe for generators or for construction equipment for overseas markets.

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Joseph George: Understood, sir. Thank you.

Moderator: Thank you. The next question is from the line of Abhishek from Dolat Capital.

Please go ahead.

Abhishek: Sir, in power train business, how was the mix in FY '23, in terms of the commercial vehicle, passenger vehicle, tractor and off highway vehicles?

Srinivasan Ravi: Yes, commercial vehicle was 55%, off highway 20%, tractor 15% and passenger vehicle, mainly the SUV is 10%.

Abhishek: Okay sir, I am sure you had one new business from the PSA. So will it be the part of the standalone or it will be under subsidiary?

Srinivasan Ravi: No, it will be standalone, it will be on the aluminium products business.

Abhishek: Okay. And when it will be reflected?

Srinivasan Ravi: It is started in a small way in Q3, it will start reflecting on numbers.

Abhishek: So what is the current mix in the standalone aluminium business in terms of the two wheelers and passenger vehicles?

Srinivasan Ravi: The aluminium business, the mixture of two wheelers. Yes. In aluminium business, the percentage of commercial vehicle is 10%, two wheeler is 56%, passenger vehicle is 2%, others 22%.

Abhishek: Thank you sir. And my last question is related with the tax, this quarter tax has gone down 12.4%. So have you got any benefits because of the consolidation of the DR Axion? And what would be the effective tax rate in FY '24, ahead?

Srinivasan Ravi: So, we have adopted permanently to the new tax rate and this will continue, we cannot go back to the old tax rate, we have done our calculations that we do very, very big capex only, we stand to lose from the tax, otherwise we stand to gain as a company. So I think, we have gone to the 26% tax rate, this is a permanent move.

Abhishek: Okay sir, thank you sir, that's all from my side.

Moderator: Thank you. The next question is from the line of Pranay Roop Chatterjee from BCMPL. Please go ahead.

Pranay Chatterjee: Hey, couple of data points, could you help me with the gross block numbers for Craftsman and DR Axion for FY '23 end?

Srinivasan Ravi: There we have to take it with a pinch of salt because when we moved to Ind AS, I think in 2016 or 2017, I'm not sure, that time the net block became the gross block.

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So the real gross block is standalone for Craftsman, its more than INR3,000 crores, but what appears as gross block in our last three years, four years in our balance sheets, I will just read out the number of gross block.

The correct number is INR3,600, it will not appear in the gross block, but in Ind AS, what is showing as the gross block now? So that is the -- Craftsman standalone gross block, the actual number is INR3,135 crores, DR Axion is around INR500 crores, so the actual gross block is INR3,600 crores, but what will appear in the balance sheet for Craftsman will be lower than the INR3,130 crores, which will be 2800.

Pranay Chatterjee: Got it. Next is on the

employee costs. If I was looking Q-o-Q, last quarter, the employee cost was INR58 crores, after two months of DR Axion consolidation, it has increased to around INR61 crores. And as a percentage of revenue has gone down. So has the entire two months -- so is it that DR Axion operations are less employee intensive, is that the reason it has gone down as a percentage of revenue?

Srinivasan Ravi: See, it is a foundry business, so more of this, it is coming under the contract, and it is only two months which has been added. So we have more of permanent people and we are less of contract, so I think there it is more of the job contracts which are there, on the activities which are there. So that will be a distortion of the actual outflow towards manpower cost. As you know, the total manpower cost is between 4% and 5% of the top line, direct and indirect, both put together.

Pranay Chatterjee: Got it. And if I see, DR Axion's employee strength, I don't know which number is this, FY 2022, the number I got is 387, is that contract plus permanent, or only the permanent?

Srinivasan Ravi: No, that is only the permanent people, it is not the contract.

Pranay Chatterjee: Okay, and where would this 387 be in March end 2023?

Srinivasan Ravi: It has been around the same number, there is no significant change. There may be 5%-plus-minus, that's all.

Pranay Chatterjee: Perfect. Thanks a lot.

Srinivasan Ravi: We have to add to whatever questions you are asking, consciously Craftsman, standalone and in the future DR Axion also, which we will implement, is that to keep the headcount around the same level which you have succeeded for the last, at least in Craftsman, we have succeeded for the last two years, three years. Because of the judicious investment, because inflationary cost on the manpower cost is the most difficult, skill manpower is availability is a problem, and this is a fixed cost and in fluctuating markets, there is a big drain on the EBITDA margins.

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So consciously, we don't want to increase the headcount, we are investing a little for automation, more modern machinery, better work practices to keep the headcount at the same and keep the growth. So what is the real increase in the outflow of Craftsman's salary is more related to the wage increases.

Pranay Chatterjee: Perfect. Understood, sir. Thank you.

Moderator: Thank you. The next question is from the line of Ruchit Shah, an Individual Investor. Please go ahead.

Ruchit Shah: How long would the growth runway of 20% be available to us before the growth kind of starts moderating or slows down?

Srinivasan Ravi: We have clear visibility for at least three years, that is very clear. And I am confident about six years for the simple reason is the geopolitical situation and the market in India is growing after many years of subdued growth, infrastructure is going to grow, the people's aspirations are growing and plus this, China Plus One is, we are still very, very small compared to the global footprint. And if I may say, my learned audience will know better, they are more glued towards the entire global, but I just want to throw a number, it might not be very accurate, but China contributes 45% of the global GDP -- for manufacturing GDP I would say, and India contributes 5% of the manufacturing GDP for the global.

So I think, we have a good headroom for 50% or 100% growth in manufacturing in the country. So as Craftsman, I think the opportunity is much more, not everybody will be trying to grow. I think we are still very, very small in the global size. So I would say that six years is very clear and 10 years is, we cannot, I am bullish on the 10 years also, but to investors, I would say, three years is firm and six years is surely achievable and we are working towards 10 year growth.

Ruchit Shah: Great, that's great to hear. Just on the safer side, what are the -- what would be the possible scenarios where that might

see as a challenge?

Srinivasan Ravi: I think, thanks for asking the question, you touched upon a very touchy subject, but

important subject since you asked the question, I think that is fair for me to answer it correctly. I think we are facing some headwinds on the raw material supply of castings. We are still working with our foundry partners, we are trying to leverage as much as possible relationships and grow.

Yes, we will continue to grow there, but we may be forced to a little backward integrate, but we do not have any impact on our P&L or ROCE or anything like that, but if it is going to hamper our auto-powertrain growth. Aluminium we are totally fully integrated, right, top to end to bottom, but on a cast iron it's impossible for us to be fully integrated. We will cooperate, we will work with our foundry, esteemed foundry partners to grow their business and grow our business together, but if we

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find that this is going to be a bottleneck in our growth of 20% CAGR in auto-powertrain in the years to come, we may do little backward integration which we are fully capable of.

Ruchit Shah: Okay, thank you.

Srinivasan Ravi: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was our last question for today. I would now like to hand the conference over to Mr. Ravi, Chairman and Managing Director, for closing comments. Over to you, sir.

Srinivasan Ravi: Thank you all for patiently attending the conference and patiently going through the Q&A. And thanks to all of you that I had very, very important questions being asked to me. I think, we are going to be growing very fast as well as in very interesting times. The wind is blowing in India's direction, that far I can tell you. There is normal hurdles, infrastructural issues, which are there, but the government is focused, the whole world is looking at us. This is the opportunity for India growth story to happen. This, I'm confident for the first time that the opportunity is open for everybody on a level playing platform. Thank you very much.

Moderator: Thank you. On behalf of Craftsman Automation Limited, that concludes this conference. Thank you for joining us, you may disconnect your lines.

Call: Jul 2023

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28th July, 2023

To

The Manager - Listing, The Manager - Listing,
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Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call on the Unaudited Financial
Results for the quarter ended 30th June, 2023;

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015 and our intimation and
outcome letter dated 3rd July, 2023 and 24th July, 2023 respectively, we are enclosing
herewith the transcript of the earnings conference call organized on Monday, the
24th July, 2023 at 4.00 P.M. (IST) on the Unaudited Financial Results for the quarter
ended 30th June, 2023.

The transcript of the earnings conference call will be uploaded on the website of the
Company at www.craftsmanautomation.com.

We request you to kindly take the aforesaid information on record and disseminate the
same on your respective websites.

Thanking you.

Yours faithfully,
for CRAFTSMAN AUTOMATION LIMITED

Shainshad Aduvanni
Company Secretary and Compliance Officer

Encl: As above

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CRAFTSMAN AUTOMATION LIMITED
Q1 & FY 2023-24 Earnings Conference Call
24th July, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY 2023 -'24 Earnings
Conference Call of Craftsman Automation Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on a touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Ravi, Chairman and Managing Director. Thank you and over to you, Mr. Srinivasan Ravi.

Srinivasan Ravi: Good afternoon, everybody. It gives me immense pleasure in welcoming you all for the earnings call for the quarter ended 30th June, 2023. In Q1 FY '24, it was a mixed bag from the demand perspective with the signs of volume growth moderation in some segments, which has shown in the results. Demand largely was intact for two-wheelers and passenger vehicles, whereas volumes declined in the commercial vehicles because of the pre-buy, which happened to the OBD norms, which was pre-buy happened in Q4 of FY '23. And tractors also the volume was very muted and because of high inventory for the closing March '23.

We changed the format for today's discussion with -- we have brought the consolidated numbers upfront because it is a materialistic consolidation of the subsidiary. So, we will quickly run through the consolidated numbers, then we will elaborate on the stand-alone numbers.

Consolidated financial details. Sales is INR 1,038 crores and it is not comparable with Q1 FY 23 because the consolidation of DR Axion was not there. So, I will refrain from putting a percentage there. EBITDA also is INR 218 crores, EBIT of INR 150 crores, PBT of INR 107 crores and a PAT of INR 81 crores. I am not comparing with the previous year. For the simple reason, the subsidiary was not there.

Overall, I want to talk about the consolidated debt equity and other financial ratios, consolidated ratios. Debt equity is 0.88 times, debt-to-EBITDA is 1.51 times, EBITDA margin of 21%, EBIT of 14%, PBT 10%, PAT of 8%; current ratio of 1.17 times. ROC pre-tax annualized is 23%. ROE annualized is 22%, EPS is 35.25%.

Overall, I want to talk about the consolidated debt equity and other financial ratios, consolidated ratios. Debt equity is 0.88 times, debt-to-EBITDA is 1.51 times, EBITDA margin of 21%, EBIT of 14%, PBT 10%, PAT of 8%; current ratio of 1.17 times. ROC pre-tax annualized is 23%. ROE annualized is 22%, EPS is 35.25%.

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Now I will move on to the stand-alone financial. Turnover was INR 756 crores, 12% over and above the Q1 FY 23, which was INR 676 crores. EBITDA has been INR 166 crores, which is almost same as last year, which was INR 165 crores. EBIT of INR 108 crores, which is a slightly lower EBIT compared to the previous year, there was INR 112 crores, mainly because of two reasons: The depreciation which is below the EBITDA line and I will explain that later going forward. PBT was INR 73 crores and last year PBT was INR 86 crores, PAT of INR 54 crores versus INR 56 crores.

The other significant points, where CRISIL has upgraded the ratings of the company to CRISIL AA -/Stable for long term from the previous rating of A+ /positive and CRISIL A1+ for short-term from the previous rating CRISIL A1.

Capex for Q1 FY '24 stands at INR 81 crores to enhance technological upgradation as it is required for addressing the emerging opportunities apart from the regular maintenance.

The other financial ratios for the stand-alone debt-to-equity are 0.79 times for FY '23, it was 0.72 times. Debt-to-EBITDA was 1.66 times, FY '23 was 1.48 times, EBITDA margin 22%, compared to 23% earlier. EBIT margin, 14% to FY '23 of 15% and Q1 was 17% for FY '23, PBT, 10% comparable quarter, PBT was 13%. There is a difference year, which I will explain further. PAT of 7% for Q1, it was 8% earlier and for the full year, it was also 8%.

Now I will go to the segment-wise results. Automotive Powertrain segment turnover has grown by 10%. Aluminium segment has grown by 21% on the stand-alone. Industry Engineering segment turnover has grown by 6%. The Storage business generated a revenue of INR 78 crores for the quarter. Automotive powertrain segment EBIT was INR 84 crores. Aluminium segment EBIT, which has been the highest so far is INR 26 crores for the quarter. Industrial Engineering segment EBIT is INR 11 crores. To touch upon the subsidiary, some details of subsidiary, the turnover was INR 281 crores and EBITDA was INR 52 crores.

So, I will leave the floor open for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Dhaval Shah from Girik Capital. Please go ahead.

Dhaval Shah: First of all, congratulations to you and all the shareholders for crossing INR 10,000

crores market cap today. Great performance since listing. Sir, I have a couple of questions. Sir, first is, in the quarter gone by, which segment performed above to your expectations? And what outlook would you have for the next two quarters, given some sort of uncertainty is there in the export market and also CV sales, we

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are nearing expectations that we could be nearing the peak of the cycle. So yes, that's my first one.

Srinivasan Ravi: I will go segment -by-segment to answer your questions. On Q1, we knew earlier itself that it will be muted on the powertrain business. Of the four sub-segments in the powertrain, we are dominated by the commercial vehicle heavy-duty commercial vehicle business, which was muted because of the pre-buy, which happened in Q4 for the OBD norms, which was changing at that particular point of time. The next biggest segment is the farm sector also was muted because of the high inventory and construction equipment also was muted because the construction is not recovered fully. Only passenger vehicle was -- it held on its own for the Q1.

So, going forward, we see that commercial vehicle business will pick-up in Q3, not in Q2 and it will be quite strong in Q3 is the indication we get from our customers. And also, the additional point which I want to make is the heavy-duty commercial vehicle is in bigger demand than the upper medium-duty or the lower heavy-duty also. So, I think the tonnage is moving up because of the scale and efficiencies, which fleet owners are experiencing.

So, with that, we expect that the growth path will continue on the powertrain as I've been discussed earlier, we are expecting a 15% to 20% growth in the year for the entire powertrain business as a whole. We expect also construction equipment to pick-up in late Q3 or in Q4, at least on this matter. Tractors already is showing some signs of not growth, I would say, but coming back to normalcy on the powertrain business.

And the next segment of the aluminium business, as I mentioned in the opening remarks, the two-wheeler has been doing reasonably well. The shadow, which is glowing on the EV also. I think EV is somewhat stable now on the numbers. It is not growing in numbers. So, there is the confusion in the mind of the people to whether buy an EV or whether to buy an IC engine vehicle, I think that is more clearer now for them. So, we see some stability going forward in Q2, actually some growth in Q2 also on the two-wheeler business in the aluminium segment. In the passenger vehicle segment, both Craftsman as well as subsidiary DR Axion are accelerating on the increase in sales revenue and the order book is quite full. So, we will see quite a good traction in both the companies going forward in Q2. And then just continue to operate. Of course, Q3, there will be a small correction, but Q4 also, we expect very strong performance on the aluminium segment. In the Industrial and Engineering segment, which will be more affected by this slowdown, which you have talked about or when you are asking the question. We don't see any big impact for us for our direct exports, but our indirect exports, I think

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there is a slowdown a little. And I would say, this inventory correction, which has mostly already happened now. And going forward, I think the new products are also kicking-in now on our sales. So, we expect that growth to continue.

Dhaval Shah: What were the breakup in industrial & Engineering between storage and high-end precision?

Srinivasan Ravi: Storage, out of the total sales for Q1, it has been 47%, high-end subassembly and precision components has been 53%. So, storage has been more affected because of the slowdown here everybody has held by capex. But now for the Q2, I think the orders are far better than Q1. So, we will expect industrial engineering to have some sort of a rebound for Q2 itself.

Dhaval Shah: Okay. And on the aluminium segment, if you can share the revenue mix and also your comments on the EBIT margin. We are at 13.7%, if I am not wrong, for the quarter. So how do you see I mean this should -- I assume this was a very normal quarter in terms of the underlying raw material prices. And after we are changing our terms with the customer on the pass on.

Srinivasan Ravi: So, I think raw material is a pass through. So now we are -- our operating leverage has improved. If you look at even the stand-alone revenue of the aluminium

segment business, see, I think you are asking your question regards to aluminium segment business, right?

Dhaval Shah: Sorry?

Srinivasan Ravi: Your question is related to aluminium segment, right, only the aluminium segment, right?

Dhaval Shah: Aluminium. Yes.

Srinivasan Ravi: So, I will answer first on the stand-alone. On the stand-alone we had Q1 FY '23 that is up last year, we had an INR 171 crores revenue, whereas in Q1 of this year, it is have been INR 207 crores. And comparatively for just for your reference,

for

Q4 FY '23 it is been INR 197 crores. So, it is very rare that we will have Q1 higher than Q4 and this is still accelerating further going forward because new products have kicked in. And the passenger vehicle business also is growing in Craftsman stand-alone. Have I answered your question on the aluminium product to margins, it is nothing related to with aluminium pricing, but more on the operating leverage.

Dhaval Shah: And what is your revenue mix?

Srinivasan Ravi: Revenue mix for – you are looking at stand-alone or you are looking at...

Dhaval Shah: If you get both on the aluminium segment side, yes.

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Srinivasan Ravi: The commercial vehicle is 7% and two-wheeler is close to 70%. Passenger vehicle is slightly above 3%. And the others, we have around 20% totally, which is a mixed bag. But on a consolidated basis, today, the passenger vehicle is the biggest. So, it is as a percentage, it is, I think, close to 60%. Close to 65% is just a rough-cut number, I don't calculate the number. But on a consolidated basis, that is the number for the passenger vehicle.

Dhaval Shah: Okay. And sir, lastly, on the capex, so you maintain the same guidance, which you gave in the last call of around INR 320 crores, INR 330 crores capex?

Srinivasan Ravi: Yes, that is the capex plan as of now. I don't expect any major change unless we come up with something new, which I don't expect. But the capex, there is a strategy behind the capex of Craftsman, I would like to elaborate this. Three types of capex is happening. One is the main tenance capex. Our depreciation for the quarter is the current run rate is overall INR 58 crores is the depreciation for the quarter on a stand-alone. So, I think the depreciation, we look at it at a run rate, we look at it around INR 220 crores or something like that for the year, the maintenance capex will be INR 150 crores it is quite clear on this matter.

The balance, I mean INR 170 crores, which we have planned is a mixture of not only growth capex, but there is also a little of automation we have considered there. To offset the productivity loss which is happening due to seasonality of the manpower -- a subject which we are -- every company is subject to. And this also will increase our efficiencies going forward and that means capex going forward will be more effectively used.

You might have seen the annual report last year and the previous years, I think more or less, we have been just having the inflationary cost on the manpower, but the numbers in manpower have not disproportionately increased. So, we want to keep the same trend going forward. So, we have always budgeted and earmarked some maintenance capex, sorry, some automation capex, which we are mostly manufacturing in-house and some of it we are going from leaders in the market. We are taking their help to see that we use less people going forward for more efficient operations.

Moderator: Thank you. Our next question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services Limited. Please go ahead.

Jinesh Gandhi: Congrats on good numbers. Quickly, can you share the value-add for the -- each of the segments for the first quarter?

Srinivasan Ravi: Value-add for auto powertrain was INR 237 crores, aluminium was INR 86 crores and industry engineering was INR 63 crores.

Jinesh Gandhi: And INR 86 crores is stand-alone, right, for aluminium?

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Srinivasan Ravi: Stand-alone.

Jinesh Gandhi: Yes. And for DRA, what would be the value-add?

Srinivasan Ravi: INR 104 crores.

Jinesh Gandhi: Okay. And if I look at the Industrial segment, you alluded that there were some slowdowns on the storage solutions. So, do you expect that business to see

recovery in from second quarter afterwards, is that correct understanding?

Srinivasan Ravi: Yes, correct. Recovery is going to be a strong recovery

in the second quarter.

Jinesh Gandhi: Okay. But what led to impact in 1Q? Was there any particular orders which got delayed or anything in particular?

Srinivasan Ravi: Normally, capex budget is normally over during the Q4 itself. And if the market is growing very well, I think Q1 will some trend would have continued, but this wait-and-watch policy in general. But I think that is over now. Again, there we are continuing to invest now. So, the orders got in a little late in the Q1. It is getting received at now. So, we are -- it is fair to say that we are still on the growth path in the -- whatever we committed earlier, that 15% to 20% growth path on the Storage Solutions also for the current year.

Jinesh Gandhi: Right. And how much of this 47% will be effectively automated storage?

Srinivasan Ravi: You're talking about the revenue of the automated storage for the quarter?

Jinesh Gandhi: Yes.

Srinivasan Ravi: I think, I mentioned that the absolute number of the storage is INR 78 crores, right?

Jinesh Gandhi: Right, that's INR 78 crores, yes.

Srinivasan Ravi: So Jinesh Gandhi, I have answered that INR 78 crores for storage solutions, it is quite clear that last year, the run rate, I think, even for Q1, we are almost equal to that run rate. So, we will be -- having -- we are on the growth path.

Jinesh Gandhi: Okay. Would you be having breakup for automated storage in this?

Srinivasan Ravi: Okay. Automated was INR 19 crores and static was INR 59 crores.

Jinesh Gandhi: Got it. And if I look at the DR Axion performance primary consol minus standalone, we have seen a very, very sharp incremental margins obviously, last quarter may not be comparable just because it was first quarter of -- it is been under our control. But anything which you have changed, which is a structural, which would lead to structural improvement in margins?

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Srinivasan Ravi: You are talking about the Q4, two months consolidated versus the Q1 now, totally?

Jinesh Gandhi: Right.

Srinivasan Ravi: 1st February, is when this subsidiary was -- the management change happened 1st February. So now I think, the synergy is playing out between two companies, these trends are playing out. There is better leverage on all operational costs, including the consumer and other aspects and there is support from our side also for technicality, which is also helping the efficiencies going forward. And we have also increased, improved our inventory from a very low inventory. So, it is also helping us to save on material costs overall. So that we will not be subject to very quick changes in the aluminium price fluctuations. It was very low inventory when we took over. So, we are having a reasonable three weeks to four weeks inventory currently.

Jinesh Gandhi: Right. And when we look at the margins in this quarter for DR Axion, we are almost close to 18%. Is that a sustainable number in your opinion? Or we will see some bit of moderation to back to about 15%, 16%?

Srinivasan Ravi: Everything will depend on the operating leverage, I would say. I think Q2, it is sustainable. Q3, normally, it is not sustainable, for the simple reason that some of the customers shut down their plants for maintenance to also correct their inventory also for maintenance also. So, but for Q4, I think this is sustainable.

Jinesh Gandhi: So, on a full year basis, what DR Axion should still be doing about 16%, 17% margins on a conservative basis?

Srinivasan Ravi: Yes, correct. On a conservative basis, yes.

Jinesh Gandhi: Okay. Got it. And lastly, if I look at the EBIT margins for powertrain business, there is a continuous decline on Y-o-Y basis. This quarter was about 21.9%. Is this largely to do with the mix of business, or are there something else there?

Srinivasan Ravi: I want to talk about value-addition. I think value-addition for Q1 of FY '23, it was INR 223 crores

versus INR 237 for Q4. Sorry, sorry, I think I made a mistake.

INR 223 crores it was for Q1 FY '23. But marginally, it has increased for Q1 of FY '24. So, it is hardly INR 14 crores increase year-on-year. I think this is the main reason for the lower value-addition increase. It has been for the EBIT margin to reduce. Plus, depreciation has increased by INR 5 crores because of the investment. We have higher capacity now. I think that will get absorbed in the coming quarters.

Moderator: Thank you. Our next question is from the line of Nishit Jalan from Axis Capital.

Please go ahead.

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Nishit Jalan: Congratulations on the good set of numbers. Just wanted to ask a couple of points. Firstly, on the net debt level, where did we end in Q1? And how should we look at it from the next one year to two-year perspective?

Srinivasan Ravi: You are talking about EBIT level?

Nishit Jalan: No, net debt.

Srinivasan Ravi: Net debt, okay. I think, I will take your next question and then I will give this number within a minute or two.

Nishit Jalan: Sure. And secondly, I would assume that last year you had won quite of these new orders. I think your annual report also talked about that. Fair to assume that some of that will start or ramp -up in Q2, Q3. So, your revenue improvement irrespective of industry volumes should also improve quite meaningfully in Q2, Q3. If you can give some color on that in terms of segments and all that will be useful.

And number three, in industrial segment, there was some slowdown, but you did mention about some inventory correction at customer end. And if I look at the last two, three years' financials, Q1 seems to be a little subdued in terms of overall numbers. So, is there some sort of seasonality also involved in this business?

Srinivasan Ravi: Yes, there is seasonality as I mentioned earlier, the commercial vehicle segment, there was a pre-buy. I think that is the reason for...

Nishit Jalan: Ravi. I am asking about industrial engineering specifically.

Srinivasan Ravi: Okay. On the industrial engineering, I think we didn't have much growth on the storage solution for Q1. That is the main reason. Otherwise, I think it was, okay.

Your earlier question of net debt as of 30th June was INR 1,054 crores.

Nishit Jalan: So, INR 1,054 crores, right?

Srinivasan Ravi: Yes. This is including the DR acquisition, which has happened the INR 375 crores, which we had a payout, this is a stand-alone debt. And so, if you're really looking at an apple-to-apple comparison to last year, we have to look at INR 1,054 crores minus INR 375 crores.

Nishit Jalan: Yes, I got that. And secondly, on the new order wins ramp -up. Any color on how should we see ramp -up of some of the new order wins that we had?

Srinivasan Ravi: See each customer has got his own timeline for ramp -up and some are going through SOP, some are in early component approvals stage, some are starting to ramp -up. So, I think next year, as the full ramp -up will happen. But in quarter-on-quarter, we are seeing there will be growth in our sales. That is clear.

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Nishit Jalan: Okay. And one last question more on the industry level. We keep hearing about this China Plus One, Euro Plus One and all. Have you started to see much more inquiries or progress in terms of overseas customers or anything that I believe should benefit you over the next two to three years?

Srinivasan Ravi: Yes, quite significantly. I would say that more and more in the powertrain business as well as in the industrial engineering segment, both are going to get benefit. On aluminium, still it is not visible as of today. Yes, the de-risking is happening. But we need large capacities to cater to these multinational companies, who are finalizing the strategy, most of them to have China Plus One. But the point here is, I think it was summed -up very clearly

by World Bank Chief. I think, I read it on the newspapers also last week that is one more location place because we are very small in manufacturing footprint as India itself when compared to China. So, having said that, I think Craftsman by itself is too small to say that we will be able to get the bulk of the business or something like that. But I think even a small business increase will -- I mean the sales win will increase our sales quite dramatically. But I think, capacities are the key. Without capacities no customer is willing to venture out and place orders on Indian supplies. This is the feeling I get from the customers I interact.

Nishit Jalan: So, does that mean that we would need to start thinking about more greenfield or capacity addition ahead of time so that we are well placed to kind of benefit whenever those guys decide to give orders?

Srinivasan Ravi: At least the plant should be in place and the customer should have enough confidence that we have enough spare capacity currently to absorb the immediate requirement and we are willing to invest and grow further because they are also pitching their product sales will get affected, if we are unable to supply. And there

is no point for any multinational OEM to have many small, small suppliers in India. I think the consolidation of the supplier base in India also is a very important factor, which will play in the minds because the Chinese factories are of mega sites and what one supplier in China is catering to say, multinational customer in the US, I think even 10 suppliers in India will not be able to cater. So that is also playing in the mind of the customers.

So, I think scaling -up is important, but scaling up -- putting capacity much in upfront is not the right idea and not the right way also looking at it. It should be simultaneous as and when the orders come up and the capacities are put up, we need to be agile in the capacity building. I think the project management skills and the identifying the projects and bringing quickly up to production without too much preoperative costs or too much lag between the planning stage to the production

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stage or delivery to a customer. I think this is the most important factor to keep the customer and also keep the profitability for us.

Moderator: Thank you. Our next question is from the line of Mr. Abhishek from Dolat Capital. Please go ahead.

Abhishek: Sir, the first question on the segment was mix in this powertrain business. How was the mix in first quarter FY '24?

Srinivasan Ravi: Okay. In just a minute, Mr. Abhishek, I will just read out on the powertrain mix. For this on the topline, it might be little misleading because still it is not value -addition portion, but I will read it out for you. For Q1 of FY '24, commercial vehicle was 58%, off-highway was 19%. Tractor was muted at 14% and the SUV business, which is the passenger vehicle was 9%.

Abhishek: Okay, sir. And in this quarter, margin has gone down. Is it because of only the lower value -addition or you are facing some supply side constraint for I mean to say that iron casting and other things?

Srinivasan Ravi: I will attribute to three factors. The last factor about iron casting. So, I will come back to that in a minute. So now coming to that, this was -- our margins were affected because both the tractor segment as for the commercial vehicle segment led to make the operating leverage lower and we had increased capacities investment last year. These are the two main reasons. And then we have the second point led to the increased depreciation also for INR 5 crores without any top-line growth on the value -addition.

Then the third point is the earlier question of Mr. Nishit Jalan answering that, on the powertrain business, securing new orders from multinational customers for their plants domestically as well as for their export requirement and also

direct

exports. I think the bottleneck is very, very clear that there are not enough large -scale foundries in the country. We are having only 10 foundries, which are medium to large scale for these larger critical parts of the powertrain, whereas in the smaller -sized foundries, there are many. I am talking about foundries having a turnover of more than INR 500 crores on only the casting business are very, very few. So, this is also a bottleneck for new orders currently.

Abhishek: So, you are looking to set up your own foundry the medium - to long -term?

Srinivasan Ravi: We are working with our esteemed foundry partners across the country and we are still dialoguing with them for increasing their capacities and what we can do with them. Meantime, I think there can be, as I mentioned in the earnings call, that if this is going to affect our growth going forward, we may set up some backward integration to some portion of our requirement. And we are not looking at large capex at that particular point. Yes, we are contemplating it. And I would say that

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this on the cards, see in general, but I think it is too early for me to comment in a public forum as of now.

Abhishek: Sir, you have won the many businesses in off -highway vehicles. You had mentioned in your last con call. So, if you can throw more light over there, what is the progress now?

Srinivasan Ravi: Yes, we have won quite some reasonable orders in the last quarter on off -highway vehicles. And we have quoted for many more projects, which are also likely to get finalized in the next quarter, and we are confident of getting the orders. For the global requirement of off -highway vehicles, which India by itself is very small exporter. We see large potential there going forward. And as I mentioned earlier,

again, it comes to -- we are ready to expand our machine facility. We also have capacities available in the large machine segment also. But we are seeing, again, the bottleneck of the foundry casting capacity, which is making our customers hesitate to go forward. So, this is what we are trying to crack in the coming quarter how to resolve this and get the business.

Abhishek: And my last question regarding your export. So, what is the current export contribution? And what is your medium target -- medium -term target for the exports?

Srinivasan Ravi: Yes, just a minute, I'm just reading out the numbers. We had a direct export sale for June quarter around INR 63 crores. This is the parts what we export directly, but there are other parts like Daimler Brazil and other parts we sell, we give it to Nelcast Exports. Brakes India also is doing exports, but we are doing the machine -- we are the machine supplier for them. So, all that is not added to this direct export sales of INR 63 crores.

Abhishek: Okay, sir. And what is your medium -term target for the exports, sir?

Srinivasan Ravi: This is also growing phenomenally, as I mentioned earlier, itself, the order wins are going to be based on casting capacity. This is the major constraint we are facing now.

Abhishek: Okay. So, you have won the business for the PSA also. So...

Srinivasan Ravi: No. That is not the powertrain business. Now I was talking only about the powertrain business. On the aluminium segment, yes, as I mentioned earlier, powertrain now there is serious potential for export. Aluminium is coming now, but aluminium wise, still I am not very confident that exports will increase phenomenally because it is a fairly automated process on the high pressure die casting at least, where even Europe, they are continuing to have large production capacities. So that will follow.

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Moderator: Thank you. Our next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda: Yes, sir, I was a bit confused on the DR Axion side, the number last year, which was

as given for full year was about INR 1,000 crores and 14% margin. And you mentioned that usually quarter 3 is lower because utilization is lower. And the quarter 1 margins look like 18%. So, the reference should be the 14%, 15% margin which you reported last year was the number last year and that's the reference number, which should we take forward, or it is the 18% margin number?

Srinivasan Ravi: I think Mr. Jinesh Gandhi of Motilal Oswal asked the same question. I think we can moderate at 16%, 17% for the year.

Pritesh Chheda: Okay. And my second observation was in the reported consolidated, there is no minority reduction that I see in the P&L? Any reason? I think we have about 75% holding, right, in the Axion?

Srinivasan Ravi: It is 76%, but it is there. I just read out.

Pritesh Chheda: It is given as in controlling, non -controlling interest that was usually, there is less minority.

Srinivasan Ravi: Yes, it is non -controlling interest. That is where...

Pritesh Chheda: Okay. It is reported there.

Srinivasan Ravi: Yes.

Moderator: Thank you. Our next question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead.

Mukesh Saraf: Just in continuation to your point on some shortage of capacities on the ferrous casting side. I mean, are you seeing, I mean, because of this, are you seeing OEMs trying to expand the capacity? Because obviously, the large CV OEMs have their own the casting and machining, I guess. So how are you seeing them react to this? Or do they expect you to kind of expand into these ferrous castings?

Srinivasan Ravi: Mr. Mukesh, I will answer that one is the size of the casting, whereas I am talking about the bigger castings, what is more today, we are getting more inquiries for their exports. Hardly 10 foundries are there.

Mukesh Saraf: Whether it is only for the export side?

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Srinivasan Ravi: Yes. There are only 10 foundries and three of them are the OEMs themselves. So only seven foundries are above INR 500 crores level. That is why the shortage of

capacity there in certain cases mainly for cylinder blocks and heads, I would say there is a shortage of capacity.

Mukesh Saraf: Okay. So, you are saying that even including the OEMs, there is that shortages, is what you are saying?

Srinivasan Ravi: Yes, it is sufficient enough for the domestic market, but for new orders for export. Yes.

Moderator: Thank you. Our next question is from the line of Hrishit Jhaveri from Pi Square Investments. Please go ahead.

Hrishit Jhaveri : Congratulations for the good set of numbers. So, can I know the capacity utilization stand-alone basis as well as for the subsidiary?

Srinivasan Ravi: For a stand-alone basis on the powertrain, we have increased capacity. So again, the -- still we are at now 70% level only in spite of the increased sales for the FY '23 numbers and Q1 was muted. So, I think Q1 capacity utilization was much lower than that also. I think we are just above 60% level for Q1. Aluminium, we are now crossing 70% as of Q1. I think there are some capacities capex planned and that's already happening. So, I think there also we will increase capacities and we will be -- that business is having higher traction now.

Hrishit Jhaveri : Okay. So and for the subsidiary?

Srinivasan Ravi: Subsidiary, we have only three key customers there and I think their capacities are sufficient to meet their demands. There is a minor capex, which is going on. That is not significant enough to discuss, but we are able to meet all their volume numbers starting from Q2.

Hrishit Jhaveri : Okay. And you mentioned that our raw material cost is generally pass through. So, what is your outlook for the next two quarters, the raw material cost outlook?

Srinivasan Ravi: I think the OEMs have factored in the cost increases last year and their prices is what I am given to understand

from the news in the public domain. And we have passed on all the reduction of the aluminium prices to our customers, where it is to the customer's account totally. So, it is the commodities, generally the demand all over the world is looking muted, so we expect this to continue.

Moderator: Thank you. Our next question is from the line of Pranay Roop Chatterjee from BCMPL. Please go ahead.

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Pranay Chatterjee : My first question is around margins in general and specifically to powertrain, right? While in aluminium products and I & E, we have seen consistent improvement as -- exactly as you have guided for with increasing operating leverage. In powertrain, if I were to tabulate EBITDA margins, in FY 2022, it used to be around 35% to 40%, and now it is at around 31%, right?

The reason can be attributed to, again, if I look at value-added as a percentage of revenue, it used to be 65% to 70% and now it is 61%, right? So obviously, more pass-through and less value-add, so hence, okay. So, my question is, can we get back to that 65% to 70% value-add number? Or is it that since your PV or other segments are increasing in the mix, 60-plus-percent value-added is the new reality. So, I just want to understand powertrain, can we go back to the old 35%-plus margins?

Srinivasan Ravi: The margin, please do not look at the top line and the margins at all going forward because we were predominantly a job worker and we were supplied material from our customer foundries also. And now that is already saturated. So more-and-more business is now coming from we buying the castings from various foundries and supplying to our customers within India and outside India. So, the way we look at it is the EBITDA margin has to be as a percentage of the value-add percentage only. So, if you look at, it will be consistently okay, there can be a slight movement up or down, depending on the operating leverage.

Pranay Chatterjee : It is actually gone down. Even if I do EBITDA by value-added, last year, it was 55% plus. Now it is down to around 51%, 50%. So even as a percentage of value-added has gone down. So, is it -- again the question remains, is it because of our mix change or hence, this is a new model?

Srinivasan Ravi: That 55%, 51% is quarter-on-quarter you're talking about or...

Pranay Chatterjee : So, I'm speaking generally, if I look at the quarters from left to right, in 2022, the levels I can see is 55%-plus, all the numbers. But if I see the number in the latest quarter and even Q4 last quarter, it is at 50% or 50% to 51%. So around 500 bps, it has gone down over the last eight quarters on average. So hence, this tells me that probably the mix has changed. Is that the case?

Srinivasan Ravi: I would not attribute to mix change. I would attribute it to mostly the inflation and

the increased capacity is what we have built -up, which is yet to be filled in because we had quite a good surge in the last two, three years. So, we have added supplementary plants adjacent to the existing plants, both at Sri perumbudur as well as in Pune as well as in Faridabad. So, these plants, where we are incurring expenses, or the capacity utilization is still low and we are sure that it will get filled in by Q4 of this year. So that is shaving -off some percentage points on the -- that 55% to 51% you are talking about.

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The second point is all the costs -- operating costs, there is no chance for price increase on the existing products for the machining value what we are doing for our customers. So, the biggest is the inflation in wages and welfare. That is one. We are nullifying that to certain extent with better productivity, manpower productivity as well as some automation. But still, our wage bill is going up year-on-year. As a percentage also, it is -- we are trying to contain it. The second point is all other consumables

es, whether it is the consumables products or also the power and everything is increased. So, the operating leverage, when it increases. It can inch back to 55%, as you said. That may happen for one or two quarters this year.

Pranay Chatterjee : Understood, sir. And my last question would be, you mentioned 16% to 17% as the steady state DR Axion margin. Can you give me a steady state number similarly?

I understand top line margins don't make sense. But still, directionally if the value add were to remain the same. In the next three, four quarters, what could be steady level margins for the I&E segment and the stand-alone aluminium segment?

Srinivasan Ravi: On the powertrain business, this is the muted quarter, Q2 and as well as Q3 will be better and Q4 will be far better. So, I think you can draw a conclusion from that, with better operating level, the margins also will improve. Aluminium segment, I think we are still on the growth path. That growth path also will add -- not, I mean, and the powertrain also will be on the growth path, but if you look at the base and the growth overall and at a lower base, aluminium is growing so that the margins are getting better observed. That's what I would like to say.

Pranay Chatterjee : Okay. And in I&E?

Srinivasan Ravi: I&E, I think the Storage Solutions we will start looking up from Q2 onwards. We will end the year somewhat in similar margins as last year.

Moderator: Thank you. Our next question is from the line of Dhaval Shah from Girik Capital. Please go ahead.

Dhaval Shah: Sir, my question is with regards to your next leg of capex whenever you plan to take it up, what would be the size of the capex required for you to grow on this higher base. And B, what will be the debt levels at which you will be comfortable to take this big expansion plant?

Srinivasan Ravi: I want to reiterate from the time of the IPO, I mean, that is FY '21. From that point onwards, we are committed to 15%, 20% CAGR growth. There can be some years, we will do more. Some years, we will do less, but we are going to grow, that is clear.

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Now growth on a consolidation number is more realistic to look forward, not this year, but I think a year or two later, we have to look at that because cash has flowed out of the company overall. That is also curtailing our ability to invest in Craftsman itself on this matter. And the cash, if generated by the subsidiary will not be quickly, easily, yes. We cannot get it back quickly on this matter, unless it is by dividend route or something like that.

So, having said that, we may have to raise some capital next year if we see huge growth opportunities. As earlier mentioned by Nishit Jalan, that China Plus One policy is playing out. But otherwise, for a steady growth of 15%, 20%, I think we are self-sufficient. We approved it with even the DR Axion acquisition. Our debt-to-EBITDA stands at around 1.6 times we are comfortable at this level, but I think we will move towards 1 times again.

Again, we have some sort of extra investment organically or inorganically. We may again come to 1.6 times because 2 times is the upper limit for any rainy day. So, I think we may be operating between 1 times to 1.5 times in the normal course of the business. So, with that, I think we are still small in the global scale. So that is the reason for my bullish statement of the 15%, 20% CAGR growth, we can

continue.

Dhaval Shah: Yes. Sir, before going public, I think we had done some sort of arrangement with Mitsubishi. Now given this entire China Plus One opportunity size, would you be open to doing some sort of a joint venture or a tie-up with a foreign company to get technology or some sort of partnership? Your thoughts on it?

Srinivasan Ravi: Historically, when you look at it, Craftsman, we have got engineering advantage. We have come from engineering background

and then diversified into auto

powertrain then also into auto aluminium. And now it is called aluminium products because we have merged it with other products. And even the storage solutions, we are competing with multinationals also with the indigenous products developed announced in-house with our design team. That has been the philosophy. So, we may engage a lot of consulting firms, or we may even technological partners only. On the shareholding basis, we are not open to having joint ventures by say, because there are two things happened. One is our management gets diluted that we have to focus on the JV also. There is split of capital from the parent company to the JV on this matter. DR Axion is one exception, where it is a running unit where you've taken over and we have taken 76% stake and it is already a profitable business. And it is exactly in the line of the business and it is complementing our business where we are on predominant two-wheelers and they are only into the four-wheeler business.

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We are predominantly in the high pressure die casting and they are only in the gravity and low pressure die casting. So, these are all synergies, which has helped us to shore up the aluminium segment. We are looking at further acquisitions in the power train and in the aluminium segment also. But we are not open for any sort of JV where we will be a minority, or the technological transfer is not complete. Otherwise, the technology will be partially done for this particular requirement for the current customer requirement and the current product range. And when it comes to the next level of upgradation, we have to still depend on the joint venture partner for them transfer and at what royalty fees and what technological fees, how is it -- I mean, it is unknown. So, we don't want to venture out in unknown territory, which will lead to our dilution or erosion in EPS, I would say.

Dhaval Shah: Very helpful. And last question, sir, you always said about your EV strategy that at the right time, you will take a call of investing money. So where are you -- I mean you -- is that time near, or you are still evaluating any -- what are your thoughts on that?

Srinivasan Ravi: There has been a step back from at least the European market in a big way. They are not banning vehicle production beyond 2035 on IEC whatever they have taken decisions earlier, I think it was put to vote and the main three countries are backed out on this, putting this proposal to I think, to a firm law, so it is now not happened. So, taking a cue from that and also looking at a fine balance between the -- our Indian infrastructure as well as the other emerging markets, I think we have a lot of headroom to go still on the off-highway vehicles surely for a very, very long time. I think two decades or three decades more and construction equipment also in a similar manner. Even on the heavy-duty commercial vehicle now the focus is more towards hydrogen, H2 ICE engines. That is what is the focus.

So, when we have so much at room to grow on the particular -- our current strength itself, we are starting to focus on off-highway vehicles and construction equipment now. And today, it is very small portion of the powertrain itself. As a powertrain it is hardly contributing to 10%, 15% of our value-add or revenue on this picture.

Coming back to passenger vehicles, EV, we feel that by 2035, there will be quite some significant percentage in India. But still, the growth in the passenger vehicle segment will continue a little on the ICE also overall because the market is still on a growing stage. On the EV side, the aluminium content in the vehicle will surely has to increase to increase the battery range of the EV vehicle.

Because today, they are putting a heavier battery or costlier battery is a more difficult proportion for the OEM. I think the route will be to reduce

the passenger

vehicle car weight by a few hundred kilos so that the current battery itself will increase the range. So, when the new platforms, borne EV platforms come. We

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are looking at more -and-more opportunities on aluminium content -- the increased aluminium content there.

Moderator: Thank you. Our next question is from the line of Mr. Tejas Chipukula Bavani , who is an investor. Please go ahead.

Tejas Bavani : Thank you for the opportunity and c ongratulations on your Q1 FY '24 results. I have two questions. The first question is with respect to DR Axion, is it possible to get a perspective on what will be like the strategy for expansion ? Would you be increasing the wallet share m ostly within the three auto customers with the previously mentioned? Or will you start approaching other car makers like Maruti or Toyota or even Mercedes automated side BMW, if you want to expand their India business and are making strides in the SUV EV s pace?

Srinivasan Ravi: Geographically, we are located down the south is a single plant location. And the profit margins or EBITDA margins will be based on utilizing the current capacity.

We still have a reasonable, I think, 20% capacity going forward. And for that, we are gettin g new inquiries from existing as well as new customers. We proposed plant of -- our current Korean customer, I think they are proposing to put a plant in Pune. We have got the inquiry. We are seriously working with them. And hopefully, we will get the orde r awarded to us. There are other players in the race. But I think we are still keeping the same plant in -- for this, the production. And we have started to quote for other customers also, whichever new engine programs are coming and we are hopeful that we will get the business.

Tejas Bavani : Okay. My second question is, like what are the things that Craftsman is doing in order to manage the culture fit between your core Craftsman Automation Limited and DR Axion ?

Srinivasan Ravi: I never expected this quest ion, but it is an excellent question. I would say, there, the Craftsman until 2004, we were 82% direct export to 34 customers in nine countries including Japan, we had of course, we had supply customers -- I mean capital goods suppliers from Korea, but Jap an was a big export. We are exporting in China. Then a lot of countries in Europe and also North America.

So, looking at that, we are well used to the culture between Europe, US and Asia, rest of Asia. And this is standing us in good state to really merge with the new cultures, which you need, I mean, not new cultures. I think foreign cultures, I would say. We are very, very comfortable to work with. And when the -- our new partners or shareholders, or DR Axion and the -- our Korean friends, we are seamlessly able to communicate with them and we are able to manage well and hats off to them also for their 100% co -operation.

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It doesn't look like a company which is a subsidiary. It looks like Craftsman as the day passes. And we are drawing from the Kore an strength, which is great production culture and also very meticulous on certain aspects of the business and very aggressive approach towards both the delivery as well as to for the new product development. And never die -- say die spirit on the -- I wou ld say, the delivering on time to the customer.

I think these are the traits, which has made Korea a great manufacturing nation and pushed Korea as the number three manufacturers in the world as a passenger car manufacturer and we are very happy to be asso ciated with them. I think there is not -- never was a challenge to integrate with DR Axion. On the management front, I'm talking about, operation front is a different issue.

Tejas Bavani : Yes. That's wo nderful, sir. And I just have one clarification, it is in the powertrain export business, you mentioned that direct export sales was IN

R 63 crores. And in

direct exports also you export like through Nelcast, who take this forward and also from Brakes India, right? Because I couldn't hear that ?

Srinivasan Ravi : Yes. See, INR 63 crores is the exports in all the segments put together. But predominantly, it is in the IND. And a smaller portion is also in the -- I'll just give you a breakup on that . Industrial engineering constitutes of 39% of the export. Aluminium is 13% and auto powertrain is only 11% of our export revenue, the breakup of the number you saw.

Tejas Bavani : Okay. So automotive powertrain, you mentioned 11%, I&E is 39% and aluminium is?

Srinivasan Ravi: 13%.

Tejas Bavani : 30?

Srinivasan Ravi : No, sorry. I mean I mixed up the number. INR 39 crores was the export for I&E by

value, sorry, aluminium was INR 13 crores and auto powertrain was INR 11 crores. So, our auto powertrain business is negligible, so for export -- direct export. But we are tie-up to a listed company in Nelcast, which we are doing well on the export front and also to Brakes India, we have tie-up too. So, since Nelcast is a listed company, I would not like to comment for that numbers.

Moderator: Thank you. Our next question is from the line of Rajasekar MS, who is an investor. Please go ahead.

Rajasekar MS: I just want to know what is the cash in hand with you and with the debt of around INR 1,000 crores, how would you please explain how do you manage to repay these debts?

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Srinivasan Ravi: Sir, I think it is a mixture of working capital, which is not going to be repaid. It is only on a rotation basis, around 30%, 35% is working capital. Balance is the term loan and the term loan is paid over a seven-year, eight years period, normally. And it is for example, for the FY '24, our outflow is around INR 90 crores only towards term loan repayment. And last year, our EBITDA was -- standalone EBITDA was INR 660 crores to INR 670 crores. This year, our EBITDA will increase by at least 10%, 15% overall. So, it is a fraction of the -- it is 15% of our EBITDA is the outflow towards loan repayment.

Rajasekar MS: Okay. And what is the cash in hand as on date?

Srinivasan Ravi: INR 52 crores is the cash on hand.

Moderator: Thank you. Our next question is from the line of Pranay Roop Chatterjee from BCMPL. Please go ahead.

Pranay Chatterjee: Sir, in your aluminium division, would you be able to share how much comes from EV right now in Q1, for example?

Srinivasan Ravi: It is not even 1%, sir.

Pranay Chatterjee: Okay. So, then my question is, this is more out of curiosity. So, for example, in Hyundai, you have the new IONIQ model that has come out. There in Kia as well, we have EV6, right? And in parallel, we also know that the wallet share with Hyundai and Kia IC engines is pretty high, almost 100% for DR Axion, right? So, my question is, are we supplying anything to Kia EV6 or Hyundai IONIQ or any model in electric platform currently?

Srinivasan Ravi: That is to my limited knowledge, I think, I would say on that matter, we have not discussed this in detail, but it is supposed to be imported. I think it is continued to be imported. But there are India-specific models, which are under design and development, I think FY '25 will be the product launch of these companies. And this will be born EV vehicles, I would say, but they may be sharing few parts with their current siblings in the IC engine. When that comes, we will have a good chance to bid for the business, at least.

I think awarding the business will be on merit. There are other Korean companies also in the same region in Chennai region and there are also Indian companies were bidding for the project. So, we will see that. Today, the two-wheeler business, we are with the two of the top 4 EV manufacturers. But the numbers are very muted, and it is not adding any even 1% to our aluminium business currently.

Pranay

Chatterjee: General question on the light weighting trend. I have been hearing this phrase for quite some time now. On ground, not only from an EV perspective, but also from a ICE PV perspective, do you actually see new parts being designed or new type of

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orders, which is directly a result of weight reduction of that part of the vehicle. Do you actually see that on the ground?

Srinivasan Ravi: Yes. I don't want to get into names of parts, but I am very confident now with the aluminium price stabilizing below INR 200 on the high-pressure die casting ADC 12 material and slightly above with the INR 200-odd per kilo for the aluminium silicon alloys. I would say and today, aluminium is quite competitive when compared to iron and also to forgings in certain cases, it makes a lot of sense for the new platforms to have more aluminium going forward, surely for the EV and also for ICE.

So, there was no change in the requirement, the platforms are continuing for decades together on the same platforms, only the model mix was changing and new vehicle launches are happening, but the new platforms are not developed by many of the OEMs because there is no necessity in the Indian market. But now

that is happening. But that because there is a structural change in the way they need to build the car, when they have to build it with aluminium. So, it has to be ground some car the platform at least.

Moderator : Thank you. That was the last question of our question -and-answer session. I would now like to hand the conference over to Mr. Srinivasan Ravi, Chairman and Managing Director, for closing comments.

Srinivasan Ravi: Thank you everybody, for patiently listening to the call and thank you for all your support. We as Craftsman stand committed to our shareholders in our growth journey. Thank you very much once again.

Moderator: Thank you. On behalf of Craftsman Automation Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purposes)

Call: Nov 2023

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6th November , 2023

To

The Manager - Listing, The Manager - Listing,
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Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051
Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call on the Unaudited Financial
Results for the quarter and half year ended 30th September , 2023;

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirement s) Regulations, 2015 and our intimation and
outcome letter dated 3rd October , 2023 and 31st October , 2023 respectively, we are
enclosing herewith the transcript of the earnings conference call organized on Tuesday ,
the 31st October , 2023 at 4.00 P.M. (IST) on the Unaudited Financial Results for the
quarter and half year ended 30th September , 2023.

The transcript of the earnings conference call will be uploaded on the website of the
Company at www.craftsmanautomation.com .

We request you to kindly take the aforesaid information on record and disseminate the
same on your respective websites.

Thanking you.

Yours faithfully,
for CRAFTSMAN AUTOMATION LIMITED

Shainshad Aduvanni
Company Secretary and Compliance Officer

Encl: As above

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CRAFTSMAN AUTOMATION LIMITED

Earnings Conference Call held on 31st October, 2023 for the quarter and
half year ended 30th September, 2023

Moderator: Ladies and gentlemen, good day and welcome to Earnings Conference Call to
discuss financial performance of Craftsman Automation Limited for the Quarter
and Half year ended 30th September 2023.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Ravi - Chairman and Managing Director of Craftsman. Thank you and over to you, Sir.

Srinivasan Ravi: Good afternoon everybody. It gives me immense pleasure in welcoming you all for the Earnings call for the Half year ended 30th September 2023.

While Q2 has been a mixed bag as far the economy is concerned and each of the markets are concerned across all the 3 segments the Powertrain, Aluminum and Industrial Engineering segment. We have done well as a company on the consolidated basis.

I just want to touch upon the key numbers on the consolidated sales Rs. 2,217 crores has been consolidated, the break up for that on the Powertrain has been Rs. 776 crores, Aluminum products Rs. 1,077 crores and Industrial Engineering Rs. 364 crores. This means the company is getting more balanced on the segment-wise diversification what we have done in the recent past. EBIT has been Rs. 325 crores against last year's EBIT of Rs. 232 crores. The breakup for the EBIT has been Rs. 161 crores for the Powertrain, Rs. 157 crores for the Aluminum products and for the Industrial Engineering Rs. 31 crores and unallocated is Rs. 24 crores. The consolidated ratio on the financial performance has been very strong. Debt equity has been 0.86 on the consolidated

balance sheet, debt to EBITDA is 1.49, EBIT margin is 15% and PAT of 8% with the ROCE pre-tax annualized has been 24%.

Now going to the standalone, the standalone turnover has been Rs. 1,580 crores for H1 against Rs. 1,447 crores in the previous year, comprising Automotive Powertrain and others Rs. 776 crores Aluminum products Rs. 443

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crores and Industrial Engineering Rs. 361 crores. EBIT margin has been Rs. 230 crores. It is along the same line of last year not much change there. The breakup for that is the Automotive Powertrain as Rs. 161 crores, Aluminum is Rs. 61 crores and Industrial Engineering is Rs. 31 crores respectively, unallocated is Rs. 24 crores. Net CAPEX done for H1 is Rs. 258 crores. It is a mixture of expansion of each of the segments and also technology upgradation, organization and also automation.

The key financial ratio for the standalone debt equity is 0.81, debt to EBITDA is 1.72, this is inclusive of the Rs. 375 crores outflow towards the acquisition of DR Axion. The EBIT margin has been 15%. ROCE pre-tax annualized has been 19%. The major subsidiary DR Axion, the turnover is Rs. 635 crores and EBIT has been Rs. 95 crores for the first half of this year.

The new important information is we are going ahead with the Greenfield project very close to the mother plant in Coimbatore, which is 40 kilometers away. We have a land Bank of 48 acres there and we are going to create one more premises for all the 3 segments of the business going forward for future expansion which is a mixture of the similar set of business and also possibly backward integration in some of the segments.

With this, I will leave the floor open for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question is from the line of Karan Gupta from Varanium Capital. Please go ahead.

Karan Gupta: So, my first question is related to the value chain part which you mentioned couple of times in your speech. So, just try to focus on that, in the entire value chain from designing to production, so I just wanted to know what the key differentiating activities is we are performing to differentiate our value chain than our peer companies?

Srinivasan Ravi: I understand where the question is coming from, what differentiates us from our competitors in the value chain have I understood you right?

Karan Gupta: Yes.

Srinivasan Ravi: I will touch on each of the segments. On the Powertrain segment while we are doing the machining activity, we don't have a foundry or we are not fully integrated on that side of the business, but we are owning the process knowledge of the machining with the in-house captive manufacturing for all

these special purpose machines and when you talk about special purpose machineries are quite complicated equipment starting from metal cutting, non-metal cutting machines like leak testing, washing, assembly stations and things like that. Then also the design of the process, the breakup of the process, how we are doing from operation 10 to operation 100 or operation 120, how we design the process for quality as well as productivity, and we are able to adjust and accommodate the increase or decrease in volumes according to the customer requirement and we are able to break up the small sub processes for any incremental volume requirement of the customer.

Then comes the quality front, on the quality front the critical processes we are able to manage the quality processes better because we control the tooling, we control the design, we control the process fine tuning at our end. We are not dependent on any outside source on that, and we are one of the largest machine shops in the country and because of our vast experience, we are also able to work very well with our foundry partners to improve the raw material or the casting front also for a mutual benefit

it.

Now the next situation is that when the prototyping needs to be done, we have such a large General purpose machine availability at our end that we are able to participate in the prototyping for the customer. The second important point is our vast experience in the cylinder block and head we are doing around more than a million -cylinder blocks now. Our capacity is 1.2 million -to-1.3-million -cylinder blocks and also, I think close to around 800,000 cylinder heads. We have come across various designs and various process related issues. We are able to give input to our customers during the design of a new product or point out improvements which can be done. Also, improvements which can be done for the better castability of the castings. So, this explains the Powertrain and the last bit is that whenever the project is end of life, we are able to reallocate the machines to new projects, even we are able to convert the special purpose machines suppose we own the special purpose machines we are able to convert it and if the customer wants it, we are able to convince the customer that the next project may certain equipment can be modified to be using. So, we are very effective on the CAPEX front also. The last point will be on the General -Purpose Capital Equipment and the General -Purpose Tooling, we are one of the largest consumers of these sort of machines in the country, so this gives us a large advantage on the scale and flexibility to quickly implement the project and move it forward.

So, in the next segment of the business on the Aluminum segment, our aluminum history goes more than 20 years ago when we started the aluminum

gravity and the sand -casting foundry for our export requirement. And now in the last 8 -9 years, we have also been diversified in high pressure Die -Casting. Our tool room was making plastic dies, very critical plastic dies as well as aluminum pressure Die -Casting dies. Now we have stopped making plastic dies, so this told we are integrated that we are able to make the mould, we are able to do the casting. In the casting process we are across most of the technology I would say on the casting and there is green sand, no bake sand, gravity Die -Casting, low pressure Die -Casting and high pressure Die -Casting. Now we are also getting into counter pressure casting on aluminum. And on the machining front, we are also similarly integrated on the machining front on the aluminum business which we are able to capture the value stream across there, all the small sub segments there. In industrial engineering which has been the backbone of the company which is also supporting the Powertrain business and Aluminum business. We are having contract manufacturing where we are able to customize products for our customers for different end segment use across a wide range of industries within the country and outside the country. So, we are highly flexible and highly capable, so we are manufacturing very precision small parts to also we are machining parts up to weighing 10 tons or 15 tons for highly complicated induced applications. And for Industrial Engineering, we have got an in-house design facility for our products, which is a design strength of almost 100 people which is there. I hope

this differentiates us.

Karan Gupta: So, being in the entire value chain, it gives the premium pricing or reducing the relative cost? Anything over being in the value chain what extra cost we are bearing? Because from designing, prototyping we are into the production, so being in the entire value chain do we have any relative cost higher than the peer or we are reducing this relative cost as compared to the peers?

Srinivasan Ravi: When we want to have all these facilities inside the campus, definitely our fixed cost will be higher, but that is distributed among higher manufacturing capacities, so we are having the operating leverage

there and these

capabilities and facilities are also mutually beneficial for the customer, so we get the first preference. As far as the production order is concerned, the pricing is not premium pricing, we are competitive in the market, and it is a competitive pricing. I think our scale and our efficiency and operations and our in house knowledge to manage the process is only leading to profitability with the larger operating leverage.

Karan Gupta: And for the raw material, if you are buying this aluminum raw material, so we are getting any benefit from the supplier side?

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Srinivasan Ravi: No, there is a market free pricing market strategy and what we control is only the rejection percentage and our efficiency of operations inside and we are carefully selecting the material tool, so that we don't have much wastage of the dross and things like that, that is where it is. And our dies maintenance will lead to lower machining allowances and the lower rejection percentage also means that the consumption of material will be lesser and the continuous running efficiently on the Die -Casting machines or on gravity is also leading to energy efficiency and the manpower productivity with some automation is also leading to lower cost and higher efficiency of output.

Moderator: Thank you. Next question is from the line of Senthilkumar from Joindre Capital. Please go ahead.

Senthilkumar: For the Powertrain business, I could see a decline in EBIT on sequential basis over the last 4 quarters from Rs. 101 crores to Rs. 77 crores in the Q2 FY24, what is the reason for this, sir?

Srinivasan Ravi: The main reason for this is we have expanded capacity on the Powertrain to a large extent. The new capacities are kicking in production on certain new segments of the business it is still under startup production or in the beta stage there are some things. Some businesses have started to mature while this has happened the existing capacities mainly in the farm segment as well as to certain extent also in the commercial vehicle segment has been underutilized because of the present market condition I think that is the reason the fixed cost has increased. So, the fixed cost has a higher impact there, but our margins will come back to normal once the operating leverage improves. Our percentage of usage of the capacity is much lower as of now because we have increased capacities. The second point is on the other most important factor is that we have also used this period of time to refurbish some of the equipment which are 8 years and 10 years old, so we are also seeing some impact on the repair and maintenance for the last two quarters, which is a good thing for the future where we will be ready for full level of usage of these equipment when the market requires.

Senthilkumar: And my second question is can you give a breakup for domestic and export revenue for this quarter?

Srinivasan Ravi: Export for Q2 FY24 has been totally Rs. 57 crores, in the automotive Powertrain Rs. 9 crores, Aluminum products around Rs. 13 crores, Industrial Engineering has been Rs. 35 crores. This is the breakup. This is the direct

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exports what we have done where we are earning in foreign currency, but our deemed exports are much higher than this.

Senthilkumar: And lastly, sir what is the status of the Brazil business, sir? Even in the last call you said like, no, we don't have a visibility on that, what is the status of that Brazil?

Srinivasan Ravi: Brazil business, I think FY28 to FY29, we are well protected. Of course, there are headwinds in the market. There the economy is not doing well I think that

is also reflected in the Q2 sales. Actually, H1 sales is around 30% lesser for our deemed exports for Brazil for Daimler. I think that should pick up from Q4 of this year, that is their calendar year Q1 which is they have got additional requirements

ts, but it is going to be depressed in Q3 also as far as our Q3 is concerned, but the business I think is quite well set until FY28.

Moderator: Thank you. Next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Sir I just wanted to know the breakup of our sales in terms of MHCV tractor, two-wheeler, four-wheeler and so on?

Srinivasan Ravi: I will just give it to you. I will talk about H1, and I will not talk about quarter-on-quarter because it may be misleading. I think on the Powertrain the breakup is 57% on the commercial vehicle, off-highway 18%, the tractor 14% and the SUV segment is 11% for the Powertrain.

Mahesh Bendre: And Aluminum casting?

Srinivasan Ravi: Aluminum casting for commercial vehicles is 7%. It is the standalone because you know DR Axion is 100% on the passenger vehicle segment. The commercial vehicle is 7% and two-wheeler is 66%, passenger vehicle is 7% and we have other aluminum.

Mahesh Bendre: Sir in terms of business outlook both on domestic and export if I had look for next maybe 18 months, what kind of growth trajectory we see both on domestic and export?

Srinivasan Ravi: I will go segment by segment on this to answer your question please. On the Powertrain segment, we will be growing at low double digit or high single digit because the base is high number one. Number two, we are revamping our facilities to attack one new segment of the market which is off-highway, which is a lot of potential is there for export requirement as you know our off-highway

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business is very small overall. While we continue to increase our exposure to the commercial vehicle business for overseas markets, directly or indirectly, this is a segment which has got a lot of potential in view of the geopolitical situation and also the reduction of dependence on China. This is one major point.

The last point is on the Powertrain there has been a lot of support from the government also for localizing the products which are getting imported, so this is throwing new opportunities, new enquiries we are getting at pretty fast and rapid pace now. All this will translate into business within 2 years' time because the gestation period for approvals and the testing and the validation is a little long and we are close to getting some very important businesses which I cannot disclose now until we get the businesses and that will be coming into production in FY26 is what we look at in a big way. So, this Powertrain business will continue to grow at a rapid pace from FY26 onwards until then, it will be low double digit or high single digit.

On Aluminum business as I had committed, I think, 2 years ago on this matter we are now on the ramp up stage. You will see a quarter-on-quarter increase in topline and the still the base is small and the aluminum usage across the country is increasing and whatever order wins we had 2 years ago all that is translating now currently in sales revenue.

In the Industrial Engineering segment, there has been a pause on the storage solution business, especially on this H1, it means H1 has been lower than last year H1, but I think H2 is looking very strong, and I think there is a lot of consolidation happening in the marketplace. So, we are also bullish on that and one good thing about the storage solutions is we are more and more getting bigger value orders on the automated storage solutions overall and today, our order book is very close to Rs. 100 crores on the automated storage solution itself i.e. pending order book and this is quite a complicated business and we have got 2 orders which are more than Rs. 20 crores and one is close to Rs. 50 crores. So, this means that the market is maturing and we as a manufacturer are also well accepted, and we are able to bid and get for the projects. In the rest of the Industrial Engineering segment, we are highly capable

as a contract manufacturer across all the 3 segments of the business, I think the CAPEX cycle as and when it sets in India, Craftsman will be able to

capitalize because we are not having many peers in this sort of business in India where we are flexible manufacturing of parts or subassemblies or products which are for many end use segments of the market.

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Moderator: Thank you very much. Next question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead.

Mukesh Saraf: First question is if you could provide us the outlook on CV's and tractors, given that you are working closely in that industry, you could give us some sense on how much CV industry is looking in the next one-year end especially tractor wise also?

Srinivasan Ravi: Sorry Mukesh I was not able to hear clearly. Can I repeat the question myself, so that I am understood properly? You are asking about the potential business in the commercial vehicle segment and in the farm segment going forward, is that the question?

Mukesh Saraf: Yes, from the customer point of view, how that industry is looking basically?

Srinivasan Ravi: I will give a broad outlook on the commercial vehicle just like the developed market, whether it is North America, whether it is Europe or even China, I think the bulk of the commercial vehicles sold are the real heavy duty commercial vehicles. These are 11 liters and above even 9 liter it is the crossover between a medium duty and a heavy duty. 7 liters is a medium duty across these markets. In India, what is 7-liter engine within say 250-300 horsepower is actually mentioned as heavy duty, which is not the case in the developed markets and the gearboxes are 1,300 newton meter whereas we are operating at much lower level in India, but our with the highways improvement and with the GST in place there is no check post. We are evolving as a country that they want to have the freights to be more faster and the tonnage of the vehicles is increasing. The mid segment all over the world is actually on vanishing breed I would say. It is either small LVS or it is big heavy-duty trucks, so value added per truck will keep increasing, but the truck segment is cyclical is agreed, but the cycles will not be as vicious as in the past because the replacement is now between 5 years, it is unlike 10 years or 15 years. The average amount of vehicles run per day and the annual total of 125,000 to 150,000 kilometers they cover every year. So, I think with the 600,000 Kilometer life, with practical overloading which is happening for medium duty to heavy duty trucks I would say, so that will lead to continuous buying, but yes, the segment will continue to grow, but I think next year it will be little soft I would say. It will not be growing at a big pace, but I think that the growth will come back in FY26.

Mukesh Saraf: And tractors, how do you think that is going to be, sir?

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Srinivasan Ravi: So, tractor, we as a country for both for Agri and non-Agri purpose the tractor which is getting used for the transport of material. I think we are very near the peak what we can sell and sustain, but India is becoming a global hub for manufacturing of diesel engines as well as for tractors. Multinationals are setting up shop here that will lead to growth for Craftsman.

Mukesh Saraf: The other question is on the export business within the Aluminum segment.

You mentioned that in the second-half this year we will start seeing some of those lumpy orders ramping up, so how are we placed? especially to Europe, the exports to Europe?

Srinivasan Ravi: You are talking about Aluminum segment?

Mukesh Saraf: Yes, within the standalone Aluminum business.

Srinivasan Ravi: Standalone aluminum business, our direct exports are negligible I would say. As of now it is only our customers who are exporting the products in a big way totally not the end product, but the intermediary product I would say that is increasing.

Mukesh Saraf: But we had some direct exports that we were expecting that some of the orders will start ramping up?

Srinivasan Ravi: That is for next year.

Mukesh Saraf: And just lastly, you mentioned about this backward integration will that in any way help in the Powertrain segment export orders because the annual report was talking about a lot of opportunity on the Powertrain segment exports, so how would that backward integration help?

Srinivasan Ravi: The backward integration will be only say 5% to 10% of our total requirement because we are very large in the machining segment. We are working with our foundry partners in a very big way. Whatever they can give we are absorbing, and we are working together for both domestic as well as exports also either as Tier -1 exports or Tier -2 exports both we are doing, we are open to working with them. We are augmenting that with the backward integration surely there is more choice now on this matter because the market is so big on the potential side and we with a very big base on the Powertrain business, we are still going to have a high double-digit growth from FY26 onwards on the Powertrain with a combination of working with our foundry partners as well as some decent amount of backward integration happening there.

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Mukesh Saraf: So, the question was largely looking at export opportunity on the Powertrain segment, sir, is there something there that we can expect?

Srinivasan Ravi: Yes, you can expect that. I don't want to name customers without their approval, but I think one of the biggest customers in all over the world, I think we are working together for that exports for their requirement in the Powertrain business I don't want to again classify in which.

Mukesh Saraf: No, we don't need any name, sir, but any timelines now are we looking at say FY25 or is it going to be something beyond that FY25?

Srinivasan Ravi: No, it will be FY26 because these are bigger orders, and these are a higher validation cycle which has to go through. We are on the right path for the Powertrain business. Powertrain business has got the potential to double or even triple in the coming decade.

Moderator: Thank you. Next question is from the line of Jinesh Gandhi from Motilal Oswal. Please go ahead.

Jinesh Gandhi: Can you first share a couple of data points; one is the value add for standalone businesses as well as the DR Axion for the 2nd Quarter?

Srinivasan Ravi: You want for Q2, value added?

Jinesh Gandhi: Yes.

Srinivasan Ravi: Value added as a percentage has been approximately around 15%, sir total. On a consolidation basis, it has been 47% value add.

Jinesh Gandhi: You said that data on business wise primarily Rupees -crores value add for Powertrain, Aluminum Industrial which used to share earlier?

Srinivasan Ravi: For H1, I think on the Powertrain it is around 62% because it is a mixture of job work and with the machining and then Aluminum, we have the Industrial Aluminum and we have the auto aluminum all as aluminum products, which is around 42%. Our Industrial Engineering is 40%.

Jinesh Gandhi: And for the storage solution, what was the revenue for 2nd Quarter and within that, how did automated storage do?

Srinivasan Ravi: On the storage solutions we have done Rs. 164 crores for H1.

Jinesh Gandhi: Automated would be?

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Srinivasan Ravi: The breakup for the automated, automated has been 27% if I am right, 27% automated.

Jinesh Gandhi: Now coming on the export orders, particularly in aluminum Die -Casting side, where are we in terms of a ramp up for this Stellantis order which we have got, how far are we from full ramp up?

Srinivasan Ravi: We have seen some numbers in Q2 is still on the ramp up, I think the ramp up will be complete every quarter I think is ramping up until

the next 3 quarters .

We expect that to peak only in the September quarter of next year. This is now mostly domestic, and export has started, indirect export has started, direct export to the parts is not started yet, so that will be in the next financial year as I answered the earlier question from the earlier participant. So, we are on the ramp up side on the Aluminum.

Jinesh Gandhi: So, this year we should be able to attain 50% of our peak revenue potential of this order or it will take a little longer than that or it will be lower than 50%?

Srinivasan Ravi: The number what the customer has indicated is very high, but we have discounted that number saying that, okay, the market conditions in Europe are not favorable, but what we see is currently we are at a run rate and H2 the run rate is approximately Rs. 500 crores upon the standalone aluminum business,

total.

Moderator: Thank you. Next question is from the line of Mumuksh Mandlesha from Anand Rath. Please go ahead.

Mumuksh Mandlesha: Happy festive season to the management. Sir this quarter other expenses have notably increased Q-on-Q, any reason for the large increase, Sir?

Srinivasan Ravi: What expenses?

Mumuksh Mandlesha: Other expenses.

Srinivasan Ravi: A repair and maintenance, I think. We have taken a conscious decision to do repair and maintenance because some things were pending immediately, something was not done during COVID and post COVID we had a ramp up. I think we had a little slow Q 1, Q2 I think that is the time we have done the repair and maintenance. And other things are power expenses

Mumuksh Mandlesha: That should normalize next quarter onwards, other expenses?

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Srinivasan Ravi: Yes, it will normalize.

Mumuksh Mandlesha: DR Axion had a very strong growth Q-on-Q about 40%, can you indicate what led to such a strong growth in DR Axion, sir?

Srinivasan Ravi: I think the passenger vehicle market in India has done well and DR Axion has also almost finalized the new order for Hyundai for their new Talegaon plant, which is going to be operational in FY25, the same parts what we are supplying to their Chennai plant. So, I think that will add another 10% or 5% topline growth for DR Axion and 10% of Hyundai-Kia business. Yes, Mahindra is also on the ramp up, so all of this has helped DR Axion for its growth.

Mumuksh Mandlesha: Just a last question on the CAPEX side, we have done about Rs. 260 crores in the first half and the full year we expect about Rs. 330 crores, so should you see any higher CAPEX than what you expected earlier?

Srinivasan Ravi: See CAPEX, whatever is planned, the Rs. 330 crores is the similar CAPEX what we have envisaged for the existing plants. Now we have filed also on the Stock Exchange that we are going for a new plant and there we are going for additionally, I think Rs. 150 crores or Rs. 160 crores CAPEX this year and maybe in FY26, we will go for another Rs. 100 crores we have disclosed that. So, we have filed for Rs. 102 crores CAPEX for the year. So, with this number we will be close to Rs. 480 crores with that of capacity on for this Greenfield project which we are looking at housing all the 3 segments of the business, but mainly in the Powertrain and Aluminum business.

Moderator: Thank you. Next question is from the line of Abhishek from Dolat Capital. Please go ahead.

Abhishek: Sir, congratulations for a strong set of performance in tough times. Sir, the first question on the Powertrain, do you still intact guidance of 15% to 20% growth in the Powertrain business in FY24 despite the higher inventory in the tractor segment? And you take growth in the first half around 7% only?

Srinivasan Ravi: From the time of the IPO, I always said that we will have CAGR growth of 15% - 20% total. So, we may have grown more per in certain years. We may grow less for certain years, but I think the next bigger growth will come

me in FY26 is

what I feel, but if we look at from FY21 to FY26 still we will be in the 15% -20% CAGR growth on the Powertrain.

Abhishek: So, you have won the new business in OHV segment in Powertrain segment, so when it will start to reflect in the numbers?

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Srinivasan Ravi: FY26.

Abhishek: And my last question on this RM supplies issues as you are facing some issues of the iron casting site, so are you looking for the set up some foundries to sort out these issues?

Srinivasan Ravi: We are not having any issue on the RM side, I think we are working very well with the foundry partners, but I think all of you know that the capacities of India in the cast and foundries is hardly 10% of China. China is serving 50% of the global requirements. India is serving only 5% of the global requirements that is very small and the large foundry segment wherever relevant capacities are required we are not even 5% of the global requirement. We have only 10 leading foundries in India. I think there is headroom for lot. We don't have enough capacities to capture the global market requirement this is the fact.

Moderator: Thank you. Next question is from the line of Basudeb Banerjee from ICICI Securities. Please go ahead.

Basudeb Banerjee: Most of the questions were answered. Couple of things, sir what is the current utilization in both Powertrain and Aluminum segment?

Srinivasan Ravi: Aluminum, I think we are just touching around 80% now. I think that is a good thing and that is also leading to better profitability and the Powertrain business we are back to in mid 70s or early 70s, because of the capacity increase, what has done. The new capacities have commenced operation or started production. But I think the existing capacities are not being fully utilized in H1 the way it is. So, the average operating capacity is only around 70% on the Powertrain now.

Basudeb Banerjee: And Aluminum does it include DR?

Srinivasan Ravi: Standalone is around 80, But DR is slightly much higher. It is very close to 90%, but they will keep tweaking some capacity to take it 5% -10% higher than what it has. So, we will have headroom with marginal CAPEX for another 20% growth.

Basudeb Banerjee: And under this background you are planning a fresh CAPEX which you mentioned where PT Powertrain utilization is already impacting margin to some extent, and where domestic PV's have done exceedingly well. This will be the third year, FY25 will be the 4th year, so high probability typical mean reversal happens after 4 good years. Do you see expanding towards CV dedicated Powertrain business at current juncture?

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Srinivasan Ravi: As I mentioned earlier, our segment on the Powertrain is not at all having much exposure on the passenger vehicle because it is mostly on the heavier segments what we are talking about. So, now the exposure is very minimum on the off-highway and industrial engines totally on this segment, which has got huge potential within the country and for export. So, that is where we are investing these capacities are slightly higher size of equipment not exactly equal into the medium duty or heavy-duty commercial vehicle and this I think these are heavier equipment overall. We were talking about large engines for power generation or for off-highway vehicles, these are different parts.

Basudeb Banerjee : And typically, what will be the fixed asset term of this project?

Srinivasan Ravi: It will be the same I think we are looking at value addition portion of it around 0.6 - 0.7 or 60% to 70% of the averaging 60% -70% gross block because the turnover will depend on the commodity price and we are doing the preference in 2 ways. We are sometimes buying the casting, sometimes we are doing the job work. So, we cannot put on the turnover in that segment, only the value addition we can look at it.

Basudeb Banerjee: Last small question,

if I can put in how much was the value addition for DRA separately this quarter or first half what you were saying?

Srinivasan Ravi: Value addition has been in the range of 35%.

Moderator: Thank you. Next question is from the line of Pranay Roop Chatterjee from Burman Capital Management. Please go ahead.

Pranay Roop Chatterjee: First question is regarding the Aluminum segment which saw a pretty good growth, the growth on DR Axion was slightly stronger, so first part to the Aluminum segment question is, was there any one-off in the Q-o-Q growth like for example it is possible that the OEM has more inventory piled up because I was seeing the wholesale numbers for Hyundai and Kia, it was not as strong as the growth that DR Axion has seen and is the margin sustainable at 15% EBIT which would imply let us say 18% to 20% EBITDA, is that sustainable? And the second part is, do you still maintain the 20% CAGR guidance that you had given originally on the Aluminum segment on the FY24 base?

Srinivasan Ravi: I will answer the two parts, so it is actually two questions you asked me. One is Hyundai -Kia yes, the growth has been not corresponding to what DR Axion has grown. DR Axion has grown on also on Mahindra and DR Axion next year will grow on again Hyundai and Kia when FY25 in new Telangana plant is going to come into operation. This will also lead to growth which is around another

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10% increased capacity is what is going to happen. Coming to your second part of the question on whether the margins are sustainable with these sorts of

operating higher operating leverage and single plant operation, yes, we can sustain the margins. The growth until FY26 is very clear. And on Aluminum, it is going to continue even beyond that particular point.

Pranay Roop Chatterjee: I have one more clarification, it is not a question before I am interrupted. So, you had mentioned, sir in answer to 1 participant's question that regarding the Stellantis order you said Rs. 500 crores run rate in H2. Can you just clarify that because I thought the order was Rs. 200 crores.

Srinivasan Ravi: I didn't say Stellantis 500 crores I said to the standalone Aluminum business of Craftsman for H2, has got a run rate of Rs. 500 crores for H2.

Moderator: Thank you. Next question is from the line of Vaishnavi Deshmukh from Yashwi Securities. Please go ahead.

Vaishnavi Deshmukh: I have a question in relation to the debt side, so in the July concall you have mentioned that debt should be coming down by at least Rs. 200 crores, now I see there is a slight addition in the debt and also with the CAPEX that we have already aligned, so what is the outlook for that?

Srinivasan Ravi: There are two things which had changed, one is the Rs. 375 crores outflow towards the acquisition of DR Axion and I think that we have shown the results because of that debt is sitting on the Craftsman books and we have not raised any equity on this matter, that is the reason for the debt increase currently. So, we had guided for around Rs. 320 crores, CAPEX for this financial year, but now we see huge opportunity for the Powertrain as well as Aluminum business going forward because of the geopolitical situation and also the Make in India policy. There are various policies the government is bringing up to reduce the amount of imports and they are even bringing up BI standards and other standards. I think for qualification, so there will be no dumping from other countries which are happening, so the capacities will not be sufficient. We started to prepare for that, so debt portion, I think I had mentioned in my opening statement, I always maintained that we would hover around 1.5 times debt to EBITDA on this matter and at the current level I will just read out the ratios to you. On a consolidated basis, debt to EBITDA is at 1.49 in total overall. See the absolute debt, yes, when you are going for

for a Greenfield project which we announced now there will be some portion debt as an absolute number may slightly increase or come down, but I think the debt to EBITDA will continually come down.

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Vaishnavi Deshmukh: On your second question, I have this on EV in the last concall, you have also mentioned that it is very low right now. So, are we seeing any improvement?

Have we got any order in that front in the Aluminum segment?

Srinivasan Ravi: I think for the two-wheeler EV, we are a major supplier at least for the market is concerned, but you know the size of the EV market itself is very small today. So, we having a major chunk doesn't change anything for us is not a significant percentage of our new business currently.

Vaishnavi Deshmukh: Just with the continuation of the last question, one analyst has asked about the Rs. 150 crores that you say the CAPEX would be done, it would come around in FY25, right?

Srinivasan Ravi: No, it will be done in FY24.

Vaishnavi Deshmukh: It will be done, but the capacities will come around and commence from FY25 or it would be commencing in FY24 only?

Srinivasan Ravi: It will come in start trial production in Q2, Q3 of next year trial production. Actually, revenue see you are right, it will come in FY26.

Moderator: Thank you. Next question is from the line of Karan Gupta from Varanium Capital. Please go ahead.

Karan Gupta: My question is related to the pricing term, so how we are competing on the pricing term? As we mentioned in the last concall as well that the China and from Thailand there is a dumping of the products of aluminum products?

Srinivasan Ravi: Not from Thailand, I said must be from China only because China is the biggest manufacturer in the world. Thailand is negligible.

Karan Gupta: So, now what is the situation now? And how we are competing on the pricing term? Or we have anything related to the working capital side we are managing presently, so we can compete better?

Srinivasan Ravi: So, there are 3 aspects. No, I will just put across first of all technology wise there is needs to be CAPEX investment done to compete with China. We are very small when compared to China. If we look at the foundry capacity, they

are 10 times bigger and relevant capacities if we look at it, they are 15 times bigger total. So, we are no comparison to China. Again, the economies of scale when we are having 10 different manufacturing plants in India. One manufacturing plant of China is able to have more capacity than these 10

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manufacturing plants. So, this means scale of operations advantage we are not having currently. So, whenever we build up on the machining side, Craftsman has got the scale of operations. Now on the Aluminum side, we are building up scale of operations and whenever we are looking at the global market, we have to be on global size of the manufacturing, otherwise we cannot even cater to 1 customer on this matter. So, it would not be viable to our any customer to source from us. So, this is whether capacity comes first or whether order comes first is a chicken and egg story which will continue. So, we are bent upon trying to capitalize on this new situation, there is our 3 situations which has developed one is the over dependence on China. The second thing is the geopolitical situation. The third thing is of course our GDP growth will sustain for a longer period of time. Growth will be because of the inherent economy and the average age of our economy people here. The last point is that within Europe and North America, the appetite for industry work is coming down, I think the skilled workforce is coming down. Even semi-skilled workforce people are not available because these are developed economies. So, there will be more outsourcing in India. I think getting an order here after only if we have the capacity, capability and the competitive pri

cing getting an order will not be a challenge at all.

Karan Gupta: So, when you say the scale of operation which means providing various and variety of products to the customers? Is that we can compete with China obviously on the pricing terms, we can compete as the foundries and the skill?

Srinivasan Ravi: Somebody was telling me that from a consultant in Germany that all the 10 top foundries put together I think one foundry in China will be bigger than that and they have 100 such foundries. This is what is the comment coming from there, so this is on public domain. On the global requirement we are 5% of the casting supply and I think China is 50%, but the 50% is relevant capacity and our 5% is somewhat some of the capacities have become obsolete on the lower end products. So, I think there is a lot of headroom to grow.

Karan Gupta: So, that is what I am asking on the scale side, or the pricing side, we can compete, that is okay, but anything we can do with the working capital or on the credit terms or the payment terms? No, apart from pricing, what we can do to compete in the domestic market and for export as well?

Srinivasan Ravi: I think your payment what we get from our customers, from the exporters is perfect. We are not giving any long credit, or we are not giving external credit. That is very clear on this matter.

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Moderator: Thank you. Next question is from line of Bharat Seth from Quest Investment Advisors. Please go ahead.

Bharat Seth: On taking this casting side opportunity, so you say we are working with the partners, are our partners are also expanding the capacity the way you are projecting demand?

Srinivasan Ravi: Yes, they are also expanding capacity and there is complementing capacity required. Some of the product segments and the foundry offering is very big. It is from a tiny product say one kilo and two kilos up to 10,000 kilos as everything is foundry totally. So, I think wherever there is a gap in the capacity available, Craftsman is willing to invest and take advantage of the opportunity and grow.

Bharat Seth: which sector, I mean smaller casting or a larger casting?

Srinivasan Ravi: Sir, I think we are working with various foundries within the country. I think more than a dozen foundries and 3 of our foundries are really working very close with them on their capacities. We are aware of their plans, and we are in close touch with them. Wherever our foundry partners can supply the material for us as a Tier-1 or Tier-2 for export we are not really getting into the business wherever there is no availability of this material only we are thinking of getting into backward integration.

Bharat Seth: And talking of this backward integration, what size of capacity are we putting

and what size of the foundry that we would like casting size will be like 200 kg, 300 kg or a smaller casting?

Srinivasan Ravi: Sir, we were not present in the Aluminum business 8 years ago. Today standalone Aluminum business is close to Rs. 900 crores this financial year in total. And what I wish to say is we will make in steps only we will not make one big leap. And what we have mentioned now is for foundry and machining at the stage one investment only we have done. We will see how it goes. We will have our order book full before we make the next step. We have 50 acres of land available and site #2 where machining Aluminum and Industrial segment all of it can grow. So, we will make this capital allocation as and when required only. We will not make one plan and just build it. So, we have got a bigger plan, but we are doing modular integration or investments.

Bharat Seth: So, is that clear sir if my understanding on the foundry side, we are expanding on the Aluminum, sir correct?

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Srinivasan Ravi: Sir, we are expanding on Aluminum side, we are looking at backward integration on the casting side,

which I have been articulating in the last two earnings call totally. So, we are looking at wherever we can buy castings from the foundry partners, whereas we can work with the foundry partners as Tier - 2. We are not investing for capacity. Wherever we see, there is a gap in capacity available and there is an opportunity available for end use for customers within the country or for export we are willing to invest for the foundry capacity.

Moderator: Thank you. Next follow up question is from line of Jinesh Gandhi from Motilal Oswal. Please go ahead.

Jinesh Gandhi: Just quickly to clarify on CAPEX of Rs. 480 crores which you mentioned for FY24, Rs. 320 crores for the existing CAPEX which we have announced and Rs. 150 crores, Rs. 160 crores is for the Phase -1 of new Greenfield plant, is that correct?

Srinivasan Ravi: Yes, correct.

Jinesh Gandhi: Because in the press release you mentioned phase 1 to cost about Rs. 102 crores, what I am missing over here, Rs. 102 crores versus Rs. 106 crores?

Srinivasan Ravi: No, what we are looking at is that we are investing at our balance facility to complement that with the existing facility at our existing plant because we don't want to start all the different segments of the business in separate operation. Wherever we can house it in the current plant that the Rs. 50 crores, Rs. 60 crores we are housing in the current plant, but after that the plant, it cannot house anything more, the flagship plant.

Moderator: Thank you. Next follow up question is from the line of Vaishnavi Deshmukh from Yashwi Securities. Please go ahead.

Vaishnavi Deshmukh: I have just one question left. As you mentioned in this concall only that major growth will be coming in FY26 on the new orders and the capacities that will be coming on stream. So, want to know what would be the guidance for you in topline and both consolidated EBITA for FY24 and FY25?

Srinivasan Ravi: We never give any guidance on this matter. I think we will be growing at a double digit this year, but it will be lower double digit.

Vaishnavi Deshmukh: For this year it would be a lower double digit and for FY25 are you expecting of something slightly flat?

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Srinivasan Ravi: No, we will be growing at a high single digit or double digit surely. What I am saying is the new opportunity, I think suddenly we may go beyond the 20% at some particular point of time. We have seen from the past from it is like that, we grow at 20%, 25%, 30%, then drop to 10% again come back to 15% -20%, but CAGR has been between 15% -20% if you look at it for a longer period of time.

Vaishnavi Deshmukh: And would we be able to see any improvement in the EBITDA?

Srinivasan Ravi: I think there are two things, one is inflation, and the second thing is the growth. If you are just growing at 5% -10%, I think the EBITDA margins to sustain itself is very difficult because of inflation. The second thing is again, the EBITDA margin is the mixture of how much value addition we do, so we have to measure the EBITDA on the value addition not on the topline which will be

misleading totally. So, when we are saying that we are having an value addition of around say 50 odd percent and then on that we are having a 40% EBITDA something like that we need to take that into account, not on the topline please.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Srinivasan Ravi for closing comments.

Srinivasan Ravi: Thank you very much for joining. I think there were many questions. I hope I have answered them to your satisfaction, but I thought I would give a brief summary of whatever the questions have asked for the benefit of everybody on this call.

I would say that on the Powertrain, as I mentioned in the last 2 earnings call that we may hit some sort of speed breaker where we cannot grow at 20% - 30% and that is

so true and because of that we have taken this action of strengthening our relationship with our foundry partners as well as putting the foundation for backward integration where and when it is necessary and the scale in modules not in one big jump where it may affect our return ratios we will be very cognizant to the fact that we need the ROCE, we need the return of equity, we need the EPS, that is why we have not raised any capital also. Our capital allocation will be very prudent, but what I wish to say is the Powertrain business can double or even triple from the current level provided we make the right moves at the right time, and we will do it in the steps. So, we will see the growth trajectory on the Powertrain going there will be a lull i.e., low double digit or high single digit growth for this year and next year after that again it will pick up in a bigger way.

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Whereas when we are doing for the Powertrain business, we are sharing the facilities for the larger partitioning when I talk about 1 ton, 2-ton, 3-ton parts these are parts which are having a complementary action with the Industrial Engineering segment. So, we are not putting all the eggs in one basket. We have two baskets, the equipment and the foundry capacity is and as when needed. When you put it up, we will be serving the industrial engineering as well as the Powertrain business.

In the Aluminum segment as mentioned earlier now as an overall segment, we are more than 50% on the passenger vehicle. So, our dependence on 2-Wheeler has come down quite dramatically totally as a company.

And now the third aspect which I wish to say is the EBITDA numbers or EBIT numbers, all of them are pointing towards a 45, 45, 10 sort of mix between Powertrain, Aluminum and Industrial Engineering roughly. What I am trying to say is that the product mix has been now very good on the consolidated basis. We achieved that portion of it. Now on the Powertrain business by itself, our reliance on the commercial vehicle business will be coming down while we continue to grow on the commercial vehicle business, you will see in the next, not quarters next few years it will be a smaller percentage overall, we see that. Coming to the last important segment of the business on the storage solution, we see that the on the automated solutions, our business will be growing much faster than the static racking. But both are complementing each other without the static racking automation cannot sustain on its own, so that will lead to better opportunity going forward, so all the three segments were well poised to continue to grow. Thank you very much and have a nice day.

Moderator: Thank you very much. On behalf of Craftsman Automation Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

(This document has been edited for readability purposes)

Call: Feb 2024

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1st February , 202 4

To

The Manager - Listing, The Manager - Listing,
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Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051
Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call on the Unaudited Financial
Results for the quarter and nine months ended 3 1st December , 2023 ;

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirement s) Regulations, 2015 and our intimation and
outcome letter dated 2nd January , 202 4 and 29th January , 202 4 respectively, we are
enclosing herewith the transcript of the earnings conference call organized on Monday ,
the 29th January , 202 4 at 4.00 P.M. (IST) on the Unaudited Financial Results for the
quarter and nine months ended 3 1st December , 2023.

The transcript of the earnings conference call will be uploaded on the website of the
Company at www.craftsmanautomation.com .

We request you to kindly take the aforesaid information on record and disseminate the
same on your respective websites.

Thanking you.

Yours faithfully,
for CRAFTSMAN AUTOMATION LIMITED

Shainshad Aduvanni
Company Secretary and Compliance Officer

Encl: As above

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CRAFTSMAN AUTOMATION LIMITED

Earnings Conference Call held on 29th January, 2024 for the quarter and
nine months ended 31st December, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Earnings Conference Call to discuss
the financial performance of the Craftsman Automation Limited for the quarter and 9

months ended December 31, 2023. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the opening remarks is concluded. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Ravi, Chairman and Managing Director of Craftsman Automation Limited. Thank you, and over to you, sir.

Srinivasan Ravi: Good afternoon, everybody, and we welcome to the investor call today. Thank you very much for joining. I'll just give a brief note on the addressable market of Craftsman Automation.

In the Powertrain business, we had only a marginal increase in the demand because of the adjustments that are happening, which I'll explain later during the Q&A. Whereas on the Aluminum segment, we had a good growth on the two-wheeler side, in spite of our passenger vehicle business not reaching to their level with certain customers where we had orders and even from orders not picking up material. But still, we have had a healthy growth in the Aluminum Products segment standalone as well as in the consolidated. The tractor market has declined. And I think the Red Sea conflict is posing a lot of challenges going forward.

I'll just put some numbers here on the consolidated financials and then go with the standalone. On a 9-month comparison, the turnover has been INR3,346 crores. Previous year is not strictly comparable because the DR Axion consolidation has not happened. It was INR2,202 crores. So, E

BITDA also will not be comparable, the INR684 crores versus INR503 crores. EBIT also not comparable, INR479 crores versus INR342 crores.

The financial ratios, Debt to equity has been 0.86 times; debt-to-EBITDA 1.59 times because we are always saying that 1.5 to 1.6 times is a comfortable level; EBITDA margins has been around 20%. EBIT margin is 14%. For the 9 months numbers, PAT has been 8%. ROCE pre-tax has been 23%. ROE annualized is 23%. EPS not annualized is INR.114 per share.

Standalone financial highlights. Nothing great to speak of, but I think there is we have done reasonably very well with the headwinds. The turnover has been increased to INR2,385 crores from INR2,195 crores. The breakup for this has been the Powertrain business has been INR1,169 crores, Aluminum INR666 crores and Industrial & Engineering INR551 crores. EBITDA has been INR503 crores, a marginal increase over

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the previous year of INR499 crores. And the breakup of the EBITDA has been, Powertrain has been INR333 crores, Aluminum Products INR127 crores and Industrial & Engineering has been INR68 crores.

The storage division had a turnover of INR261 crores versus INR271 crores the previous year, a marginal decrease. There has been a lot of headwinds there on the shrinking market this year. The market has shrunk. In spite of that, we were able to almost retain the top line in spite of stiff competition.

Capex up so far until December '23 has been INR395 crores. This is all round capacity balancing expansion, marginal capability increase to address the revenue opportunities, which we expect in the near future.

Now I want to touch upon the 2 new plants. One is the Kothavadi plant, which we had informed you in the last meeting. In the plant, we've started the construction activity, and it is in line with our timeline what we have planned. We have declared 24 to 30 months for the startup production, but we are trying to fast-track it in a slightly better pace. This will host all the 3 segments of the business. And even the proposed cast iron foundry, which we are putting up will be for Industrial & Engineering to start with, and it will also move into the Powertrain segment on the heavier castings, which are coming forward.

So, the other segments will follow into this location because our current land availability and space availability in the current plant is quite limited. The second major shift towards the growth opportunities we're taking is we have identified that the NCR region is a way to go forward with a lot of potential being there in the market for all the 3 segments of the business. So again, we are making a composite unit in the vicinity of the NCR region, which is within 100 kilometers of the major customers in the auto sector as well as the Storage Solutions also will see a reduction in freight and logistics cost, which is good when we are running out of capacity at our Pune plant in the near future. So also, on the Powertrain segment, we are only on lease facility at our Faridabad plant. Any new opportunity which comes up also this new location will address too. So, to start

with, we are looking at Aluminum as the first space of the business and we proposed to invest INR150 crores in land building and machinery in case #1. We are looking at mature sales in the first financial year after commissioning of the plant to be around INR200 crores in this.

Now with this, I will leave the floor open for Q&A. Thank you.

Moderator: Thank you very much. The first question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: Ravi sir, can you share the value -add details for the quarter or for the 9 months like you share normally?

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Srinivasan Ravi: Yes, for the value -add, the number for the Powertrain for the December -- and you are talking about the -- you want the Q3 or you want the 9 months number?

Jinesh Gandhi: Third quarter.

Srinivasan Ravi: Okay. Third quarter, INR237 crores on the Powertrain, INR97 crores on the Aluminum and INR73 crores on the Industrial & Engineering.

Jinesh Gandhi: Okay. And secondly, you are referring to the issues which we are facing in the Powertrain business, where volumes or other revenue growth was quite weak. So what are those issues, which you're referring to? And how do you see growth in the Powertrain business going forward?

Srinivasan Ravi: First, I would like to say that there are no issues in the Powertrain business. We have grown from a smaller base to a very high base at a very high trajectory going forward. You know that in the passenger vehicle segment, there has been a run in new development of products. It's the completion of EV, which is there. Farm sector has been muted for a long time. And the BS6 transition on the commercial vehicle segment has just taken place, and we won't see any new development or new production line coming in.

The other challenge I would say has been only on the TRIM5, which is the equivalent of the emission norms for the construction equipment and tractor, which was supposed to come in from April this year. We already invested for those lines because some of the parts are very new. It is not the existing engine getting upgraded. But I think as expected, the government has deferred this time line because of the huge cost impact, especially on the farm segment and also the construction equipment.

So, we do not know when it is coming up on this matter. Being a single supplier for many customers, we already have invested in line with our agreements because this business is not going to go anywhere, but we have already concluded with the customer and we are ready for production as and when we think.

So, it is something like a transitional phase. Today on the commercial vehicle segment, we had a reasonable growth, but I think there is some correction in the market. And looking forward to the election year, there will be a reduction in volume, especially in the construction equipment side. And there will be maybe a flat situation in the commercial vehicle segment in the -- going forward in the next year.

So, having sensed that little time back, we have improved our capability. We have increased our capacity by 10%. We also have refurbished our old equipment, which are more than 15 years old to bring it into order, even though they're fully depreciated. So we have spent quite some amount of money. And even the machines, which are 10, 11 years old, we have brought it to full speed. So, with the sort of capability we have and capacity which is now latent capacity, which is unutilized is quite high totally.

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With that, we do not need any further big investments going forward while we continue to focus on the other 2 segments of the business, mainly the Aluminum segment in the beginning. And we are moving to the Industrial segment, which I will explain later. With the opportunity, which is coming up with the geopolitical situation and also the government push towards manufacturing within India for all the multinationals, our inquiry and footfall within the company has been quite high going forward. So we know what is coming, so we are getting prepared for it.

Jinesh Gandhi: Got it. And secondly, on the Brazil order of Daimler, how are things there now? Have you seen impact of inventory correction being largely behind us now or the continued pressure on that business?

Srinivasan Ravi: Inventory correction is still in the process. But I think there is nothing much on the inventory correction further. But the market itself is -- they are also shifting to heavy duty just like in India. So, the medium duty segment where we are addressing is not

going to grow. That is clear. Even if the economy of Brazil comes back, we have factored th

at in.

So the way we are looking at powertrain is, as I mentioned in the last earnings call, we are looking out at off highway and industrial engines. India will become a big hub in the near future because apart from China, there is no other manufacturing country in a big way this casting - machining business. So there, we are part of the investment is going for that particular segment of the business in our Kothavadi plant.

Moderator: The next question is from the line of Abhishek from Dolat Capital.

Abhishek: Sir, you are setting plant in Delhi NCR. So, can you please throw some light on who are the key clients in that particular -- for that particular plant?

Srinivasan Ravi: As of today, the clients whom we are discussing are -- I think we have progressed quite a bit. There are at least 2 clients we have progressed with and the other 2 clients we are in the initial stage of discussion. The question comes up, have you got a plant in NCR? They have also connected us for some of the critical parts, which are of a little more complex nature, which they asked the supply from the Coimbatore plant as well as our Bangalore plant.

But having said that, only doing niche projects -- products and things like that will not help us to grow our business nor improve our profitability in the long run. So we have asked them that why don't they give us bread and butter business also. So that is under discussion, but there is chicken or egg story now, whether the plant is available or not. So as part of our commitment, we already have one bid in the auction in the Rajasthan industrial land and we have got the land allocated. Allocation letter is expected anytime in this week. With that, I think we will be able to conclude business in the near future with customers because there are no new capacities which have come up in the NCR region. And one more important point is NCR region has been one of the oldest industrial area for a long time.

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So whatever investments have been made by our peer companies in that region are also pretty old and some of them have moved on to higher technologies and things like that. So, there is a good possibility for Craftsman being as an agile manufacturer with quick development, good machining strength. So the outsourcing in some of the regions are still -- it's insourced. I am talking about still casting, aluminum castings are being procured and machined in-house. We have seen that change in the southern region, where outsourcing of the machining also has happened.

This trend will also be quite visible in 2, 3 years' time in the NCR region. I think the confidence has to be in the supplier, where they can meet the exacting standards of quality as well as consistent delivery and also meet the cost targets.

In fact, at our earlier foray into two-wheeler business was the niche area, of course, one of our customers. Another customer was importing the crankcases from China, where we replaced them. So we have proved that we are able to manage this business quite well. And with capacity utilization coming up, we are able to get a decent return of ROCE in spite of being only 8 to 9 years in the business.

Abhishek: So the new plant mainly be utilized for the passenger vehicle, 2-wheeler Aluminum business or in the Powertrain business?

Srinivasan Ravi: In Aluminum, we are not restricting ourselves to any customer base in that way. We are now talking about with our acquisition DR Axion, it is quite clear that our passenger vehicle business is higher than the two-wheeler business as of today totally.

And earlier, it was predominantly high pressure die casting before the acquisition. Now it is more towards gravity and low pressure, which is predominant now. It's a bigger percentage followed by high-pressure die casting customer. So we are a well-balanced company, and we are looking at all the 3 processes across both the

passenger vehicle

as well as the two-wheeler segment.

Abhishek: Okay, sir. And this quarter, sir, there's a sharp contraction in the EBIT margin of Industrial segment. So this happened despite the lower steel prices. So what is the reason, sir?

Srinivasan Ravi: The storage solution business has shrunk in the first 9 months. And for the whole year also, it will be lesser than the market size I'm talking about compared to last year. The investment in the warehouses has taken a pause, I would say.

In spite of that, we are -- we have made the absolute sales almost same. I think 98% of the 9-months figure year-on-year or 95% is what we achieved. Our peers in the business have performed lower than that, and there is also some consolidation, which

is happening in the market. So in the declining market segment, there has been tremendous price pressure for the -- getting the available orders. So that is the reason for the contraction in volume.

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When the market comes back in FY '26, which we are very sure, I think when everybody has got their pie of business, I think the margins will improve sharply because of the -- both because of the capacity utilization and better price realization.

Abhishek: Okay, sir. And this new off-highway business, revenue will also kick in from FY '26 only?

Srinivasan Ravi: Yes. FY '26 onwards, it will -- FY '26 also will be a small portion. The development time is, I mean, the facility to come in 12 months, 14 months, 20 months, it is from the time of the installation of the equipment. We have informed the stock exchange 18 months to 24 months. So we are trying to cut down in spite of the challenges what we have.

Apart from this, we have to say that the development of the parts, we are taking a thorough action where it is also 12 months for the tooling and everything to be developed. Then it comes to the validation of these projects because of the high cost nature of the end product running into a few crores of rupees per product.

The testing costs also runs into millions of dollars per product, and on the test bed, it works 6 months to 1 year before the validation happens. So these are difficult to get business, not easy to get and also very, very sticky business going forward because of the huge investment, which is being made by the customer also in terms of validation, testing and the tooling cost.

So we are on the right track from that matter. We already have secured, in some cases, machining orders for these particular parts. And these castings are coming from outside India today. So we are very clear on that particular business aspect.

The second we are not looking at only the powertrain business in our new facilities in Kothavadi. We are also looking at the new government regulations, which is related to BIS and also the trend towards manufacturing within India totally going forward. So the -- it is a very clear sign that we have been machining also the windmill parts. In windmills, I am not talking about the structural parts of the windmill, but more critical parts for the gearbox housing.

We have been in the machining field, we invested heavily in the Industrial & Engineering segment over a period of 3, 4 years in phases, of course. So nothing significant per year, but now we are ready, and we have grown the parts. And now we are looking at backward integration into the casting front, our customers are open, and we are very close to negotiating and getting an LOI in the next few months, I think. It is also quite a sizable order.

So that will be the new facility we will be doing, both the Industrial & Engineering segment for the end segment of windmill and other capital goods also are requiring castings, which is also part of the Industrial & Engineering. In the Powertrain business for the I think anywhere starting from a 15-liter engine all the way to, say, 90 liter-engine, all

these particular engines have to be developed in India because there is not enough facilities or casting within India.

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Moderator: Thank you. The next question is from the line of Pranay Chatterjee: from Burman Capital. Please go ahead.

Pranay Chatterjee: My first question was with regard to the powertrain revenues. So a couple of questions have already been answered on that. So I'm asking slightly differently. So your key segments like Daimler, as you said, is down 40%, 50%. It's still not recovered. And MHCV volumes will probably grow low to mid-single digit, I think, next year. Ashok Leyland has already declined in the last couple of months. And tractor also, it's probably like around 0%, right? Along with that, you are getting new orders in off-highway segment, which is, like I said, expected to kick in, in FY '26 and onwards, right?

In this context of slowing end segment over the last 3 quarters and new revenue kicking in, in FY '26, is it fair to say that FY '25, which is the next 4 to 5 quarters, should be pretty much flat for Powertrain, like probably flat, flattish to mid single-digit growth?

Srinivasan Ravi: We'll be able to always, as usual, little out do the market. But I would say that the customer case will be flat. We have already got for the other SUV manufacturer who was importing from Italy for the leading models of the Indian SUV manufacturer and also the Italian manufacturer, they share engines. The cylinder block were imported, and now Craftsman has started the supplies in the last month onwards, which was getting imported products at least as far as we know, 6 to 7 years now.

So there is an import substitution. It's not a market growth that is there. And as I mentioned, on the industrial engine side, it's not only about the casting, which is to be developed at Craftsman on this matter. It is the machining side, which already we got orders. The castings are coming anywhere from -- even from South America. The se are being shipped to India.

We have already started the samples. That will start kicking revenues in H2 of next year. The top line revenue because it's only machining value might not be significant, but I think the traction is on. By the time the confidence level at our own facility coming in. I think there is a lot of confidence of a customer to move, not move, at least to look at stocking imports in view of the BIS standards and requirements. And also to look at the opportunity to derisk themselves from the China market overall.

Pranay Chatterjee: So it's also end market remaining flat and historical also, you have outperformed the end market because of various initiatives. So that should probably result in by 5%, 6%, 7% probably at most for the next 4 quarters. Can you take a kick into a higher growth after that?

Srinivasan Ravi: After that, we are expecting a very high double -- surely a double -digit growth, and it will go to the old growth rate by '27 is what we have predicted because there will be a step change. This is some movement from industrial engines we are slightly less than 10% of our total portfolio.

Just like in the Aluminium business, passenger vehicle was negligible, suddenly the passenger vehicle has taken a bigger role in spite of our -- one of our European

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customer Stellantis given the order book, which I had mentioned initially after the IPO, which is now almost 3 years old, which has not really taken off. The INR200 crores orders, then we downsized to INR100 crores, now we are just INR30 crores, INR40 crores because of the headwinds faced by the customer regarding other things, not regarding the supply of Craftsman, which we will not like to elaborate in this earnings call.

So in spite of all that, I think we've grown. So we will be looking at using our industrial engineering knowledge, where we have grown our industrial knowledge to power the autom

otive business. So that is helping us in the small volume, medium volume industrial engineering sort of activity in the powertrain business for the off-highway vehicles as well as for the stationary engines.

Pranay Chatterjee: Got it, sir. My second question is on your Aluminum Products business, which combined with DR Axion, obviously, is a very well -balanced business mix today with a INR2,200 crores annual run rate, right? On this base -- and I'm recalling all the past calls and pretty DR Axion when this excluded from the segment and you consistently maintained 20% growth as of today, right? So now on this INR2,200 crores basis, do you think there is enough fuel in the tank to sustain that high level of growth of 20%? What are your thoughts on this over the next 3 years?

Srinivasan Ravi: If you look at it, it will be high teens in the financial year FY '25, if not 20%. But I think with the new facility coming up in the north and for FY '26, surely, we will be at 20% on the higher base.

Pranay Chatterjee: As, sir, the revenue of INR200 crores is set for the plant. Is that the peak revenue or just the first year revenue, which would ramp up with the peak?

Srinivasan Ravi: It is the first full year of revenue provided the plant starts operation 6 months in advance because there is a validation and things like that. But it's not a long validation like the other parts, yes.

Pranay Chatterjee: Got it. So what will be the peak in asset terms?

Srinivasan Ravi: Peak, we can look at INR300 crores.

Moderator: The next question is from the line of Senthilkumar from Joindre Capital Services Limited.

Senthilkumar: In lieu of the expansion of plants, the greenfield and brownfield expansion, the growing debt on books, are there any plans to raise equity to pay up high cost debt?

Srinivasan Ravi: The thing is we are comfortable, very comfortable at 1time level, and we are at 1.6 times level overall on the debt -to-EBITDA because we don't look at debt to equity at all because it is the cash generations versus the debt.

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So really speaking, if we slow down capex or we are looking at any activity, automatically, it will come to debt 1:1. Raising equity will be a dilution of the EPS, which we are not very keen, but we will have an enabling resolution surely in the near

future where we are looking at further M&As within the country. Now there is a small -- little change in our attitude towards M&A outside the country. You may ask why for 2 decades, you have resisted from that, suddenly, what is the change?

Now we see the winds of change coming in, where the multinationals are going to set a plant here. So it may help that we are getting the actual supplier who is supplying in Europe to service them within India. First it will be from imports from there, and then we may be setting up here. So that will ensure that we have the technology, we have lesser risk going forward.

We are not putting the both eggs in one basket. That is European subject. So for that -- these reasons, we may have to raise capital. But for small acquisitions, no. Our idea is not to raise capital. And I think debt servicing is a cheaper option for -- in taking the interest of our shareholders.

Senthilkumar: Okay. I understand that. And my second question is again considering the expansion plan, is it the conscious decision of the management to concentrate more on aluminum products than the traditional automotive powertrain segment? If so, why?

Srinivasan Ravi: You have asked quite -- a very interesting question, I would say. Now when we look at the Powertrain business, the headroom for growing on the industrial engine side is pretty high. So we have already set foot there. We are watching this for 10 years and we made the move last year totally.

Now on the Aluminum segment, looking at it, the -- so far, light weighting or the aluminum content per vehicle incr

easing has really not happened so far because of the huge confusion, which has been there on new platforms, how to go. But as expected, after a long dwell time, the OEMs are looking at having a platform, which has been -- will be common for IC engines, hybrid engines, then plug-in hybrid as well as total EVs. So this is the way going forward so that they have the scale, which is there.

Only then it's worthwhile for them to invest for our aluminum platform. So unless we have the technologies in place in size. I may have mentioned in my earlier earnings call that we are looking at the global scale of operations on aluminum. The minimum size of the top 10 people has been \$1 billion to anywhere between \$1 billion to \$3 billion, \$4 billion. So at least we are spending to at least the \$500 million in a place of 2, 3 years' time, at least. Then only we will have the required R&D and we will have required the development interesting scale for the customer.

And in -- also in view of some projects taking off or some projects failing in the market from the customer point of view, still, we will be able to sustain the growth as well as the -- will protect our margins because we'll not -- per customer or per segment, our exposure will be lesser. So this is the way we are looking at aluminum. Aluminum is still

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the growing segment as far as it's concerned. Earlier, aluminum, I may have mentioned that it is predominantly two-wheeler. Still, it's predominant two-wheeler. But I think in 2, 3 years' time, it is set to change.

Moderator: Thank you. The next question is from the line of Joseph George from IIFL.

Joseph George: So my question is in relation to the expectations that you have in terms of growth for FY '25. So for Powertrain, you said that the end industries are likely to be flattish in terms of volume. So should we be looking at a single-digit kind of a growth for yourself, including the benefit of the new orders, etcetera?

Srinivasan Ravi: Yes, you should be looking at high single digit, I would say. But yes, single digit. On the Aluminum, I will answer your question -- I will answer you before you ask the question, on a consolidated basis, we are looking at anywhere high teens to 20%.

Joseph George: Understood, sir. And on Industrial & Engineering, you mentioned that Storage Solutions is unlikely to see much of a growth in FY '25 because of the industry situation. So that would mean that even on an overall basis, Industrial & Engineering wouldn't see much of a growth, I'm guessing.

Srinivasan Ravi: It will be because the base is very small, we can still expect 15% growth.

Joseph George: Understood. And lastly, sir, for Industrial & Engineering. Within Industrial & Engineering, can you give us the Storage Solutions revenue for the quarter, please, third quarter?

Srinivasan Ravi: I think, the number range is INR260 crores versus INR270 crores in the 9-month figure. Yes. I will talk about the Storage Solutions now. It has been -- for Q3 of FY '23 was INR80 crores and for Q3 of FY '24 was INR97 crores.

Moderator: The next question is from the line of Rajesh Kothari from Alpha Squared Financial Advisors.

Rajesh Kothari: This is Rajesh Kothari here from AlfaAccurate Advisors. Just one question from my side. In terms of the profitability, particularly on the aluminum side, the core without the consolidation, excluding DR Axion, how should you -- how we should look at it from this

year and the next year onwards?

Srinivasan Ravi: As long as we keep growing, so that we are going to keep growing, we are growing at 15%, 20%, I think we can be preserving these margins. There is some increase in all operational costs. That is what has impacted our Powertrain, and drawing your attention back to Powertrain.

When the salaries are increasing, when the operational costs are increasing, and when the top line doesn't grow, I

think there will be -- the cost reduction possibilities are quite limited because we are already a well-run organization. But an acquired company, we have a better chance for cost reduction I will come back to that a bit later. So in the --

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yes, in the Aluminum segment, with this growth trajectory, I think we should be able to preserve the margins.

Rajesh Kothari: Current quarter margins were not good, am I right? I mean, if I look at even current quarter again it is declined. I'm looking at core standalone Aluminum business. That margins have again reduced. So...

Srinivasan Ravi: It's always a quarter post the festive season where the products have been stopped, and we have increased our capacity to that level. So overall, it will be in that situation.

Year-on-year, it will be in the same situation. So for the -- I'm looking at the year-on-year.

Rajesh Kothari: So next year -- are you saying that next year, we should look at about, what, 16%, 17% kind of a margin, excluding the DR Axion?

Srinivasan Ravi: I think we are operating between 16% to 18% EBITDA margin, as I mentioned earlier, and we'll continue to operate at that level going forward.

Rajesh Kothari: And in power train, you mentioned that the industrial side of the -- which is a new driver, what you are looking for. So can you just give some more insight into this because this basically may drive your growth in the future. But by this opportunity, how big this can be the -- this can be over next 2, 3 years?

Srinivasan Ravi: I will draw your attention to the top 3, 4, 5 companies in the world just for an idea. Their presence in India is not so big in the terms of industrial engines. They are big players there in the construction equipment. The multinational companies in North America as well as in Japan, who are into huge construction equipment without naming names.

They are anywhere between \$40 billion, \$50 billion in revenue, but their Indian operations are only \$2 billion and their China operations are very big. So now they have started to focus on India. And we will see that it will be their plants, which will be beefed up or even new plants coming up in the near future, which will serve the -- not only the growth in the Indian market, but in the neighboring regions as well. Because the Chinese joint venture companies or even surrounding companies will be -- at a given point will be restricted to within China itself because of the other geopolitical dynamics.

Rajesh Kothari: I see. I see. So for this, do you need to make any fresh investment, the CapEx?

Srinivasan Ravi: That is what we had mentioned in the machining side. We have been very carefully investing for the last 3, 4 years in small portions in the Industrial & Engineering segment on the large parts machining. That is -- large parts, I mean, parts weighing 10 tons, which are the some the engines and some of the industrial engineering equipment also are weighing that big. Very critical machining.

Then we are also setting up the Kothavadi facility to target those sort of businesses because we need the castings for that. As mentioned earlier, without the castings the machining alone cannot grow. And this segment, there are no suppliers in the country. I think 1 or 2 are there, but I think they are also not scaling up to the global level. Yes.

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Rajesh Kothari: Suppliers for what, they are not -- sorry, I did not get it.

Srinivasan Ravi: For the larger parts, I mean, larger parts on the industrial engines, there are only a few suppliers in India and nowhere in relation with China. So I'm talking about, as I mentioned, I don't know if you joined late. But I said the engines from 15-liter to, say, even 100 to 120 liters have been manufactured in India for various reasons. It may be for the backup power generation, it may be for -- also for construction equipment, which are

large in nature. So this is for domestic market as well as export market.

So this opportunity is still unexplored by the Indian suppliers. That is where we are looking at. It is the same casting machining of the powertrain, which is being extended with the industrial engineering machining knowledge. Because in the current

Powertrain, our parts are weighing 150 kilos, 200 kilos, 250 kilos, I think more than that. Now we are talking about real heavy parts.

Rajesh Kothari: So these value addition possibility can be higher?

Srinivasan Ravi: Sir, I think this is a very difficult question to answer. Because if the large part is there, the value addition as a percentage of the material cost may be smaller, but the valuation compared to the work done may be very high. So I will not be able to exactly correlate that. It's not an apple-to-apple comparison.

Rajesh Kothari: Understood. Just last question from my side. What is the full year capex for FY '24 and FY '25?

Srinivasan Ravi: FY '24, we are looking at the region of around INR500 crores.

Rajesh Kothari: And FY '25?

Srinivasan Ravi: FY '25 will depend on how we are going to look at the north plant if they are able to conclude any orders before June and big level, we may fast-track the project, which we have declared 18 to 24 months. Only the land investment has been -- again is partial.

It is on the installments we have to pay the land. It's over 12 quarters we have to pay for the land. So there's no big cash outflow. But when we start the construction and we start installing equipment, there will be capex. But that will be decided by the Board at the time when we have some evidence on the particular investment.

Rajesh Kothari: And for Industrial Engineering, how do you see the margins? For Industry & Engineering segment, how do you see the margins?

Srinivasan Ravi: Sir, I think -- I will request you to come back in the queue because we mentioned that we had...

Moderator: The next question is from the line of Basudeb Banerjee from ICICI Securities.

Basudeb Banerjee: Yes. In last quarter call, I remember you mentioned that because of some machinery refurbishment in your factory for Powertrain business, the margin was coming down

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and it came to 20%. And the work is more or less done, so it should recover back sooner.

So this quarter, we see Powertrain segment margin further down. So what is the status from that machinery refurbishment angle? And when should we see Powertrain segment margin recovering back on the ground what you said last time?

Srinivasan Ravi: I will answer the question holistically, first the specific question and then the holistic answer. Our gross block in the Powertrain is very high. And we have been investing from 2004 onwards in the -- when we look at the gross block of INR2,169 crores, so we took this opportunity to refurbish to higher capability or to look at enhancing the productivity of the machine by some changes of the equipment in order to avoid too much further capex.

I would say 70% of it is done and balance 25%, 30% will be done in Q4 and partially in Q1, but that will not be significant going forward. I think then it will be normalized to a level of actually the repair and maintenance.

So second point, which if you look at holistically on the entire investments and the [inaudible] margins are affected by fundamentally 3 to 4 major points. I will list them all. One is surely capacity utilization, number one, because of the fixed cost, which is sitting there and the machining is not done. It is something like airline seats going empty. This is one aspect.

Second aspect, we are having inflation of the manpower cost, which is -- cannot be passed on. So that means we need to also invest for some automation or productivity improvement to nullify the manpower cost. The third thing is about the existing products coming out in the market

and needing some changes. We need to be agile to manage the capacity utilization overall. These are the 3 major drivers for the profitability.

You may notice that for the quarter, the depreciation has increased by around INR11 crores.

See, it may not be available in your domain, but I would say that the bulk of the depreciation increase has come from the powertrain area totally. That means we are ready for the next phase of growth. So it is very difficult to manage growth when the opportunity arises, then we are not ready. So this is a small price to pay at this stage when we have the time and energy to do it, and we will be able to address the growing market from FY '26 onwards.

Moderator: The next question is from the line of Jinesh Gandhi from Ambit Capital.

Jinesh Gandhi: A couple of questions. One is on the cast iron foundry. So have we finalized specification for that? And what kind of investment that could be required?

Srinivasan Ravi: It has been announced that the Kothavadi project will be a composite plant for Aluminum, for the Industrial & Engineering as well as for the Powertrain. So this is a

total 50 -acre campus, which is equivalent to the current campus totally. Our current campus in Coimbatore houses all the 3 divisions of that. Similarly, that will house this foundry also.

Jinesh Gandhi: So this would be what, a 5,000 -ton foundry?

Srinivasan Ravi: Pardon? I didn't hear you properly.

Jinesh Gandhi: What would be the size of foundry?

Srinivasan Ravi: It is around 2,000 -ton capacity, but this is not the greensand foundry, what you may be looking at. This is the parts weighing from tons onwards only. It will be multiple of tons, 1 ton, 5 tons, 10 tons, something like that, each part.

Jinesh Gandhi: Okay. Okay.

Srinivasan Ravi: Typically, in the Powertrain business, it will be INR150 crores, INR200 crores, which I mentioned earlier. So we are not only looking at the Powertrain, we are looking at the wind energy, we are looking at capital goods. This is a foundry, which will address the 2 segments of the business that's the Powertrain as well as the Industrial & Engineering segments.

Jinesh Gandhi: Got it. Got it. And secondly, when we look at the exports, so what would have been the exports in this quarter?

Srinivasan Ravi: I think we will wait for it offline because in the interest of time, so nothing much has changed on the exports.

Jinesh Gandhi: Okay. But broadly speaking, the exports have been relatively under pressure for last couple of quarters or so, like for other industry?

Srinivasan Ravi: I'm right on that. I think there is some INR161 crores to INR165 crores or INR4 crores, which is mostly driven by the EBITDA. I am talking about direct exports. This is mainly like exchange rate. So actually, there's been no growth for that. That's very clear because some of the countries are going through recession now. They're going through election phase this year. I think there's a lot of stock correction is happening. So we also have the Israel conflict happening. Now the Ukraine conflict is not over. Now we have the Red Sea problem. So, I don't expect, but I think tier II exports other than the Brazil Daimler export, all other tier II exports have improved.

Moderator: The next question is from the line of Vaishnavi Deshmukh from Yas hwi Securities Private Limited.

Vaishnavi Deshmukh: So I wanted to ask a question regarding the margins of Industrial & Engineering division. So last quarter, we have seen that it has improved. But in this quarter, again, it plunged down to around 6.9% EBIT levels. Why is the -- what is the reason behind this decline?

Srinivasan Ravi: The margins are not declining directly. If you look at it, I think the capacity utilization has come down. There has been headwinds on the Storage Solutions business where it has been really competitive.

Because of the shrinking market, we have kept the numbers flat. I would say we have achieved 95% of the Storage Solutions business in spite of the big contraction, double-digit contraction in the more than double digit, I would say, high-teen contraction in that particular segment of the business. So to keep our market share going up, I think we have sacrificed the margins. I think this is a temporary phase what we are strategically looking at to improve our position in the market.

Vaishnavi Deshmukh: Okay. So when are we expecting this margin to improve, like next year or in FY '26? And what are the margin targets that we can achieve?

Srinivasan Ravi: Holistically, let me answer for FY '26. In between, there can be an election year, there can be other possibilities. Looking at capital goods, it is required in the country. No choice.

Coming to Government policies, very conducive for manufacturing, very, very conducive going for setting up plants. All the states are competing for setting up the new plants, attracting investment. So this is indeed focused employment generation and domestic -- reduction of import and increase of export.

So having this in mind, we are hardly manufacturing 10% of what China is manufacturing totally. This means they're too small in the global context. So when we are going for a small base and we are making bigger investments, it is something like a small boat rocking. So the CapEx, which you are doing on Industrial & Engineering will immediately depress the margins because of the depreciation hit. So once we raise on Aluminum, the same problem we had 4 years ago when our base was small. Quarter-on-quarter, there were big changes.

But now since we have reached at least a small economic size, we have not reached an economic size at around INR2,500 crores. So I think it is still okay to manage investment. So I think this is the investment phase for the next 2 years. After that, I think our margins will creep up just like the aluminum margins improved.

Vaishnavi Deshmukh: Okay. So just last question. Which of these particular divisions, like Storage Solutions and other divisions and Industrial & Engineering, which is generating more margins, like competitively, which have better margins?

Srinivasan Ravi: No, if the margins means I would shift ROCE and the Storage Solutions is not capex - oriented, whereas our contract manufacturing is capex -oriented totally. So we look at - similar ROCEs will be there across the segments. And the entire business model is slightly different from all these 3. We expect multinationals, we are driving a lot of footfalls of multinationals for contract manufacturing of their products for the Indian market as well as for the export market. This after a lull of practically 20 years, we were 80% export company Craftsman, direct exporters, I'm talking about, not tier II exports.

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In 2004, we had 83% of our revenues, to be exact, from direct exports, 17% revenue is coming from India. We are supplying to 34 customers in 9 countries. After that, it was a China story. But now it is starting to come back that is a footfall.

For example, you have seen the -- some of the Taiwan manufacturers with very big companies setting up facility for manufacturing phones in Hosur region, which was imported. So these will have -- these are their own plants. But in the question of capital goods, I don't expect the multinationals to have an end-to-end solution for manufacturing in the country. They need suppliers like Craftsman to supply.

Vaishnavi Deshmukh : Okay. So that will give us the growth that we are targeting, like 15%?

Srinivasan Ravi: I think in the back of the mind, we need to understand still that we are at 10% of China's manufacturing.

Moderator: Thank you. Ladies and gentlemen, that will be the last question for today. I would now like to hand the conference over to

Mr. Srinivasan Ravi: for closing comments.

Srinivasan Ravi: Thank you very much for the interesting session. That's why I close the opening remarks within 7, 8 minutes to leave more time for the Q&A. And today, the winds of change are blowing in India's direction. All the global manufacturing companies are looking at India to scale up. There's a lot of confidence in Indian manufacturing, which after a long time is being looked into. And there is the confidence that the government policies will be continued for -- enable a conducive environment for manufacturing.

So, this requires the change, the only complaint we keep hearing from customers. There is no scale in the country. They're disappointed. We still have to go back to China. So that is what we at Craftsman also wanted to change. We want to be part of the growth story, but we are not trying to take any one major step, which will -- and maybe they could lead to the risk situation.

So, we are monitoring the situation very clearly and moving in some small steps in the right direction. And as I mentioned earlier, for the first time, we are not only looking at M&A within the country, maybe small or medium size, not large size, of course, within the country and even outside the country, where it makes strategic sense, where the risk is very, very small or negligible to even bother about it, where it gives us a strategic advantage to have a foothold in the global market.

So, with these remarks, I would thank all the investors who have been on the call and look forward to meeting you again soon. Thank you much.

Moderator: On behalf of Craftsman Automation Limited, that concludes today's conference. Thank you for joining us. You may now disconnect your lines.

(This document has been edited for readability purposes)

Call: May 2024

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6th May, 2024

To

The Manager - Listing, The Manager - Listing,
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Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051
Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call on the Audited Financial
Results for the quarter and year ended 31st March , 2024;

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015 and our intimation and
outcome letter dated 1st April, 2024 and 29th April, 2024 respectively, we are enclosing
herewith the transcript of the earnings conference call organized on Monday , the 29th
April, 2024 at 4.00 P.M. (IST) on the Audited Financial Results for the quarter and year
ended 31st March , 2024.

The transcript of the earnings conference call will be uploaded on the website of the
Company at www.craftsmanautomation.com .

We request you to kindly take the aforesaid information on record and disseminate the
same on your respective websites.

Thanking you.

Yours faithfully,
for CRAFTSMAN AUTOMATION LIMITED

Shainshad Aduvanni
Company Secretary and Compliance Officer

Encl: As above

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CRAFTSMAN AUTOMATION LIMITED

Earnings Conference Call held on 29th April, 2024 for the quarter and
year ended 31st March, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Call to discuss the

financial performance of the Craftsman Automation Limited for the quarter and year ended 31st March, 2024. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the opening remarks are concluded. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Ravi, Chairman and Managing Director of Craftsman Automation Limited. Thank you and over to you, Mr. Ravi.

Srinivasan Ravi: Thank you. Good afternoon, everybody. It gives me immense pleasure in welcoming you all for the earnings call for the year ended 31st March, 2024. A brief note on the market, the commercial vehicle business was more or less flat. With the light commercial vehicle, there has been a small uptake, slight impact, but overall, I think in the mixture, I think it has been flat. Exports remain under stress for the financial year because of the new developments in the geopolitical situation. On the passenger vehicle segment, we have seen growth in the SUV portfolio, which we are present as Craftsman.

Now, I'll go to the consolidated financial highlights of FY 2024. In comparison with FY '23, it is strictly not comparable. So, turnover-wise, it's not comparable because we had only two months of consolidation of DR Axion last year. So, INR 4452 crores versus INR3183 crores. But the breakup of the current turnover of INR4 452 crores is quite interesting.

The Powertrain has been INR1,558 crores. Aluminum products has been INR 2,154 crores. Industrial engineering has been INR 740 crores. With this, the dependence on Powertrain has reduced. Even though

Powertrain is good and logical growth business

for us, we are no longer dependent only on the Powertrain for Craftsman's consolidated growth.

The EBIT margin has been INR619 crores against the previous year of INR475 crores. Again, strictly not comparable. Powertrain has been INR292 crores. Aluminum products, INR322 crores. And industrial engineering, INR49 crores. Unallocated has been INR44 crores. On consolidated ratios, debt equity, we are in a comfortable situation of 0.88. Debt to EBITDA, still we are manageable level as far as our targets are concerned. It is 1.72. EBIT margin has been 14%.

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ROCE has declined marginally from 22.3 in FY '23 to 22%. But ROE has improved from FY '23, which was 19.5%, to the current year of 21%. EPS has improved from INR117.56 to INR144.14, I mean, considering the owners' fund of 76% stake in DR Axion.

Standalone turnover has grown only marginally. I think it is on record, so I will not elaborate on that matter. There has been some little headwinds in the Powertrain business, which we did not expect a little because of the slowdown in Brazil. There has been inventory correction, plus also the commercial vehicle slowdown was sharper than expected.

We are geared up for higher capacity in Craftsman as a whole. Also, the Tire 5 or the Stage 5, we call it, for the construction equipment business, we invested heavily, put up new lines. The government regulation has not kicked in, has been postponed. There has been similar situation like earlier in the BS6, which has happened. We are waiting for the production to start. The storage business has been flat more or less for the company because of the slow in the investment by the e-commerce and other related companies.

Capex has been higher than what it was envisaged earlier for two different reasons. One reason is two new plants we have invested because the market opportunity and the opportunities offered to Craftsman is quite big. So we decided to take it down considering the future growth aspects. Capex stands at INR580 crores. More of that detail when we go for the discussions. The major subsidiary DR Axion has made a Turnover of INR1,246 crores and EBIT has been INR196 crores.

Regarding fundraising, since we have been little leveraged now because of the huge expansion and also the acquisition which was done a year back, we have decided to de-leverage by reducing the amount of debt. So, we are raising funds via the public, I mean, raising funds. I think the modality of that will be coming in the near future. The timing of that is still uncertain. So, it is only the enabling resolution we are going forward as of now.

With this, we leave the floor open for discussions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mumuksh Mandlesha from Anand Rathi . Please go ahead.

Mumuksh Mandlesha: Yes. Thanks for the opportunity, sir. can you share the value addition numbers for the Q4 quarter, sir?

Srinivasan Ravi: Quarter four you want?

Mumuksh Mandlesha: Yes .

Srinivasan Ravi: The Powertrain has been INR226 crores, Aluminium products INR107 crores on a standalone basis. Industrial engineering has been INR59 crores.

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Mumuksh Mandlesha: Sir, just on the margin fall we saw in the auto Powertrain segment, about 300 bps sequentially, any reason for the fall, sir? Was there any one-off in the numbers, sir?

Srinivasan Ravi: There is, in a way, not directly a one-off, but indirectly there is a one-off. One thing, we have increased capacity to a large extent, so fixed cost has gone up. So the top line has not improved along with that matter. And also we have invested for new plants. The Faridabad new plant is ready for, again, Stage 5 production, which has not started. And the other portion is the other exports have not picked up as we expect

ed.

This was the main reason. And the one-off, when you look at it, one-off wise, there has been a major inventory correction going into Q4 by our customers, all our leading customers, both in the commercial vehicle segment within the country and also in South America, plus also the other domestic players who are expecting to move to Tier 5.

They had producer inventory on Tier 4 products. Similarly, also on the passenger vehicle SUV sector, after the high for this year, there has been a pile-up of inventory at the customer end. So there was a correction, which was quite steep. In fact, some of the customers didn't lift material from middle of March. So that way, it's a one-off.

Mumuksh Mandlesha: Someday, would you estimate next quarter onwards, we should be back to at least Q3 levels, sir?

Srinivasan Ravi: I think for the full year, yes, we will be on a growth track. Q1 still will be, on the domestic market, I don't think there will be much changes because it will be still muted. But for exports for CV, I think that has started in full swing again from Q1. So it will be a mixed quarter. Of course, our cost will be lesser in Q1. I think repair and maintenance is mostly behind us. So generally, I think we'll have a better financial result for Q1, but I don't expect too much top-line growth for Q1. Beyond that, I think we are okay.

Mumuksh Mandlesha: Got it, sir. On the auto aluminum performance, we saw good margin improvement in the both DR Axion and Standalone business. Sequential margin has improved while the revenues are broadly flat. So what led to the better margins in this business, sir?

Srinivasan Ravi: I will answer your first earlier question because I left out something. We have invested heavily for off-highway products machining, and also now we are also backward integrating to a certain extent on the casting front. So that has not seen any revenue. There have been only expenses which has been expensed off because these products are a long gestation for development itself.

So I will come back to that later in further Q&A. Now on the aluminum products, I think between the two companies, we have a lot of synergies playing out for us in total. That is the major portion. The second portion is the product mix what we have in Craftsman. It's all 98% which is machined, and most of it is critical machining.

So there's a machining value addition which has played out better for us. Earlier, the margins were muted not because of our operational efficiency matters alone. I would say that was only marginal, but I would say the operating leverage today capacity utilization has improved, and the fixed cost absorption has been better totally.

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If you look at the value addition portion of it, and it is more or less pro-rata, maybe some few points improvements is there, but the fixed cost absorption has been far better in the standalone business. In the acquired company also, there has been quite a good ramp-up on the revenue as a whole, and the synergy is playing out with some better cost management. We are able to manage the margins.

Mumuksh Mandlesha: Lastly, can you guide the capex for the FY '25 and '26?

Srinivasan Ravi: Yes. FY '25, we'll be looking at a capex. We'll be completing the stage one of both the Bhiwadi plant as well as the Kothavadi plant in Coimbatore. With that, we'll be looking at a capex slightly above INR500 crores. Exact number we have to freeze now. I think there's the board approval. So, this is what we look at it.

Mumuksh Mandlesha: I'll come back to you with a question. Thank you so much.

Moderator: Thank you. The next question is from the line of Mukesh Saraf from Avendus Spark.

Please go ahead.

Mukesh Saraf: Yes. Good evening, and thank you for the opportunity. My first question is on the aluminum segment. Within the standalone business, we've seen some sequential growth in

revenue. Could you give some sense on, have you started seeing some contribution from some of those export orders that we had to Europe? Have you started seeing some of those, and could this ramp up further in these couple of coming quarters?

Srinivasan Ravi: I mean, regarding export orders for the PV, it is starting only from Q1. This has just started now, little. So, we will be seeing offtake from Q2 of this financial year, and it will peak in Q3, Q4 is what we expect on this matter. That is what is the projections we received. We have not seen much in the Q4 of last year on the passenger vehicle segment for export. But domestically, our business for the powertrain, for the passenger vehicles, for the standalone, we have started production in the Q2, a little.

Q3 was the ramp-up phase, and Q4 was the – we have supplied at full quantity that resulted in the numbers. That is going to continue for the full year, financial year, and for the next year. So, in addition to that, I think the export revenue will add to the aluminum. So, aluminum traction is quite strong, similar to the current year. I mean, last year, the current year also looks strong, both for Craftsman as well as for DR.

Mukesh Saraf: So, I think you had last time guided that we can do probably 15% of growth in FY '25 in the standalone aluminum segment. So, you stick by that number, sir?

Srinivasan Ravi: Yes, we stick by that number on the aluminum growth on the standalone basis. And for our subsidiary also, we are looking at some export to Korea, which will come in Q4 of this year. And if there is a three-year contract, I think that is also a good order. And in FY '26, for us, the Talegaon plant of Hyundai also will be operational. So, that also will add some revenue onwards.

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Mukesh Saraf: Right. So, just coming to DR-Axion, I think sequentially we have seen some decline, but when we look at, say, Hyundai, Kia's production, there wasn't a decline in production Q-o-Q. Anything we should read into this Q-o-Q decline in revenue, sir? 3Q to 4Q?

Srinivasan Ravi: We have in the western region also a major SUV manufacturer as a customer, both for DR-Axion as well as Craftsman. We supply the similar products on the aluminum casting. There has been a very, very steep inventory correction in that particular quarter. They were ramped up for higher numbers.

Mukesh Saraf: Yes, I think that's it from my side, sir. Or just a last bit, sir. Within your PT powertrain standalone, could you just give a mix of CV tractors off-highway?

Srinivasan Ravi: Yes, please. I will do that and then talk about the top line. You want it for the quarter four or you want it for the full year?

Mukesh Saraf: If you could give us both, sir, 4Q and full year.

Srinivasan Ravi: Okay. The powertrain revenue-wise for commercial vehicle has been around INR880 crores. Off-highway was INR272 crores and the tractor was INR210 crores and the SUV for the passenger vehicles was INR196 crores. And for Q4 of FY '24 on commercial vehicle, it was INR217 crores, off-highway was INR63 crores, tractor was INR48 crores and passenger vehicle SUV was INR61 crores.

Moderator: Thank you. The next question is from the line of Karan Gupta from Varanium. Please go ahead.

Karan Gupta: So, for the quarter four, can you give us the value-add segment-wise?

Srinivasan Ravi: No, we can give for the full year the value-add segment-wise. I think for Q4 it will not be relevant because...

Karan Gupta: Yes, it's fine.

Srinivasan Ravi: So, you want the value-add for the full year on the...

Karan Gupta: Yes segment wise.

Srinivasan Ravi: INR944 crores on the powertrain, INR391 crores on the aluminum products, and INR276 crores on the industrial engineering.

Karan Gupta: Okay, aluminum, what's the aluminum?

Srinivasan Ravi: Pardon.

Karan Gupta: Yes, what did you say aluminum?

Srinivasan Ravi: Aluminum was INR391 crores.

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Karan Gupta: The second question is regarding the margin side of the powertrain and your industrial engineering part. So, in the industrial engineering part, again, the margin is coming

down quarter-on-quarter. So, what's the any volume you are focusing on as of now for the industrial engineering?

Srinivasan Ravi: I will talk about the powertrain first as this is a major segment. Powertrain, as I had mentioned in the last earnings call we are now focused on off-highway and stationary engines which is under development there. So, there have been a lot of development expenses.

We have received orders. I will not be able to reveal the orders currently, but all of that will kick in FY26 onwards and good traction is there until FY28 on the new businesses. These are very sticky businesses and these are all major companies, global companies and mostly export-oriented and that expenses of investment has dragged down some of the margins on the powertrain whereas the other existing customers did not have much traction on the current businesses.

Coming on the industrial engineering business, the storage business has been flat totally overall. Being flat has added to our fixed cost of not getting amortised because we are ready for more expansion and more growth in the business. So, today the opening order book is quite substantial.

That means 50% of last year's sales on the storage solution our opening order book is there on April 1st. So, we are quite confident of growing 25%, 30% in the storage business in the current year. So, that way with better overhead absorption because this is marketing, the service and also erection, end-to-end design team everything the overheads are there on the storage solution.

With better revenue mix, I think the margins will come back on the storage solutions. On contract manufacturing and other products other than storage we didn't see much traction in the last financial year, but here also we have geared up with the Kothavadi plant which is a multifunctional plant with addressing the powertrain as well as the industrial engineering segment.

We have started the machining activity for various businesses like the renewable energy businesses the revenue stream has started flowing in the last few months, I would say. So, this will, when it comes to a full year it will bring revenue. These are gearboxes for the -- gearbox housing machining for the windmill.

Later on, we are backward integrating also into the casting at our new facility which is coming in Kothavadi. These are all for export. Our customers are from India, multinational customers are exporting. So, we see good traction going forward. Today, the base is so small that a small capacity utilization change the margins in a big way. It was a similar case in aluminum a few years back that on quarter-on-quarter we were not able to give a very stable number. Now that the aluminum business has grown, we're able to be stable in the industrial engineering business still it is small. We have to

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wait for a few more quarters for that to scale up and be more consistent on delivery performance, on result performance.

Karan Gupta: Okay, fair enough. For powertrain, I have one follow-up on that. Previous quarter you said some kind of refurbishment is going on. So, it is done now or it will take one more, two quarters more?

Srinivasan Ravi: 80% is done. We have to look at the point that FY19 was a high year. FY20 was expected to be doing good, didn't do well. We had the COVID. Post-COVID, we had a ramp-up which was quite steep. So, we didn't have some of the maintenance which we should have done. So, now we have used this lean year to do the maintenance 80% of it is done. We will not have a repeat in the current financial year.

Karan Gupta: And the equity you are raising around INR1400 crores, right?

Srinivasan Ravi:

No, the number is still not finalized and when we are raising there is no timeline defined to it. Very clear. As I mentioned in the last few earnings call we are still open for acquisition within the country and a small overseas acquisition maybe much lesser than 100 crores which will give a strategic advantage in one of the key businesses where we are in and where we are focusing in for the next decade I would say.

So, with that in mind also I think that the capex coming in for the two plants that is Kothavadi plant and the Bhiwadi plant we have also made major investments and we have borrowed already totally. We have to reduce our borrowing that is one of the reasons for this sort of enabling resolution we have taken.

Karan Gupta: Okay. And the reason behind starting Greenfield instead of Brownfield what is the, I mean, the strategy you are seeing there?

Srinivasan Ravi: I will first answer the Coimbatore facility which is a 50-acre campus. The current 50-acre campus is which we are it is almost full which is housing all the three segments of the business mainly the powertrain, the aluminum products and industrial engineering.

So, we have gone for another campus of 50-acres.

The land was acquired in stages over the number of years, but we have started the construction activity in the second half of this year after we got commitments from our customers. These customers are the first customers to commit where industrial engineering customers, followed by powertrain customers for the off-highway vehicles and stationary engines. So, with this, it is an hybrid foundry which we are now putting up for the cast-iron foundry.

So far, it is notable to note that we continue to work with all our foundry partners wherever they can supply we continue to source from them. These products are not available for sourcing within India except one or two foundries who are not making these castings and they are also full of, I mean, they do not have capacity and we are having good global opportunity. So, we check with our foundry partners and there is nothing on the cards for the coming year or two.

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So we decided that we are not going to lose the opportunity and we have gone for the investment at Kothavadi. So this will be a multi-specialty foundry, but we have also got resources from the renewable energy sector, mainly the windmill gearboxes, and this is quite a sizable business going forward also. It will be stable, I would say, totally over the number of years, with a focus globally on the renewable energy business.

And also on the capital goods sector, we are seeing that imports are getting reduced. More and more, Make in India policy is coming up. So we are -- the castings requirement are going up in the country, and this is one of the few foundries which will be coming up on global scale in the country for these heavy parts.

I am talking about heavy parts means weighing anywhere from 1 ton up to 20 tons, and these are having critical machining where we already are doing some of the parts machining for the past many years. So this will be a strong point for us. We are still open to working with all of our foundry partners for even buying their castings and continuing there or working for them in a way.

So this will continue our growth path on the powertrain business, and now it will lead to a new growth area in our industrial engineering business, which was -- we have not been concentrating on the sector for some time because of the other growth -- high growth in other segments of the business. So, now I will -- the Bhiwadi plant, if I am done with answering the Kodavadi facility. Any questions on the Kodavadi facility?

Karan Gupta: Yes, you can continue.

Srinivasan Ravi: On aluminum, well, next two years or at least three years, we have traction from our Coimbatore plant on the aluminum for Craftsman, and also the Coimbatore plant --

sorry, Bangalore plant of Craftsman, and also, similarly, our subsidiary DR Axion. All have got good order booking, so year-on-year growth on FY'25 and FY'26, and even FY'27 is on the cards on the organic brownfield, as you had mentioned. So, this is one thing.

But the Bangalore facility is running out of space, so we may have to have one more location in the south, apart from Bangalore, because our customer demands are going up. That may be coming in phases because of the add-on plants, but we have not been present in the west as well as in the north all these years. So we see opportunity there and we have very strong players in the west, and we see more opportunity in the north.

So, we are putting up the facility in Bhiwadi, and there also we are looking at a hybrid plant. To start with, it will be aluminum products. We are also going for structural products, which will be.. end use of these products, maybe EV or non-EV also. That is okay for us. That will be reducing our dependency on ICE-related parts, which we are doing for the two-wheeler, on standalone business overall.

So that is one big change, and we see a lot of growth opportunities in the northern region, because all the manufacturing is centered in the northern region for the auto

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major, I would say. So this is the reason for the greenfield and the distance between south to north is simply too high for any transport of such parts.

Moderator: Thank you. Sorry to interrupt, Mr. Karan Gupta. May we request that you return to the question queue for any follow-up questions as there are several participants waiting for their turn. Thank you. Our next question is from the line of Pranay Roop Chatterjee from Burman Capital. Please go ahead.

Pranay Roop Chatterjee: Hi. Good evening, everyone. Am I audible?

Moderator: Yes, please go ahead.

Pranay Roop Chatterjee: I have only one question. Beyond what you have already mentioned, are you able to disclose anything regarding the new off-highway businesses that you will start from 2026, and you mentioned that you have visibility till 2028? Because I am looking at your business today, your powertrain, the annual numbers you have disclosed, where commercial vehicle is INR880 crores, let us say INR900 crores rounded off, and your off-highway is INR270 crores, right?

So if I look from the next two-year perspective, we might not see a lot of growth in trucks.

In fact, we might actually see a decline. So how large would be the quantum of these off-highway orders, number one? How many clients would they be? Is it like only one client or multiple clients that you are working on? And are these orders which have already come in or is it that you develop and then you might get the order?

Srinivasan Ravi: I will answer your question in total, but I will also have a disclaimer there because we will not be able to make customer names, because of the competitive nature of the industry and also its strategic nature which we will not be able to disclose. But within these guidelines, I will answer to the best of my ability.

You mentioned, right, the commercial -- the off-highway business has been INR272 crores for the full year for Craftsman, whereas the commercial vehicle business mostly within the country has been around INR880 crores and you are right about that we have to wait for the growth in the commercial vehicle business overall, whereas on the other segments of the business, the multinationals who set up plants for engine export and transmission export to the rest of the world, they go step-by-step in that approach.

They are ramping down their facility within their own mother country or maybe downsizing their export orders from the China facility and resourcing them into India. We have to wait for that. They need to get their act right, so it will take -- these are very well-

established multinationals we are working with for the last three, four years. Lines have been set up. Capacity utilization has been very, very poor, but we are sure that this business will come in on that segment also, but it will come in in a year or two. So now on the -- to talk about off-highway, I will put the off-highway in two segments. One is the off-highway on the construction equipment, another is the stationary engines. I will now talk about the stationary engines on power generator business. It is about \$32

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billion is the global business. The American number one and number two are -- the world number one and number two on these businesses. And one of these companies I think has got a consolidated revenue of more than \$80 billion, another is \$40 billion, \$50 billion, something like that.

The bulk of the revenues is coming from the engines and related to the engines only. And we have other players in Europe as well as in Korea, but Korea is out of our market condition and something in Japan. So we are working with four majors now, and two of them we have -- one of them we have received already at the orders. One of them we are very close to receiving the orders and has been back and forth. It takes huge investment from the OEM side also to invest because of the -- each of these engines sometimes as big as \$1 million each.

So the development cost is huge. The time is also huge. So we already embarked on that two years ago, I would say. And on the machining side, we have won orders. We are getting these castings from as far as South America and also in one part of Europe, I would say, not mainland Europe, but these castings are coming into the country and we are machining today. So to ramp up and really take the global market pie, we need this casting facility. So we look at quite a sizable opportunity here.

So we are looking at in four years' time, maximum five years, at least a \$100 million increased revenue on the powertrain business for this segment of off-highway and industrial engines. The growth is coming not only a little from mining and other things.

Yes, it is coming, rare earth mining. Now base metal prices have shot up, even copper has shot up. So mining is going to increase. That is one portion which you are all aware.

What has changed in the last few years is the power generation required for artificial engines data centers, which is quite big. So this -- for the pipeline to fill -- yes, there are alternative storage solutions which are coming up as backup power, but the steep ramp-up requirement for these particular areas is also giving a good opportunity for Craftsman to enter the business. Coming back to the -- whether it is a ICE engine, today these engines are almost coming to reducing the carbon footprint by 90%. They have multi-flex fuel. They have HVO as a fuel. So -- and they also are working on nitrogen engines. The same engines are now flexible. I think there are big major companies in Germany which are leading this sort of development, apart from a market leader, two leaders in

the U.S. and North American market, which you are very much aware. So these are also – the power density of these engines are increasing. So when this – when power density needs to increase, that combustion needs to take place at higher pressure with multi-flex fuel, there are new developments also happening. And when new developments are happening, sourcing needs to be redefined. And when sourcing needs to be redefined, this geopolitical situation, the China plus one, everybody wants one more manufacturing facility other than China.

It was always in Europe or in – but in South America, these capacities were – I mean, the vendors were there or suppliers were there. Now with Europe, the workforce is

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shrinking. And the opportunity for India growth story has to come. So it is a challenge and

egg story.

And unless we have a sizable infrastructure, we cannot talk to these four or five majors in this business. So – and we are not present in this business. And our foundry partners are also working with us on the same product line. So we have already given orders to them or working with them on this matter. So that is a parallel activity. Wherever they are not able to supply or it's out of their current manufacturing scope, that is where we are investing. So this growth story will go up at this \$100 million in four to five years' time. Only the additional business on the – not the organic growth in the current off-highway business. This new business will yield around \$100 million.

Pranay Roop Chatterjee: Thanks a lot, sir. That's very descriptive. Thanks. I'll go back to you.

Moderator: Thank you. The next question is from the line of Basudeb Banerjee from ICICI Securities. Please go ahead.

Basudeb Banerjee: Yes. Thanks for just continuing with the earlier question itself. So with almost...

Moderator: Sorry to interrupt, sir. May I request you to use your audio?

Srinivasan Ravi: I'm not able to. We're not able to hear you properly, please.

Basudeb Banerjee: Audible?

Moderator: Yes, sir. This is better.

Srinivasan Ravi: So just continuing with the previous question, like the truck revenue plus tractor, both are going through a decline phase as such for most of the last six months. And as you said, OHV also not doing well. So under that circumstance, how do you look at powertrain overall as a revenue for next fiscal?

And how to look at the other new areas in FY'25 questioning the work of powertrain if at all, not two years or beyond. So if you can just explicitly highlight how to look at powertrain revenue next year. And the second question is, as you said, 80% of repair and maintenance work is done, maybe one more quarter left.

Suppose that how much margin improvement in powertrain one can expect, because operating leverage in powertrain ideally should remain subdued. In fact, incrementally it might worsen further. So how to look at powertrain segment margin in 25 months?

Srinivasan Ravi: My sincere request is we have been always very careful about giving any guidance, and we have not given any guidance in the past, only some broad numbers. Thank you.

So far, what we see is our current business will be flattish on the powertrain. Our new business, a small portion is clicking in this year. So again, we will see high single-digit or a low double-digit growth on the powertrain. But with better cost control, I think we'll be able to deliver better results with also the repair and maintenance more behind us in this financial year. So we can expect a better year as far as Craftsman is concerned.

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Basudeb Banerjee: And second thing is too much of dichotomy on one side, so much news on government capex, infra projects, metal mining doing well. And on the other side, commercial vehicle demand remaining subdued almost for preceding six months. And Outlook is also subdued for at least the foreseeable future. So, being a key supplier to commercial vehicle cylinder blocks, how do you see demand Outlook from the key CV OEMs in whatever period you can explain to me?

Srinivasan Ravi: While I mentioned on FY'25 and most part of FY'26 also will be more or less as you had mentioned what I had also – I foresee on this matter. But the next change has to come on the higher horsepower engines. If you look at all the developed markets, they're operating between 350 to 450 horsepower engines. Currently, all of our engines are – most of – 90% of engines are below 250 horsepower. So I see that as a step change. This means bigger engines, bigger gearboxes, more fuel-efficient trucks per kilometer covered on this matter.

Higher torque on the gearboxes today, 1,300 newton meter is what is the maximum here in India. And

most of them are operating at 1,100 newton meter. So we see that in the global scale, 1,600 newton meter. And the – any commercial vehicle, whether it is even countries like of course China, but also in countries like Brazil, also they have moved to 13-liter engine long back for a major portion of the requirement. They don't call a 300 horsepower truck as a heavy-duty truck. So this is the big growth driver from FY'27 onwards for Craftsman when this change starts to take place. But meantime, yes, there will be subdued growth on the powertrain business for this segment, I would say, the commercial vehicle segment. But it will start. I hope I answered that holistically.

Basudeb Banerjee: Yes, definitely. So you believe by FY'27 onwards, domestic CV players will start focusing on further higher tonnage trucks and higher horsepower engines themselves. But the fleet owners will also benefit from better fixed cost per unit.

Srinivasan Ravi: So there are many advantages on this matter. Now if you look at Craftsman's powertrain business on the commercial vehicle segment itself we have grown because not because the numbers have grown in the last 4 years, 5 years until last year. It is because of the truck becoming from a light-medium duty to upper-medium duty. This is not heavy-duty really in that sense. So we have benefited from the per-vehicle content because of the larger engine or larger powertrain the transmission and axles. The engine per se 98% of the engines being sold in the country are in the range of 6.7 liter. So whereas in globally more than 80% is with 13-liter engine. So what it means is overloading a smaller engine needs to lesser efficiency of the powertrain itself totally. So this will change in the coming years surely. Second point is it is able to cover more highway – I mean, the highways are good, of course. It depends on the highways. If they're good they're able to make more trips per

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month. So the cost comes down quite dramatically for the fleet owners when they see the advantage, but to put it in a simple manner.

I just request the understanding of the gentlemen and ladies and gentlemen who are listening to this call. I'm not making an apple-to-apple comparison. Sorry for that. I would say ATRs are moving to Boeing and Airbus in the air sector. So this also is an ongoing migration on the horsepower and the tonnage of the vehicles I would say. The slow-moving trucks will start disappearing in the market in 3 years to 4 years' time is what I feel.

Basudeb Banerjee: Understood, sir. Thanks. That's useful.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: Hi, Ravi. A couple of questions from my side. First, clarification.

Moderator: So may I request you to use your handset, sir? Your audio is muffled, sir.

Jinesh Gandhi: Yes, is it better?

Moderator: Yes, sir. Thank you. You can go ahead.

Jinesh Gandhi: Yes. So firstly, on the Rajasthan plant, you indicated it will start operations in FY'25. Is that understanding correct?

Srinivasan Ravi: Trial production will start in FY'25. Yes, it will mature in 50% capacity to get utilized in FY'26, for which we already have received the orders. 50% of the plant is already booked for capacity, and that will be operational for FY'26.

Jinesh Gandhi: Okay. And secondly, with respect to the powertrain-related orders which you're talking about, which you're expecting it to go to about \$100 million in four years to five years' time, would this be largely done at the new Coimbatore plant? And that's why the need to expand even when we have seen some bit of mutedness in the overall powertrain business. Is that what is giving you confidence?

Srinivasan Ravi: The off-highway for the global market will be only from Coimbatore. The machining will continue at the existing facility, where

we invested quite a sizable amount in the last two years, three years for the machining. And we're already doing the machining. As I mentioned, castings are coming from outside the country, and we are machining. And we also secured orders for that. And the castings will come from the new Kothavadi facility.

We are also getting castings from our very renowned, famous foundry partners who are supporting us for that which falls into their capacity bandwidth. There is -- we are already placed orders with them. We are working together as partners in that business.

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And all that validation takes 6 months to 9 months because of the customers' high gestation for validation because of the cost of the product and the risk of the product is

very high. So all this will take place in the next 12 months. You will see revenue starting to kick in from the Q3, Q4 of FY26 onwards and FY27 I think there will be a steep growth trajectory there.

Jinesh Gandhi: Okay. So effectively, these – I mean, the segment which you're talking of OHV and industrial engine segment practically the first phase seems to be now largely booked based on the run rate which we're expecting of USD100 million by the next 4 years to 5 years' time?

Srinivasan Ravi: I will reel off some names, not in necessarily order and I'm not saying who is our customer, who is not our customer. We're not into – are we in contact with them. We have India, so we don't want – look at Europe.

Europe majors are Rolls-Royce. Of course, Rolls-Royce owns MTU. Then we have Einburger, which is also – they make lot of gas engines then we have Liebherr which is also a leading construction equipment manufacturer and engine manufacturer. We have MAN of course, not only the trucks they're in stationary engines.

Then we have the very big players and also a big player in UK which is, of course, owned by CAT, which is Perkins. Then we have Caterpillar themselves. We have Cummins themselves. So this is – you look at the size of these companies and the revenue what they generate and how much of the revenue comes from the powertrain business directly related to the powertrain business.

We'll be astonished to say when I said that the business is quite big. I just put a USD32 billion, but if you add the revenues of these companies it'll be very, very – much, much higher than that. I just put the stationary engines number of USD32 billion.

So when these companies want to grow at 10% then you can understand the size of the offering which is there for us. We are very miniscule on that matter. And in North America there has been announcements for 30-year plants, 40-year-old plants which has not expanded for so far.

Suddenly, their announcements have come for USD70 million, USD 1 billion only in assembly capacity expansion and everybody's booked with orders. I think this can be researched in the market news overall.

Moderator: Thank you. Sorry to interrupt, Mr. Gandhi. May I request that you return to the question queue for follow-up questions. The next question is from the line of Vaishnavi

Deshmukh from Yashwi Securities Private Limited. Please go ahead.

Vaishnavi Deshmukh: Hi, sir. First question of me is from the aluminum division. First thing is that now aluminum has become our biggest segment if you see the consolidated numbers and what is your outlook for the aluminum prices and we have around INR1,000 crores of

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inventory lying. So, what kind of inventory is it? It is it high cost or low cost? Can you show some light on this?

Srinivasan Ravi: See, the aluminum prices, I mean, as I mentioned, the base metal price now it is increasing overall. Yes, but anyway this is a pass-through for our customer. The inventories are covering all the three segments of the business on the consolidated base. It is not only that. We have a lot of steel also for our storage solution

business

which is long gestation, the variety of steel is large. So, it will not have any impact on the profitability per se, but maybe the – optically the EBITDA margin may come down, but I don't see any difference on the return on capital or the profitability.

Vaishnavi Deshmukh: Okay. My second question would be, can you give the segment-wise break-up for the INR500 crores of capex that you would be incurring in FY25? And what kind of would be there, but I think this – for FY25 it would – the only trial production will commence and it will start 50% capacity would be for FY26. When will this be coming?

Srinivasan Ravi: Yes. You see here it is a very, very difficult question. I think we will appreciate it when – I think many of the audience would have visited our plant also on some occasion. We have a shared plant across three segments of the business. So, when you're putting up infrastructure at the infrastructure stage the basic infrastructure like the power, the buildings as and when the segment improves then we are able to allocate the segment. Yes now, in the Kothavadi facility as I mentioned the foundry is a common foundry for the industrial engineering as well as for the powertrain.

So, how much of this equipment we'll be allocating to that will be determined on the order portion and actual usage of the customers. Some will be – mostly will be shared equipment. Some may be specific equipment, but the specific equipment will be booked on that. Now, coming to the facility in Bhiwadi region, we are starting with aluminum and it will be 100% aluminum business to start with. But the land and whatever other things we are taking on the buildings what we are putting up the buildings will be put up also for other segments of the business in the course of time. So, we will be continuing

to expand on the capex in stages there.

Vaishnavi Deshmukh: Okay sir. Thank you.

Moderator: Thank you. The next question is from the line of Krishna Kukreja from Lucky Securities. Please go ahead.

Pritesh: I didn't understand your comment on the growth challenge in the industrial piece of the business because I think it's back-to-back second year...

Moderator: Sorry to interrupt, sir? May I request that you use the handset, sir? Your audio is echoing, sir.

Pritesh: It's audible now?

Moderator: Yes, sir. Please go ahead.

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Pritesh: So, it's back-to-back 2 years where the growth is little bit different from what the beginning of the year it is promised. Now, this year also you are starting the year with the guidance of fairly higher growth. So, first to understand what is the challenge here in this business and what makes you again tell that you will be having a double-digit growth in FY25?

Srinivasan Ravi: I'll come from a fact about today the storage business is 50% of our industrial engineering business. And that is not an order book which we have carried for years and totally it is an EPC sort of business or a product sort of business and when there is some headwinds in the market as far as our customers are concerned, they can postpone their capex.

That is the challenge what we have given to given. E-commerce it is in the public domain that all of them stopped investing in the last financial year totally. So, now in spite of the e-commerce being very, very low for us, we have managed to hold our top line in this area.

So, our firm order book today for the storage business which is forming 50% of the industrial engineering business, is that we are now opening firm order book of 50% of last year's sales. So that is the reason we are saying that we will be able to grow.

Krishna Kukreja: So, what was the order book at the beginning of last year?

Srinivasan Ravi: That was negligible. I would say it was hardly at INR60 crores, INR70 crores. Now this year, we are opening the year at INR200 crores.

Krishna Kukreja:

For the storage business, which is half the business of industrial and engineering, right?

That is how you will...?

Srinivasan Ravi: Yes. This is the reason I am mentioning that I do not want to give guidance and being asked a question because we have to listen to what customer says. Customer can order and not lift the material also on this matter. So I will be very careful hereafter by giving a number. When I am firm, I will give a number. Yes, in good faith, sometimes we say that we will be able to grow.

But today there has been -- interest costs have gone up. There has been the election coming up. All of us have known already, but we did not know about the Red Sea issue or we did not know about this Middle East conflict. All this is there. So we have to take it with a pinch of salt that we are able to manage overall.

Krishna Kukreja: And between last year's INR500 crores capex and this year's INR500 crores capex promise, what kind of assets are coming up?

Srinivasan Ravi: We have mentioned that we are putting two greenfield facilities, one in Coimbatore, which is Kothavadi and one at Bhiwadi. This is in addition to the general maintenance capex and the normal capacity balance capex across all our 13-14 plants across the country.

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Krishna Kukreja: So at Coimbatore, you will have the aluminum capacity coming up and at Bhiwadi, you will have the powertrain?

Srinivasan Ravi: No. Coimbatore is the industrial engineering business and the powertrain business for the heavy engines and the capital goods. That is the Kothavadi facility, which I explained thoroughly. This is the foundry, which is coming up. I spent a few minutes quite there. And the Bhiwadi facility is to start with on the aluminum side.

Moderator: Thank you. Mr. Kukreja, may we request that you return to the question queue for follow-up questions? The next question is from the line of Karan Gupta from Varanium Capital. Please go ahead.

Karan Gupta: Hi. Again, the question related to the previous question. So we are raising maybe debt over the next couple of quarters, maybe, which is not sure. But as of now, we have the debt. So what is the plan of deleverage the balance sheet? That is one. Second is, what

is the cash flow we are estimating from these two new plants, which will cover our debt over the period of time without raising much external debt? So that is the kind of blueprint I am asking.

Srinivasan Ravi: Thank you, Mr. Karan Gupta, on this question. Now we started during an IPO stage of around INR1,400 crores top line and our consolidated revenue was nothing different from the top line, totally. So now we are at a different number and there is a big outflow towards the acquisition of DR Axion INR375 crores money has left the company to create an asset, which is also giving a good return on our investment, totally.

So the debt portion has been towards a good.. allocation of capital, we are very, very, very careful on this matter. And today, when we are doing some organic growth, unless we have that sort of capacities, the global opportunity is going to slip. With a base of currently on a top line of around INR4,500 crores, how do we grow at a double digit growth? This is quite substantial going forward, unless we are ready with the investment there. So I request your kind understanding of that subject.

Now what happens if we don't grow or we grow late? We grow late, we may miss the bus on the business. As and when we get an opportunity, we have to grab that opportunity and move ahead. Otherwise, we will be stuck with the growth of the existing customers, where then we have to answer that our customers did not pick up the material. So we have to create new customer, new avenues for growth so that we can sustain this growth.

The other thing is a double-edged sword, no growth means we can be attacked on the inflationary angle. So on the old p

roducts, always there is a risk of declining margins

over a period of time because of the inflationary pressure, totally. So we need to get new businesses at new prices and emerging businesses also. So that is the reason we want to keep this and we are very close to -- I don't want to talk about number, I think we are not far away in the next year to a INR1,000 crores EBITDA number.

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I think this is -- we may not get there, but what I am trying to say is that your company is safe enough on a situation that it is interesting for many multinationals to work with Craftsman overall, without any sector concentration nor any customer concentration. If there is a sector concentration or a customer concentration, it is more risky for the Craftsman business by itself, and that is also a big risk to our shareholders' returns.

Karan Gupta: Okay. But any guidance on cash flow generation from these two plants, what we are estimating because currently we are in the run rate of around INR500 crores of cash flow. What additional incremental cash flow we are estimating from these two?

Srinivasan Ravi: So if you look at our debt itself, we have minused the INR375 crores invested in the DR Axion and minus the two plants what we invested roughly -- around INR100 crores already invested into the two plants put together in the last year financial itself. Then you remove that INR475 crores and overall, I think organically our debt would have been very low if not for these sort of investments. And we have borne the interest also for the DR Axion acquisition that is also depressed our PBT in a way, stand-alone PBT, but look at the consolidated PBT would have benefited from that.

Moderator: Thank you. We move to the next question. The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: Yes. Hi. Ravi, can you give the revenue breakdown for your storage business?

Moderator: Your audio is very muffled.

Srinivasan Ravi: Sorry, we are not able to hear you.

Jinesh Gandhi: Yes. Can you share the revenue for storage business for full year?

Srinivasan Ravi: It is flat as the last year which I already mentioned.

Jinesh Gandhi: Okay. Got it. And of this, has the share of automatic storage gone up or that also has been stable?

Srinivasan Ravi: So we don't give an automatic storage. Our automatic storage is negligible. I will not say we have automatic storage. We don't have induced segment. It is totally different in that way. We split our business from the storage in a different way. You are talking about automated, is it? Automated is around INR100 crores on the -- 25% of the total storage business. You are right. I thought automate. Automated storage is around 25% of our total storage business.

Jinesh Gandhi: 25%. Okay. Got it. And lastly, DR Axion, we have seen a credible expansion in margins over the last four quarters since we acquired the company. Would it be fair to say the current margins of 20% plus are largely reflecting for your efficiency measures which you have put in place in the last three, four quarters? And from here on, margins should at least remain stable at around 20% level or you see further headroom to expand?

Srinivasan Ravi: I have to be very careful when I answer this because, on this matter. This is a plant which was set up in 2006. Then in the next few quarters, we will start doing some repair and maintenance there. There will be also modernization things which will come up in the next few years. There will be also -- of course, the workforce, we are able to cap it at certain level or even in a way for the products we reduce, we are able to improve the working efficiency at the plant level, but that also requires some semi-automation and automation. So there can be increased depreciation gradually over a period of time. S

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I think more or less it depends on the utilization of the plant. Around these margins plus minus, we should be there.

We are also dependent on the power and fuel cost which is not passed on to the customer in that way. Second thing is also inflationary pressure on the wages which is also not passed on to the customer. What DR Axion has seen is an addition of a customer or ramp-up of a customer, the benefit they got in the last financial year. So adding more revenues, as I said, we have got some -- we are likely to get some orders, on the final stage of getting some orders for export to Korea and also the Talegaon plant of Hyundai. How well they do for the -- their sales will depend on our margins.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. As there are no further questions, I would now like to hand the conference over to Mr. Srinivasan Ravi for his closing comments.

Srinivasan Ravi: Thank you very much for attending the conference as well as all the questions we have answered. What I wish to say as Craftsman, we have a philosophy, we should have an engineering advantage and we should be not dependent on one sector or one segment of the business and we have been broad-basing our businesses in the same strength what we have. We have not gone beyond our portfolio what is the re.

We are able to interrelate our three segments of the business and accordingly diversify, allocate capital and we have been very responsible on all margin acquisition, whatever we have done so far. This is the guiding philosophy we want to go ahead. India is changing on the manufacturing footprint. We are now viewed by the global companies very seriously but we also should need the capabilities and capacities to execute those orders.

So there has to be a time lag between investment and returns. So I think that is what today from the base -- current base, we are trying to go into the next orbit of the growth phase. So there will be some time lag and I request all of your kind understanding for this time period. Thank you once again.

Moderator: Thank you. On behalf of Craftsman Automation Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purposes)

Call: Jul 2024

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31st July, 2024

To

The Manager - Listing, The Manager - Listing,
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Dalal Street, Bandra (East),
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Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call on the Unaudited Financial
Results for the quarter ended 30th June , 202 4;

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015 and our intimation and
outcome letter dated 3rd July, 2024 and 25th July, 2024 respectively, we are enclosing
herewith the transcript of the earnings conference call organized on Thursday , the 25th
July, 202 4 at 4.00 P.M. (IST) on the Unaudited Financial Results for the quarter ended
30th June , 202 4.

The transcript of the earnings conference call will be uploaded on the website of the
Company at www.craftsmanautomation.com .

We request you to kindly take the aforesaid information on record and disseminate the
same on your respective websites.

Thanking you.

Yours faithfully,
for CRAFTSMAN AUTOMATION LIMITED

Shainshad Aduvanni
Company Secretary and Compliance Officer

Encl: As above

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CRAFTSMAN AUTOMATION LIMITED

Earnings Conference Call held on 25th July, 2024 for the quarter
ended 30th June, 202 4

Moderator : Ladies and gentlemen , good day and welcome to the Earnings Conference Call of
Craftsman Automation Limited .

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the opening remarks are concluded. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Ravi – Chairman and Managing Director of Craftsman. Thank you, and over to you, Mr. Ravi.

Srinivasan Ravi: Thank you. Good afternoon, everybody. It gives me immense pleasure in welcoming you all for the earnings call for the quarter ended 30th June, 2024. Note on the market, it has been quite a challenging quarter in view of the elections, the summer, and it's been a mixed bag as far as the market is concerned. M&HCV is still not showing any respite. It's still on a declining trend, whereas there have been green shoots in the tractor industry at the end of the 1st Quarter. Two-wheeler has been very robust. Passenger vehicle has slowed down after a good one-year growth period.

The key commodity prices, something like aluminum, has increased quite a significant number. It is upward of double digit. So, strictly quarter-on-quarter or year-on-year, it's not comparable on these sales numbers. There has been a lot of optimism in the market now and there is an expectation of private CAPEX and growth going forward. So, this we look forward to in the coming year.

The consolidated financials, I just want to give the top line numbers:

Turnover has been INR 1,151 Crore. The breakup of that is Powertrain INR 416 Crore, aluminum is INR 518 Crore, industrial engineering is INR 217 Crore.

EBIT DA has been INR 202 Crore. Powertrain has contri

buted INR 107 Crore. Aluminum

products is INR 92 Crore. Industrial engineering is INR 14 Crore. Now it is more or less balanced, I would say, between Powertrain and aluminum, and aluminum has been slightly growing faster, more of that later.

EBIT has been INR 130 Crore. EBIT has been lower compared to the previous year by INR 20 Crore because of increased depreciation, increased operational cost and we would say that Q1 of last year was a little robust. Q1 of this year has been a little weaker than the entire market situation.

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Standalone highlights:

The turnover has been INR 862 Crore. The turnover has increased from INR 756 Crore, but Powertrain is INR 416 Crore, aluminum is INR 242 Crore and industrial engineering INR 203 Crore. EBIT DA has been INR 152 Crore and EBIT has been INR 90 Crore.

There also we have done lot of investments for the future, which has increased the depreciation.

Storage business has shown good growth, but I think the margins are still elusive. More of that in the Q&A session later.

CAPEX for FY '25 stands at INR 201 Crore. We are putting up two plants, one in Kothavadi and one in Bhiwadi. And I will make a separate note of that at the end of this statement.

Acquisitions, DR Axion, we have acquired 100% and now I would say the streamlining of the operations are still continuing and we are now 15-16 months into the first investment, and we are on the right track. We have won a little more orders, additional orders within India, also for export requirements. So, the operations are looking robust even going forward.

Now a note on the strategic acquisition which we have been planning:

We have signed a definitive agreement to acquire high technology foundry, the assets of high technology foundry in Germany in Fronberg and this has got marquee customers for the engine blocks for industrial engines. This is in line with our growth plan even within India and this has got high technology, highly trained manpower and has been always on the forefront of casting technology.

We have earmarked totally INR 120 Crore, out of that around INR 60 Crore for the acquisition plan and another INR 60 Crore to further put into investment for working capital, and this is an approximate number because considering the exchange rates which are prevailing at that particular time.

So, the breakup of that is share purchase agreement for land and building is around EUR 3.5 million and around EUR 2 million is for the assets and the liquid assets of the work-in-progress and inventory which is there. So, overall, it has been EUR 5.5 million and we have planned to invest another INR 60 Crore into that over a period of time to make it more robust and try to make it a strong business, which will also help us to build up our stronger base within India.

The second acquisition target, still it is under work in progress. There is no definite agreement signed. There is an MoU signed. Due diligence is close to be completed. So, we will be in the coming weeks, we will be talking about that later. This is the aluminum business, which is also, it's not a profit-making business currently, but we are very hopeful just like it's complementing our strength there, and plus it is giving

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access to overseas markets. This company has got a history of 20 years exports to mainly North American market.

Now I will also give a small update on the two Greenfield facilities, that is one is Kothavadi, which we announced on 30th October 2023. The Phase -1 is in very good progress as we have been made. Even though we estimated 24 to 30 months for implementation, I think within 12 months we will be able to complete the Phase -1. We will be able to start some little trial production in Q4 and next year in the second half, we will see a robust revenue

coming in from that. This foundry will first cater to the wind sector for the windmill castings for gearbox housings and the critical planetary carrier housings and things like that. So, this is initially targeted for industrial engineering segment of our business.

In Phase 2, we will be targeting the heavy engines, which we are planning to make for industrial engines for the backup generators globally, which is showing huge growth potential in view of the artificial intelligence data centers coming up all over the world. So, this is on track.

Now, the second project, Greenfield project which we announced in 27th January this year, that is 2024 and we have said 18 to 24 months, but I think we will be able to complete the Phase -1 project in 15 months, and we are likely to start the trial production in Q4 of this year. So, this will be fully available for next financial year.

We are starting with structural parts of the two-wheeler including the alloy wheel and then moving to the IC engine parts and then to the passenger vehicle parts in stages. Initially, we will put up the gravity die casting and later on in the second phase we look at low pressure as well as high pressure castings. That will also depend on how much investment will go into that will depend on the second target to which we have signed an MoU, how we are going to collaborate with that and tap the market.

With this, I will leave the floor open for a Q&A.

Moderator: Thank you. We will now begin the question and answer session. The next question is from Shagun Beria from Anand Rathi.

Shagun Beria: I just wanted to ask, can you provide an update on both the acquisitions Sunbeam and Fronberg in terms of financials, likely cost of acquisitions and the opportunity from these acquisitions?

Srinivasan Ravi: Yes, I had mentioned that the deal has been EUR 5.5 million and that is plus EUR 0.5 million of debt. So, that would be totally a EUR 6 million acquisition. In that, the breakup is EUR 3.5 million is for the share purchase for the land and building, which is the fixed asset. And the other fixed assets, including the movable assets like working capital, which is around EUR 2 million is the acquisition. So, we can say that INR 60 Crore is

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the acquisition, and we plan to invest another INR 60 Crore over a period of 15 months into the company.

Shagun Beria: And can you provide, the margins have been weak this quarter, including the aluminum segment. What is really impacting the margins?

Srinivasan Ravi: Aluminum, there is actually, as I mentioned, some market research shows that 15% of commodity prices have gone up even quarter-on-quarter. Some say, it is 12-13%. Let us take the lower number 12-13%. So, artificially, the top line is inflated by 12-13%. That is maybe the EBITDA optically looks 1% to 1.5% lower.

We are on track on the aluminum business and Q1 always is a weak quarter for various reasons. One of the leading passenger vehicle manufacturers, they have a plant shut down, annual shut down during that period in the middle of May and there is always inventory correction.

So, we are on track on the aluminum. I think the growth number of the 15% to 20% of aluminum in the standalone should be really looked at only as 14%-15% growth. So, when you look at that and then look at the margins, I think the margins are intact.

Shagun Beria: Can you please update on the CAPEX and the investment guidance for FY '25?

Srinivasan Ravi: CAPEX approximately has been around INR 200 Crore for the quarter and it is ongoing. So, we will do it on the basis of actual requirement of customers. We are negotiating

with various customers . It looks very robust and the export market is also opening up, but there is a question of chicken and egg story , whether we have the capacity to produce for this marke

t or not. So, we are taking some... Yes, so we will do the CAPEX

as and when required on this matter. You know very well that two plants are under construction now and under commissioning now.

So, that is how the CAPEX looks. We see potential growth for next financial year to be much bigger . Then we may increase the CAPEX . But now with this acquisition, we are looking at how to distribute the cash flow and acquisition targets, how to ramp it up. So, it is a work in progress as of now.

Moderator: The next question is from the line of Mukesh Saraf from Avend us Spark. Please go ahead.

Mukesh S araf: So, my first question is just looking at the various initiatives you have taken , in the sense you are doing two large CAPEX s. You have just acquired DR Axion just about a year and obviously now the German acquisition. So, just trying to understand, is there too much that you are taking on right now? How is the bandwidth at the top management level to kind of execute all these projects? Obviously , your business also is slightly cyclical. So, we might encounter some kind of a weak cycle say in commercial vehicles. So, just trying to understand how are you looking at all of these actions that you are taking?

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Srinivasan Ravi: I will answer the first part of DR Axion. DR Axion is now practically 17 months ; it has been completed. I think it is not a capital intensive. We are not looking at CAPEX there. It is only maintenance CAPEX and a very marginal CAPEX . The cash flow is excellent, and the management is intact.

All the eight Korean expatriates are continuing their j ob and there has been no change. They are only supporting that activity in various forms. It has nothing to do with the day-to-day management of the company , nor any new customers. All three customers have been acquired by the company much earlier to our a cquisition . So, any customer we add will be now what is added is export to DR Axion Korea which is added and the other HMI's new plant in Pune region is coming up where all the business has been already awarded to DR Axion .

Apart from that , these are the similar products already being made . So, there is the technical team in place and doing it. So , as I mentioned there is no CAPEX and there is no increase in management strength which is required, and they are fully capable of handling it.

Second thing is about the one thing about the Kothavadi plant.

Mukesh Saraf: With the two CAPEX es, yes.

Srinivasan Ravi: The Kothavadi plant is a very strategic investment. Yes , there has been new recruitment , and th at is also hitting our P&L for the last two quarters , I would say. Yes , that is already factored in the cost run -up which is going to happen in the next few quarters. So, there we are working in this industry indirectly for the last 20 years and we are well on track for the on timely start of production and first time right prove out of the products and we have engaged multinational consulting firms in Germany to support us on this activity. And f or what we hear from our customers that we are on track to break this barrier about the cast iron foundry.

Coming to the facility at Bhiwadi, this is the processes what we follow in Craftsman and DR Axion for gravity die casting , the parts what we do are equally complex and in certain cases more complex also. We look at th e cylinder heads and cylinder blocks. And now we are looking at other structural parts like alloy wheel and other structural parts of the two-wheeler going ahead .

So, this type of alloy we have been managing this heat treatment or the composition of these alloys and how to melt , the process parameters, how to control them for the last 22 years in Craftsman and the DR Axion also in India , it's almost 18 years old now totally. So, this expertise is already available with us . It's only the product is sli

ghtl y

different, and the product is of high volume, and we don't see a challenge and to be frank, we are using the synergy of Craftsman as well as DR Axion for setting up the facility at Bhiwadi . So, we have not put-up high pressure die casting , nor low pressure die casting at B hiwadi to start with unless we are successful on the phase one of the

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project , which we are very close to cracking that. So , once we do that , then we engage on that . We take a step-by-step approach on this matter.

Mukesh Saraf: And then obviously, you have Sunbeam and the German acquisition as well in the cards.

Srinivasan Ravi: The German acquisition has been running . This has been a self -contained foundry for a long, long time . So, we don't intend to meddle with the management or interfere with the management there . It was part of a bigger Gienanth Group and the Gienanth Group had not been paying attention to this particular foundry because they had larger foundries in their fold and they had acquired new foundries , which they lost some money . And that is the reason I think they were insolvent, which is on any way public domain, and we are not supposed to talk too much about that. A lot of this news of Gienanth is on public domain in the newspapers itself, in German newspapers. So, this is an asset which is been producing and continuously satisfying the customer. We were in touch with the customers and some of the customers also asked us to acquire this with the promise of continuing the business and they have participated in the meetings also , and this is I think the great way to go with . And this size of the acquisition , as I mentioned , it is the outflow is EUR 5.5 Million including half a million debt what we are acquiring there. So, it is EUR 6 Million . So, it is an INR 60 Crore acquisition . That is it. So, we have planned some backup for further working capital and minor CAPEX just to be factor in what is needed for next 18 to 24 months and just factored in another INR 60 Crore to look at it.

This foundry has been most of its history if you look at the last decade, it has been EBIT positive except for a few years , maybe during the Lehman crisis and during the COVID and things like that. Otherwise, this has been always positive, and the customers are very, very supportive for this , because most of the products what they make , supply is single source .

And when we are buying an insolvent company, it doesn 't come with the baggage of old liability of the worker liability . Of course , the worker agreements survive , but we are not saddled with the past liability of the pension and things like that , which is part of the insurance , which has been already paid off , because we are buying the asset from the insolvency administration totally.

So, that way it is coming as a clean . We are not taking over the foundry as a company . We are buying the liquid assets of the foundry that is the movable and immovable assets of the foundry and the land and building, we are doing a share purchase agreement , which is part of the Fronberg Immobilien , which is a separate company , which is only doing the real estate. So, really speaking, we are not acquiring any past liabilities there and as we visited the foundry, it is running well, doing well. Even in the first six months , they have declared a very good positive EBIT on this and we are confident about that.

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Coming to Sunbeam , I will be restricted to answer . If I completed the answer on Fronberg, I will limit my discussion on Sunbeam because it is still an M oU. It is not a definite agreement we have.

Mukesh Saraf: So, the question actually , sir, I get your point on all these things you mentioned . Just understanding in terms of managing all of these at the same time, are you looking at certain top level additions to your team ? Are you

looking at any of these things?

Because to actually turn around or run these foundries, you will need expertise to bring in your processes in place in those plants.

Srinivasan Ravi: The Fronberg facility whoever sitting in the Fronberg facility and managing 100% of the people are we are taking in our roles . That is including the two main people who are employed by the head office and placed there . That is including them it is 140 or 141 people .

So, we are still for certain system, we only need to put somebody for IT which they themselves will recruit and put it because that was in centralized system . Apart from the IT and accounts which was centralized , everything was in self -contained ecosystem , which is running even today under insolvency administration for the last few months . Seamlessly it has been running . So, we do not require administration there .

We need a strategic direction of what to go and how to go and which direction to take it and how we can also support each other, the Indian operations and their operations supporting only. So, we are not going to put any management in Europe . We are not going to recruit any management in Europe. We may recruit somebody here on a visit basis, not even permanently putting up there.

Mukesh Saraf: Thank you for that detailed answer. Just one last bit, on your Powertrain segment, in

the standalone business, could you just give the break -ups between CVs, tractors and off highway?

Srinivasan Ravi: Before that, I will just touch on Sunbeam in general. Sunbeam is coming with lot of experienced people, lot of experienced management, good marketing team and good development team which will actually not only help Sunbeam, it will also help Craftsman to acquire new businesses. So, actually, it is strengthening Craftsman Aluminum division to do it. There is no need for Craftsman to add any top-level management for aluminum because there is enough capacity in Sunbeam's administration and we have excellent people there.

On the powertrain, the break -up is, top line is 54% on the commercial vehicle break -up, off highway is 16% and tractor is 14% and in the passenger segment mainly SUV is 16%. So, passenger vehicle has seen growth and all other things have stagnated or declined.

Moderator: The next question is from the line of Dev Agarwal from FICOM Family Office. Please go ahead.

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Dev Agarwal: So, in the annual report of 2024, FY '24, you have mentioned that the aluminum usage in India is around 40, 50 Kgs, whereas in other countries it is around 150 to 180 Kgs.

So, what is it, like, why is it in India that we are using so much less aluminum in the commercial vehicles or any other vehicles? And if we want to increase the usage of aluminum in products, what other products would be there in which we can use the aluminum usage? So, that's my first question, sir.

Srinivasan Ravi: I think the question is more pertinent to passenger vehicles, because it's not commercial vehicles. That is the benchmark we have taken, I think, in the annual report. I think the aluminum content maybe in Europe as well as in North America has started to increase more than 1.5 decades ago. And now, in India, when new platforms are getting introduced, we are seeing more and more aluminum content.

Because earlier the platforms which were there, which were two generations old, they had less aluminum content, only the engines and the transmission area. And the powertrain area was tweaked, and the other body and other interiors were tweaked and new models were coming out. Now, everybody is going for new platforms in the near future. We will see aluminum content surely growing there.

Also, in Europe, it surely will always be higher, because there are high performance passenger vehicles. The average engine power and capacities are much higher. They travel at much

higher speeds in Europe. So, we are not strictly comparable, but I think the gap will still continue. But we are at a very low level and surely aluminum content per vehicle on the passenger car will surely increase.

Aluminum, we are at quite a decent level on the two -wheeler segment on the aluminum. There, one trend we see, all the spokes and hubs have gone, which were earlier in steel. Mostly, it is gone. Now, it is all alloy wheel. The alloy wheel was the premium, whether it is a passenger vehicle or even a two -wheeler. Now, it is almost everything is coming in the alloy wheel. That is also part of the aluminum content.

But the other structural parts of the passenger car, including shock towers or knuckles and all things, it will take some more time to become use aluminum. But I would say aluminum is a growing segment, in general.

Dev Agarwal: And my second question would be on our capacity regarding the aluminum casting. So, what is the total capacity in aluminum casting as a whole?

Srinivasan Ravi: See, I have been saying this at least in almost every call, aluminum unfortunately even after DR acquisition as Craftsman Group, on the consolidated basis, we are subscale.

We are not able to even attract any multinational customer to look at us because the number which we are talking about today is very, very small. Our consolidated number is hardly INR 2,100 Crore, whereas the global companies are anywhere between say INR 10,000 to 20,000 Crore in that region. So, we are talking about China plus One. We are talking about growth opportunity. We are talking about export opportunity.

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But unfortunately, sadly, we do not have the capacity to fill it. So, this is the reason of our little, I will not say aggressive, but I will say strategic steps which we are taking that we are not trying to build up everything on the Greenfield because the Greenfield to acquire a customer, to develop a product, to get it approved, and then ramp up the production, it takes five years, and there is a huge drain on the investment which is done because of the startup cost and the preoperative cost, and not only that, the losses

incurred in the first two, three years of operations.

So, we are doing acquisitions where we can turn it around quickly, that we have already proved out one. The second one is still at an MoU stage, but we are confident that we can work with that management, which is very excellent management. The technical management I mean. And also, the administration is also good. So, we can leverage that. The global clients are there for you to see on their website because signing in the MoU, we are not able to talk too much about it today.

So, that far we are clear and our own strategic initiative on aluminum, we have taken the volume runner from the structural parts, which so far we are not present. EV or not EV, the structural parts will remain on the two-wheeler business and future we are also going into structural parts of the passenger vehicle. So, that way, we are having the balanced aluminum portfolio.

Before we acquired DR Axion, we remember right, our dependency on two-wheeler market was close to 70% and then even though we added Stellantis as a customer and Stellantis is ramping up in this financial year after a two-year delay and we are seeing good growth traction in the next year. Even then Craftsman is still dependent on two-wheeler to a great extent, but after DR Axion acquisition, now the passenger vehicle segment on the consolidated basis much, much higher than the two-wheeler business. Now, there is an export which is hardly 10% even on a consolidated basis, not even 10%, 5% to 10% on the aluminum segment of the business currently. With possibly Sunbeam, I think Sunbeam has got a good exposure to export. It is almost 15%, 20% direct e

xport and the orders which is acquired is also, which I cannot openly talk about it because we are in the due diligence stage. So, it is showing a lot of promise going forward. So, the global market is already available. So, this means that we will be spread not only within India on the passenger and two-wheeler business but also for the passenger vehicles outside India.

Dev Agarwal: Sorry to interrupt, sir. But I did not get your but I did not get your number of units. I mean, the capacity you said, I was not able to hear. Can you repeat that, sir?

Srinivasan Ravi: Sir, capacity, you are talking about tons or something because it is misleading as I mentioned because if you are talking about tons, we can sell 1 ton at 2 lakhs, we can sell 1 ton at 3 lakhs, we can sell 1 ton at 4 lakhs. So, this is a little misleading number, because the structural parts, simpler parts are at some pricing, there are very, very simple parts on ADC 12 aluminum, with aluminum price itself is lower, and the tonnage.

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So, overall, when you look at the tonnage currently, we are having, it is close to around 60,000 -70,000 tons. Depending on product mix, we are at that range currently. So, if that is giving you an answer for the INR 2000-2200 Crore turnover, currently you can understand that the simpler two-wheeler parts like the covers, they are only 2 lakhs per ton, whereas if you look at the higher commodity, the passenger vehicles, cylinder heads and all, they are more than 3 lakh a ton. So, it will not be apple-to-apple, I would say.

Moderator: Thank you. The next question is from the line of Senthilkumar from Joindre Capital Services Limited. Please go ahead. Yes, we move to the next question from Varma Danish from Varma Associates. Please go ahead.

Varma Danish: My question is on the Sunbeam transaction. I understand that we have signed the MoU and it's still in the initial stages. But as per the MoU, it says that we have excluded Gurgaon. But the credit reports are that it says that it houses a lot of export business. Is it outside the scope of the transaction?

Srinivasan Ravi: The scope of the transaction is the entire business. So, the MoU because of there is a labor issue which is going on and the land is a little prime land, so the decision has not been taken how to handle all that. I think the current management is working out all that. Even we are not exactly participating in that situation because we are an outsider. So, we didn't want to take any past associated risks which are there.

But the business by itself, the Gurgaon plant, most of the business has been transferred to other plants. I think 60% has been transferred. I think 40% of Gurgaon is there.

Today, as we speak in the entire revenue stream, it's only 15% to 20%. But you are right about some of the critical revenue streams are coming from there for export market which customer consent is required to shift it.

But there are new customer orders which are there, which under development or has to be coming into production in the coming few quarters. So, that anyway has to go to a new site, which the current management has already taken permission from customers because they declared that they are not willing to expand Gurgaon facility or add any machinery there. So, that is a call which will be taken at appropriate time.

But to answer your first question, it is the business in total, machinery in total, and the land and building in the initial discussion was excluded. And the plant was supposed to be managed by them until they find a resolution with the labor also. So, this is what is the question and the debt, they have to settle the debt also. That was the part of the discussion. So, I am not supposed to talk anything more than this. Sorry, I cannot answer any more questions on this.

Moderator: The next question is f

rom the line of Neel from ValueQuest. Please go ahead.

Neel: So, I broadly had two questions. Firstly, on Sunbeam, we are acquiring an asset which is quite stressed over the last five years. If we look at the numbers after the Kedaara

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acquisition, they have been making huge losses and the debt on books is also quite high. So, just wanted to understand what your rationale behind this is. Obviously, I know the customer profile, and all is there. But besides that, anything that you are missing out on? And what is the kind of projection that we have done in terms of the turnaround we can do in this short-term?

And secondly is on the acquisition process. So, once you are done with Sunbeam, how many acquisitions can we expect more from this QIP money and in which segment slash geography can we expect?

Srinivasan Ravi: You are right about your assessment of Sunbeam. FY '24 numbers are not finalized or not in public domain. FY '23 numbers are there. It is for everybody to see there what is really happening. Top line has been around 1,200, in the range of 1,200. I think you can see also in FY '22 or FY '23 number whichever has been published, you can see a high manpower cost which is there, which is not proportional to the turnover of 1,200 crores totally.

So, you can also understand that they have been trying to shift the plant and they created one more plant in that aspect. There has been shifting cost. There have been duplicate investments which are there. So, definitely it has been stretched.

So, I want to put it a matter of fact, very, very clearly, we are not taking over any debt of the company. That is clear on this matter. So, that is 100% very clear from day one on this matter. So, whatever is the finalization, which is going to happen, it will be for the business and assets somewhat on the theme of Fronberg, but whether we are taking over the assets or whether we are taking over the company, only time will tell. So, I don't want to comment on that. But we are not really paying for the company for our taking over the debt is what you need to bear in mind.

So, I think beyond that, I will not be able to say anything because still it is, and we are very, very prudent to use the money of the company. You see how we have used DR Axion and suddenly, you have also seen the German acquisition is, the acquisition cost is only INR 60 crore, but we are putting in another INR 60 crore as a precautionary method for the future requirements and we are sure that it is already EBIT positive. So, we are sure about the returns and return of capital. So, we are very careful about using the money.

The third point about how many more acquisitions? Yes, this acquisition of DR Axion has been aluminum and Sunbeam is ongoing. I think it is finalized yet. It is again on aluminum. The Fronberg is on the Powertrain portion of the business, and we will be looking at further within India only, not outside India for possibly industrial engineering and also Powertrain, which is a composite or it may be a composite unit also. We will be looking at that particular portion.

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Everything depends on our financial matrix, how we are able to take it up and as one question that has come from Mr. Mukesh that our bandwidth and energy, we always consolidate on whatever we take over and once we are sure about it, then only we move to the next step. There is a lot of dialog happening for last 2, 3 years of an M&A, which we cannot disclose, but whatever works for us and whatever we are capable of managing and turning it around, we will touch upon it.

Moderator: The next question is from the line of Vinay Nadkarni from Hathway Investments Private Limited. Please go ahead.

Vinay Nadkarni: Yes, just one question. On the German acquisition, what is the revenue expected and when will it

flow in and what kind of EBITDA are we looking at?

Srinivasan Ravi: I would say that the past three years of revenue, which is, sorry, calendar year '24 is

not published yet, but I know an approximate number. But whatever '21, '22 and '23 we already put on our website . Yes, it's already been put. Calendar year '21 was EUR 23 Million . So, we will just take a number of Rs. 100. So, to convert it was INR 232 Crore in '21 calendar year, '22 was INR 255 Crore and calendar year '23 was INR 257 Crore and calendar year '24, as I understand from the management, it is around a similar number. So, it's around INR 250 Crore is the top line. And they have been having high single -digit EBITDA.

Moderator: The next question is from the line of Senthilkumar from Joindre Capital Services Limited . Please go ahead, sir.

Senthilkumar: I have two questions. First one is, sir, this quarter we have repaid around of 900 crores of debt, right? So, how much we can save in terms of interest costs in the forthcoming quarter of FY '25?

Srinivasan Ravi: Sir, the stated objective, whatever we have done is very clear. One is INR 250 Crore was for the acquisition of DR Axion and it is very clear in the stated proceeds. And 2.5% was for general corporate, which is around INR 300 Crore . So, only INR 650 Crore was going to debt reduction.

Senthilkumar: So, what will be the gross debt at the end of FY '25?

Srinivasan Ravi: No, I will not be able to comment on that because whether if Sunbeam goes through or doesn't go through and the CAPEX , how we are seeing FY '26 to unfold . If the real China plus One unfolds , we want to be ready . If the China plus One doesn't unfold , we should not be overexposed is the stand what we are taking . There is a lot of rationale behind what we are doing of detailed study about all the manufacturing countries in North America as well as in Europe and we see a tipping point that the winds may blow in India direction provided the suppliers are ready to deliver the global requirements. So, that to our investments will depend on the customer confidence and the orders for which we are going to get in the future.

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Senthilkumar: And my second question, sir. Now, actually, last few quarters, I could see that Powertrain business, we are reporting a negative growth on EBIT level, EBIT level on year-on-year basis. So, when can we expect a positive growth on this business, particularly?

Srinivasan Ravi: There are two tailwinds , which has to happen. One tailwind is, of course, the commercial vehicle pick up, which is in common public domain. Everybody knows that the customers, what they are doing and what is the commercial vehicle sales, how it has been behaving post FY '19. And literally , they had some uptrend post COVID and after that it is subdued, but I think it is all related to the GDP growth of the country.

Surely, there is a replacement market. I don't see that this trend can continue, negative trend on the commercial vehicle, it can continue for long, maybe for a year more and then afterwards it should pick up. Tractor has already seen some come back to a decent level, what we are seeing in the month of, this particular month of July and the tractor manufacturers seems to be upbeat for the coming year. So, both are related to the Powertrain .

On the passenger vehicle segment, we are doing decently well already and there is nothing which will improve from that particular point. Yes, we have got some more business on the passenger vehicle segment on the Powertrain , which will have some financial result coming from next financial year. This is the total headline .

But I want to now highlight that last three years we have been working on one particular segment, the industrial engineering segment. First, we have set up the machine shop for that. The machine shop is mostly ready. In the last

two, three years, we have

diligently invested. Now, for the foundry, we have not gone for the engine blocks . We have gone for a general-purpose Industrial engineering foundry, because there is a lot of development cycle time with two, three years for a large engine block weighing 10 tons or 6 tons because engine block will cost anywhere INR 10 lakhs, INR 20 lakhs per part, totally. It is not about a simple part and the development cost is running into INR 20 Crore , something like this, which customer has to bear even more, including the testing.

So, the gestation period being very, very long, we have been very careful about committing, but I can confidently say one thing that we are very, very secure for future growth in the Powertrain in the industrial engine segment. That is when we are very confident, we renamed the Auto Powertrain division to Powertrain division totally. And all our customers are in the range of maybe USD 40 billion, USD 60 billion sort of revenue customers, which are only making engines, I would say, totally or mostly, 90% of the ir, 80% of their revenue are coming from engine and Powertrain related activity.

And this is the tip of the iceberg and this, the forging companies have been very, very good at exploiting this for decades together, but on the cast iron foundry segment, nobody was able to do this activity, nor the machining capability for this high level of machining was there.

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So, we are entering into a new segment of the market, which we have very high growth potential. So, when will the potential happen? It will happen from FY '27 onwards. FY '26, from Q4 onwards it will start seeing, but after that we will see, I think, many years of good growth on the Powertrain, regardless of the commercial vehicle business. But we also see headwinds in Europe and U.S. for tier 1 companies, which more and more outsourcing is coming to India. That is also will be another tailwind. So, Powertrain by itself, it is a lull now, but the long-term prospects are very, very strong.

And I want to answer one previous question about aluminum from, I think, 10 minutes back, on a per ton basis. See, I think we are not valuing whether the Powertrain business per ton, nor aluminum on per ton. So, aluminum has also got very, very critical machining.

Now what we are targeting for exports is not only aluminum casting by itself, it is the machining strength also which we portray in that. So, calculating capacity by tonnage will not be the right thing on this matter. And we have proved over a period of many, many years that on high-end machining we have proved very well, both on the Powertrain as well as on aluminum.

Moderator: The next question is from the line of Joseph George from IIFL. Please go ahead, sir.

Joseph George: I just have one question that is in relation to the German acquisition. So, you will be investing, say, approximately INR 120 Crore and if I look at the current revenue run rate of about EUR 25 Million, for next year it will add maybe 3% or 4% to your consolidated revenues.

Now, when I think about it, for 3% or 4% addition to revenue, you are going to a complete new geography. INR 120 Crore is not a big number, but completely new geography, new challenges etc. So, I wanted to understand what really is the grand plan behind all of this? I am sure you are not making this acquisition for 3% or 4% addition to revenue.

So, is it that the EUR 25 Million revenue can go up 2x, 3x based on the current capacity that they have or is it that you can use that technology to maybe introduce new products in India for Indian customers or whether you can get orders from European or American customers for manufacturing these products at a lower cost in India with some color on all these things, please?

Srinivasan Ravi: Thanks so much, Joseph, for this question.

I want to say that the engine manufacturing itself, the larger engines, we are talking about 12-cylinder, 16-cylinder, 80-liter, 120-liter, 150-liter sort of engines, is an exclusive club of less than six players globally, totally, overall. And if you look at the largest players, their revenues are in the upward of \$50 billion and the smaller players are operating between \$10 billion to \$15 billion. Hardly there are six players in the world, and they are exclusive. And some of them have got their own foundries which is catering to their own requirement. Most of them

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have got their own machine shops and the costing is not a very critical situation for them because of the product which is highly sensitive and should be highly durable and this has never come out of the North American and the Western Europe market. And in Western Europe, Germany has got the bigger say and we have a few players in the UK and that is it, totally.

So, now when we are acquiring a small portion of a larger foundry group, we are getting into that exclusive club with a small entry fee, I would say. On our own to develop all these products, it is going to take 5 to 8 years' time and to get the confidence of customer. And this is growing business.

Now the order book for these customers are totally full for many, many years because of the data centers, especially for artificial intelligence which is coming up. So, we are seeing a double-digit growth for many years for this sort of industrial engines and new engine development also is taking place in a big way because of the emission norms and now it's all flexi-fuel. The same engines are being used for hydrogen, vegetable oil and I would say LNG, CNG, diesel, gasoline, all these, now everybody is making universal engines.

So, power density is increasing, and it has set up a revolution in the entire engine world

totally for a backup power generation. So, this means there has to be capacity build-up somewhere in the world. We see North America, there is no capacity build-up. In Brazil, there is no capacity build-up. That is the one of the largest foundries also is in Brazil. Then in Europe, you know the headwinds, what is happening.

So, the other dominant factor is China, which already has got a lot of share of this business, and the end customers are not willing to increase their share of business again to the same country, which is having some geopolitical situation. In their mind, they would rather like to do it in India, but there is no Indian supplier. This is the problem. The second most important point is the manufacturing base in Germany is a little declining because of, again, political situations and other change in the workforce attitudes in the younger workforce, the new workforce which is coming. So, you might have read in Bloomberg that manufacturing has declined even in countries in Germany, which is well published news.

So, we see that the China plus One strategy to be a replacement for Europe or replacement for American manufacturing for these large engine blocks in India is a very good, we stand a very good chance. So, for that chance, we need to leapfrog over our competition, rest of the world. I think we are making the right move at the right time. So, the business is much, much larger in scale than the acquisition plan that we have put in Germany.

Moderator: Thank you. The next question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead.

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Mukesh Saraf: In one of your comments, you had mentioned that you are actually not looking to put the foundry capacity for those stationary engine blocks. So, would you kind of, you know, where would you be able to source those raw castings from then for the business that you are looking beyond say FY '26?

Srinivasan Ravi: I think I should rephrase my

earlier statement. I think I have been misunderstood. Sorry about it. I said that the development cycle for these engines the blocks are two years, three years, and no foundry can afford to put up, nobody can put up an offer to put up and wait for four years for the product to click. And no customer is going to place an order on a Greenfield foundry for those engine blocks, which is highly risky for them. For the product lifecycle, they have to invest INR 20, 30 Crore per part per engine from their site investment for the tooling and the, I would say, the engine testing procedures. So, we have put a general engineering foundry in phase one, which is catering to general engineering parts, including the wind turbine gearbox housing, which is a ready market for us. We are already machining those parts and already we have started the development of these parts. These cycle times for development are between 6 months to 9 months and we have secured order for engine block and that will already be under development, but the invoicing or the sales will come in only in FY '27 Q4 onwards. That is the gestation period.

So, that is the reason the foundry will be initially called an industrial engineering foundry. Then it will become a composite foundry for industrial engineering as well as for Powertrain. So, for that to reduce the learning and to also to give more confidence to the customer and to have a footprint in Europe, I think the Fronberg acquisition is the key factor and we are well known to work very, very closely with Germans with full trust. We have seen that our association with the leading truck manufacturer has already completed now 15 years and going stronger than ever.

Mukesh Saraf: And the other question that I was having is on your standalone aluminum business. I think previous quarter you had mentioned that around this 1st Quarter we would start seeing the export orders for the passenger vehicle side of it start kicking in. So, have we started seeing any of those orders getting commercialized in this 1st Quarter?

Srinivasan Ravi: We have done two trial shipments already completed. Third trial shipment is going next week and production is slated to start from Q4 onwards. Next year we are looking at an upward revenue of around INR 125 Crore from the export of this particular product to Korea.

Mukesh Saraf: So, while your trial is started, now you are saying that only Q4 onwards the major supplies will start?

Srinivasan Ravi: Yes, we started supplying. It is already under testing and things like that and Q4 means from December onwards we will start shipment. For them they always do the calendar

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year subject. So, I think we will see Q4 revenue and next year full year revenue will be

there.

Moderator: As there are no further questions , I would now like to hand the conference over to Mr. Srinivasan Ravi for closing comments.

Srinivasan Ravi: Thank you very much for patiently listening through the Earnings Call and participating in the Earnings Call . I think I wish to reiterate that we are subscale in the Powertrain as well as aluminum division and when we look at the growth opportunities for the global requirement , we need to change our mindset from small scale to at least medium scale , I would say , in the global context.

So, this is what the journey Craftsman wants to undertake, and we want to be a global player in the Powertrain as well as aluminum business . And I thank all the investors for their kind support for all these years and also for a successful raising from the Q IP.

Thank you very much .

Moderator: On behalf of Craftsman Automation Limited , that concludes this conference . Thank you for joining us , and you may now disconnect your lines.

(This document has been edited for readability purposes)

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28th October, 2024

To

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Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call on the Unaudited Financial
Results for the quarter and half year ended 30th September , 202 4;

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Re quirements) Regulations, 2015 and our intimation and
outcome letter dated 18th October, 2024 and 24th October, 2024 respectively, we are
enclosing herewith the transcript of the earnings conference call organized on Thursday ,
the 24th October, 2024 at 4.00 P.M. (IST) on the Unaudited Financial Results for the
quarter and half year ended 30th September , 202 4.

The transcript of the earnings conference call will be uploaded on the website of the
Company at www.craftsmanautomation.com .

We request you to kindly take the aforesaid information on record and disseminat e the
same on your respective websites.

Thanking you.

Yours faithfully,
for CRAFTSMAN AUTOMATION LIMITED

Shainshad Aduvanni
Company Secretary and Compliance Officer

Encl: As above

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CRAFTSMAN AUTOMATION LIMITED

Earnings Conference Call held on 24th October , 2024 for the quarter and
half yea r ended 30th September , 202 4

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of

Craftsman Automation Limited. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the opening remarks conclude s. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Ravi, Chairman and Managing Director of Craftsman. Thank you, and over to you, Mr. Ravi.

Srinivasan Ravi : Good afternoon, everybody, and thank you very much for joining the Earnings Call . And today is a very important day because we have major events happening in Craftsman and its subsidiaries. So , in the interest of time, I will just rush you through the financials, give an overview of the financial performance and what are the indicators which are to be considered in reading the financial statements. Then we will go to Q&A and we'll spend more time on Q&A for -- because of the two major acquisitions and also completing -- completion of the DR Axion acquisition which has happened all in one quarter or the beginning of this quarter -- beginning of the new quarter.

So, the H1 performance more or less has been, I would say, slightly lower than the last year previous year H1 performance, after taking into consideration two important parameters. Of course, the main, Craftsman, there has been extraordinary expense which is related to two new plants, which are come up in Bhiwadi which has started production at the end of August, and now it is operating at 25% capacity and will reach around 50% to 70% capacity in Q4.

The second plant in Kothavadi , which is also a major milestone, is under trial production already. Both these plants have been incurring expenses, which have been gone to unallocated expenditure. So , if you look at the EBITDA portion of the apple -to-apple comparison if you look at it, I think there is a hardly 8% to 10% drop in the H1 EBITDA levels. And the consolidated level is also almost at a similar level, I would say, because DR Axion there has been a small drop.

So, the three things which are now is we have taken over Fronberg and we are operating it smoothly from the 1st of October as Craftsman Fronberg Guss GmbH in Germany. And this is a big strategic deal for us because we are getting all global customers also for Craftsman Kothavadi foundry and machining at Unit 3 . We have more of it later.

Second thing is Sunbeam was envisaged as first an asset deal and also only for three plants. And subsequently it moved into four plants and it again was an asset deal. But considering the complexity of the nature, we went in for the buyout of the entire company, and the CCI approval also came in late September, and we have -- from the second week of October, we have acquired the company.

So initially , the deal, whatever we have envisaged, I think there were some INR400-odd crore s deal, which was there, which has become around INR700-odd crore s. But that is temporary because the land has not been sold in Gurgaon. And once the land is sold in Gurgaon, I think the money will come back in Sunbeam and in directly, maybe also I think some of the investments what we have made in Sunbeam the money can flow back to Craftsman .

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So, we have, because of these three major acquisitions and two major new greenfield projects, we've gone a little higher on the debt and maybe we'll close FY '26 at around -- for a stand alone debt of around INR1,600 crores for Craftsman. And that we had also factoring that debt will become lesser when we sell the land of Sunbeam which is around 16 acres in Gurgaon.

The subsidiaries will have also a little debt, but not much, I think, well within their capabilities. So, we have one more year of operations, we'll be back to between 1 to 1.5x debt -to-EBITDA, which will be always our comfort zone .

So, with this, I will leave to Q&A and would like to talk about the opportunities of this

acquisition and how the business will grow and how the revenue will look for next year because we don't give any revenue guidance, but I would like to say that it will be upward of INR 7,000 crores on a consolidated level in the next financial year, just to give -- because of the game change which has happened in the last few months.

Thank you very much for the patient hearing, and we'd like to listen to the Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have the first question from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Firstly, sir, on the Sunbeam, can you guide more how do you see the revenue and the margin trajectory over a medium-term perspective? What are plans to turn around this unit, sir?

Srinivasan Ravi: Okay. The revenue, I think maybe it's not a public domain maybe, but it may be available somewhere, but I think the revenue is around INR 1,200 crores, I would say, in the top line. And the EBITDA has been negative for almost 3, 4 years, I would say, overall, in general. Now there are three things which are changing now.

One is the labor settlement, and the settlement is around INR 160 crores will be done by March totally. It is already agreed on and the unions have signed up, and the first tranche of people are -- a small group have left and the group is leaving by November, and the bulk will leave end of March. So will continue to have the impact of higher salary and double operating expenditure of trying to ship the Gurgaon plant until March.

So, I would rather only look at marginal EBITDA for Q4 going forward. Q3, I don't expect any EBITDA because of the holidays and the full workforce being there. I think we'll be at least trying to stem that whether it is minor positive or minor negative, it will be nothing significant in Q3. But Q4 will be slightly positive on the EBITDA.

But next year, overall, I think that the revenue stream will be more or less the same, I would say, or a slight increase maybe there from INR 1200 crores. And we are targeting internally at a high single-digit EBITDA or at least a low double-digit EBITDA because still it will be work in progress of shifting the Gurgaon plant to release the land and to sell the land. So, the selling of the land also will -- I mean, moving the operations out, we'll be able to reduce the plant overheads because we'll be reducing the number of plants. And we are shifting the Gurgaon plant to Bhiwadi where Craftsman has already got land. So the -- it will be a smaller shifting only.

So I think in that sense is that the Tapukara plant of Sunbeam is hardly a few minutes away, just a couple of -- less than 3, 4 kilometers away, I think, that is it. So the -- it will bring a lot of operational synergy between the 2 plants of Sunbeam. And the Craftsman plant in Bhiwadi is producing alloy wheel, which is complementary to the Sunbeam activity.

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So with this, I would say that the export potential for Sunbeam is quite high. And the new orders, RFQs have not been coming for a long time because of the finance situation. Now with this new management and the infusion of capital and the profitability picture what we are trying to project, I think the customers will come back because of the track record of the capability of Sunbeam over a long period of time. And this will result in a significant growth in the export business in the years to come.

So if you look at the profile of Sunbeam and the profile of Craftsman and the profile of DR Axion and the customer base, I will give the overall picture. Craftsman is predominantly only -- it's only in the south in the aluminum business, except for Bhiwadi alloy wheel plant. The customers of Craftsman and Sunbeam are not at all overlapping. There's actually practically no overlap. That means we have acquired new customers with Sunbeam domestically as well as export totally.

The second point is the DR Axion is predominantly in low-pressure and gravity die-casting. And Craftsman is predominantly in high-pressure die-casting mostly in the

higher tonnage area, whereas Sunbeam is operating at a lower tonnage on high - pressure die -casting and to a certain extent also on the gravity and low pressure.

So this brings a lot of synergy of operations between the 3 aluminum divisions. So how to move it closer to each other on the technological front and try to extract the best out of each other is work in progress, which will happen in one financial year. We have set up strong functional teams across all the 3 plants, and we are very confident about turning around Sunbeam, with a lot of help is also coming up from the customer side. They're encouraging us with more inquiries and things like that. I hope I've answered your question properly.

Mumuksh Mandlesha: Yes, sir. It's very comprehensive, sir. Just further on this if possible, to share what kind of savings we would get from the employee cost reduction? And just a little more on the export opportunity for the Sunbeam, sir?

Srinivasan Ravi: I will give you only the top line number. It is very close to around -- how much is it, INR 270 crores to INR 280 crores? You can understand on a INR 1,200 crores turnover of an aluminum business where aluminum is predominantly have been -- I mean it is contributing to 60% of the revenue, or almost close to 60%, I would say. When you have INR 280 crores employee

cost, and similarly, when you look at DR Axion and compare Craftsman Aluminum segment, it is much, much higher.

It is 2 things which are there. One thing is, of course, the duplication of people which is there and across all the plants because the Gurgaon plant was not shifted. In total, we are still carrying the people to be settled. Number one. Number two is the footprint of 5 plants, which normally we would like to have 3 plants, and 3 plants in 3 geographies, one geography in NCR region which I said Tapukara and Bhiwadi and Bawal we will say one region. And 1 in Halol and 1 in Ludhiana.

So this will give better synergy in the operational cost management may be different. But I would say the developmental team can be leveraged between the 2 plants overall. I will give you one example of how we leveraged the DR Axion knowledge also to get into the alloy wheel business.

And we are one of the few companies without a JV partner as Craftsman, we have done -- our technological partner, we have started an alloy wheel business, and we are able to -- we decided in January, we applied for land in January, we got the land in February, and we started commercial production in August end. And today, the plant is functioning -- and in this year, we will be generating revenue from the Bhiwadi plant of INR 100 crores.

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This has been also because of the -- a lot of support from our Korean expatriates who've got a long experience in the gravity area. And similarly, we will be leveraging DR Axion's expertise for Sunbeam also to improve the operations in low pressure and gravity. High pressure by itself, Sunbeam is quite reasonably strong on lower tonnage missions, but the Tool room support will be required from Craftsman. We have put a much larger Tool room and a larger development team for making dies and things like that. So with that, I think there will be more synergy.

And the one thing is we can take up the entire bouquet of request from the customer, whether it is the large tonnage high -pressure die -casting or low -tonnage high -pressure die-casting. And what we are first thinking is to commonize the business development strategy. That will be very important to tap the new opportunities across the globe.

In Europe, the aluminum manufacturing footprint is going down, and in U.S., also it is going down, and this is moving to other countries, including Mexico, and possibly we have got a good opportunity with this scale of business. I have always been saying that the -- our aluminum competition outside the world between \$1.5 billion to \$6 billion, \$7 billion in revenue. At least we are looking towards the INR 4,000 crores, which is \$0.5 billion next year, approximately. So still we are not up to the multinational scales, but at least we are offering that we are capable of growing to that level. And this is interesting many customers today. I think that is the synergy what they are bringing about.

Mumuksh Mandlesha: Just lastly, on the heavy industrial business and the wind sector any new order wins or RFQs for the segment, sir? And just a little more, what would be the order book for this segment as of now, sir?

Srinivasan Ravi: The Kothavadi facility at Stage 1 and the complementing machining shop at Stage 1 at Unit 3 at Craftsman was put up for a general engineering market requirement and mostly oriented towards or focused towards wind sector and some machine tool parts, I would say. So that is already under trial production as of today.

So this means that the foundry Phase II will be more focused on the where we can do the engine blocks in Phase 1, we already got some couple of big breakthroughs and orders from 2 customers, and third and fourth are on the way now. The Phase 2 of the Kothavadi foundry will be oriented towards the cylinder block and head for the stationary engines for the backup power generators,

which the demand is huge. So this is the strategy going forward for the industrial engineering division. And the second part of your question, sorry, I missed it out, can you please repeat?

Mumuksh Mandlesha: If possible to share the order book as of now sir? For this new segment, sir?

Srinivasan Ravi : New segment, the order book for next financial year will be around for the general castings, the machine tool castings, the windmill castings . And we have other one or two small sub -segments also. I think that order book is more than INR 100 crores as of now, the developments are going on. Now the second portion of the engine business, that order book is more than INR 100 crores as of now itself. But the only point here is the developmental cycle is huge.

That is the reason we are -- also soft starting this foundry business with quick wins on the industrial engineering product side. And while we wait for the development of the engine side, because engine development, each product development will cost, which the customer has to pay, is millions of dollars. Their validation also is in the millions of dollars.

And the time taken for development of the part and the validation takes anywhere between 18 to 24 months. So we will see the revenue flowing from FY '27 onwards. And these are very, very sticky customers. And one very good point is, in the top 10 engine manufacturers who are contributing to the higher powered engines for the --

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generating power generation sets all over the world , seven of them are directly now with the customer in Craftsman or already a customer in Fronberg . So I think this is a very key point. And the Kothavadi foundry will -- already started to get support from the Fronberg facility for development. And some inquiries have come for Craftsman because we have acquired Fronberg , and some inquiries have come for Fronberg because Craftsman has acquired Fronberg.

And that is -- the Fronberg will be able to develop the parts fast. And the second incremental volume of the same parts production will be done in India for the customer. So the customer is also happy that there will be two sites for the production of these parts going forward, which will also de-risk them. And plus the requirements are booming there and time to market is extremely important.

All of them are sitting on order books for the next two, three years, the order books are full. I think it is already on public domain that all these engine manufacturers are expanding their own manufacturing facility .

Moderator: The next question is from the line of Mukesh Saraf from Avendus Park.

Mukesh Saraf : So it's on the similar lines. Just if you could -- I mean, you've given us a lot of information, but just trying to understand, for the Kothavadi facility and the Bhiwadi facility, what's the kind of capex we are doing in the Phase 1? What have we done so far? And anything that's pending for Phase 1?

Srinivasan Ravi : Phase 1 some equipment, one key equipment has to come, that is the German

equipment for the core shooter . I think the -- Kothavadi , I mean, okay, Kothavadi number is currently around the capex is all incurred for first half is around INR 80 crores. Mukesh Saraf : And we have some more that we'll do, sir, Kothavadi , for Phase 1?

Srinivasan Ravi : This year capex is INR 80 crores. Last year, we also incurred capex for Kothavadi . We started the project on October 2nd , so I'll give you the total capex in a minute.

Mukesh Saraf : Yes, just the total numbers.

Srinivasan Ravi : And at Bhiwadi, I think we have completed around INR 150 crores capex as of now.

Mukesh Saraf : INR 150 crores Okay.

Srinivasan Ravi : That is without land. Land is a significant portion, it's 25 acres, so that will house -- I think that is one of the reasons also we are looking at the Gurgaon facility shifting there.

The land is a long -lease item, I think that is around INR 130 crores.

Mukesh Saraf : So Bhiwadi, Phase 1, say, for utilization, what kind of revenues we can do, sir, maybe in a couple of years or so, maybe two, three years, at full utilization Phase 1?

Srinivasan Ravi : The revenue will have two parts to it. One is the casting part and one is the machining part of that. Both put together, the top line will be around -- see, we can produce around 30,000 tons, I think between INR 500 crores to INR 600 crores, the revenue will be there on the top line at, I would say, at 70%-80% utilization. With tweaking I think we can go up to INR 600 crores, INR 700 crores.

Because now one important point is we are going to get castings from rest of the world, coming from South America, coming from Europe, for machining for Craftsman, just because we put up the facility, the casting validation takes too much time, so we are starting with machining with these customers. The orders are coming for machining now only for the simple reason is we have put up the Kothavadi facility and we acquired Fronberg.

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So they are confident that we will be able to make the castings from FY '27, '28 onwards. So I think the revenue from machining will come from FY '26 onwards itself totally. But the machining on revenue, the turnover wise may be lesser, but it will be value addition in that sense.

Mukesh Saraf : Right. So this is Kothavadi is what you mentioned.

Srinivasan Ravi : Kothavadi INR 126 crores because we had most of the land earlier. So, so far, the investment has been INR 126 crores . And around INR 70-INR 80 crores to go before we complete this Phase 1.

Mukesh Saraf : Right. So the INR 500 crores, INR 600 crores revenue you said before, that's for the Bhiwadi plant, so that 70%, 80% utilization?

Srinivasan Ravi : I talked about Kothavadi . Bhiwadi plant is very clear, it is 4 million alloy wheel for 2 - wheeler.

Mukesh Saraf : Right. And what kind of revenues you're looking?

Srinivasan Ravi : There's a seasonal demand there, and I have to be very careful when I comment that. Theoretical capacity of that plant will be around INR 400 crores, on all practicality will be around between INR 300 crores to INR 350 crores because of some months demand not being there.

Mukesh Saraf : And right now, we have an order book of INR 100 crores at the Kothavadi ?

Srinivasan Ravi : That is for the general engineering part -- our order book for the engine blocks and other things are much higher. That's not going to see light of the day in FY '26. So it will see only in FY '27. On the revenue, it will contribute significant portion only in FY '27. FY '26

will be marginal revenue. That's why I didn't want to talk about that.

Mukesh Saraf : Sure. And just the second question is, when I look at your -- the stand-alone business, when I look at your industrial and engineering business, the margins there have dropped significantly. I would assume a lot of it has to do with the storage solutions. But if you could kind of give us some update there. The margins there are literally now come down to negligent.

Srinivasan Ravi: There are three or four parameters. I think from Q3 onwards, we'll see the margins looking up in the industrial engineering sector. Undercutting or the entry cost, everything is over. We have established ourselves very well in the stationary racking business. So there's no more undercutting in the market in that sense for the new orders which we have taken in the past few months. So it will start yielding result by end of Q3 and for full of Q4. That's for the stationary racking system.

Now we opened the order book for the automated solutions at INR 80 crores level in April because these are long-gestation projects. And we had around INR 40 crores executed. This is ASRS without the VLMS, VLMS or the V stores. And

now we currently stand with the order book on the automated solution system for around INR 250 crores and this is -- this will have significant margins going forward.

So in the coming years, we will see that the blend of the products will be more on the automated solutions or the vertical lift modules, which will contribute to bulk of the revenue, whereas this racking business will be supporting the automated storage solutions. So we will be a more high engineered solution provider.

So we have -- we are already implementing for one of the largest corporates in India in plant in Tirunelveli which is a INR 50 crores automated storage solutions. It's under implementation and we have secured for another steel major, very large order of INR

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50 crores for automated warehouse. So this is only the beginning and we have broken through now. I think the revenues and the profitability will be improving quarter-on-quarter starting from Q3 itself.

Mukesh Saraf : Right. Understand, sir. Thank you so much. I'll get back in the queue.

Srinivasan Ravi : I want to add on the industrial engineering portion. Industrial engineering portion has been a backbone to support both the powertrain as well as the aluminum division with special purpose machines, tools, dies and all the other engineering, what we do. And now that engineering division this is also helping our divisions to grow on the non-storage engineering capabilities in the industrial engineering side.

Mukesh Saraf : Right. Thank you, sir.

Moderator: Thank you. The next question comes from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi : Hi, Ravi. Just clarification you mentioned that order book for automated storage is INR 250 crores?

Srinivasan Ravi : Yes, correct.

Jinesh Gandhi : And of which INR 40 crores has been executed in the first half?

Srinivasan Ravi : No, this is INR 250 crores as of now. What I'm saying is your long-gestation projects because the customer builds the -- building after the order is placed because it is all high-rise buildings. These are built to the requirements and we are also giving engineering solutions. So once the order pipeline crosses the INR 300 crores, INR 400 crores, our revenue stream will be more focused towards quarter-on-quarter on the automated solutions because order to delivery takes around anywhere between 10 months to 15 months depending on the customer site readiness. That is what I am looking at.

Jinesh Gandhi : Right. And what would be revenues of storage solution in Q2?

Srinivasan Ravi : H1 it is around INR 262 crores.

Jinesh Gandhi : INR 262 and in this storage would be about - automated would be about 10%, 15%?

Srinivasan Ravi : Automated would have been H1 – automated would have been only around 25% to -- 25% on the total, 33%, sorry one-third.

Jinesh Gandhi : Got it.

Srinivasan Ravi : But there's been more of this or the orders have been taken more than a year back at entry prices. I mean we are trying to prove ourselves in the market. So we had to be very cost-competitive to convince the customer to place the order with us. So that has under they are under execution now, but all the new orders are coming at a fair value now.

Jinesh Gandhi : Fair point. On Sunbeam acquisition, so this will be consolidated from third quarter still, from October onwards or will it take longer time?

Srinivasan Ravi : October first week is not there. I think it is on 9th October is the date which we have started. It will be consolidated from that date. But anyway, Q3 will be a transition phase because nobody produces much in December. But I think Q4, we'll get the -- more than the pro-rata INR 1,200 crores revenue and less revenue is what we are looking at.

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Jinesh Gandhi : Right. And now since we have acquired the company and not the assets, will we have a substantial carry forward losses which will benefit our overall tax rate? How to think about that?

Srinivasan Ravi : See, there is some business losses which is above INR 300 crores and there are some unabsorbed depreciation which is in the region of maybe INR 350 crores, INR 400 crores something like this. I don't know the exact number. I think more than -- yes, more than INR 400 crores, INR 440 crores. This INR 440 crores can be carried forward for a long time, but INR 380 crores has to be more or less if it can be only for this year totally. So unless we have some other plans, we'll not be able to get the first portion of it. But we're also thinking about what other strategy we can try to -- and where is aluminum business what we have, what we can do on this, but anyway there will be a tax saving of INR 100 crores on the unabsorbed depreciation going forward.

Jinesh Gandhi : Got it. And lastly what will be the capex for FY '25 given that they've already invested roughly INR 467 crores in first half, what would be the full -year capex guidance?

Srinivasan Ravi : We are expecting to close at around INR 850 crores overall capex for Craftsman.

Jinesh Gandhi : Got it. Great. Thanks and all the best ...

Srinivasan Ravi : The capex will be very muted for next year on this matter. I think -- I want to also bring it to Mr. Jinesh Gandhi, I want to add one particular point here is that we see that even today we have the news that the FDI is opening for multinationals. See today we have companies who are willing to invest for capacity today for revenue 3 years later. We'll have multinationals coming in, especially our Asian neighbor which before even this summit, I think two or three prospects and projects have been cleared for FDI.

I think there is -- we should be open for multinational competition. So as Craftsman, we are now always thinking about multinational competition coming into India, hope we can do better and we can grow our business. I think scale is extremely important going forward. Coming to a factor that India is going to go into a manufacturing GDP country as a whole and for that we don't have capacity, we'll order for the equipment, it comes in 2 years or 3 years' time, it doesn't gel with any customer -- multinational customer because they have experienced different things with China.

Jinesh Gandhi: Got it. Great. Thanks and all the best. I will fall back in the queue.

Moderator: Thank you. The next question is from the line of Jay Shah from JS Family Office . Please go ahead.

Jay Shah: Congratulations to the management moving forward with the acquisition. Sir just one question what I wanted to ask you actually quite hinted i t in the previous answer is that in some of the interactions with peer companies in the casting and forging sector, it is -
- it comes to seem that India to day doesn't have the capability and that is why or the capacity for rightly speaking and that is why some of these large engines are not coming to the country.

So, is it a chicken and egg problem that the companies are waiting for someone like a craftsman to put things up and then come, rather than like you just said that if you don't have the machinery right now, you know, people are not going to place orders. And apart from engines also, do you see that, you know, today the way Craftsman is progressing that can open up doors for other industries as well for us to back lands in those secto rs as well?

Srinivasan Ravi : We have good examples, which are very, very positive examples legacy wise. We have at least the top 2 -3 companies in India, top 2 at least and maybe the third also. In the forging industry who are quite significant in the global market, especially the top 2. The

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top 1 is far , far ahead and they are attracting their industr ial engineering business, they are alre

ady serving the forging s for the stationary engines across the world. So that is what is keeping them on a stable level.

Overall, I cannot speak for any forging industry. But I would say that the vision was there to go ahead and put capacities ahead . But I would say the opposite has happened in the foundry business where nobody put up the capacities which could attract the attention of the -- for engine block casting for export, and that went away to China overall.

So we put up a scale for machining of the blocks and heads. Even today we don't have capability to make -- we have capability but we don't have the capacity or the infrastructure, we never put up a foundry because we are intent on machining. Machining -wise we have the scale, but the foundries miss ed the export business on the block and head. But we have seen on the other carrier parts, we hav e partnered with the foundry, they were able to capture the market in North America now after almost eight, 10 years of working.

I think scale is important and also the orientation towards export and export quality is extremely important. Aluminum, if we I look at our exports when compared to China, it will be hardly a single digit percentage when compared to the export of China. The entire aluminum industry, Tier 1 industry -- sorry, suppliers like Craftsman or Sunbeam , if you total it up in the country, it will be less than 10% of the capacity in China for similar suppliers.

So this is a basic problem that they don't see the infrastructure and then without the scale, we cannot invest for R&D, we cannot invest for development, we cannot have technological exp erimentation which we need to do to improve our process and things like that. So this is one reason. For example, the alloy wheel which we have put ou r plant in Bhiwadi was getting imported mostly from China in a big way until the requirement for B IS and o ther things have come up within India.

But we also have to note a point that we have Asian companies, I don't want to put names of the countries now. They also have a set of plants in India that are supporting their supply to the OEMs. This means they have left their shores and they have come to our shores and they have done well. But I think the opportunit y is there that we put up scale. We have more, especially for North America where there are no people to work there and they want to also de -risk f rom China as a strategy itself.

So thi s means that -- and looking at India as a fast growing market, the growth in China is slowing and the capacities are enough already. So this means for any product to be sold in India or in the other Asian countries, they are now preparing to develop the

products in India. But they are delaying their entire decision of investment of plant here or export out of here because of the lack of supplier capacities and capabilities. This is the real truth.

Moderator: The next question is from the line of Joseph George from IIFL.

Joseph George : Two questions. One is the capex guidance of INR 850 crores that you gave, is that including all the new subsidiaries or is it just on a stand-alone basis?

Srinivasan Ravi : The subsidiary capex doesn't come into this number. If you look at Bhiwadi, look at it the land and the building, which is there, the foundry building, the machine shop to complement the Kothavadi facility for the engineering parts as well as engine block, and the aluminum capex we have done stand alone Craftsman, and plus the maintenance capex. Maintenance capex itself is to the tune of around INR 200-odd crores. So all that put together, because we've gone for two greenfield facilities.

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Joseph George : Sorry, I didn't get the answer. So are you saying that the INR 850 Crores includes what you're spending stand alone, including the new plants, of course, and say what is required in Sunbeam or... ?

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Srinivasan Ravi : No. Sunbeam is a separate company, DR Axion is a separate company, Fronberg is a separate company. Those capex will not come into Craftsman.

Joseph George : So this INR 850 crores doesn't include DR Axion and Sunbeam, right?

Srinivasan Ravi : No. We don't talk about the group capex now. Group capex will be not that, I think.

Joseph George : Okay. And sir, the second question that I had is, in the context of the INR 250 crores of order book for automated storage solutions, you mentioned that it's not something that will be converted into revenues immediately. It is a long gestation order. What I wanted to check is, do you have price escalation clauses built in? Because in the past, it's happened that we have bid at a particular price and then steel prices have gone up and then margins have been impacted. So do these long-gestation contracts have price escalation clauses ?

Srinivasan Ravi : See, we have two things. One is on the static racking, which is all quick order wins and quick deliveries and will be consumed within a quarter or so. The long-gestation periods on automated storage solutions, the material content is very low overall. And there are bought outs. Bought-outs price are fixed immediately; electrical, electronics, mechanical, and things like that. And a lot of activity happens inside for the value addition. So the raw material content itself is very low. Commodity raw material content is low.

Joseph George : As a result, even if there is no price escalation, it won't make too much of a difference, that's what you're saying.

Srinivasan Ravi : Yes, we factor in something, but I think it will not make a significant difference, yes. It will not -- one thing is that we will need INR 500 crore's order book to have a consistent revenue because of the long lead time item. So this is something like a long pipeline. Once we fill it up, I think the consistency in the quarterly revenue on the automated storage solutions will improve.

Moderator: The next question is from the line of Khush Nahar from Electrum Portfolio Managers.

Khush Nahar : So my first question was, can you guide us on FY '25 growth? How are we looking at FY '25?

Srinivasan Ravi : FY '25 will be in a similar line of H1 growth, that's all. I think we are not -- I'm talking about stand alone, but on a consolidated basis, it will be significant because we'll have almost 2 quarters of consolidation of these 2 subsidiaries. Plus the Bhiwadi plant operation in Q4 will bring significant revenue.

Khush Nahar : And sir, just one question on the EBITDA margins. So, like you said , your target around INR 7,000 crores in FY'26 as revenue. So that would be on what EBITDA?

Srinivasan Ravi : See, the EBITDA will be now in transition, Sunbeam EBITDA will be in transition. It will not be a quick turnaround. It will take one more year, I would say. So that will bring down the overall EBITDA level s. I think Craftsman will be able to sustain very high teens, in the range of 18, 19 is what we look at.

The EBITDA of our overseas subsidiaries, the revenue is small. I don't want to comment too much on that because revenue itself is around INR 250 crores . Then we will be single -digit EBITDA, whether it's low single digit or high single digit, we have to see the operations going forward there totally, but it is EBITDA positive. That is clear. And then

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Sunbeam wise we are looking at between around 8% to 10% EBITDA. This is what we are targeting internally overall. So, we look at the blended average, more or less we will be around 17%, 18% as the overall company goes.

Khush Nahar: Okay sir, thank you.

Moderator: The next question is from the line of Yash from Duro Capital.

Yash: Just had a bookkeeping question. Can you please tell us the value added across the segments for H1 as well as this quarter?

Srinivasan Ravi :

I would say that I don't mind giving it really speaking, but I've seen that none of our peers give it. And that has been adverse to us on this matter, like, okay, this is the revenue and this is the value add and there's the raw material content and how is it happening, and becoming more sensitive on the Aluminum segment. So now we don't want to get into those numbers, so there is a cost which is there overall, I think that's better, you know the aluminum content and things like that, you know the aluminum revenue, and aluminum across the segment will be having more or less the same costs. It is not beneficial as a strategy to give these details, I think so, going forward.

Yash: So, can you just tell us in a direction -wise, how it's gone, if you will not give us the exact numbers?

Srinivasan Ravi : On Powertrain , I think the product mix is more towards with material because of wherever we are buying the engine blocks and doing. So that is when we are also doing job out there, so we cannot really quantify that. In general, the value addition as a percentage in the Powertrain , has been in the range of around 60%, I would say. And the aluminum also it is very close to around 40% because we are doing value -added products in the machining side, casting and machining totally. And the industry side has been lower because of the legacy orders on the storage solutions business, which is less than 30%, I would say.

Yash: That's all from my side.

Moderator: Thank you. The next question comes from the line of Neel from Value Quest. Please go ahead.

Neel: So, my question was around the QIP that we did about INR 1,200 crores that we have raised. If I were to net up the sale of the land from Gurgaon , about INR 700 crores to INR 800 crores we already spent, and we will be left about INR 400-odd crores. So, what are the plans around that, if you are trying to see M&A or maybe spend?

Srinivasan Ravi : No, we are not looking at any M&A because we have done our strategy very, very clearly. And aluminum, we didn't have a footprint in the north. Now we have a footprint in the North. We have got customers like Maruti, Vitesco, Bosch. We have Vibroacoustic . I think a lot of export is also happening to North America, and we are trying to grow that. And if not for the Sunbeam, I think our footprint would have not got into the North Indian region, NCR region, I would say. This is one thing.

Second thing is, if not for Fronberg , I think we would have missed the bus on the large

engine segment, which China is at least 15 years ahead of us, as of today, totally. They started investing for the foundries 15 years ago. Today they are the major supplier in the world. And in fact, there was a comment saying that for the large engine production, the capacity of the Chinese foundries can serve the entire world totally.

And there's all the other foundries in Europe and US can be redundant. So much capacity is there. And the capability is also there, because they have done major

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investments in technology upgradation from learning from customers and things like that.

So, we're trying to do catch up. I think their Fronberg facility was important and putting up the Kothavadi facility was important. For Kothavadi facility to make the castings in a proper way quickly, which will give confidence to customers, is what's important. So, there was some acquisition cost which was there. I think the second thing is the other bidder for us was, why the price went up from the initial, say, 5 million to 10 million. The simple reason is that the customer wanted to buy the foundry. So, desperate they were. So, we bided against the customer. And one of the key customers for Fronberg.

Now coming to the DR Axion, we have completed the 100 percent acquisition, that is also done overall. And the aluminum portfolio by itself is com

plete. We don't need any acquisitions at all. Organically, we can first set right the plants, bring the synergies, then grow in capacities. Even on the Powertrain, having done this Fronberg deal and the Kothavadi facility we don't need any acquisitions in the Powertrain business.

And in the industrial engineering business, unless something comes up in a different way in the coming years, it may be small acquisitions, maybe in the range of INR 100 crores, INR 50 crores, if it could bring some strategy. But no large acquisitions are planned at all, this means we are not going to do that, any large acquisitions, in the next 2 years.

Neel: Right. Got that. So, the rest of the QIP money will mainly be allocated towards the capex plans that we have for the next 2 years, right?

Srinivasan Ravi: Yes. That is the history and, in the history, we say that we raised INR 150 crores from private equity in 2010, all put together. INR 150 crores in the IPO. Only INR 300 crores equity was raised apart from the original equity of the promoters, which was way back in 1986. Then apart from this, the INR 1,200 crores is on a step-up opportunity for making the company safer and more sustainable on the growth path for the next decade, I would say.

Neel: Got that. So next 2 years, what kind of debt level you will be comfortable at?

Srinivasan Ravi: See, we will be -- stand alone debt, I think we are targeting around INR 1,600 crores for this year. And after the land sale happens, that will come down to INR 1,200. And in FY '27, if you look at it with the normal capex and normal maintenance capex, I think debt level will be to the tune of the EBITDA level of Craftsman stand alone, I would say, around that level, 1.2 to 1.3, is what we look at it.

Even at group level, I think 1.3, 1.4 times EBITDA level will be the debt. And after that, it may come down to less than -- we want to keep it between 1 and 1.5. We do something extraordinary, that can go to 1.5. This is something one-time situation where we did a step-change, but that is not going to be repeated.

Neel: All right. Got that. And last question is on DR Axion. So this quarter, sales were kind of weak for us in that particular subsidiary. Now going forward, the expectation in the market is that over the next 6, 12 months, PV sales are going to remain weak, especially for a player like Hyundai who's not really gaining market share. So are we expecting any kind of growth to happen in DR Axion stand alone subsidiary business?

Srinivasan Ravi: We feel that whatever exports we have started in a small way, it will be for the full year next year. So that will help us to grow next year. This year, more or less, it will be flat, I would say.

Moderator : Thank you. We have a follow-up question from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

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Mumuksh Mandlesha : Yes. So I want to understand how is the impact of the aluminum prices, sir, for this quarter on the revenue margin, sir?

Srinivasan Ravi : No, nothing. I think overall, I think, we have been ramping up capacity. When there's ramping of capacity, normally there will be some expenses. For example, even for Craftsman as a whole, we incurred all the other extraordinary expenditure for all the 3 acquisitions, that is DR, Sunbeam and our subsidiary in Fronberg, and that has the tune of more than I think around INR 10-odd crores, which has hit us in the first half.

And we have spent without capitalization for the expenses running on generator at Kothavadi and Bhiwadi and putting people for trial production under INR 20 crores we have spent for preoperative expenditure, which has also gone as the expenses in the first half. This INR 30 crores has also, on the stand-alone, has impacted our EBITDA level. And with higher depreciation, it is showing the EBIT level

relatively lower, is a big problem which we have. I hope I have answered your question.

Mumuksh Mandlesha : No. Basically I was -- specific on the change in aluminum prices, raw material prices, is there any impact on this quarter margin, sir? Because there's a lag in the past, sir?

Srinivasan Ravi : No, I don't think so. I think aluminum-wise, we are more or less same. As I mentioned that aluminum, when we are expanding sometimes, for example, there are some, Bhiwadi expenditure that happened, I would say, that might have impacted some margins, I would say, not any aluminum prices.

Mumuksh Mandlesha : Okay. And sir, lastly, the stand alone aluminum margins have come down this quarter to 11.8% versus 13.2% last quarter. Any reason for a fall for this margin?

Srinivasan Ravi : See, we have to look at the -- we add back the depreciation and look at the EBITDA level, more or less we are same there. I would say that sometimes -- no, I think the EBITDA level is marginally lower, right. Total is around 16% yes.

Secondly, the product mix that can be a little on the top line increasing because aluminum price, there is some Bhiwadi expenses, which has happened, which has been not capitalized. So our expenditure is quite significant, I would say, because of the operations. So I would say that 0.5%, 1% margin coming down may be due to organic reasons, and the extraordinary things 1%, 1.5% would have been with the Bhiwadi expense.

Moderator : Thank you. Ladies and gentlemen, we have no further questions. I would now like to hand the conference over to Mr. Srinivasan Ravi for closing comments. Over to you, sir.

Srinivasan Ravi : Thank you very much for patiently listening through the entire conversation, and we are very happy that a lot of people have participated in this Q&A, and I was happy to answer all your questions, because we are looking at a lot of shareholder support when we transit this journey from being a medium-scale industry to an upper medium scale industry or where we can attract global customers, and with the good scale of operations in each of the segments we perform. Thank you.

Moderator : Thank you. On behalf of Craftsman Automation Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

(This document has been edited for readability purposes)

Call: Feb 2025

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3rd February , 202 5

To

The Manager - Listing, The Manager - Listing,
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Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call on the Unaudited Financial
Results for the quarter and nine months ended 30th January, 2025;

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Re quirements) Regulations, 2015 and our intimation and
outcome l etter dated 6th January , 202 5 and 30th January , 2025 respectively, we are
enclosing herewith the transcript of the earnings conference call organized on Thursday ,
the 30th January , 202 5 at 4.00 P.M. (IST) on the Unaudited Financial Results for the
quarter and nine months ended 31st December , 202 4.

The transcript of the earnings conference call will be uploaded on the website of the
Company at www.craftsmanautomation.com .

We request you to kindly take the aforesaid information on record and disseminate the
same on your respective websites.

Thanking you.

Yours faithfully,
for CRAFTSMAN AUTOMATION LIMITED

Shainshad Aduvanni
Company Secretary and Compliance Officer

Encl: As above

Page 1 of 14

CRAFTSMAN AUTOMATION LIMITED

Earnings Conference Call held on 30th January , 202 5
for the quarter and nine months ended 31st December , 202 4

This document might contain forward looking statements which involve a number of risks, uncertainties

and other factors that could cause the actual results to differ materially from those in the forward -looking statements. We do not intend or assume any obligation to update any forward -looking statement, which speaks only as of the date on which it is made.

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Craftsman Automation Limited. As a reminder, all participant lines will be in the listen - only mode. There will be an opportunity for you to ask questions after the opening remarks are concluded. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touch -tone phone.

I now hand the conference over to Mr. Srinivasan Ravi, Chairman and Managing Director from Craftsman Automation Limited. Thank you, and over to you, Mr. Ravi.

Srinivasan Ravi: Good afternoon, everybody, and thanks for joining the earnings call today. This time around, I would like to run through the changes which has happened in the last quarter, which is quite substantial. So, I'll take 10, 15 minutes to highlight the changes and what is the ongoing projects and the status of the acquisitions.

The strategic investment, what we have also announced at Hosur, I'd like to highlight at the end of the first introduction. Investments made during the current year was INR 1,015 crores, mainly for DR Axion 24% stake that is the balance stake, which is INR 250 crores. Sunbeam investment was INR 606 crores as OCD. Some of it will come back when the land sale happens. Craftsman Germany, INR 154 crores, that is INR 94 crores for acquisition, and INR 60 crores towards working capital requirement, which is very strategic.

Capex Investment

Capex in greenfield projects. Capex has been INR 700 crores for the current period, including greenfield at Bhiwadi at INR 219 crores excluding land, because land is also a little common because we planned to house Sunbeam also when we shift the Gurgaon plant. Kothavadi is INR 91 crores.

The status of the project Sunbeam has become our wholly owned subsidiary from 9th October and achieved a turnover of INR 284 crores with a positive EBITDA of INR 10 crores. As planned shifting Gurgaon plant has already started and hope to be completed by Q1 of FY '26 after which we will start looking at the land sale of Gurgaon. 50% of the employees who have opted for VRS were relieved in November '24. Once the shifting is started, which is in April, May, we will be settling the balance of the VRS.

The order book status is comfortable and hope to achieve a reasonable turnover and positive EBITDA in Q4. Craftsman Germany has a consolidated revenue of INR 56 crores with positive EBITDA and hope to continue positive results in Q4. The order book for Craftsman Germany for the calendar year of '25 is full. Bhiwadi commenced its operation on 31 August. And you may know very well, this is the first foray into structural parts, especially the alloy wheel, which is for the BIS initiated change in the country.

We had a timeline, which for the festive season. So, we had to put in all together. So, for a small turnover of INR 38 crores, we had to spend a lot of money during the start - up period. So, we have brought the plant into production in a record time, that is from the land acquired in January of '24. We started commercial production in August. So, because of this, there has been additional costs which were involved there. But the plant is now operating at 25% of the capacity and will be up to full speed by July of this year.

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Kothavadi supplied several samples to customers waiting for approval, and we may start production in Q4 of FY '25. The new greenfield project at Hosur have been trying to set up alloy wheel plant in complementary with the Bhiwadi alloy wheel plant to supply to customers in the South. Both the plants have been fully booked for orders for the alloy wheel, Bhiwadi as well as Hosur.

Consolidated EBITDA for the period has been INR 609 crores against the previous year 9 months EBITDA of INR 684 crores for various reasons of many start -up projects and also massive expansion and the expense related to the massive expansion, which we have created the extra overheads to look at the forward -looking year.

The consolidated EBITDA contribution from the Powertrain is INR 298 crores. Aluminium is INR 315 crores, and Industrial & Engineering is INR 36 crores, unallocated is INR 40 crores. The shortfall is mainly due to the expenses like acquisition costs related due diligence, legal and other initial operating losses at Bhiwadi and Kothavadi. Now I'd like to run through the changes in the structure of the organization a little and also the change in each of the segments as we go on. In the Powertrain -- at the IPO time, we were heavily dependent on the Commercial Vehicle segment, and we are looking forward towards more and more clients mainly the multinational company setting up plants here for their starting of the diesel engine production in India, with the view for the Indian market as well as for the global market, which is still ongoing, and we have received the orders.

At the same time, the ramp-up has not happened. These are orders which will fruitify in the coming couple of years, translating into revenue and profitability. Meanwhile, we have also embarked on a long lead time project for the stationary engines, which we had declared to the shareholders and made them sensitive towards the long-term nature of this sort of investment because it's an exclusive club for the stationary engines. Hardly 10 companies in the world

are ruling the market for the stationary engines worldwide.

And there is big inflection point which has happened due to the data centres growth, mainly driven by AI. So, this was also highlighted in my speech (Chairman's speech) during the annual report, which you might have read. So, I'm proud to say and happy to share with shareholders that we have got at least 5 engagements of the top 10 of the companies in a big way. We have received orders. It is already ongoing.

The machining process of the trial started at our Unit 3 facility and we have started tooling development for the production at Kothavadi plant. Since the nature of these projects are long gestation for development, that is the development period is 18 to 24 months and the customer validation is almost a year. We are almost halfway through the journey.

And 1 year later, we will see the revenues flow into the stream. We got our foot into this business at the right time overall, and we are looking at a revenue of \$ 100 million in 4 years' time, only in the Powertrain division contributing -- the contribution coming from the stationary engines, mainly from the power generation.

Now coming to the Aluminium segment of the business. When we went for the IPO, we were only in the 2-wheeler business, only in ICE portion of the 2-wheeler business with a small marginal presence on the 4-wheeler business. Now what we have transformed in the last year was after DR Axion acquisition, we had become predominantly on the 4-wheeler segment of the business.

The dependence on 2-wheeler came down. And with the latest initiative, Sunbeam acquisition, we have spread ourselves geographically very well and also the clientele of Craftsman and DR Axion, the overlap has been negligible. And also, there is

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practically no overlap between the clientele of Sunbeam and Craftsman and the process is also more or less not overlapping exactly.

So -- but the strength of each of the companies is helping the Craftsman to leverage on these strengths. For example, the Bhiwadi plant for the alloy wheel has been set, thanks to the DR Axion acquisition where it's clear that without that, the plant would not have come up in a record time of 8 months, which has never been done in this country so far. So now with this sort of execution strategy, we got a second chance at Hosur now for the customers in the South.

The next is with this alloy wheel, which is also today the structural part in the 2-wheeler. Our dependence on ICE for the 2-wheeler also has dramatically come down. Still on the segment-wise end use of the Aluminium products, it is predominantly 4-wheeler with the marquee names in the -- both in the domestic as well as the export customer range. And after this acquisition, we have reached a possible INR 4,000 crores revenue in the

Aluminium business in the next financial year, which is still suboptimum when compared to the global majors, which I had highlighted in the past that we are not able to serve the global customers because of the size of the Aluminium segment of the business, but at half a billion or INR 4,000 crores approximately, I think we are attracting a lot of attention globally for also export business.

Now coming to the Industrial and Engineering segment of the business, we have done quite well in the automated storage business. And today, our automated storage business is contributing to a very high percentage of the storage business. And the order book for the next year on the automated storage business is quite full. So, we will reap the benefit of profitability going forward on the storage business.

Never we have given any guidance, but now that there has been a massive shift in the company's revenue growth and the acquisition. So, we need to look at the consolidated numbers of Craftsman going forward. Just to give a thumbs up on a guideline, which normally

we never give this is only a guideline. We are looking at a consolidated revenue going from INR 5,500 crores and ranging from to go in to around INR 7,000 crores in the next financial year.

This is not exactly apple-to-apple because some of the acquisitions have happened in the second half of this year. And the EBITDA consolidated number from, say, around INR 850 crores range should go up to northwards of INR 1,100 crores, which is almost a 29% growth in the EBITDA numbers, which will lead to a 40% growth in the EBIT numbers, say, from INR 500 crores to INR 700 crores in the coming year.

So, this is the projected revenue of the company, which is for this massive expansion. This is the reason when we also have informed the shareholders when we went for QIP. This one-time QIP, which we have raised. In the history of the company, we had raised INR 150 crores in 2010, 2012 from private equity. And during the IPO, we had raised only INR 150 crores. So, INR 300 crores has been the cumulative infusion of capital into the company. Otherwise, the company has been organically growing, with the massive QIP infusion of INR 1,200 crores.

We have executed the multi-pronged strategy to take the company to greater heights. So, we have developed the escape velocity to reach to the next level of the organization growth. So now there has been -- always when we are putting up the expenses slightly ahead of the project, none of the projects are risky projects, in my opinion, totally overall. But I think the 90% -- 95% of investment has gone into organic or acquisitions within the country and hardly INR 150 crores has left the shores of India into an outside subsidiary, which is very, very strategic and which is helping the growth in the stationary engines.

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So, we are very comfortable at Craftsman to be at a very low level of debt. But as I had mentioned earlier, for a short period of time, we don't mind exceeding the debt-to-EBITDA levels. So, we are looking at a consolidated debt-to-EBITDA for this financial year is 2.24x, which would have looked at 1.88x if the land sale of Gurgaon, which will fetch around INR 300 crores plus had happened in this financial year, but it's not going to happen. Otherwise, it would have been 1.88x.

So anyway, we are very hopeful and quite confident that we'll be able to sell the land in the next financial year. With that, we expect the consolidated debt-to-EBITDA to be around 1.4x in the next financial year. So going forward, in spite of the capex, which is being done. So, this is the headline, which I would like to reiterate before I open the floor for questions and answers.

Moderator: The first question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.

Mumuksh Mandlesha: Sir. Firstly, just on the stand-alone margins, which has come down sequentially. Any reason for that segment margins to come down, sir? Any one-off there, sir?

Srinivasan Ravi: Yes. On the Powertrain segment, we have built up capacity. So far, we are making only

truck engines. We have built up machining capacity and other capabilities for handling large engine blocks are V12, V16, V20, that is weighing in tons that is -- the machining technology is more or less same, but the equipments are totally different. So, we have added more infrastructure plus machinery, plant and machinery and started doing the trial production. So, all those expenses have been booked in the Powertrain segment. The Powertrain segment by itself has not increased on the value addition. And we also have invested for the TREM V for the construction equipment for the engine emission norm change. And the new projects, whatever is there, we have set up some lines for export of -- not direct export, our customers multinationals are exporting. So, it is under trial production again. So, we have made the -- all the investments required and incurred the expenses as well as some overheads and people cost towards the growth.

That is one of the reasons we are now looking at big growth going forward in the coming years. Powertrain will be a little delayed on the growth. Maybe 1 year later, it's more on the FY '27 number. FY '26, we'll see some portion of it. But I think the investments, as I mentioned, is a long gestation, that is the reason. And any increase in depreciation and the stationary number, which is there on the value addition portion of it will directly hit EBIT.

So that is the reason. It's not anything of the organic performance or the execution portion of the company. So, I hope I answered that in total.

Mumuksh Mandlesha: Got it. Generally, I mean, all these efforts, sir, I mean, any quantification you want to give what kind of impact this quarter it would be? And I mean, once all things normalize, I mean -- see in FY '27, any guidance you want to share on the margins for the Powertrain segment, sir?

Srinivasan Ravi: Yes, I have guided as a company on FY '26 overall, which I think the margins will swing back to the original margins in 2 years' time on the Powertrain in the 2 phases, because of the massive expansion.

Mumuksh Mandlesha: Got it, sir. Sir, on this -- on the employee cost saving for this -- the new acquisition Sunbeam and the plant closure, any number you want to share what kind of benefit it would bring on the EBIT margin, sir?

Srinivasan Ravi: You're talking about Sunbeam stand-alone or a consolidated number?

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Mumuksh Mandlesha: Sunbeam numbers, sir, where basically you have given the -- you've reduced the employees and whether close the Gurgaon plant, right, sir?

Srinivasan Ravi: We not yet closed it. To say, we are on the process of closing it, but I think we announced and we've taken the Board approval. It is -- it has to go for shareholder approval soon for selling the land of Gurgaon, which is valued around INR 300 crores as a number, approximately. So, which will -- you are asking for the number of plants. Today, Sunbeam has got 5 plants.

Mumuksh Mandlesha: Yes, reduction in employee cost and because the plant being closed, any savings from that also?

Srinivasan Ravi: Yes. 5 plants will become 4 plants in one sense or another totally, but I think that the 1 plant will be the same location as Craftsman current Bhiwadi plant, which will be shifted to there. Yes, the employee cost is going to come down by at least 30% minimum. And further, we need to improve the operations and process to bring down the employee cost further -- employee headcount further. Employee costs will be -- per ahead will be increasing as we move on. But I think the employee headcount will continuously reduce in the next 2 years.

Mumuksh Mandlesha: Got it. Sir, can you share what the capex 9-month has been? And what is the full year guidance? And also, for next year, if you can share the capex guidance.

Srinivasan Ravi: This is, you are looking at stand-alone Craftsman, it is...

Mumukshu Mandlesha: Yes. If you can have consol number also, it's fine, sir.

Srinivasan Ravi: Consol number, I do not have it readily available today for next year on this matter because we are contemplating for Sunbeam, whether we need to modernize quickly or modernize slowly it is a decision yet to be taken. So, we are looking at INR 700 crores until now the capex done at Craftsman and maybe another INR 150 crores for the quarter, so around INR 850 crores for this year. Next year, I think it should be less than half the number including the maintenance capex.

Moderator: The next question is from the line of Jinesh Gandhi from Ambit Capital.

Jinesh Gandhi: My question is on last year, in this quarter, we had multiple different impacts on the performance. So, if you can highlight the exact impact of Sunbeam acquisition on the Aluminium cons

ol margin, what was the impact of that? And then on the stand-alone Powertrain business, you talked about several costs coming in and stand-alone Aluminium also had Bhiwadi plant impact. So, if you can talk about the impact of these transitional costs, which are there in P&L that will make it easier for us to understand?

Srinivasan Ravi: Sunbeam was EBITDA positive in the Q3, but at the EBIT level and it is negative totally. So that would have around INR 9 crores -- minus INR 9 crores at the Sunbeam level. And with the Bhiwadi plant, I think it is quite substantial because of the start-up costs. It's around INR 20 crores is the negative EBIT at Bhiwadi. So, both put together, we can say around close to INR 30 crores was impacted only in the Q3 on the Aluminium segment of the business.

Jinesh Gandhi: Okay. And similarly for the Powertrain, given there was so much of investment on the stationary engine as well as...

Srinivasan Ravi: I will say, overall, I think 50% has come from the stationary engines, whatever the development we are doing and half of it has come from the new lines and capacity as we set up for various customers, which the production has not -- either it is a start of production or not at ramped up. So overall, I think it's a 50-50 for the cost because we have multiple -- many plants for the Powertrain now totally.

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Jinesh Gandhi: Okay. But any sense on combined cost for what would be it?

Srinivasan Ravi: You're talking about costs. One is the inflation of people cost. The absolute value addition has not gone up or the revenue has not seen the growth. So, there is an inflationary pressure. So, I would say 25% or 30% is inflationary pressure because of no growth. Balance, 60%, 80% is because of the new projects, both on the stationary engines as well as some of the newer lines.

Jinesh Gandhi: Okay. Okay. Got it. Secondly, when we look at the derived DR Axion revenues showing about 20% decline on a Y-o-Y basis for Q3. Is that observation, right? And if yes, what has led to that?

Srinivasan Ravi: There's no revenue decline from DR Axion as you're talking about, no?

Jinesh Gandhi: Yes, I'm taking the 38% revenue contribution from -- in the Aluminium consol as DR revenues and then comparing it with last year, which was 20%, maybe that direction...

Srinivasan Ravi: It's not clear and your question is not audible, and I'm not able to understand the question, please.

Jinesh Gandhi: DRA business how was the growth in the DRA business?

Srinivasan Ravi: There's no growth in the DRA business. It is intact. I think it has been very stable because it is directly linked to only 3 customers, and it is on public domain, the customers' growth in the passenger vehicle or de-growth.

Jinesh Gandhi: Right, right. Okay. I got that. And lastly, what would be our consol net debt now? And what should be the full interest cost say 1Q as some of these projects get commercialized?

Srinivasan Ravi: Yes. I had mentioned the consol net debt projected for this financial year. No, I'm looking at the projected number for this financial year as a consolidated net debt. We are looking at around INR 1,900 crores as the consolidated net debt. So, the debt -to-EBITDA will be 2.24x, which I read out. And if the land sale had happened, it would have been INR 1,600 crores, it's not likely it's not happening this year, financial year, it would have been 1.88x debt -to-EBITDA. So next year we are looking at...

Jinesh Gandhi: What would be our cost of debt for this INR 1,800 crores?

Srinivasan Ravi: No, this is a normal debt we have got, I think there's nothing different from the market trend, I would say. It will appear on the numbers. I think it can be taken offline.

Jinesh Gandhi: 9% to 10%, got it.

Srinivasan Ravi: It will be 9% or 10% plus -minus.

Moderator: The next question is from the line of Abhishek Jain from AlfAccurate Advisors Private Limited.

Abhishek Jain: Congrats for the decent set of numbers despite a lot of challenges. Sir, in this quarter, we have seen a significant growth on numbers like other expenditure and the employee cost. So, if you can throw some light, what is the extraordinary expenditures in this quarter or one-off in the consol year?

Srinivasan Ravi: There are 3 components to it. One component is we have looked at what is the requirement for next year and started taking people, employees and training it. That is one long-term objective. Short-term objective is how to manage the Sunbeam acquisition and the 2 greenfield facilities of Craftsman one at Kothavadi and one at

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Bhiwadi. So there has been expenses occurring and people costs incurred even before the start of the production. So, these are the 2 major components.

The third major component is the normal inflation, which is happening for the people cost, which we have been always talking about, and we are more inclined towards semi automation and improvements of processes to not to increase the headcount, which is inflationary.

Abhishek Jain: So, is there any legal and consultant charges in this quarter because of the acquisition of the 3 companies in other expenditures, sir?

Srinivasan Ravi: Yes, that is there because we have acquired -- there is a Sunbeam-related expenditure at Craftsman. There is also DR Axion-related expenditure. Also, for Fronberg, Germany, there is an expenditure. These are all one-time expenditures.

Abhishek Jain: Yes. And how much is this, sir, significant jump in the number?

Srinivasan Ravi: Getting that into detail will not be -- it will be time consuming. If you don't mind, you can come back at the end of the Q&A so that we will give a fair chance to everybody, if you don't mind.

Abhishek Jain: Okay, sir. And my last question on the Powertrain business. Basically, this business can be categorized into 3 parts. So, one is the stand-alone, another is the Craftsman Germany and third one is Kothavadi. So how do you see scale up in all 3 business? And how would be the margin profile in FY '26?

Srinivasan Ravi: Sir, I didn't understand the question and the voice clarity is a little poor. I think one question if you ask a time, I think, is better. I think please, can you repeat?

Abhishek Jain: Sir, I just wanted to understand the scale on the Germany business and Kothavadi.

Srinivasan Ravi: Germany business is not scalable to that level, maybe 5%, 10%, we can grow because it is a fixed plant, and we are expecting to increase revenue by 10%. That's what we're

looking at but we are getting a strategic advantage that the same team is working for us for development of products in India. Even now as we speak, the teams of Craftsman and Fronberg are together at a customer place in Europe for discussions for a project to be brought to India. So, this is the advantage.

One good thing is this company has got marked few customers, I think there are 3 good engine customers for that, and they have decades and decades of experience there, people are knowledgeable. So, this is giving a lot of trust to the customer, and they are giving business to either Fronberg or to Craftsman as the case may be, wherever it is suitable. So, we have been able to acquire quite a substantial business in the last few months after the Fronberg acquisition.

Abhishek Jain: Okay, sir. And sir, is there any debt repayment plan for FY '26 -'27?

Srinivasan Ravi: Pardon, sir. Sorry?

Abhishek Jain: Total borrowing is around INR1,800 crores, what is your debt repayment plan?

Srinivasan Ravi: Can you -- without the speaker, can you come because I think voice is a problem?

Abhishek Jain: Hello? Are you able to hear me?

Srinivasan Ravi: Now I am able to hear you.

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Abhishek

ek Jain: Sir, the total debt is now INR 1,800 crores. So just wanted to understand what is your debt repayment plan for the coming year?

Srinivasan Ravi: No, the debt has been taken recently -- the debt has been spread over I think 5 to 6 years, right? It will be more or less linear, I would say. But the -- as I mentioned, the debt will be coming down in the next year in 1 big chunk when the Gurgaon plant is getting sold, which is quite substantial, it's INR 300 crores.

And next year, with the capex being lower on the consolidated balance sheet itself, our debt is likely to come down. So, I had shared the debt numbers when I read out the debt numbers. I can read it again now. So, we are expecting the debt to come down next year to INR1,400 crores on the consolidated level.

Moderator: The next question is from the line of Joseph George from IIFL Securities.

Joseph George: I have 2 questions. One is, you mentioned that Sunbeam had a negative EBIT and similarly the Bhiwadi plant was also below EBIT breakeven. So, when we think about, say, FY '26, would it be fair to assume that on a full year basis, Sunbeam would be at least EBIT neutral in FY '26? And similarly, when do you expect Bhiwadi plant to become EBIT neutral?

Srinivasan Ravi: The Bhiwadi plant will be EBIT neutral starting from Q1 of FY '26. And the Bhiwadi plant will be EBIT positive high single digits by end of FY '26 totally. And Sunbeam by itself will be EBIT positive by Q2 of next financial year '26. And for the full year, it will be EBIT positive.

Joseph George: Understood, sir. And the second question that I had was in relation to your aluminium segment. So, when I look at the aluminium segment EBIT at the consolidated level, it is about INR 72 crores of EBIT. And at the stand-alone level, it's about INR 20 crores of EBIT, which means that the subsidiaries have a positive EBIT contribution of about INR 52 crores. Now the EBIT for Sunbeam is minus 9, as you mentioned, which means that the residue is about INR61 crores of positive EBIT. Is that entirely DR Axion? Or is there any other element there?

Srinivasan Ravi: See, the -- most of the Craftsman's own EBIT has been -- more or less have been wiped out because of 2 reasons, because of the -- mainly because of the Bhiwadi project, I would say, in total on this.

Joseph George: Sir, actually, I'm sorry to interrupt. My question is more on what is the EBIT in each of the subsidiaries. So consolidated is INR72 crores for the aluminium segment for -- consolidated aluminium segment EBIT is INR72 crores, stand-alone aluminium segment EBIT is INR20 crores, the remaining is INR52 crores. I wanted to get the breakdown of that INR52 crores.

Srinivasan Ravi: So, I think I will request somebody from my side to answer this, please.

C.B.Chandrasekar (CFO): Joseph, actually this is -- the balance is the inter-group adjustments which has happened because of the -- in the stand-alone it has been categorized as other segment because some trading has happened between the groups. That is the thing. And so, these are -- it's only an inter-group adjustment, which we will explain later.

Moderator: The next question is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf: My question is on the alloy wheels to begin with. So, what would [inaudible] have once the Hosur plant is ready and by when that capacity come in, sir?

Srinivasan Ravi: Hosur plant will be operational by Q2 of next financial year. And Q4 of next financial year, it will be fully at full capacity. The capacity of each of these plants are around INR

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400 crores plus. Bhiwadi alloy wheel and the Hosur alloy wheel plant both put together, the peak capacity which we expect in FY '27 will be between the 2 plants INR 800 crores on alloy wheels.

Mukesh Saraf: Sorry, sir. How much is that capacity?

Moderator: Mr. Saraf,

we are unable to hear you clearly sir.

Mukesh Saraf: Is it better now?

Moderator: Yes. Can you please switch on to the handset mode?

Mukesh Saraf: Sorry, so could you just repeat the capacity number?

Srinivasan Ravi: We talked about in FY '27, each of the plants, Bhiwadi alloy wheel and Hosur alloy wheel, each will contribute more than INR400 crores on the top line.

Mukesh Saraf: Got it. And secondly, on the Kothavadi plant, you did mention that the stationary engines will start next year, but we'll start with some production in the next quarter itself. So, is that the...?

Srinivasan Ravi: Sorry, it is -- the tooling itself, as I mentioned, the plant is just constructed and the trial production. The tooling's are getting ready in Germany. The tooling itself will be delivered only in the end of next year. So, we will not see revenue from the industrial engine portion, but we are doing some engineering parts on that, that will Kothavadi plant is also going to serve that. So, there will be some revenue from the Kothavadi plant, but not from the Powertrain perspective.

Mukesh Saraf: Right. So, any kind of sense on how big could that business be except of the industrial engines from Kothavadi plant?

Srinivasan Ravi: Kothavadi plant and the machining capacity, which is in the process of being put up at Arasur plant at Unit 3 in Coimbatore. On the stationary engines, we are looking at around FY '28-'29 in that range, we are looking at around \$100 million, around INR 800 crores revenue -- INR 850 crores revenue, which I had mentioned in my opening remarks, which will add to the Powertrain which will be quite significant.

Mukesh Saraf: Right. So, in this next 1 year, excluding the -- before you start the stationary engine is what I was asking. This engineering that you were saying that you will start -- some kind of revenues will start from the Kothavadi plant? How much could that be?

Srinivasan Ravi: That should be around INR 150 crores for the full next financial year, because most of

the trial run, it's a greenfield facility and the first time we are getting into cast iron foundry, so it will be a little slow start.

Moderator: The next question is from the line of Ganeshram from Unifi Capital.

Ganeshram: My questions are more on the longer-term strategy that we're adopting. So, I have 2 of them, please. The first one is just on the Fronberg acquisition and this move into stationary engines, right? So, there's obviously a long gestation period, 18 to 24 months of development, 1 year for approval, right?

So, what are some of the risks that we have to be conscious of when you go through such a long development process? And overall, what gives you the confidence that there will be acceptability of the product at the end of this journey, right? How are we placed versus competitors? And what's the edge that we're bringing to these OEMs? That's the first question, sir.

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Srinivasan Ravi: Thank you for the question. We will answer the question...

Moderator: May I request the participant to please mute your line, sir. There is a disturbance coming from your end.

Srinivasan Ravi: On the Powertrain, the past history, all the stakeholders know that we do not have a cast iron foundry on the Powertrain. We are partnered with one of the leading foundries for the smaller casting 20 years ago. And as Tier 2, when the relations go strong for exports to mainly commercial vehicles segment in North America, it has been going on for more than 2 decades now.

The second tie up we made was a leading axle casting manufacturer, again, another listed company, which is there and this has been almost a decade now, and their exports have grown and we are tied to them.

For the other engine blocks, the leading foundry in India, where we have been partnering ever since we took the Daimler business in 2008, 2009. And we have been partnering with them for I think around 8, 10 projects for the Powertrain. So, we are well covered with this partnership going on, very well.

So, we have not infringed any of these customers by backward integrating anywhere. And our relationship remains strong, and we have opened a new avenue on the stationary engines, which was not available for the Indian market or the global market because most of the multinationals are even today doing in-house overall.

And the outsourcing has been negligible because of the difficulty in technology, both on the casting and machining and the number of casting players also in the whole world, including China, including the OEM themselves, hardly 10 players are there.

And stand-alone machining companies who are going through this criticality, maybe 3, 4 in the whole world, totally, overall. So, we, as a machining company, it is for us a normal migration. It is a challenge, but it has gone through already. We have submitted samples that's got approved.

On the casting side, with Fronberg acquisition, we don't see any risk there because the technology is already in-house there. Since only gestation period is there to develop this. Otherwise, the customers themselves will not be placing orders.

Now you may say customer approval may not come, but customer's skin in the game is very high. On the pattern, tooling equipment, for one block, I think it is costing millions of dollars for the tooling cost, which customer pays for.

So, the new customer is going to just like that select a supplier and a lot of engineering costs, they will incur while during the development stage itself, overall. So, it is a very, very strategic relationship. It's a very, very sticky business. So, we will be through with that.

Ganeshram: That's clear. Another question that I had is with all the consolidation and the activity that you've undertaken, what would sort of be -- how should we think about your exposure to ICE from a product portfolio point of view? And how will that evolve over the coming years, right? So, for each of the segments, how would we be exposed to ICE? And how do we sort of derisk that over the coming years?

And would it be possible to sort of maintain these margins or improve them as we go forward through that process as well? I think you'd be in a better position to the granularity and nuances of that, but the broad understanding I'm trying to develop is on those two elements.

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Srinivasan Ravi: For the Powertrain, 100% of it is ICE related, I would say 90% is ICE related, somewhat transmission parts, which can be neutral, whether it's ICE or not. But these are not -- I think the passenger vehicle segment on the Powertrain is negligible, totally overall, hardly 5% or 10%. Balance is all related to commercial vehicle, construction equipment and maybe farm segment.

And now we are coming into stationary engines. And all of the multinational companies from the stationary engines are putting up large capex for growth, which they see for the next 10 years, totally on the stationary engine for backup generators. So, I don't see any risk on Powertrain, per say.

And India is becoming slowly and quite a big hub going forward because now there's no more investment happening from multinationals into China. So, we will see growth happening on that front also for the global market. Yes, as we improve our revenue stream there, the operating leverage will be better, margins should improve going forward. We hit the lowest level in this particular financial year. From next year onwards, it will look positive going forward.

On the aluminium business, we have a segment which is now more predominantly on the passenger vehicle and also significantly high on the 2-wheeler segment, which we have derisked with also the structural parts of the alloy wheel. So overall, the capacities and capabilities

are fungible, the casting process by itself, high-pressure casting, gravity-die casting, low pressure die casting, the machines or the equipment or the people do not differentiate between what is the end application of these particular parts, whether ICE or non-ICE.

We are more interested in gravity and low pressure going forward more and more because we see, just like on the 2-wheeler, the lightweighting has happened on the aluminium front on the passenger vehicle, the aluminium content will go up, whether it's ICE or EV, both it will go up. So, we see the capability of the casting point of view remaining the same. So, these capacities are fungible with EV on the aluminium segment. I hope I've answered that thoroughly.

Moderator: The next question is from the line of Saket Kapoor from Kapoor Company. As there is no response, we'll move to the next question, which is from the line of Jinesh Gandhi from Ambit Capital.

Jinesh Gandhi: First is on the stationary engines, you indicated we are working with 5 of the top 10.

Moderator: Mr. Gandhi, may we request you to please turn on the handset mode.

Jinesh Gandhi: You talked about you're working with 5 customers of the top 10 customers on the stationary engine side, and we have got orders as well. So, any sense on the quantity of the order, quantum of the order which you have got for the stationary engines on that side?

Srinivasan Ravi: I had mentioned that in FY '29, we will be doing around 100 million on the casting and machining front. How it evolves in the in-between period depends on the time for the gestation for the approvals. So, we are targeting 100 million by FY '29, if not earlier.

Jinesh Gandhi: So that's -- we already have orders for \$100 million or that's the aspiration?

Srinivasan Ravi: So, I cannot give strategic answer, Mr. Jinesh Gandhi, because there are many people interested in this call in detail which customer, where we are and what we are on this matter. And you see we acquired a company in Fronberg which is, I think, in public domain, INR 250 crores turnover. That is already there. I'm not counting that into the \$ 100 million sort of business.

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So, you know very well then, we are going to replicate a higher capacity in India. The casting portion itself should be higher. And today, the growth in the market segment is 8%, 10%. I had made a public disclosure in my speech (Chairman's speech) itself that this is going to be a growth area overall and the projections of these customers, whether some of it is going to get organic, they are, again, making capex within. Most of the companies that do not are looking at outsourcing, if possible, and not many outsourcing partners are the re.

So I think the size of the business, what you're talking about is \$ 100 million is very conservative totally considering the inquiries we have or the orders in hand or the orders are just which are about to be finalized, I think this is -- and this will be a very sticky business, as I mentioned.

Jinesh Gandhi: And the second question on the stationary engine business for Kothavadi plant. We are expecting revenue potential of over INR 800 crores and our capex if I remember it correctly INR 91 crores.

Srinivasan Ravi: Sorry, Mr. Gandhi. I think it is some big mistake what we are looking at. It is the combination of casting and machining together which is \$ 100 million, which I had mentioned. The machining capacity has been put up at our Arasur facility at Unit 3, which we have started earlier. And to put the record straight, since you were asking a few more questions, we are getting castings all the way from North America. We are getting castings from Germany as we speak. It is being shipped to Craftsman and we are machining samples.

And next year, we will be looking at export of castings, which we are importing from Europe and from North America.

Because even then our Kothavadi facility will not be up to speed to deliver that. So, this means the customers are going to ship the castings to us, and we are going to machine it in India and send it back. So, this is the nature of the business currently. It is a very exclusive club, so it is not easy to break through, and we have taken a big step towards breaking through into this segment of the business.

Jinesh Gandhi: Definitely, it's a very sticky business. And last question is on the storage business side. So, we indicated automated storage order book is full. But any sense on what percentage of our order book would be from automated storage and what percentage of 3Q revenues came from automated storage?

Srinivasan Ravi: See, the Q3 revenues of the automated storage has come from orders which have received more than 1 year back because of the gestation period for automated storage because it requires a new building site from the customer side and also the execution time for this such long gestation project which is electrical, electronics, mechanical, software and the integration with their ERP system, which is working. So, we are having a storage revenue on the automated storage. Totally for the year -to-date, it has been INR 142 crores for the automated storage.

Jinesh Gandhi: INR 142 crores for 9 months?

Srinivasan Ravi: For the 9-month period. And static has been around INR 250 crores. So, INR 400 crores have been revenue, and this year we'll be closing at around INR 500-odd crores which is a big milestone, overall, because we started practically on the revenue side post-GST, even though we have been preparing from 2012 onwards. In the 5 years of up and running, we'll be touching INR 500 crores revenue, and we are already in the top 3 bracket on the static tracking. And among the Indian players on the automated racking, we are among the top 2 already totally.

Moderator: The next question is from the line of Ajo Frederick from Sundaram Mutual Fund.

Ajox Frederick: I have one question. From your guidance, the incremental revenue and EBITDA, where do you think will be -- will those be coming from Kothavadi, Bhiwadi, Fronberg, Sunbeam? So, if you can give some broad sketches on the INR 7,000 crores and the INR 1,100 crores, the incremental is going to come through for next year?

Srinivasan Ravi: So, we looked at the revenue for this quarter, which is an indication of where we are going, we are looking at a revenue of -- Q3 has been, INR 1,576 crores. If you are looking at that and into 4 itself, it is coming to around INR 6,000 -odd crores. So, we'll be much higher than this number in Q4, without any contribution from Hosur plant and negligible contribution from the Bhiwadi plant totally overall.

So, I think it is quite a conservative number what we have given the INR 1,576 crores into Q3 has been always a lower number because of the market situation. And if you multiply that into 4, it's INR 6,300 crores. So, I had given a top line of INR 7,000 crores, which is quite conservative.

Ajox Frederick: Okay. So, you're saying incrementally probably Kothavadi that INR 150 crores you mentioned that will come through and then some Fronberg and Sunbeam. So that's what -- incremental?

Srinivasan Ravi: Kothavadi maybe INR 100-odd crores or INR 150 crores, but I think Bhiwadi will be quite significant in the next financial year. Because we will be peaking at Q2 itself before the festive season on the capacity will be done. Because we have set up the plant within 8, 9 months. Normally, the plant takes 18 months to set up. So, we will be up to speed at that level. So, we are looking at more than INR 300 crores revenue from Bhiwadi plant itself and maybe INR 150 crores from the Hosur plant. So, with that itself we'll be home and dry on INR 700 crores, but I'm a little conservative in saying that a higher

number than that.

Ajox Frederick: Okay, sir. And on margins, I mean EBITDA, INR 850 crores to INR 1,100 crores that run...

Srinivasan Ravi: Yes, EBITDA, we are looking at for the consolidated number anywhere between INR 1,000 crores to INR 1,100 crores on the consolidated numbers.

Ajox Frederick: Which will be driven primarily, again, your Bhiwadi and Kothavadi the same revenue kind of like as you mentioned?

Srinivasan Ravi: I would say this year has been a little -- because of the losses, which we already have shown because we have incurred a one-time expenditure maybe for acquisition. And also, we had losses from Bhiwadi and some expenses in Kothavadi totally. And we have geared up in Craftsman to manage Sunbeam also, and we are supporting Sunbeam for tools and dies and other technical operations because not much of investment has gone into Sunbeam overall. Our engineering resources are working there for that matter. And it's all a combination of many things.

Moderator: The next question is from the line of Abhishek Jain from AlfAccurate Advisors Private Limited.

Abhishek Jain: Sir, in this quarter, we have seen a significant jump on the interest and depreciation cost. So, if you can give some colour on the quarterly run rate of interest and depreciation in the -- from quarter 1 FY '26?

Srinivasan Ravi: I think it will be a little -- not apples-to-apples because we had in between raised equity and then we had spent it for acquisitions. And then we started also greenfield investments. So, we will not be able to exactly tell. I think this is the current -- the interest cost is around 9% I would say and the debt that we already mentioned, the debt level. Depreciation currently is...

Abhishek Jain: Depreciation is just INR 103 crores.

Srinivasan Ravi: INR 195 crores depreciation, yes.

Abhishek Jain: So, depreciation is INR 104 crores in quarter third. So, what would be the run rate in Q1 FY '26?

Srinivasan Ravi: INR 252 crores is the depreciation for the year -to-date, right, totally for -- this is not an apple -to-apple because some of the subsidiaries have been only for this quarter. So, this quarter depreciation, INR 103 crores is the number, So we are looking at around INR 400-odd crores depreciation for the next financial year.

Abhishek Jain: INR 400 crores, sir?

Srinivasan Ravi: Yes, INR 400 crores.

Abhishek Jain: And sir, in the tax because of lot of the depreciation and the losses happened in these companies, can we assume that the tax rate -- effective tax rate will come down significantly because of this?

Srinivasan Ravi: Only the Sunbeam there is some tax cover. Otherwise, there's no tax cover anywhere else. It's always been profitable, I would say, totally on this. And the overseas subsidiary is in slump sale. It is not a company which we have taken over. So, the tax benefits may be around INR 100 crores will accrue to Sunbeam over a period of 2, 3 years as and when they make profit.

Abhishek Jain: So most probably the tax rate will come down to that 20% to 22% in FY '26, because of the INR 100 crores kind of the benefit?

Srinivasan Ravi: No, that is only the subsidiary. It will be on Sunbeam. It will not reflect on Craftsman's tax structure nor on DR Axion tax structure. We have to pay the full normal corporate tax, 25%.

Moderator: Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to Mr. Ravi for closing comments.

Srinivasan Ravi: Thank you very much for all of you to participate in this. However, I want to make some important concluding remarks. This is the time to scale up when we are looking at import reduction. The government is also very serious about it to grow the Indian industry. We are also having a slowdown -- a little slowdown in growth where our customers are not growing as we would like to.

o. There has been a geopolitical situation. There is an opportunity where we can export a lot or the multinationals are setting up shop in India. On top of it, we are also reaching an inflection point as a company where we need to breakthrough on new avenues for growth trajectory. So, for that, the company has to take up some amount of pain and a little amount of leverage for a short period of time. So only when we have capacity, only then the customers are interested to look at us.

Otherwise, China's growth story has been always that capacity front and then orders follow, we have not been so aggressive there, but we are slightly being a little ahead of capacity now for the first time, and we'll see the fruits of it in the coming years. Thank you very much for staying with us.

Moderator: Thank you. On behalf of Craftsman Automation Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited for readability purposes)

Call: May 2025

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12th May, 2025

To

The Manager - Listing, The Manager - Listing,
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Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call on the Audited Financial Results (Standalone & Consolidated) for the quarter and financial year ended 31st March , 2025;

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our intimation and outcome letter dated 19th April, 2025 and 8th May, 2025 respectively, we are enclosing herewith the transcript of the earnings conference call organized on Thursday , the 8th May, 2025 at 4.00 P.M. (IST) on the Audited Financial Results (Standalone & Consolidated) for the quarter and financial year ended 31st March , 2025.

The transcript of the earnings conference call will be uploaded on the website of the Company at www.craftsmanautomation.com .

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
for CRAFTSMAN AUTOMATION LIMITED

Shainshad Aduvanni
Company Secretary and Compliance Officer

Encl: As above

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CRAFTSMAN AUTOMATION LIMITED

Transcript of the Earnings Conference Call held on 8th May, 2025
for the quarter and financial year ended 31st March, 2025

This document might contain forward-looking statements which involve a number of risks, uncertainties and other factors that could cause the actual results to differ materially from those in the forward-looking statements. We do not intend or assume any obligation to update any forward-looking statement, which speaks only as of the date on which it is made.

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call of Craftsman Automation Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the opening remarks are concluded. Should you need assistance during this conference call, please signal an operator by pressing “*,” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Ravi – Chairman and Managing Director of Craftsman Automation Limited. Thank you and over to you, Mr. Ravi.

Srinivasan Ravi: Good afternoon, everybody, and welcome to the Earnings Call for FY25 and I hope you had time to look into the PowerPoint presentation which has been put on the website and also on the stock exchanges so that it will make it easy for the Q&A. So, straight away we can start with the Q&A is what I would propose.

But meantime, let me give one headline while you prepare your Q&A is that the guidance given during the last quarter earnings call for the first time for FY26, we have given Rs.7,000 crores top line and Rs.1,100 crores EBITDA levels and a wide range of say Rs.500 crores to Rs.700 crores EBIT, we have already reached Rs.512 crores EBIT in the current year itself. So, we are expecting in the region of Rs.650 crores to Rs.700 crores EBIT going forward

in the next financial year because the depreciation will be around Rs.450 crores. So, the guidance remains intact in spite of whatever is happening in the geopolitical situation and the tariffs. So, we are quite insulated, and we are ramping up quite well to sustain whatever the numbers we have given.

So, we will go to the Q&A directly. Yes, please. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mukesh from Anand Rathi Institutional Equities. Please go ahead.

Mukesh: Yes. Hi, sir. Mukesh here from Anand Rathi. Sir, firstly, just if you can help us on the few data points for the quarter, what was the two-wheeler alloy wheel revenues and EBIT and also similar for the Sunbeam Q4 EBIT and EBITDA?

Srinivasan Ravi: See, the alloy wheel is in the region of close to Rs.40 crores for Q4 and we were EBITDA-neutral and EBIT negative of around Rs.5 crores for alloy wheel. And one more quarter we may be giving the breakup on the alloy wheel, once we are on the green side, I think we will not give the break up for strategic reasons. But, yes, the operational breakeven has happened with almost a Rs.40 crores revenue. And Sunbeam revenue for Q4, around Rs.300 crores is the revenue.

Mukesh: And EBIT, EBITDA, sir?

Srinivasan Ravi: No, that is the one-time some subjects are there, which is leading to Rs.23 crores EBITDA.

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Mukesh: Rs.23 crores EBITDA-positive, right, sir, for the quarter?

Srinivasan Ravi: Yes.

Mukesh: Got it, sir. Good to see the improvement in the standalone margin. Sir, particularly in the powertrain segment we have seen improvement this quarter. What led to the improvement there? And also can you update how the Kothavadi plant order book is shaping up for the heavy engines and for the FY26 and '27, how do you see the revenue

trends there?

Srinivasan Ravi: Powertrain in the beginning, except the last quarter, I think for the last maybe almost 18 months, we went through quite a modernization program, repair and maintenance, which was hitting the expenses I would say, that is one thing. The second thing is the operating leverage was quite less, capacity utilization was quite less across the old lines. New lines also were not ramping up. The customers were slow. So, now overall slight improvement in the operating leverage has happened. That is helping us totally. There has been from the multinational companies who set up plants in India they have started to produce with the one- or two-years delay, I would say. And there is some slight revival in the farm sector and a slight revival in the commercial vehicle sector and whatever is the downside we had experiencing in the many quarters that has more or less stabilized now, so that nothing more and whatever we are able to utilize the plants slightly better and optimize our cost. These margins will be sustained or improved depending on the quarter of the next financial year, but for the full financial year, we can expect a better result on the powertrain, i.e., accumulative result even when compared to the Q4 result. So, the margins will creep up just like the period before we did this massive correction on the powertrain. So, any questions on the fundamental powertrain business, then I will come to the new powertrain business.

Mukesh: Yes, this is fine, sir. You can go ahead for the new business.

Srinivasan Ravi: So, the new business now, our motive or whatever is the strategy behind the powertrain business was, we were so heavily dependent on commercial vehicle earlier, very reasonable extent on farm sector and also construction equipment and that was the reason and little on the passenger vehicle segment. So, all that continues to be the mainstay, but now our growth is going to come from not only the revival of these segments, but also from the stationary engine side. We expect the fir

st revenues to

come in, in FY27 not in '26. In '26, it will be there, the order book is filling up, but the development cycle time is around 18 to 24 months. So, we will not see any three-digit revenue, the three-digit revenue will only come in FY27 on the new powertrain business. But as I mentioned, I think it will peak in 2029, 2030 for \$100 million revenue for this business. So, for that, the phase - I of Kothavadi plant is ready and it has become operational in Q1. So, we will see some revenue generated from this plant. And the machine shop for machining the large engine blocks are also ready, and already trials are going on for various customers, orders are in place. So, you may appreciate these are very few companies in the world are doing this as a Tier 1 supplier. The OEMs are normally manufacturing them in-house and I would say less than 10 suppliers across the globe, including China are there for this sort of activity and there was a limited capacity. So, we have a global capability and global capacity now after the acquisition of Fronberg Foundry. And in Europe also, on the foundry side also there are less than half a dozen foundries who are operational for these large engine blocks and two or three in the North American region and two or three in China. So, we are in exclusive league in the foundry outside the OEMs themselves. As I mentioned, OEMs are also running their own foundries, and the machining, and now because of the massive increase in demand for the data centers, backup power and mainstream power also is being used by these generators, the order books for these companies are quite full for the next three, four years. So, we will see significant growth and that is also prompting outsourcing, but whatever is said and done, the gestation period is very long. We started

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preparing in 2020 for this project and we made it public only in the annual report last year and now with the order book full, I'm confident about this Rs.800 crores revenue coming in 2029 or 2030.

Mukesh: Got it, sir. You mentioned in past the margin for the segment can be very good for the heavy engines part. I just want to understand, I mean this will be more-accretive than the current margins or how do you see the range of the margin for this business, sir?

Srinivasan Ravi: See, the current business, you may be aware that we are not backward integrated, and we have excellent top notch foundry partners who are leaders in India and also the OEMs themselves, three of the OEMs in India, major OEM's are running their own foundries where we are getting the casting from. So, it's a mixture of job work and also we buy the castings from our foundry partners. So, it is an assorted margin what you're

seeing on the current powertrain business whereas the new powertrain business for the larger engines, yes, it will start also with the sort of job work activity, but the castings are not being produced in India, 95% of them, there is only one or two small suppliers here. So, we are getting the castings from Europe and US to start with for the activity in 2027, while we ramp up our foundry capacity here with the prove out also, the castings must be validated. So, when we are supplying this material, it looks like as if the margins will be lower than the conventional powertrain business, but I can assure you that the margins are in line with the current powertrain business as in formula wise how we calculate. When we are buying the castings from elsewhere there cannot be a margin on the castings, but we make our castings, it will be there, but the margin on the castings surely it will be slightly lower than the machining because machining is a value addition, there is no material cost involved. So, it optically look like a higher margin. So, on the blended average we are on par with whatever we are currently doing.

Mukesh: Got it. Sir, thank you so much for the answers.

Moder

ator: Thank you. The next question is from the line of Abhishek Kumar Jain from AlfAccurate. Please go ahead.

Abhishek K Jain: Thanks for the opportunity and congrats for the strong set of numbers, sir. Sir, my first question is on the aluminum side. So, on Sunbeam, how the quarterly run rate of revenue and EBITDA margin would be in for 26? So, in this quarter we have done around Rs.300 crores kind of the numbers and EBITDA is around 6% to 7%. So, how this revenue and EBITDA would be in at the end of FY26?

Srinivasan Ravi: So, Q1 will be weak, Q2 will be strong, Q3 will be weak, Q4 will be the most strong on both on the revenue and EBITDA numbers. So, there are three, four factors. The plant shifting from Gurgaon to Bhiwadi will be completed by Q2 latest I would say. So, there will be consolidation happening in Q3. So, in Q4, the operating leverage at Bhiwadi will set in and the cost optimization also will set in and also manpower rationalization will be completed in Q4, also peak revenue will be generated in Q4. So, on a blended average we can say between 8% to 10% EBITDA is what we expect for the full financial year, but Q1 will be quite muted.

Abhishek K Jain: And what would be the peak revenue in FY26 if we assume? In last quarter you have done around Rs.300 crores.

Srinivasan Ravi: As a whole, I think yes, we are only guiding for around 1,200 crores only for the year.

Abhishek K Jain: So, there would not be any increase in revenue?

Srinivasan Ravi: No. See, we are on the consolidation mode, so we are not really taking any new business. And the new business, if we take it also, the revenue will not be coming in the financial year. You can appreciate that this company was getting into an insolvency situation. In that case, no new orders were given by customers, or new projects were

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not going on. It is existing projects. So, I think it is more of stabilization, reorganization and consolidation which will happen in the coming year. So, that is where the margins will come. Whatever the other business of Craftsman by itself organically will be growing. DR Axion also will be growing in that segment.

Abhishek K Jain: And on DR Axion side, what would be the peak revenue in FY 26 or FY 27 -- will it grow by 10% to 12% or it would be better because of this capacity expansion plan for the Hyundai?

Srinivasan Ravi: So, whenever we talk about whether Sunbeam, Craftsman, DR Axion, we have to take one thing into mind. There is always the question of commodity price aluminum. So, that will also change the top line a little. But I would say that between DR and Craftsman, Craftsman will be growing more than 20% CAGR for the next two years, that is FY26, FY27. That is on the organic side of the conventional business of Craftsman is also growing. Plus the alloy wheel is also adding to the revenue. On a blended average, overall we will be 20%-plus. We will have a double-digit growth on DR I would say on a CAGR basis. But I think 8% to 10% is realistic for FY26 and maybe slightly higher than

10% in FY27, yes.

Abhishek K Jain: Okay, sir. And my last question is on the loan borrowing side. Now we have around Rs.1,900 Crores kind of debt in books. So, what is your deleveraging plan for the next two to three years?

Srinivasan Ravi: So, if you look at it, the cash run rate generation will be quite high even in the next financial year plus aided by possibly the land sale in Q3 or Q4 of Sunbeam, that will add around Rs.300 crores plus depending on that market value at that particular point of time. Our CAPEX guidance as a whole for a group will be only around Rs.750 crores to Rs.800 crores totally in that region.

Abhishek K Jain: Rs.750 crores in FY26?

Srinivasan Ravi: Yes, on a group level and group level EBITDA of upward of Rs.1,100 crores and a land sale of Rs.300 crores, depreciation is around Rs.450 crores, there will be some interest out

flow. And for Sunbeam there will be no tax, but for DR and Craftsman, there will be taxes.

Abhishek K Jain: Okay. That's all from my side.

Srinivasan Ravi: Thank you.

Moderator: Thank you. The next question is from the line of Ram from Avendus Spark. Please go ahead.

Ram: Hi, good afternoon. So, I wanted to understand your guidance on the alloy wheel revenue scale both at Bhiwadi and Hosur over the next couple of years?

Srinivasan Ravi: The exact numbers I will not be able to give because still we are new in the business, but I think we have already given that number during the last earnings call itself on the alloy wheel. I think I may reiterate that number. Bhiwadi will be around Rs.300 crores plus for FY26 and Hosur will be around Rs.150 crores. This is as per the earlier earnings call.

Ram: Okay, okay. And in Sunbeam, sir is exports an area that we are focusing on intensely. Can you talk about any new order wins there or issues that the company has -?

Srinivasan Ravi: Sunbeam, as I mentioned, it was in an insolvency situation, so there was no order pipeline when we took over Sunbeam totally. So, it is the question of stabilization for the next one year before we get in any new order pipeline and that will get into any sort

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of revenue only in FY27 and FY28 only. I think we are trying to leverage our operating leverage by consolidating our plant in Bhiwadi, Tapukara plant of Sunbeam is also hardly 10 minutes away from the Bhiwadi plant of Craftsman, the Gurgaon plant of Sunbeam is getting shifted to also Bhiwadi. So, this is giving operating leverage. So, it's a year of consolidation for Sunbeam. So, manpower also rationalization we mentioned there, the Union settlement is on and everything is on track as planned. So, we don't see any change in the strategy as we envisaged in the beginning of the deal.

Ram: Good to hear, sir. Thank you very much.

Moderator: Thank you. The next question is from the line of Mitul Shah from DAM Capital. Please go ahead.

Mitul Shah: Sir, thank you for giving the opportunity, Sir, my first question is if you can help with the utilization of various business segments currently for Q4?

Srinivasan Ravi: I think, yes, on the conventional powertrain business, we have touched around 70%-odd. So, I think the upper limit will be 85% to 90% because of the seasonality as well as there will be some customers losing market share or they will have some inventory correction, which will happen. So, there is the headroom. So, I think I will not say 70, slightly below 70, very difficult to exactly put a number to it. Even in the aluminum side,

we are at operating at around 70%, 75%, but the order book is quite strong. So, we need to increase CAPEX. We will quickly touch 80%, 85% by Q2 itself. So, by Q3, we need CAPEX for the new orders which is already there in the pipeline.

Mitul Shah: Sir, second question is on your CAPEX guidance of Rs.750 crores to Rs.800 crores at a group level. If you can split broadly in terms of standalone and just key two, three subsidiaries ballpark number?

Srinivasan Ravi: I think Rs.550 crores for Craftsman is what we expect in the current condition. Between Sunbeam and DR Axion, we will take it as it comes. We have just budgeted now and there is some repair and maintenance for a very old equipment at Fronberg, which may be around Rs.40 crores, Rs.50 crores, may be there, we're evaluating that.

Mitul Shah: Sir, the last question is in your initial remark you highlighted that there is no effect of tariff. So, any indirect impact wherever we are exporting and that again through any route goes to US or anything like that?

Srinivasan Ravi: See, you might not know, but we have been exporting for the last many, many years at Craftsman from FY 95 onwards. All the business what we do, we are either doing Ex Works or FOB, very rarely I think hardly 5% of the business may be CIF wh

atever

exports we are doing at Craftsman. So, similarly for DR Axion, I think the only export is back to Korea that is also FOB or Ex Works... I don't remember exactly, it is not CIF. US exports as far as Sunbeam is concerned, it is negligible. It is more towards Mexico there. So, I think around 15%, 20% of Sunbeam's revenue is coming from exports. So, we don't have any impact on the tariff. Our products are a high value addition, and they mean a lot to the customer. And I think we are very competitive also. So, even if there is a tariff, they are willing to pay it and take it except one engineering customer, nobody has come and asked us for any price reduction on tariff, nobody has even contacted us on this matter. So, I don't see that as an impediment for future exports.

Mitul Shah: Yes, sir. Thanks a lot and all the best.

Srinivasan Ravi: Thank you.

Moderator: Thank you. The next question is from the line of Abhishek Kumar Jain from AlfAccurate. Please go ahead.

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Abhishek K Jain: Thanks for the opportunity. Sir, my question is on the guidance. In last quarter you have guided around Rs.7,000 crores of revenue and EBITDA would be around Rs.1,100 crores and EBIT would be around Rs.700 crores. Do you maintain that guidance in this?

Srinivasan Ravi: Yes.

Abhishek K Jain: In aluminum business, you said that the growth would be 20% CAGR where the DR Axion growth would be 10% to 12% and there will be incremental revenue from Sunbeam. Can you please comment on how the growth will come from the standalone element business?

Srinivasan Ravi: So, the Q4 aluminum revenue is the right picture because as you understand that Sunbeam was having only six months of consolidation. So, the Q4 revenue has been around Rs.1,000 crores overall. So, it will be more than Rs.4,000 crores for the year, even depending on the seasonality, it is more closer to Rs.4,500 I would say. In the previous year on the consolidated number, our revenue was Rs.2,150 crores is strictly not comparable totally. So, in FY 25, we look at the number of Rs.3,000-odd crores and we are already at a run rate of Rs.1,000 crores per quarter. So, overall our growth will be on a consolidated basis more than 30%, but it's not an apple-to-apple comparison, the realistic growth will be on a 20% level.

Abhishek K Jain: We can expect around Rs.4,200 crores, Rs.4,300 crores kind of the revenue and 35% to 40% kind of the revenue growth in the aluminum business?

Srinivasan Ravi: Yes. It's not comparable. Q4 has been Rs.1,000 crores. So, we will be anywhere

between Rs.4,300 to Rs.4500 crores overall. So, that is what I was trying to say. It is not exactly apple-to-apple. On the standalone we will be more than 20% CAGR, on DR Axion we will be around 10%-odd, Sunbeam is not really growing in that sense, but the full year results will add to that number.

Abhishek K Jain: Okay, sir. And in the powertrain business, basically we have crossed around Rs.500 crores kind of the revenue rate on a quarterly basis. So, can we expect that this run rate will continue in FY26?

Srinivasan Ravi: Yes. I think the worst is over for the powertrain. Our margins also will start creeping up with better operating leverage but depends on one quarter to another quarter there may be some changes, always Q1 will have some challenges, but we don't see much challenge this year, Q3 will be always a challenge. So, Q2 and Q4, we expect very strong quarters. So, overall, I think the run rate on the powertrain will continue to grow. It will have a double-digit growth for the current year.

Abhishek K Jain: And in this quarter, there's a jump in the employee cost. So, just wanted to understand that any one-off like the other cost is attached in Q4 in employee cost?

Srinivasan Ravi: See, you're talking about consolidated number, right, not the standalone number?

Abhishek K Jain: Yes.

Srinivasan Ravi: Yes, that is
a one-off in Germany, yes, correct.

Abhishek K Jain: How much that, sir?

Srinivasan Ravi: That is Rs.4.5 crores that is there, yes. Because there is holiday, accounting, like Christmas holidays, bonuses, all those things because we formed a new company and taken over and we just bought the assets, so everything is in place now.

Abhishek K Jain: Is it like VRS? When will it be accretive?

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Srinivasan Ravi: Sorry, it's not a VRS, it is something like provisioning as per their expenses throughout the year, there is a leave holiday for August leave, there is Christmas holiday, bonuses which are there. So, for that we made. Because the new company and when you've taken over all the employees we have just made the provisioning totally.

Abhishek K Jain: So, just I am saying that sir, you are also looking for some VRS in the Sunbeam also or others as well?

Srinivasan Ravi: Sunbeam is on track for that. Yes, we will be settling the balance 500 people or 450-odd people who are waiting for their VRS settlement once we are closing down the plant. But there is a customer approval required for the new plant, that is taking some more time, maybe a few months more, but we are on track. As of today, the Gurgaon plant almost 75% of the plant has been emptied for the machinery portion of it. Only 25% of machinery are left. Even that we are ready to move. But tier 2 customers are okay, but the tier 1 customer, the OEMs, the passenger car manufacturers in North America, they need validation before they can move the production to the new site.

Abhishek K Jain: What would be the quantum of the VRS expenses and it will be also added in the employee expenses?

Srinivasan Ravi: It was already provisioned before we took over. There is nothing new. It was Rs.160 crores settlement for 1,000-odd people, 500 people have left, paid and the balance was provisioned in the opening when we took over itself. So, there is no new provisioning will come up.

Abhishek K Jain: We have already taken Rs.160 crores provisioning in Quarter 3 or Quarter 4?

Srinivasan Ravi: At opening balance itself, when you took over the company. What we need to understand is, we never paid anything for the company per se, it was infused into the

company, it is not for buying any share. Shares are bought at Re.1. That is it. So, all the money what we have put into the company has gone into the company for the settlement of maybe some vendors and things like that. Even most of the liability of the banks were settled by the erstwhile owners and some of the bank liabilities was left behind which we funded was in lieu of the land sale of Gurgaon.

Abhishek K Jain: Okay. So, that means there would not be any VRS expenses?

Srinivasan Ravi: No VRS expenses will hit the P&L in Sunbeam, everything was provisioned in the beginning itself.

Abhishek K Jain: Last question is on the other expenses. This has started to go down. So, I just wanted to understand what are the other cost control measures you are taking so that these other expenses will come down in the coming quarters?

Srinivasan Ravi: I didn't get the question.

Abhishek K Jain: Other expenses which has come down in Quarter 4 FY25 because in Quarter 3, there was some one-off –

Srinivasan Ravi: Yes, because of this lot of M&A work we have done, we have taken over 24% of DR Axion, Sunbeam takeover, there was a Fronberg takeover, there is a lot of expenses we have incurred as one-time.

Abhishek K Jain: Will it come down to 22% which used to be earlier like 21%, 22% in Quarter 2 or Quarter 1?

Srinivasan Ravi: Yes, I think the absolute number will increase, as a percentage it will come down, yes, correct.

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Abhishek K Jain: Okay. Thank you. That's all from my side.

Srinivasan Ravi: Thank you.

Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rath Institute

titutinal Equities. Please go ahead.

Mumuksh Mandlesha: Thanks for taking the question again. Sir, in the segmental reporting, there is some line called others in the standalone business which is around Rs.148 crores. Just can you explain what is others in the standalone business, sir?

Srinivasan Ravi: So, this is the one-time subject which has come on to two fronts. One is regarding some CAPEX which has incurred by Sunbeam, we had to buy the equipment, keep everything ready because Sunbeam was not ready at that level financially and we transferred the brand-new machines to them totally. So, for Sunbeam no profit, no loss sale on the equipment because equipment has to be paid for. Otherwise, we may not be able to do the shifting of the plant. Second thing was, we rationalized the aluminum alloy inventory, which was high in Craftsman by transferring at cost to DR Axion. These are the two one-offs, not a transaction made for profit, it is not a manufacturing activity, so it cannot be termed as any income.

Mumuksh Mandlesha: Got it, sir. Sir, this quarter, the storage, I mean the industrial segment margins have seen a lot of improvement in Q4. Can you explain what led to the improvement there? And going ahead for the next year how do you see the margin for this business, sir?

Srinivasan Ravi: See, you may be aware of this, but I would like to reiterate one particular point on the storage business. This is not at all CAPEX-intensive, there is CAPEX, but compared to the automotive business on both aluminum and powertrain, this is a negligible CAPEX. I would say and working capital also the total capital employed is quite low. So, even though margins may be low, once we see the traction what we got in Q4, which will continue into the next financial year, of course, there can be some blips in quarter-to-quarter but overall we can expect the results for FY26 will be better than the results of Q4 of FY25. And the reason for that is the automated storage division is getting new

orders because we have made enough inroads into the market, we have enough projects which have been implemented to showcase to our new incoming customers and we are getting the right pricing for the product, #1. #2, I think we also have rationalized the product costing and also on the static racking we are having good traction there. So, as a blended Company, I think we have matured as a storage solution Company. This is a very difficult business. Within five years we have come to a level. This can be really a standalone also possible storage solution business. Not that I'm implying anything, no, please don't take it that level, but we have grown this business to be able to stand on its own feet now.

Mumuksh Mandlesha: Great to hear that. And also on the revenue side for next year, how do you see growth for the storage business?

Srinivasan Ravi: High teens I would say, almost 20% we can expect the growth on the storage business.

Mumuksh Mandlesha: Got it. Sir, just lastly on one number. Sir, if you can help us what was DR Axion Q4 revenue and EBIT, sir?

Srinivasan Ravi: I don't know. EBIT will be already there. We cannot divulge that because that is a competitive information. Revenue for DR Axion was Rs.376 crores.

Mumuksh Mandlesha: Got it, sir. Yes. Thank you so much for this.

Moderator: Ladies and gentlemen, the next question is from the line of Ajox Frederick from Sundaram Mutual Fund. Please go ahead.

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Ajox Frederick: Yes. Hi, sir. Thanks for the opportunity. Sir, I have a couple of questions. One is on the balance sheet working capital. The OCF saw compression due to some working capital stretch on this consolidated business. So, what is causing that sir for the year?

Srinivasan Ravi: I didn't understand the question.

Ajox Frederick: The operating cash flow for the full year on consolidated basis saw compression and that is because of our working capital

stretch. So, what is causing that operating cash flow to compress year-on-year?

Srinivasan Ravi: Because it's a consolidated basis it's Sunbeam, right. It's not an apple-to-apple comparison because Sunbeam we had it only for six months, that may be the reason maybe not being able to compare.

Ajox Frederick: Okay. Was there any infusion of working capital for Fronberg?

Srinivasan Ravi: Yes, there has been working capital infusion. The money is still not utilized. It is lying with the Holding Company there. So, it has not been infused into the company. It is still lying as cash in the Holding Company. And infused only is ₹800,000 for the working capital. Now I get the point, because this is a slump sale, I think we need to understand the process of this auctioning by the insolvency agency and things like that. The right towards real estate lies with the lenders totally and the other movable assets are also lying with some of the working capital banks, and some are lying with the creditors totally. So, the proportionate method of working has made, the total deal was fixed and the apportionment was done by the credit committee there totally on this matter. So, that is how the apportioning has been done. There may be a slight distortion on how much has gone to fixed assets and how much has gone to liquid assets. That's all. Because we have paid roughly 10 million or something like that as a deal overall, apart from the takeover expenses which we absorbed here, then we have left some money there, ₹3, ₹4 million which is not required, but anyway we left it at the holding company if they need, they can take it, that's what is the total deal.

Ajox Frederick: Okay. But it has been accounted in working capital for us, particularly this year?

Srinivasan Ravi: No, no, that is not accounted. That is still lying as cash.

Ajox Frederick: Okay. Understood.

Srinivasan Ravi: They are the holding company. It's not gone to the operating company, yes.

Ajox Frederick: Okay. And then secondly on the guidance, right, we have a very strong guidance on powertrain, aluminum and even storage business. So, if I tie it up to the underlying be it CV or PV industry, we may not see such high-volume growth. So, where is this confidence coming for us to deliver 20%-plus kind of growth in an organic manner?

Srinivasan Ravi: We have been diligently trying to diversify our customer portfolio. Earlier, we had six customers giving 50% of our revenue and balance 50% of customers coming from equal 100 customers I would say. Now, the top 60% revenue is coming from 12 customers and in diversified end customer segments. So, our product mix is like this and the company side revenue, I mean consolidated if we look at it, the commercial vehicle portion is coming to 17%, two wheeler is coming to 18%, passenger vehicle is 32%, storage is 10%, off-highways is 5% and tractor is 4%. I think overall we have diversified quite well and we have also invested for customers who are export-oriented. Many of the OEMs from the eastern part of the world like Japan and Korea are also setting their sights on African market for both passenger car, two-wheeler, pickup trucks, tractors and all the products which are going to go into Africa in the future, which is the last market to be developed, the products are similar to India, what India wanted in the last two decades. But India is migrating to slightly higher products now. So, these products

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are not anywhere being used in the western world. So, India is becoming hub for manufacturing. Even the largest PV player in the country is guided for 4 million cars, setting up one more plant in Haryana and one more plant has come upstream in Gujarat. This is towards export orientation. If you look at that manufacturer that footprint in the rest of the world is reducing for manufacturing and in Japan itself, they are downsizing the operations and export

s of vehicles are taking place from India to Europe as well as to Japan totally. Similarly for the two-wheeler market, Indian manufacturers also are exporting to Africa, and we will see that multinational companies, two-wheeler manufacturers from India also exporting to Africa. So, all this is leading to some sort of a growth trajectory. I will take a few names. Escorts been taken over by a Japanese manufacturer and this also will lead to in the future some export growth. We have independent manufacturers, engine manufacturers, companies like Yanmar also they are trying to increase the footprint in India towards export. I don't want to take too many names here because you can understand that it is normal from a developed world where high cost of manpower is there and the market by itself is not growing in those countries, it is logical for them to shift their production base here where it is required for India and a similar product is required in new developing markets like South America and Africa. That is where my confidence is coming from. Second thing is the commercial vehicle segment has seen lot of correction in the past totally. Now it is quite stable, and the product maturity is continuing to happen that the bigger trucks are selling better than the smaller trucks on the highway. Of course, the intercity is a different situation, but I think for the long haul routes. And you also see that the tractor market is also looking up in a way because of the monsoon and things like that. And we are also having the right customers on our passenger vehicle business as Craftsman and the Sunbeam business on passenger vehicle is looking mainly towards North America and DR Axion you are aware that we are with the second largest PV player in the country and they are setting up a new plant also in the western region. And we also started exports back to Korea for the parts similar to what we manufacture here. Not exactly the same part, similar family of parts already started.

Ajox Frederick: Okay. So, basically it's incremental customers and the customers also increasing capacity, so that's helping you. So, that's –

Srinivasan Ravi: Second point is on alloy wheel and other parts, we are having an import which was coming from China. Now, it is getting localized within here. It is not a new growth requirement in India, but imports are getting replaced by Indian suppliers. That's all.

Ajox Frederick: Yes. Got it, sir. Very helpful. Thank you.

Srinivasan Ravi: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Srinivasan Ravi for closing comments.

Srinivasan Ravi: Thank you. I just want to say a few words on the strategic point of view. We always said that most of the tier 1 suppliers, I'm not talking about the top 20, top 30, but I think the next leg of suppliers are subscale to attract any sort of attention from the global players as a supplier and this is coming from the comparison within China, for example, the aluminum capacity for castings and machining in the country is in the region of 10% of the Chinese capacity totally, which is quite small and that means there is a lot of headroom to grow. Aluminum majors across the world are anywhere between \$2 billion to \$8 billion in revenue, each of them. And when Indian market is growing, the aluminum content is growing, naturally the lightweighting of the passenger vehicle has to happen. So, while we're waiting for all that, I think we at Craftsman believe that we need to broad base our activity and that half a billion dollar in aluminum business, I think we are still subscale, we will try to grow this business. On the traditional powertrain business, we are having a global size. So, now we're attempting a global size on the stationary engine business. That is the top five suppliers in the world is what we are aspiring to be there.

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That means multinational companies setting up shopping here will also be exporting large engines out of India. It is only a matter of time which is there. You know that Europe has got its own set of challenges and US also, and other developed countries like Korea and Japan have got a different challenge totally. So, we are well-poised in this matter. So, we have done some CAPEX investments little ahead of time that is causing a lot of strain in the entire outlook of our balance sheet and things like that in a temporary period. You may recall that we have taken only Rs.140 crores, Rs.150 crores as equity infusion in 2010, 2012. put together from the erstwhile well respected private equity investors at that time. And then we have raised only Rs.150 crores in the IPO in FY 21. So, we went last year with the mandate to raise Rs.1,200 crores QIP sensing the opportunity and also sensing the disruption coming from tariffs and the geopolitical situations also in Europe. So, we want to capitalize on all the opportunities there. And during the fundraise, I had to communicate with the investors. We are going to have quite a few quarters which we will not be giving the required results as desired by our investors. So, not that we are totally out of the woods, but I think the worst is over, I think we will be looking up going forward and the growth trajectory will continue for three years surely, everything, the path is set right for that. So, thank you very much and thank you for your confidence.

Srinivasan Ravi: Thank you.

Moderator: Thank you. On behalf of Craftsman Automation Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purposes)

Call: Aug 2025

Craftsman Automation Limited

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The Manager - Listing,

National Stock Exchange of India Limited,

Exchange Plaza,

Bandra Kurla Complex ,

Bandra (East),

Mumbai - 400 051

Stock Code: CRAFTSMAN 4th August, 2025

To

The Manager - Listing,

BSE Limited,

Rotunda Building,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001

Scrip Code: 543276

Dear Sir/Madam,

Sub: T

ranscript of the Earnings Conference Call on the Unaudited Financial Results (Standalone & Consolidated) for the quarter ended 30th June, 2025;

Pur

suant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our intimation and outcome letter dated 3rd July, 2025 and 30th July, 2025 respectively, we are enclosing herewith the transcript of the earnings conference call organized on Wednesday , the 30th July, 2025 at 4.00 P.M. (IST) on the Unaudited Financial Results (Standalone & Consolidated) for the quarter ended 30th June, 2025.

The

transcript of the earnings conference call will be uploaded on the website of the Company at www.craftsmanautomation.com .

We

request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you.

Your

s faithfully,

for CRAFTSMAN AUTOMATION LIMITED

Shai

nshad Aduvanni

Company Secretary and Compliance Officer

Encl: As above

Page 1 of 14

CRAFTSMAN AUTOMATION LIMITED

Transcript of the Earnings Conference Call held on 30th July, 2025
for the quarter ended 30th June, 2025

This document might contain forward -looking statements that involve a number of risks, uncertainties and other factors that could cause the actual results to differ materially from those in the forward- looking statements. We do not intend or assume any obligation to update any forward -looking statement, which speaks only as of the date on which it is made.

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference

Call, hosted by Craftsman Automation Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to

ask questions after the opening remarks. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch- tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Ravi, Chairman and Managing Director of Craftsman Automation Limited. Thank you, and over to you, Mr. Ravi.

Srinivasan Ravi: Good afternoon, everybody. Thank you for joining this earnings call for the quarter ended 30th June 2025. As in the interest of time, all the financial numbers have been published, and we also have put up a PowerPoint presentation explaining some segment details a little more. So, I will straight away skip to certain data, which is not there in the presentation or in the annual report.

So, I will first talk about consolidated financial ratios. We are at an EBITDA margin of around 15%. And what is very heartening is the net debt to EBITDA on a consolidated basis is 2.27 on an annualized basis compared to Q1. So, we will keep on improving as we move on going forward in spite of the capex.

ROCE pre-tax annualized is 14%. Still the plants are not fully operational, and this will improve. And again, return on equity annualized is around 10%. This is an indicator of the trend which has happened because after the

er the

consolidation, all numbers are going for big changes. It is not a Q-on-Q -- quarter-on-quarter comparison in general.

In the stand-alone net debt to EBITDA is around 2.87 because we have borrowed in Craftsman for the acquisitions and even for the capex, which has been done major. So coming to the subsidiaries, DR Axion has been accelerating on revenue. It has been around INR408 crores on the first quarter. Sunbeam top line has been INR291 crores and Craftsman GmbH for Germany has been INR67 crores on the top line.

And Sunbeam has a positive EBITDA, but I think still it is work in progress as we move forward. The milestone is that the Gurgaon operations have ceased as of the end of May and also all labor has been settled, paid off on the matter. So the biggest challenge has been overcome. So, we are still working on the other plants and the equipment has been shifted. So, this is an update on the Sunbeam. So now, I'll open the floor to Q&A.

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Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and 1 on their touch-phone telephone. If you wish to remove yourself from the question queue, you may press star and 2. Participants are requested to use handsets while asking a question.

You may note that some of the statements, which may be made by the management team during this earnings conference call, may contain certain forward-looking information, which are not guarantees of future performance and are subject to a number of risks and uncertainties. We encourage you to refer to the disclaimer in the investor's presentation of the company. Further, the management will not be addressing any customer-specific queries owing to confidentiality obligations. We kindly request that you avoid mentioning any customer names in your questions.

Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants in this conference, please limit your questions to two per participant. We will wait for a moment while the question queue assembles.

The first question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.

Mumuksh Mandlesha: Congrats on the strong results for this quarter. Sir, starting with just on the Kothavadi plant, sir, any update on how is the order book shaping there? And how do you see the revenue target of \$100 million in next 4 to 5 years? Do you see intact? Or do you see further upside to that number, sir?

Srinivasan Ravi: I'll answer the second part of the question first. 2030, this 100 million target is intact, that is both for the casting and machining of those particular parts. The castings will be done at Kothavadi. Machining will be done at the Arasur plant of Craftsman. So, we are ready and the order intake, I think we are -- our order book has almost crossed 50% of the 100 million target, projected for the annual basis.

Of course, this comes into production in various phases. The prove- outs will be happening in FY '27 mainly and FY '28, and production will start a little in FY '27. And peak production, I think, will be touching in FY '29. This is also in line with the end- market requirement of our customers who are mainly catering these products to the data center customers totally.

So currently, we are doing some engineering parts and the capacity utilization is hardly 5% or something like that. So, we are incurring some minor cash losses, of course, depreciation loss. So, this is why we prove- out the other engineering parts as well as the engine blocks. Some trials have already been taken of one particular part.

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So, now the strategy has been in cooperation with the customer that some of the parts are already being produced in Fronberg and there is an increased requirement of volume, the Craftsman Fronberg Guss GmbH.

And the same customer is asking for increased volume. So, we are getting the duplicate tooling from there and the prove- out will be happening along with our German team.

And new customers who are coming in who are not customers of Fronberg, they expressed a lot of confidence in Fronberg after visiting them, they have visited Fronberg some of them. And they have mandated that we complete the development in Germany before we shift it.

So we expect that -- there are a few challenges in this sort of business, but we are fully equipped to meet the challenges because of our preparation, our investment and our thorough study from 2020 and careful understanding of the project and customers and also the acquisition of Fronberg, which has allowed us to have a first- hand view of the technology available. And the Craftsman team and the German team are working together. This is the update for Kothavadi.

Mumuksh Mandlesha: Great, sir. Great to see a strong order book there, sir. Sir, coming to this quarter results, sir, we've seen a good sequential growth in the aluminum segment and despite the lower production Q -on-Q for the PV and the CV segment. Can you just explain, sir, will in stand -alone, the growth will be largely driven by the alloy wheel ramp- up, sir? And also margin improvement there also being seen. Is it because of alloy wheel business getting more profitable, sir?

Srinivasan Ravi: As we speak today, whether it's Q1 or going forward in Q2, Q3, the alloy wheel portion of the business is today even very small compared to the entire aluminum business holistically as a stand- alone itself totally, let alone the consolidated portion. So, I would rather put up, I think, less than 15%, 20%. 15% on the alloy wheel. Let me get back to that number. So now the other customers, whether it's domestic and export, there ramping up has happened.

So in spite of the market being slow, our orders, which we won a few years back, started to ramp up. So, we will see the ramp- up continue in the coming quarters for stand- alone Craftsman aluminum business in spite of a little slowness in the domestic industry. So the alloy wheel business is around 13% of our revenue in the stand- alone. So on a consolidated basis, it doesn't make any significant change.

Mumuksh Mandlesha: Got it, sir. Any, sir...

Moderator: Sorry to interrupt, sir, but I may request you to rejoin the question queue for follow -up questions. The next question is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf: First question is on Sunbeam. Now that you mentioned that the machinery has

been moved out of Gurgaon. And could you kind of give us some sense on what we can expect in terms of ramp- up there in the next, say, 2, 3 quarters? Will we require any more investments now that you are now running it for the last 2 quarters? You have probably more insights into how we are going to see things ramp- up there.

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Srinivasan Ravi: So, you may be aware that what we invested and what labor settlement happened and what capex has been reported in the last year that is already published, I think. So, now let us compare to the challenges. There is a modernization requirement because I think there's not -- the equipments are little -- some of the equipments are obsolete. And now the other portion of the capex is the building requirements and other things, which may come up because of the shifting the Gurgaon plant has left it very congested.

The third aspect is some of the process have been manual. We like to semi - automate it in the view of the -- even today, the cost towards manpower is quite high. From the time we negotiated the deal today, around 50% of the manpower cost has been brought down to 50%. So, there is a long way to go.

That headcount reduction has to happen with better processes in the layout, better productivity, better equipment, which is more produ

ctive. That means

some of the less producing equipment, I think we have to use it for small volume production. Then it's also some little of automation is required. So, this will have -- it's a trade- off between long- term manufacturing cost versus the capex. So, we are doing it carefully on this matter.

And anyway in the next year, the land will be sold, if not in this year itself, that's what we have already started and we've not put up for sale, but I think that will also reduce the debt going forward. So, our net outflow towards acquiring Sunbeam has been quite reasonable.

And Q2 will be better than Q1 on the revenue side, but profitability side because of the huge ramp- up and the shifting, which has happened, we are still not certain of the margin improvement in Q2. But I think Q4, we can see some reasonable margin improvement. Going forward for the next year, I think it should be far better off.

Mukesh Saraf: Got it. So I mean, as of now, we are not expecting this modernization capex to be a significant number. We're working with what we have already planned.

Srinivasan Ravi: Yes, we have planned, not a significant number.

Mukesh Saraf: No incremental addition to that basically?

Srinivasan Ravi: Yes. So, we are assessing whether the order inflow is going to be there in the future or not. So it will be -- unless the revenue grows in a big way, then there's no necessity for an y huge capex there. It may be marginal.

Mukesh Saraf: All right. And my second question is on the alloy wheel facilities. Could you give some sense -- I mean, I think we started production last quarter in Bhiwadi and Hosur will probably come in the second or third quarter. So number one, on Hosur, will we see some one- off costs initially when the plant starts like we saw it in the third and fourth quarter last year? And number 2, on Bhiwadi, how is the ramp- up there?

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Srinivasan Ravi: Compared to Q4, I think we have a 20% increase in revenue at Bhiwadi. We have just crossed around INR50 crores on the revenue on Q1. So we will be - - quarter -on-quarter, I think the run rate of the same percentage of increase will happen for the next few quarters, barring Q 3. So, I think the plant should be more mature in the coming, say, 3, 4 quarters.

Now, we will not see that sort of shake up, which has happened at Bhiwadi, in Hosur. For the simple reason, it was the first alloy wheel plant and we took a short-term decision within a month, and our preparation time was only a few months. We wanted to hit the festive season. We decided in December, started in January and then we started producing in August.

So in this case, the parts are already proved and some production, we are already supplying from north to south a little, and we are going to also -- whatever needs to be proved out will be done before the start of production. So it will be maybe 1 quarter, there can be a small impact. And again, the aluminum segment, but per se of Craftsman itself has become bigger stand-alone. So, that impact might not be visible much.

Moderator: The next question is from the line of Abhishek Jain from AlfAccurate Advisors.

Abhishek Jain: Congrats for a strong set of numbers. Sir, my first question on the Powertrain business. So in a stand-alone basis, what kind of the growth are you predicting for the full-year basis given the muted growth in the CV construction, tractor business? And in the Craftsman Germany, we have seen that revenue run rate is around INR70 crores. How do you see ramp up in the coming quarter in the Germany business?

Srinivasan Ravi: I'll answer the second question first. Germany business is not a growth business. There would be a marginal adjustment. And it's a small plant, and it is quite an old plant and the existing customers and customer base. So, we will be expecting the same thing. We have 140 people, 160 people there with the variable people also. So as hand molded process, and these are very low volume, high-variety parts. So, there is no question about ramp-up per se in Germany.

So the second point on the Powertrain is we will see a high single-digit growth. And maybe in the Q4, we may -- on 1 quarter, we may see double-digit growth on Craftsman stand-alone on the Powertrain. This is in spite of commercial vehicle not doing so well. As you may be aware that many multinationals first in the tractor segment and then a little in the industrial engine segment. And now you can see a lot of news coming today for medium and heavy-duty trucks. India is also going to ramp up in a very big way.

We have the German major announcing that India will become a hub for medium-duty trucks in the future. That means for other markets, they're going to ship out of Chennai. And we have seen the Indian biggest commercial vehicle manufacturer announced an acquisition plan in Europe, which I saw in the news today. So, this means that as I've been mentioning earlier also that India is the right place for the Powertrain manufacturing for whether it's a small tractor or medium duty to medium-duty -- our heavy duty is actually medium-duty trucks.

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Then light commercial vehicles, and also construction equipment of the type which is being used in India, which is required in other parts of the market, India is becoming a perfect fit for being a manufacturing base for the multinationals. So the export of these products will happen through the multinationals. So, we will find more investments coming into India from the multinational companies and also Indian companies becoming really large corporate multinational companies, Indian names also.

So, this is the growth trajectory for the conventional powertrain of Craftsman, which I have mentioned a few names about tractor manufacturers and engine manufacturers in the past. And we are going to expect more and more of this. On top of this, we have added now the large stationary engines, mainly driven by data centers for the AI, which is a growth story for the next at least 7, 8 years. So the Powertrain segment is set to grow in total.

Abhishek Jain: And my next question is on the aluminum side. So, we have seen a very strong revenue growth in the DR Axion in past 2, 3 quarters. What is the key reason? Is there any price hike? And will INR400 crores quarterly run rate to be

continued in the coming quarters in DR Axion?

Srinivasan Ravi: No, I don't want to comment too much on that because there are only a few customers there. Some customers we have already added now, but that's still not -- revenue is far away, but we'll be continuing to add more customers there for DR Axion also. But stating that, we are first focused on our key customers. I think there, we are very, very, I think, extremely focused on giving them very good quality service and products -- for their products for the Powertrain.

There can be a little movement up and down on the alloy price and the alloy price is a pass-through. So, there may be some fluctuation on the top line. And we had a little of exports going to back to Korea, which is going to continue for a few more quarters. So, there's no doubt about that or maybe more than a few more years. Let us see how it comes.

So, you may be aware even in Korea, EV has slowed down a little. So, we expect the sort of ICE cylinder blocks, cylinder heads, whatever maybe, which is required in the market to continue to be stable or grow. And we also see a new trend coming into the picture on passenger vehicles. It is not the Indian number 1, number 2 companies, which are basically Japanese, Koreans and also we have 2 large Indian players doing very well in the Indian market in passenger vehicle.

The small passenger vehicle market, I think the other European players and other even Japanese players may make India

as a hub for the small engine manufacturing in the future. For the similar reason of the -- whatever India requires in Indian market, we will be able to export also because there is a good -- even in the 2-wheeler, we see the same trend.

Moderator: The next question is from the line of Mitul Shah from DAM Capital.

Mitul Shah: Congratulations on a very strong operational performance in this challenging environment. Sir, first question on utilization, if you can help with broader numbers on various segment-wise utilization?

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Srinivasan Ravi: On Powertrain, on the commercial vehicle portion of it, utilization is very low. I think it is around less than 60%, depending on the customer, depending on the product, even maybe at 50% level. On the farm sector in the current quarter, it has been at a higher level, I would say, around 70%, 80%. And in the SUV segment, I think it is around 70%, 80%. On the construction equipment on the Powertrain, it has been quite poor because of the emission norm change, which has -- there has been some lot of pre-buy. So, I think I hope I answered the question on Powertrain.

And I'll move to the aluminum. Aluminum, there is -- yes. On the aluminum side, we are looking at a diverse customer portfolio in Craftsman. And the -- whatever is the growth/degrowth of each of the customers in the DR Axion, it is already mirrored in, but that has been a little offset by -- you know that May is always a weak month. There is a shutdown of one of the auto players for 2 weeks for their annual maintenance. So that is a seasonal effect, but I think we had some exports. We have done okay in DR Axion. Similarly, on Craftsman side, the capacity-wise, plant-wise, when we look at it, the variety of parts what we are getting in and the other direct, indirect exports have been growing. So, capacity utilization is already touching around 75%.

And going forward, it may enter the critical mass of 80-odd percent, which is a little risky on a few months on the festive season. So, we have good visibility going forward. So, we will be adding capacity in the coming quarters also for -- in view of the next year's festive season.

Mitul Shah: And second question on margins. The Powertrain margins are at a highest in last 4 quarters, 15.2% despite more or less production but by a few players as well as industry-wide slowdown in terms of the PV and CV production. What could be the reason for reasonably good margins on this segment?

Srinivasan Ravi: Earlier, post -COVID, the ramp -up was very steep, and we had no chance to do repair and maintenance for a long time. And we had undertaken a lot of improvement activity, repair and maintenance, modernization, many things in the past and there's a lot of expenses were booked in the many quarters, I think around 5 quarters on almost a continuous basis. Now that is behind us, number one.

Number 2, with that, we optimized all our costs. We have not added, per se, any manufacturing plant in the Powertrain. In the past, we added one more plant last year adjacent to the current plant in Faridabad that had a cost strain for us on this matter. But as things are very stable and no expansion is planned there other than the large engines, the expense has been controlled. So, this is the real state of affairs.

But in the future, let us say, in 1 year later or 2 years later, we again go for an expansion because our order book is very high for some reason. We may see again production margins for 2 quarters because the expenses will precede the revenue coming in. That has to be factored in, in the future. But I think now any revenue increase will even further help us for the operating margins.

Moderator: The next question is from the line of Joseph George from IIFL.

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Joseph George: Sir, I have 2 questions. One is in relation to the aluminum segment margins -- alumi

num segment within the stand- alone entity. So this quarter, we have seen that margins have shot up. So, one is what are the drivers? Second is, how is the sustainability as you see it? And third is, as the alloy wheel business continues to grow and becomes a larger piece of aluminum, do you think these kind of margins will sustain?

Srinivasan Ravi: I'll answer the questions in a sequence and please come up with follow -up questions so that clarification is complete. One thing is the traditional aluminum business of Craftsman has got only 2 locations fundamentally. One is in Coimbatore and one is in Bangalore. And we are operating at optimum capacity already now. So, this is giving good operating leverage that is helping our profitability.

Now the Bhiwadi plant, which was a drag on for almost 2, 3 quarters, I would say, 3 quarters, and now at least it has been EBITDA positive, but not EBIT positive, I would say, but EBITDA positive. So that drag has stopped. And now that we expect Bhiwadi, aluminum alloy wheel also to start giving some margins at EBIT level. So, still the portion of the -- even though alloy wheel has been ramping up, the portion of the alloy wheel business has been only around INR50 crores in the last quarter when compared to the top line revenue on the aluminum business, which has been around INR377 crores. That means it's around less than 15 -- 14%, which I mentioned, 13%, 14%.

So the plant of Bhiwadi has been placed in a bigger location where Sunbeam Gurgaon plant also has been shifted and the adjacent plot and building have been allocated to Sunbeam. So, our overheads are reasonably well controlled because the Tapukara plant of Sunbeam is also hardly 10 minutes away from the current Bhiwadi plant, totally.

So, this sort of better operating leverage will lead to the alloy wheel margins also being improving steadily as the revenue growth in alloy wheel happens because the entire overhead of the plant is not a stand- alone alloy wheel plant.

So, that is an advantage there because now we have pressure die casting.

We are also contemplating in the future whether large tonnage machines of Craftsman high pressure die casting, we want to put it up there or not. So as a composite plant, we are confident about the alloy wheel project.

Joseph George: Understood, sir. Just one question -- rather the second question was on relation to capex. So, what's the guidance for capex for FY '26 on a consolidated basis?

Srinivasan Ravi: On a consolidated basis, we are looking at around INR800 crores for, say, around 20%, 25% -- 20% growth rate, which we have factored in, in our capex plans. So the way I look at it is that it depends on what happens in the near future. For example, we have announced the plant in Nagpur way back in, say,

'21 and it still is in the land stage. So, there is opportunities which are coming, we are not really concerned about doing a little capex. But I would say that we are very careful with the group debt. So now when the land sale happens at Gurgaon and then we see visibility of debt coming down quite dramatically, then we may undertake capex if the opportunity is there. Otherwise, we may

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have to let go the opportunity also. So, this will be a function of the market and our performance.

Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rath Institutional Equities.

Mumuksh Mandlesha: Sir, on the storage side, we had a target about 20% growth for this year. We maintain guidance and also for the margin over 5% should be achievable, right, sir?

Srinivasan Ravi: I think we can look at an EBITDA margin of around close to 4%, up and down. I'm not sure exactly because it depends on project to project. It's not an order book, which is there when we can have our margins very stable, but we are gaining traction there and more visibility in the market. And even today, if you look a

t the revenue portion, it looks big, but I think the amount of capital employed is negligible there. So when you look at the valuation portion of it as a whole of Craftsman stand-alone itself, it is very less.

So, I think we will be giving it a little more time to look at, but it's a scalable business. That is one advantage that without capital, we can scale the business. So, since now we are now 5 years into this business, I would rather give it another 6 months to 1 year and then look at it how we will be able to scale it to the next level.

Mumuksh Mandlesha: And for the top line growth, sir, how would be the growth, sir?

Srinivasan Ravi: Top line growth, just give me a minute, please. Around 15%, sir. 15% is the top line growth.

Mumuksh Mandlesha: Got it, sir. Sir, and on the full-year target, which we earlier shared about INR70 billion revenue and INR11 billion EBITDA and INR6.5 billion to INR7 billion EBIT, do you see any change in the guidance, sir, in the full year? Or any upside, sir?

Srinivasan Ravi: No, nothing changes. I have given these numbers even before all the tariff wars started, it was much before that. And this is the first time we have given guidance. And why we've given the guidance is that there's a big change in our business model, per se. So for everybody to understand and where it looks like after 1 year we have given.

And we are at that run rate, and there may be some headwinds in the global markets or anything. We had also a near-war situation, which was stopped at least. So, we stick to the guidance. I don't see any change to downgrade the guidance. There can be an upside depending on how Q4 behaves.

Mumuksh Mandlesha: Got it, sir. And sir, lastly, can you share what is the absolute net debt number for this quarter -- end of this quarter, sir?

Srinivasan Ravi: Pardon?

Mumuksh Mandlesha: Net debt number end of June.

Srinivasan Ravi: Debt number? Okay.

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Mumuksh Mandlesha: Yes, net debt number.

Srinivasan Ravi: Net debt. Okay. Net debt consolidated is around INR2,400 crores.

Moderator: The next question is from the line of Ajox Frederick H from Sundaram Mutual Fund.

Ajox Frederick H: Congrats on a good set of numbers. Sir, my question is on Sunbeam. If I'm

right, you mentioned the quarterly revenue to be INR291 crores, right, for this quarter?

Srinivasan Ravi: Yes.

Ajox Frederick H: And what was this last year and last quarter, sir?

Srinivasan Ravi: Last quarter, because the previous year, we are not in operation.

Ajox Frederick H: In the last quarter?

Srinivasan Ravi: Yes. Q4 was around INR300 crores.

Ajox Frederick H: Okay. Okay. And sir, incrementally, will we be increasing our client base here? Or what is the visibility we have, particularly on Sunbeam's case, let's say, 1 year out?

Srinivasan Ravi: One year is too short a period for us to look at it because you know that we are -- the next 6 months or 9 months will be on a consolidation basis. So, we might not be very keen to add clients in Sunbeam. Of course, there are clients are being added in Craftsman. We have an overlap there on this matter, but we are more on the high tonnage. Their end tonnage and our start tonnage is more or less matching.

So, we will address it either from Craftsman or from Sunbeam as the time comes totally. Our idea is how to satisfy our existing clients on delivery and quality, which is most important going forward and also reduce the operational cost in the plant and improve operational efficiency. So without that, we don't want to really expand the Sunbeam operations until we are very sure about the stability in the financial results and also our deliverable to the customer.

Ajox Frederick H: Got it, sir. And secondly, sir, on the land, we were supposed to sell it sometime this year, right? Now it's getting shifted to next year? Or what is happening there?

Sriniva

san Ravi: So, nothing is happening there. See, we just got the AGM through and we got the approval only last week. So, we cannot jump the gun and start trying to do that activity. And you are aware that the process -- there is some portion of the land, which will be acquired by the Haryana government for some expansion, which we have received some notices last month. So, we are analyzing that. We know that it's coming. So it's around 10% of the land.

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So after that, what is the residual land, what's the value? We are trying to analyze the value. We know that we have put a number of INR350 crores. It was earlier looked at around INR275 crores, then it was INR350 crores, which is in our Sunbeam annual report also on this matter. We are trying to maximize the value. Trying to sell land in a hurry also is a problem that we might not get the right price. What is on public domain is INR350 crores, but our aspiration is to go much higher.

Moderator: The next question is from the line of Kumar Saurabh from Scientific Investing.

Kumar Saurabh: Sir, earlier we used to work around 20%, 21% margin, and we have come down to 14%. And I know in previous con calls, you have told that we may go back to 16%, 17%. But what is it which is stopping us from moving back to 20%? Is

it like earlier we used to do more machine and that the mix will decrease? The question is what is the gap? Where is the gap between 16%, 17% to 20%? And is there a way to fill this gap or 17% is where we would stop? Or I mean, you will take it as time progresses rather than giving guidance?

Srinivasan Ravi: Sorry, I will try to answer that in a different way where everybody can understand very easily. Stand-alone on the Powertrain business, today, we buy more castings than we used to do in the past. Even then our Powertrain business is showing much more than the 20% margins, much higher than the

20%. So, aluminum business was non-existent around 10 years ago, and it

was a small portion of the aluminum business. So, that means predominantly Powertrain was determining the EBITDA margins.

The product mix has changed. Aluminum has become quite big now. The revenue on the aluminum is quite big. So, that means that the aluminum is a pass-through. So, our margins do not come from top line at all. Our margins come from the derived from the gross profit. So tomorrow, aluminum prices increased by 50%, our margins optimally will further come down totally. So, please look at our gross margin and then derive from the gross margin, where margin, I think we have been pretty stable over the number of years.

Moderator: The next question is from the line of Abhishek Jain from Alf Accurate Advisors.

Abhishek Jain: Sir, in this quarter, we have seen that the finance cost has gone down quarter-on-quarter basis. While you have mentioned that the net debt has increased from INR1,900 crores to INR2,400 crores. So, just wanted to reconfirm that net debt has INR2,400 crores or it is lower than that?

Srinivasan Ravi: 3 acquisitions happened in the last year. The balance 24%...

Moderator: Sorry to interrupt, sir, but your voice dropped. Could you please repeat your answer?

Srinivasan Ravi: Yes. Last year, we did 3 acquisitions, the 24% of DR, the Sunbeam acquisition and also the Fronberg acquisition. And we had 2 greenfield projects coming up last year, and we had capex in almost all the plants. So it is a question of how much outflow has gone for acquisitions and how much capex we have incurred. So the debt has been a function of that.

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Abhishek Jain: So then at the end of the year FY '26, what kind of the debt reduction we can expect?

Srinivasan Ravi: See, debt we measure with the level of net debt to EBITDA. I think that ratio will keep improving.

Abhishek Jain: Okay. So, do you have any target for the debt reduction for the next 2 years?

Srinivas

an Ravi: So the aspiration is, from our side, we are doing a fine balancing act between customer growth expectations. And if you say no to customer, customer will find another supplier who will also take away, over a period of time, all the new businesses, which will lead to degrowth in Craftsman. Second thing is to maintain all the, I would say, the key personnel and things like that. We need to have growth.

The third portion is that we have an inflation of 6% in the country. So, growing at 6% to 8% means standing at the same still. So, we'll be on a declining level of margins as and when we do. Second thing is there is expectation of shareholders that there should be a growth in profitability going forward. So, I think the net debt and everything will be -- always we'll be looking at net debt to EBITDA. It's not the absolute debt we are looking at it.

See, suppose the EBITDA drops to half, then I think we will stop all capex, all acquisitions, everything like that. At the same time, if EBITDA grows quite significantly in the coming year, so we may keep the debt level at the same level or maybe lesser because we might not do capex, then the debt will also reduce further. So, I think we have mentioned in our earlier earnings call also at what level we will be comfortable. I think 1, 1.5 is very comfortable. I think 2 is not a bad number. All financial institutions, all lending institutions look at 3.5, 3. So, I think we are on a reasonable traction.

Abhishek Jain: Okay. And next question is on the revenue target for the aluminum segment when all plant would be operational in FY '27 with full listing? So, just wanted to understand how would be the revenue growth in FY '27 because all plants will be operational and plus the serving will be with a full listing.

Srinivasan Ravi: We will be outgrowing the Powertrain in the aluminum segment. Aluminum segment will outgrow the

Powertrain. That is very clear on this matter, stand-alone as well as consolidated. And aluminum, we have been always saying that the growth potential is quite high. And we have shown from the past as the stand-alone number on the aluminum, what has been the growth for aluminum quarter-on-quarter? 56% has been the growth compared to Q1 of last year to Q1 of this year that means stand-alone, I mean. That is without -- with a small contribution.

Even when you remove that INR50- odd crores of the alloy wheel business, even then we look at it, the growth has been -- around 34% has been the growth in the stand-alone aluminum business, apple-to-apple. So, I think around 15%, 20% growth on the stand-alone aluminum business without alloy wheel and alloy wheel itself will be another growth story, which we are looking at. So the growth will continue, yes.

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Abhishek Jain: That means the 20% growth will continue for the next 2, 3 years in the aluminum business?

Srinivasan Ravi: I mean without alloy wheel itself, we will continue at 20%. Alloy wheel adding will lead to some surges in some quarters, then it should stabilize. So overall, I think when you look at the CAGR for 4 years, then I think 20% to 25% is okay.

Abhishek Jain: Okay. And my last question is tax rate. So, what would be the tax rate for FY '26, sir?

Srinivasan Ravi: Everything will be same as Craftsman and DR is concerned, which is for all companies. Sunbeam, we have some tax shield, which is there. We have some unabsorbed depreciation. I think the tax portion will be around INR100 crores, INR140 crores, something like this. Yes.

Abhishek Jain: So, that means that tax rate would go below 20%?

Srinivasan Ravi: No, for DR Axion and Craftsman, it will be the same as applicable for all companies. For Sunbeam alone, we have a tax shield for some few years, which will be around INR100- odd crores tax will be available on unabsorbed depreciation of around INR400 crores.

Moderator: The next question

is from the line of Mitul Shah from DAM Capital.

Mitul Shah: So, only one question on global macros based on our discussion with a few key global OEMs. Do you see any near-term deferment of the projects or capex for next 2, 3 quarters? Of course, we are betting big on the FY '28 onwards for us. But in general, just to understand the global environment of the auto OEM side.

Srinivasan Ravi: See, we have to look at specifically the weather forecast for Craftsman, I would say. I think our -- even though we are connected to the global business fraternity, how our customers perform is the key and what is our customer strategy and whether they are winning in the marketplace.

We have one German truck manufacturer who is also a customer who has announced in the public domain in the global platform itself that India is going to be a growth story and a few thousands of people are going to be hired here, and they are going to use the medium-duty platform across the rest of the world. This has been a listed company giving a public statement in the global environment. So, this means that the customer is going to grow. That means there can be an opportunity for us.

Similarly, we may have a few customers, whether it's in the 2-wheeler or passenger vehicle, which are growing. So when they're growing, we need to do that. I mean, they are growing in despite of the global headwinds. So, we follow the current customer base and we follow our instinct on exactly how the market is going to play.

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We are not taking any long-term just a strategic bet, just like investing for the future. Everything is based on hard reality. There can be upside, there can be downside because there can be changes in the market environment. But if we don't follow the customer, I think we'll default on our supplies.

Mitul Shah: So conclusively, we can say that our key customers are outperforming or outgrowing the industry situation of slowdown?

Srinivasan Ravi: Not all customers. Commercial vehicle in general has been down. So it is not that we have done. Tractors, almost everybody is doing well. Construction is not doing well. But I think wherever there is a need on that particular segment, that particular plant, that particular product, we need to invest. It is not about capex available in our Coimbatore plant, cannot be used in our plant in Jamshedpur, not in Pune. We may then have to move the machines up and down. Yes, we have done that in the past. But I think this depends on actual demand only.

Mitul Shah: Yes. Understood, sir. Sir, as you just highlighted in terms of this sale of land at Gurgaon, but what timeline roughly you as a company internally expect to get it done in FY '26 itself or it may take nearly 1 year type of time frame to maximize the fair value?

Srinivasan Ravi: See, sorry, I'll decline on this matter. If I put a timeline, you know very well how it works in this business that we may lose on the value of the land. So, we are not desperate to sell the land and we know that we can delay it as long as we get the right value. It's not a problem. It's a question of value -- time value for money. And if we think that by delaying, we'll get more than the interest what we are paying to the bank, I think we will delay it.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Mr. Srinivasan Ravi for closing comments.

Srinivasan Ravi: Thank you very much for joining the call and staying with us for this time. Thank you.

Moderator: Thank you. On behalf of Craftsman Automation Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited for readability purposes)

Call: Nov 2025

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12th November, 2025

To

The Manager - Listing, The Manager - Listing,
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Mumbai - 400 001 Mumbai - 400 051
Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call on the Unaudited Financial Results (Standalone & Consolidated) for the quarter and half year ended 30th September, 2025;

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and our intimation and outcome letter dated 8th October, 2025 and 10th November, 2025 respectively, we are enclosing herewith the transcript of the earnings conference call organized on Monday, the 10th November, 2025 at 4.00 P.M. (IST) on the Unaudited Financial Results (Standalone & Consolidated) for the quarter and half year ended 30th September, 2025.

The transcript of the earnings conference call will be uploaded on the website of the Company at www.craftsmanautomation.com .

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you.

Yours faithfully,
for CRAFTSMAN AUTOMATION LIMITED

Shainshad Aduvanni
Company Secretary and Compliance Officer

Encl: As above

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CRAFTSMAN AUTOMATION LIMITED

Transcript of the Earnings Conference Call held on 10th November, 2025
for the quarter and half year ended 30th September, 2025

This document might contain forward-looking statements that involve a number of risks, uncertainties and other factors that could cause the actual results to differ materially from those

in the forward-looking statements. We do not intend or assume any obligation to update any forward-looking statement, which speaks only as of the date on which it is made.

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Earnings Conference Call hosted by Craftsman Automation Limited.

You may note that some of the statements which may be made by the management team during this conference call may contain certain forward-looking information, which are non-guarantees of future performance and are subject to a number of risks and uncertainties. We encourage you to refer to the disclaimer in the investor presentation of the company. Further, the Management will not be addressing any customer-specific queries owing to confidentiality obligations. We kindly request you to avoid mentioning any customer names in your questions.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the opening remarks are concluded. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Srinivasan Ravi – Chairman and Managing Director of Craftsman Automation Limited. Thank you, and over to you, sir.

Srinivasan Ravi: Good afternoon, everybody. It gives me immense pleasure in welcoming you all for the earnings call for the quarter year ended 30th September, 2025.

Just a “Few Headlines on the Consolidated Financial Highlights for H1 FY26”:

Sales wa

s at INR 3,786 crores against the previous year H1 sales of INR 2,365 crores. The Powertrain contributing INR 2,034 crores, Aluminum Products INR 2,275 crores and Industrial Engineering INR 476 crores respectively.

EBITDA stands at INR 582 crores with Powertrain contributing to INR 236 crores, Aluminum Products contribute to INR 351 crores and Industrial Engineering contribute to INR 32 crores. Unallocated expenses is around INR 37 crores.

Now on the “Financial Metrics”:

The net debt to EBITDA on the consolidated basis is 0.94. The net debt-to-EBITDA is 2.46, and EBITDA margins are around 15%, EBIT margins around 10%, and ROC annualized is 15%.

Now, I will leave the floor open to the Q&A. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Krupashankar NJ from Avendus Spark. Please go ahead.

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Krupashankar NJ: Good evening and thank you for the opportunity. My first question is on the Kothavadi plant. Can you give us an update on the plant and how is the order book looking there? And further to that, any update on the revenue target of \$100 million in the next four to five years, anything you want to add on that?

Srinivasan Ravi: The Kothavadi plant is operational at phase-I level which is for engineering products. For the Powertrain portion of it which is the stationary engines, as I mentioned, the revenue stream will start in 2029. But the order book is of the \$100 million, I think \$50 million of the order book is on paper received with us and products are under development, rest of it is in final stage of discussions. As you know, the lead time for development of these products and validation of the products is three to four years' time, we are on track for the 2029 numbers. And we see a lot of traction in this business

currently, owing to the no new capacities coming up anywhere in the world in general, because we started this a little earlier, we got some head start on this business going forward.

Krupashankar NJ: Got, sir, thank you. The second question was on the CAPEX. Can you give an update on the INR 280 crores CAPEX announced by DR Axion and when will it come on stream? This is for existing customers and any guidance of total CAPEX itself for the next two years?

Srinivasan Ravi: This question is specific to DR Axion and DR Axion you know that the current plant's capacity is full and we have only three customers and the current customers have increased their order position, #1, #2 is there is within the aluminum segment we are moving into now more into cylinder blocks. So, we have an order on hand for which we need to do a CAPEX, so we just taken a larger piece of land so that we have for the future. Chennai by itself is slowly become to be a global hub for the automotive as you are aware that many of the customers just announced large CAPEX in that region. So, we are gearing up for the new requirements. As far as we are concerned, I think this is the first stepping stone as far as DR Axion is concerned on addressing the global demands for the overseas customers as well as the growth in the domestic industry.

Krupashankar NJ: Any guidance you want to share about the overall CAPEX for the next two years?

Srinivasan Ravi: See, overall CAPEX for the next two years, you know very well the announcements are happening on a regular basis with multinational customers. In certain cases, we are in discussion with them for years together without an end in sight about when the order is going to be placed, when it is getting ramped up. But of late we see very intense engagements between all the customers and also new customers including customers looking for export requirements who are North America to Europe as well as they are setting up base within India for their sub-assembly or product export. So, as and when we are getting a firm req

uirement from the customer, then we are announcing the CAPEX, and we check on the return of capital employed, and the viability of such a project, and whether we are technically capable of executing the project, and whether the project is scalable or in line with our current strengths what we have in the market. So, you can understand that we were looking back last year whatever QIP we raised looks conservative in the current circumstances. As I mentioned also the aluminum products segment is still subscale in India overall whereas the global tier 1, tier 2 companies, the magnitude of those companies are at least 3x, 4x of the Indian tier 1 suppliers today. So, we will take it as it comes on the CAPEX.

Krupashankar NJ: Got it. Thank you for answering the questions.

Moderator: Next question is from one of Mithul Shah from DAM Capital Advisors. Please go ahead.

Mithul Shah: Thank you for the opportunity and congratulations for a very strong performance, strong top line margins. So, my first question is on aluminum products. Margins have improved meaningfully. Apart from operating leverage, what are the drivers, and is there anything one-time or what can be considered as sustainable margins?

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Srinivasan Ravi: Mr. Mithul, I will answer the second part of the question. These are sustainable margins, earlier the base was small when we tried to do the new Bhiwadi plant and that start-up operations cost actually really affected the equation of profitability for say a couple of quarters that is behind us now and now as soon as we start the new project in Hosur, we are more prepared and the base is bigger, so the whatever expenses or the start-up cost which we are incurring more or less it is becoming smaller in the context of the entire aluminum products business. So, what current margin trend you are seeing, this will continue in the future also. So, as we speak, the Hosur plant also started operations, which we have already intimated the domain. I think the Q4 we will see some reasonable sales. This phase-I of the project is through. So, we will see incremental revenue coming quarter-on-quarter on the aluminum products as a whole, not only from the Hosur plant, but also from the Bhiwadi plant, as well as the original business of Craftsman where some of the orders are maturing to higher levels.

Mithul Shah: So, second question, can you help with some key ballpark numbers of Powertrain break-up between CV, PV, tractor, off-highway, and similarly revenue break-up like

Sunbeam, DR Axion etc.?

Srinivasan Ravi: So, it is already there, I mean if I remember, I think it is, we have put it up in the presentation very clearly, the break-up between all the segments, I think I will read out from that slide itself, I think we uploaded it today.

Mithul Shah: If it is there in PPT, I will take down, no problem, sir. Sunbeam, DR Axion, all these details are there, sir, in the presentation?

Srinivasan Ravi: Everything is there... the break-up between all the three is there.

Moderator: Next question is from Abhishek Kumar Jain from AlfAccurate. Please go ahead.

Abhishek Kumar Jain: Thanks for the opportunity and congrats for a strong set of numbers. First question is on the Sunbeam business. So, quarterly run rate is now INR 330 crores. And just wanted to understand that how is the progress in the EBITDA margin, and what is your target EBITDA margin for FY27 in the Sunbeam project?

Srinivasan Ravi: I think we are looking at double-digit EBITDA margin for the financial year '27. We had the union settlement done only on the last day of May, that is the 31st. So, really speaking we started the restructuring of Sunbeam and all the shifting of the operations from the Gurgaon plant to the new plant in Bhiwadi, all that was an ongoing process for three months. Now it is complete, but we had the festive season going on, so we really did not concentrate on the cost

reduction or rationalization of the operations. Now, we started the operations and we will take around next two quarters, I would say, to come to a level of better operational efficiency. So, we will get the benefit for the full financial year. So, we are expecting a 10% or double-digit EBITDA for the next financial year. Revenue being more or less around the same region at what it is.

Abhishek Kumar Jain: Okay. And your net debt has gone up to INR 2,800 crores. So, what is your plan to reduce debt as you are looking to sell some land and pay the debt of around INR 350 crores, so, what is your plan for FY27?

Srinivasan Ravi: December 31st will be the last date of the closing of the plant in Gurgaon. We had to keep the plant, because the overseas customers, mainly the North American customers of Sunbeam, could not do the validation at the new plant in a short period of time. So, we had to keep that license going. So, now that it is over, we have vacated the plant in total. So, from January onwards, the land can be put up for sale. So, we are in contact with the key people and large organizations to look at the land sale. This will be a process which will go more through the middle of the next financial year and that will reduce the debt of Sunbeam and Craftsman Group as a whole.

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Abhishek Kumar Jain: Okay. So, how much expected debt is in FY27 and it will go down to the INR 2,800 crores to INR 2,200 or INR 2,300 crores?

Srinivasan Ravi: See, the net debt-to-EBITDA currently is on H1. When you look at an annualized number, it is around 2.46 totally for the consolidation, I think we will be closer to the number of two net debt-to-EBITDA for the consolidation for FY27.

Moderator: The next question is from the line of Joseph George from IIFL Capital. Please go ahead.

Joseph George: Thank you. So, I had two questions. One is, on CAPEX, you mentioned that it is a fluid thing because new orders keep coming. But would you be able to indicate the CAPEX guidance for FY26 given that we are almost seven months into the year?

Srinivasan Ravi: It will be around closer to INR 1,000 crores for Craftsman and DR depends on how much land we buy. So, we are just waiting to see any more new customers are willing to add up whether to buy a bigger piece of land or smaller piece of land. So, for Sunbeam, CAPEX is negligible.

Joseph George: Understood sir. And the second question that I had was on your ROCE target. So, you mentioned that when you are taking new orders or thinking of investment into new plants, you have set some ROCE targets and based on passing that threshold you think

of further investment. So, would you be able to indicate what is the minimum ROCE threshold that you have in mind while considering new CAPEX?

Srinivasan Ravi: The new CAPEX, the minimum threshold level will be a pre-tax ROC of 20%. We do all the vetting on this matter. Generally, there can be a possibility that the existing business may be slowing down or the model is getting changed. We take that into factor which may affect the numbers going forward. But the new CAPEX is based on minimum 20% ROCE. Now, coming to when will we reach the 20% minimum ROCE for the new businesses, on the automotive side, from the time the business awarded to the investment, to the time of the PPAP and to the actual revenue generation and the peak revenue generation, there is a lag of around three years totally, from the start of investment to coming to a peak revenue generation is anywhere between three to four years. So, what happens in new projects when you are growing at around 30% overall as a company, Craftsman now standalone is at a run rate of very close to 30% growth. The new CAPEX actually spoils the old return of investment, but the new CAPEX when it starts to mature, then and we slow down investment, I think we will breach even the 20% ROCE levels.

Joseph George: Understood sir. Very clear. Thank you.

Moderator: Next follow-up question is from the line of Mithul Shah from DAM Capital Advisors. Please go ahead.

Mithul Shah: Sir, earlier I asked for that break-up and that was like a broader break-up is already there in PPT, which I have seen. My question was break-up within Powertrain, if you can highlight that?

Srinivasan Ravi: I think broadly, the commercial vehicle is around 46%, off-highway 21%, tractors 19%, and others like passenger vehicles and SUVs is around 14% and this is the broader break-up. It is almost in line with the previous years. Only thing the CV has shown a decline and tractor has shown a small increase. But going forward, the tractor is having more traction now currently, when CV comes back, I think the numbers will also come back. Today, we are dependent less than 50% on the commercial vehicle segment and within the country it is also lesser now currently. So, I think the changes in the or the slowdown in the commercial vehicle segment is really not affecting us to a level where it affects our profitability.

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Mithul Shah: Sir, how this compares with the last quarter QoQ?

Srinivasan Ravi: Commercial vehicle from 49% has declined to 46%, off-highway has increased from 20% to 21%, tractor has increased from 17% to 19% and the SUV segment is flat at 14%.

Mithul Shah: So, the second question is on utilization. If you can help with the various segmental utilization? This time seems to be aluminum must have improved significantly. So, how is the overall utilization for aluminum, for powertrain and for others?

Srinivasan Ravi: Aluminum, still we are on the ramp up phase in the Bhiwadi plant and the Hosur plant is brand new and we just started commercial production a week ago. So, these are the two things which are changing. On the current capacities of DR Axion it has been stable. It is linked with two of the passenger vehicle manufacturers or three passenger vehicle manufacturers which were available in the public domain. And on Craftsman per se, some export to Europe has increased marginally, yes. So, the capacity utilization has improved in the aluminum business. But whatever the new segments where we have invested, we are still waiting for customer approvals to ramp up. So, the capacity utilization still there is headroom, but that does not mean that we do not need investment because the capacities on, say, one particular size of press may be available, but some other size of press we might have received orders and more lines need to be set up. So, we cannot say that we will not need CAPEX even though there is some unutilized plant capacity and sometimes the peak demand of the customers are also keeping changing on a seasonal basis. It is also depending on market share. Some of the customers whom we are engaged with in the aluminum business seem to

be doing very well both on the passenger vehicle segment as well as on the two-wheeler market and that shows a larger capacity utilization. Also, the trend towards both on the passenger vehicle but more so on the two-wheeler side is to increase outsourcing rather than insourcing. So, what we see is in the future that customers will be outsourcing whatever they are currently doing inside the plant as they gain more confidence in the supply base.

Mithul Shah: On the Powertrain side, sir?

Srinivasan Ravi: Powertrain more or less it is the same. We have not added any product per se to the Powertrain business. You are aware that each of the plants are having a set of customers in Jamshedpur, in Faridabad, in Pune, in Chennai, and also in Coimbatore. It is more of status quo. Nothing has changed there.

Mithul Shah: Thanks and all the best.

Moderator: Thank you. Next follow-up question is from line of Abhishek Kumar Jain from AlfAccurate Advisors. Please go ahead.

Abhishek Kumar Jain: Thank you, sir, for opportunity again. Sir, in data center, what kind of the potential opportunity are you looking for your company? What is your plan for that?

Srinivasan Ravi: I stick to the same number from India, \$100 million, going into 2029 or 2030, as the case may be. It depends on product approval cycles. So, this is the first stage of revenue. After that, for this, more than 50% is orders on hand, and the balance 50% is already in advanced state of negotiation with the customer. As I mentioned, it takes around three years from the time of order to seeing some revenue start, so we are on track for the \$100 million.

Abhishek Kumar Jain: And as you are mentioning that around INR 1,000 crores kind of the CAPEX in the standalone business and INR 280 crores in the DR Axion, so when are all these numbers will start to yield the results, I mean to say that this INR 1,200 crores CAPEX will be in FY27 and revenue will start from FY28?

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Srinivasan Ravi: Okay. So, I just want to step back a little. When we became a public company of revenue, now every year we seem to be looking at additional revenue equivalent to the number what we were at the time of the IPO. And today we have to put in the investment much earlier when compared to the actual revenue generation. And today, land cost has really gone up quite high. And when the plant becomes saturated, we have to have a step changed for the investment. The new campus will allow us to grow further with marginal investment going forward in the future. But as you are aware that setting up any new campus for the infrastructure, not only land and building, but also other compliances is quite expensive. So, this is a step change of what we are in the current situation.

Abhishek Kumar Jain: Okay. So, the total CAPEX will be around INR 1,400 crores, that will be in FY27 only?

Srinivasan Ravi: So, I mentioned that the Craftsman CAPEX is around INR 1,000 crores. All this will start yielding results two, three years down the line only. It is not the CAPEX for the current situation. These customers are quite large in nature. So, when we commit for the orders and we quote for the orders, it is obvious that we are interested to invest and grow the company going forward in the future. And we have not taken any large bets at all and more so we shied away from most of the EV projects, because we are unsure of that. Whatever we have taken is more solid in nature, and we are very confident about the revenue coming in.

Abhishek Kumar Jain: And my last question on that, your total sales should be around INR 7,700 crores in FY26, and in FY27, it is expected to cross INR 9,000 crores as you are mentioning. So, I just wanted to understand, what is your long-term target for the revenue by FY30 including the data center and others?

Srinivasan Ravi: In the global market, Craftsman is not an expert here, but I will just touch upon that. The entire community is waiting for the inflection point of \$4,000 per capita GDP, which

according to all the experts seems to be not far off totally. After that, I think the growth will be sustained for a longer period of time according to the data shown on all developed countries in the past. So, the government has announced first the income tax reduction, then the GST portion of it, and now the bank interest also has reduced, encouraging more debt to be drawn by not only the manufacturing community but also the consumers are willing to take up higher cost products because more cash is available there. So, when this comes, we are seeing large commitments from OEMs themselves for the new plants across the country. I am privy to certain discussions with certain customers because of confidentiality I cannot talk about it, but we are going to see the capacity of manufacturing with our existing customers growing around 50% in the next three years totally. So, whether we are going to satisfy these customers with the number by also matching the investme

nt or letting go new orders is a choice which

we should not be taking the negative point that we are not willing to invest. This means that the end customer requirement which drives the demand, we have to follow the demand. So, we are confident about the payback with the 20% ROCE on a mature level and you are aware that when the aluminum business when we started long back, it was showing a very minimum traction and in fact there are many questions asked whether it is profitable or why we are investing in the aluminum business when powertrain is more profitable. So, the answer is now available that the aluminum business is growing multifold. The demand is only the tip of the iceberg on the aluminum business today. So, we are seeing traction that either we invest as the Indian companies or we will have multinational companies investing into India for this sort of businesses. So, we are confident about our ability to deliver to the customer and we are confident our shareholders will support this sort of large CAPEX. I want to draw a parallel there. China is years ahead on the investment cycle and we are only making a marginal investment and when you call China Plus One policy without investment, we really cannot even think of even quoting for an order. So, I think we have decided to take the growth path.

Abhishek Kumar Jain: Yes, sir, that is all from my side. Thank you.

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Moderator: Next question is from the line of Vignesh from Ksema Wealth Management. Please go ahead.

Vignesh: I just want to understand how is the German subsidiary doing and any idea on like how the European market is shaping up and opportunities from that?

Srinivasan Ravi: The German subsidiary is catering 90% of the revenue towards large engines for the power generation which is again predominantly getting into the data center business. Predominantly means majority. I will not say predominantly, but overall the capacities in this segment as a supplier base, it is much lower than the actual demand. So, the plant is running very effectively I would say. The order book is full. Even the revenue has increased. The H1 revenue is around INR 158 crores and we had an EBITDA of around INR 14.87 crores, EBIT of around INR 11.4 crores. So, our PAT itself for the first half of the year is almost INR 8 crores totally on this matter. So, we see a trend like this going on for a few more years surely on this matter. So, we are not seeing any challenges in the company as far as the order position is concerned.

Vignesh: Is there any expansion plan in Europe as such?

Srinivasan Ravi: No, the teams of Craftsman, Fronberg Guss and, the Kothavadi foundry team are working together with the various customers which are common and some customers are unique as of now to Fronberg and some customers are unique to Craftsman per se. So, all the development is now taking place in Germany mainly and some in Spain and it is coordinated with Craftsman Fronberg Guss. The parts will be proved out in the German foundry before the toolings are shipped to us in India. This is giving a lot of confidence to our customers that we will get it first time right because the products are very expensive and the data center customers are also very sensitive for any sort of quality issue. So, we are on the right track as far as that is concerned. We have gotten to that league of the large engine block manufacturing, thanks to the acquisition of Fronberg Guss and support from our customers.

Vignesh: Sir, if there is any implication or the engine cost or something like that, how large it will be, the amount, approximate, etc.?

Srinivasan Ravi: Can you clarify this question once more? I did not understand the nature of the question, please.

Vignesh: Just want to understand how large the engine and what will be the approximate cost, like how much will it be?

Srinivasan Ravi: I think the generators are a million dollar

or a million euro or something. It depends on the size. It may be more or slightly lesser. It can be much more also depending on whether it is a 10 megawatt, 5 megawatt, 6 megawatt, it can be of different sizes. But the technology of a normal generator and a generator or the backup generator or a main power source for a data center is totally different. It is very, very sensitive to quality of power. Any small fluctuation in the generator which all the normal equipment run, even computers run, the data centers will not run. So, the technology of an engine as well as the controls on the engine, only around eight or nine companies in the world have mastered it and four companies are having maybe 70% of the market share and we are with three of the four companies at least. So, we are in the right track as far as this in-segment use goes on.

Vignesh: Okay, sir. Thank you very much.

Moderator: Next question is from the line of Jinesh Gandhi from Oaklane Capital Management. Please go ahead.

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Jinesh Gandhi: Ravi, a clarification on Kothavadi plant. So, are we indicating that plants will start operations in FY29 and ramp up to \$100 million revenue three years after that?

Srinivasan Ravi: We have planned this business during the COVID time of FY20 and in FY21, we started investing for the machine shop in the Arasur plant and from FY23 onwards, we started investing for the foundry in a small way, but '24 was the major investment where publicly also we said yes, we are going to go into this market. So, the time taken for product development being so long, the phase-I of the foundry has been more targeted towards industrial engineering products. So, the Kothavadi foundry which is operational now is for the industrial engineering casting segment of the business. What follows is the phase-II which is towards the large engine block manufacturing which is work-in progress.

Jinesh Gandhi: Okay. So, that phase-II will start in FY29?

Srinivasan Ravi: No, phase-II will start much earlier. The validation of the engine takes around one and a half years. Once you supply the samples for the customer, they have to test the product because a million dollar product it is not as bad as defense which takes almost eight to 10 years for prove-out. This is three-four year prove-out and certain customers we are halfway through the cycle and certain customers we are just starting now for their validation of the project. So, we are confident about the generation which is coming.

Jinesh Gandhi: So, commercially that would be in '29?

Srinivasan Ravi: Really speaking, this is one of the key entry barriers also for any supplier. So, it is not easy to start this business nor ramp up.

Jinesh Gandhi: Right. And with respect to industrial casting plant which has started, how should one think about ramp-up there and revenues coming from that business?

Srinivasan Ravi: That is quite marginal, and we have those customers like windmill customers which are already there for us. This is the base business where we are looking at foundry which we are trying to broad base the new campus which is quite having a large potential. So, it is not as remunerative as the high-end business for the engine block business, but that keeps our foundry running and operational going forward while we continue to increase our capacities for the engine block manufacturing.

Jinesh Gandhi: Okay. And lastly, with respect to our Sunbeam business, so can you talk about what were margins in 2Q, and what it will take from our side for margins to reach double digit in FY27, and is it possible for us to take it to the level of margins in standalone engineering business at Sunbeam?

Srinivasan Ravi: Unlike DR Axion, it is not a single plant operation, there are five plants which are there and the product is more oriented towards two-wheeler than the passenger vehicle, #2. Number three, the new busin

ess has not come in the past few years because of their financial condition. So, we are starting with next year on the double-digit EBITDA, and with the synergy which is happening with DR Axion as well as Craftsman's business, we will be at some particular point of time on a level which almost equivalent because we have shared resources. In fact, acquiring Sunbeam is also helping Craftsman to acquire more customers and also to reduce the overhead burden on each of the companies.

Jinesh Gandhi: What is the margins in 2Q for Sunbeam?

Srinivasan Ravi: It is around 6%. This is for 2Q.

Jinesh Gandhi: Got it. Great. Thanks and all the best, Ravi.

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Moderator: Next question is from the line of Shubham Bhatra from Ambit Asset Management. Please go ahead.

Shubham Bhatra: Hi, sir. Thanks for taking my question. Congratulations on a strong set of numbers. Could you speak briefly on how the alloy wheel plant both at Bhiwadi and Hosur are ramping up and what kind of numbers should we see from them in the current year?

Srinivasan Ravi: You are looking at revenue? I think we are not breaking the revenue on the alloy wheel, but the plant capacity the installed in total will be 5.8 million between Bhiwadi and Hosur as of now, another 2 million will go to phase-II which is to be installed in the coming couple of quarters at the Hosur plant. With that we are having order of the customers above 6 million and we are putting capacity of 7 million because of the seasonality of the business. So, that will be in full operation by Q2 of next year.

Shubham Bhatra: So, currently only Bhiwadi is contributing to our top line, right?

Srinivasan Ravi: Yes, we have started commercial sales only last week at Hosur.

Shubham Bhatra: Got it. Secondly, sir, I wanted to clarify, our standalone aluminum segment EBIT margin, they have expanded quite a lot on a QoQ basis. This is largely because of the ramp up of the alloy wheel plant. Is my understanding right?

Srinivasan Ravi: No, this is better operating leverage with better absorption of fixed cost. When we are having a campus, for example at Bhiwadi, it is not only we have shifted the Gurgaon facilities into Bhiwadi, Sunbeam's plant is operational as one unit inside the Craftsman Bhiwadi area. So, all this synergy is helping us to average our cost. And the incremental revenue, the fixed cost does not proportionally increase. So, that is the reason we are seeing some margin expansion.

Shubham Bhatra: Got it sir. Thank you.

Moderator: Next question is from the line of Vinay Nadkarni from Hathway Investments. Please go ahead.

Vinay Nadkarni: Thank you very much. Just two questions from my side. One is on, can you give me –

Moderator: Can you speak a little louder please?

Vinay Nadkarni: Just wanted to understand from the four verticals that you run, sector-wise, if I have to work out which sectors contribute your maximum, say, 70%, 80% of your business, your customer sectors, I mean?

Srinivasan Ravi: Customer sectors, you mean? I think the automotive-related business is contributing to 80% of the revenue, it is quite obvious. On a consolidated basis it may be even more I think.

Vinay Nadkarni: And secondly, the cost of your Kothavadi development that is going on, will that be expensed out or will that be capitalized?

Srinivasan Ravi: No, no, there is no more capitalization, already the plant is under operation now.

Vinay Nadkarni: So, the large engines development that happens for the three years?

Srinivasan Ravi: No, see since the phase-I of the plant is operational, we cannot be capitalizing anything. So, we are incurring cost as of today and we are expensing only.

Vinay Nadkarni: So, the revenues will come only three years later but the cost will be incurred during this period of three years?

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Srinivasan Ravi: No, already it has been incurred, even last year I

think we have started to incur and every quarter we are incurring a few crores there. So, this is always the case when you are putting up a new plant. So, before the plant started commercial production, we have capitalized a little. But once commercial production has started for the plant, we cannot do anything on this matter. This is the right accounting approach and we follow that.

Vinay Nadkarni: Okay. Roughly, it would be how many crores every quarter, the cost on account of this?

Srinivasan Ravi: No, that I cannot declare because the amount of overseas travel and the amount of samples being made and that it is quite very high on the proto-tooling, the communications and hiring consultants for the technical evaluation of the products is all very high. So, I will not be able to break it down to that level.

Vinay Nadkarni: Thank you very much.

Moderator: Next question is from the line of Chirag Jain from Emkay Global Financial Service. Please go ahead.

Chirag Jain: Thank you so much for the opportunity, sir. Just wanted to clarify, so you mentioned that some of your customers are looking to expand capacity by almost 50% over the next few years, and we may choose to expand our capacity. So, do we see a possibility of further M&A, or you believe that over the last few years the kind of expansion that we have done, both organic and inorganic, we have a reasonable foundation in place to largely grow through organic efforts, I mean, any thoughts you can share on this one?

Srinivasan Ravi: Currently, in the next 18 months, we are not looking at any large inorganic subjects. It may be a few crores here and there for some slump sale for taking over some technological area somewhere, it can be possible, but I would rule out any M&A in a big way in the next 18 months. And I do not see any merit going forward because our traction as a standalone as well as on a consolidated basis we are seeing close to 20% even more maybe I would say that the order book is showing CAGR growth of around 20% in the coming years. So, no need for any M&A going forward. But yes, looking at 2029 or 2028, there is always a possibility if something good comes up.

Chirag Jain: Understood. And this capacity expansion, you are largely referring to the aluminum casting business or you see similar opportunity on the powertrain side as well on the domestic side?

Srinivasan Ravi: Powertrain, there was a lull for two, three years which I have been also vocally communicating I would say. All the multinationals from Japan and Europe and US are setting a base here with the eye for export and some have started to ramp up, some are very slow in ramp up because they have shut down their plants in their respective countries. You are aware that Japan needs workers to be imported into the country, otherwise they do not have people to operate there. Similarly, it is the situation for the other Asian countries like Korea also. And even in Europe, we are having a shortage of skilled manpower going forward for any large projects which are not going to come. So, India is the best place outside our large Asian neighbor to really grow the business. So,

outside China, I think India is very surely becoming the largest manufacturing hub with eye for the Indian market growth as well as the Middle East, Asia Pacific, the African markets and South Asian markets which are more or less similar to the Indian markets. For these markets, India is the right place to manufacture, and this has been recognized by all the multinational firms which are investing heavily in India. It started a little way in tractors, you know the big names have come there here and also the engine manufacturers have also come from Japan who are also supplying engines for tractor. Then we are seeing two-wheeler export happening. We will have Japanese companies expanding their base in India for two-wheeler as well as passenger car with an eye

for

export. The construction equipment manufacturers also are coming here. And now, last but not least, even for the power generation, the American companies are thinking with the tariffs there, they being a net exporter, why they should import products with tariffs

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into the country and export their products into other countries like Middle East or even the African market and South American market. So, they are shifting their manufacturing base for the products suitable to India. So, this is the first shift which is visible now. What happened 15-years ago with our Asian neighbor is starting to happen now.

Chirag Jain: Understood. Thank you so much, sir, for the elaborate answers. Thank you and all the best.

Srinivasan Ravi: Thank you.

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to Mr. Srinivasan Ravi for closing comments.

Srinivasan Ravi: Thank you very much for joining and also the confidence in the big step change we have done in the past one year. We are in for a lot of challenging as well as exciting times. The opportunity for growth is quite phenomenal and we are getting very strong enquiries and a lot of information is floating in the public domain also with most multinationals expanding their base in India. So, we are very confident about the future of Craftsman and thank you very much.

Moderator: On behalf of Craftsman Automation Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for readability purposes)

Call: Feb 2026

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GST NO:

2nd February , 2026

To

The Manager - Listing, The Manager - Listing,
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Phiroze Jeejeebhoy Towers, Bandra Kurla Complex ,
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051
Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

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ub: Transcript of the Earnings Conference Call on the Unaudited Financial
Results (Standalone & Consolidated) for the quarter and nine months
ended 31st December , 2025;

P

ursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015 and our intimation and
outcome letter dated 5th January , 2026 and 29th January , 2026 respectively, we are
enclosing herewith the transcript of the earnings conference call organized on Thursday ,
the 29th January , 2026 at 4.00 P.M. (IST) on the Unaudited Financial Results (Standalone
& Consolidated) for the quarter and nine months ended 31st December , 202 5.

The t

ranscript of the earnings conference call will be uploaded on the website of the
Company at www.craftsmanautomation.com .

W

e request you to kindly take the aforesaid information on record and disseminate the
same on your respective websites.

Thanking you.

Y

ours faithfully,
for CRAFTSMAN AUTOMATION LIMITED

S

hainshad Aduvanni
Company Secretary and Compliance Officer
Encl: As above

Page 1 of 13

CRAFTSMAN AUTOMATION LIMITED

Transcript of the Earnings Conference Call held on 29th January, 2026
for the quarter and nine months ended 31st December , 2025

This document might contain forward -looking statements that involve a number of risks,
uncertainties and other factors that could cause the actual results to differ materially from those
in the forward- looking statements. We do not intend or assume any obligation to update any
forward -looking statement, which speaks only as of the date on which it is made.

Moderator: Ladies and gentlemen, good day and welcome to the Earnings Conference Call hosted by Craftsman Automation
Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to
ask questions after the opening remarks are concluded. Should you need assistance during the conference call, please signal
an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr.
Srinivasan Ravi, Chairman and Managing Director of Craftsman Automation
Limited. Thank you. And over to you, Mr. Ravi.
Srinivasan Ravi: Thank you. Good afternoon, everybody. Thanks for joining the Earnings Call. The presentation has been

updated in the exchanges. So, I hope you had time to go through that. So, we are ready for the Q&A, please. Over to the queue. I think we can start Q&A.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. Ladies and gentlemen, you may note that some of the statements which may be made by the management team during this earnings conference call may contain certain forward- looking information, which are not guarantees of future performance and are subject to a number of risks and uncertainties.

We encourage you to refer to the disclaimer in the investor presentation of the company. Further, the management will not be addressing any customer -

specific queries owing to confidential obligations. We kindly request that you avoid mentioning any customer names in your questions. We take the first

question from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Yes. Thank you, sir, for the opportunity. Sir, on the aluminium side, aluminium standalone margins, sir, this quarter, there is a dip sequentially Q-on-Q. I just want to understand what could be the reasons for the decline? Is it some aluminium higher cost impact? And also, sir, how do you see the aluminium standalone margins over a period of time, sir?

Srinivasan Ravi: For the annualized basis, I think the aluminium will be moderating at a higher level. Q3, I think there's a start up of a new plant in Shoolagiri. We have incurred operational losses in the first quarter to prove out all the parts totally. So as a consolidated, I mean, as a standalone, it affected the stand-alone because it's quite also a significant plant. So we have started production now, and I think production will ramp up by Q2 to a reasonable level.

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I think it will be improving from Q4 onwards continuously. So, I don't see any big change in the aluminium business margins going forward. Optically, yes, the commodity prices have been quite violent in the upward surge, and it is quite significant in aluminium, and it has continued to remain that way. So, our margin will be on the gross margin or value addition, I would say. So optically, our margin may come down, but it will be quite intact as far as the margin is concerned.

The second point will be that the -- for the secondary aluminium, there is some volatility on the imports because of the sudden surge of the dollar or the rupee depreciation, I would say. All this has played out, but we have a pass-through with the customer. Some are immediate. Some are taking a month or two. So, there isn't the effect in the long term. But in the short term, yes, there has been minor corrections there, yes.

Mumuksh Mandlesha: Got it, sir. Sir, on the alloy wheel side, how we are seeing the utilization levels for the 5.8 million capacity? And also I want to check, have the alloy wheel margins moved to a normal range of something like high single-digit margin or still it's ramping up in terms of margins?

Srinivasan Ravi: So, we have not even touched 50% of the installed capacity, I would say, because of the high variety of parts, which are under -- is all subject to BIS approval also and the model developments and also customer validation. So the second thing is the -- because of the steep ramp-up and also addition of new plant, we are not in the double-digit margin yet or even high single digit. We are lower than that. But when the plant becomes optimal, I think by Q3, we should be reaching that level, Q3 of next year, I mean.

Mumuksh Mandlesha: And sir, next year, Q3, we should also be in a good 60%, 70% plus utilization levels for the plant, right, sir?

Srinivasan Ravi: Yes, correct.

Mumuksh Mandlesha: Got it, sir. Sir, on the....

Moderator: Mumuksh, sorry to interrupt you. Could you please join back the queue for follow-up questions? We take the next question from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf: Firstly, on the Powertrain segment, could you kind of give us some sense on the fact that commercial vehicle segment is looking better now? The outlook

seems a lot more positive and so does tractors. So, how do we see this segment fare for us? We have seen numbers around this INR450 crores in our quarterly run rate. How can this kind of ramp up further?

Srinivasan Ravi: In the last -- I mean, mostly couple of years, commercial vehicle was quite muted and even tractor was muted. Now, tractor is doing very well in this financial year and commercial vehicle is showing green shoots of some marginal growth. The more interesting portion will come in the coming years when commercial vehicle moves to the higher engine capacities and gearbox capacities, which

we expect the norm globally sort of heavy duty means and higher horsepower, 400- plus horsepower plus also on 700, 800 newton meter.

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But we are seeing a little of ceding in the market by some of the OEMs in India, and the results have been quite positive for the -- they are only battling with the delta cost, rather the productivity and fuel efficiency are offsetting the initial investment. So, this will move just like any other product moves up the -- for the higher capability, which is more productive for the fleet owners.

This will happen. That will be the more interesting. So, absolute numbers growing will be growing at single digit, yes. At the same time, the growth in tonnage also will be at single digit. But I think the ability to turn around the fleet and the per vehicle cost, I think is set to move up as we move forward.

Mukesh Saraf: Right. So, we should kind of hence see that benefit for us flowing through?

Srinivasan Ravi: Yes. And the silver lining as far as Craftsman is concerned is this means new product development and at least we can really do the costing from scratch at the current capex. The capex is also very high related to any infrastructure and also import of machinery because of the exchange rates. And we have the new Labour Code, which is coming in very soon that also will -- we need more automation.

Craftsman has been preparing very well for the last 3 years on manpower productivity by investment into automation and better equipment, or I would say, more productive equipment, in line with the international level of operations -- the international competitors. So that -- in that sense, I think new products call for also high reliability from the suppliers and high capability from the suppliers also.

So that will help us to price the product right. And the end product of the OEM, which goes to the market, the product is so highly priced because of the technology it is packed in and also the productive nature, it will not impact them, but I think -- I'm not saying there's a price reset, but I think reasonable pricing compared to the legacy prices.

Mukesh Saraf: Got it. And secondly, if you could give some...

Srinivasan Ravi: Tractors, we are benefiting not only from the volume growth, but I think the horsepower -- average horsepower has increased.

Mukesh Saraf: Right. Understood, sir. And on Sunbeam, if you could kind of just take us through, I mean, where are we in that journey towards double-digit margins now that we've been running it now for a few quarters? So, do you kind of see that it's going to happen in the next 2 quarters, 3 quarters? How do you see that?

Srinivasan Ravi: Three headlines. One is the heavy weight lifting of Sunbeam is over, but we have crossed the most critical point of 50% and now it is a journey, which will continue to improve. So, we will be seeing margins from Q2 of next year improving. We'll end the year at 10% sort of EBITDA level from the current year of around 7% totally. So the exit run rate will be much higher.

That is the Q4 will be higher than the 10% is what we see. And we have not still taken any new business, which we will be starting in the coming quarters. Even on the 2-wheeler side, there are premium vehicles coming up. There is a shift towards outsourcing of machining activity, which the OEMs are doing in-house. And we are strategically placed in many geographic locations for the business.

So for Sunbeam, especially we are also having a plant in Gujarat, Ludhiana, and we can supply to Uttarakhand. And also in the South, we have not invested for Sunbeam, but it's possible to look at similar parts and maybe also invest in the future. But I would say that those set of family parts, Craftsman is doing as well as Sunbeam is doing for 2-wheeler.

Sunbeam has also got increased potential for the exports going forward. While

we wait for the total restructuring of Sunbeam to happen thoroughly, we have more or less integrated the three teams on the working side of it. We have participated in the EUROGUSS exhibition just two weeks ago in Nuremberg, where all the key aluminium -- exhibition for aluminium suppliers and all three teams participated together.

We have exhibited the products together. We see a good response. The traction of being at least getting to a medium-sized aluminium company in the coming 2 years as a group will help Sunbeam to leverage that.

Moderator: We take the next question from the line of Abhishek Jain from AlfAccurate Advisors Private Limited.

Abhishek Jain: Congrats for a strong set of numbers, sir. Sir, in Industrial and Engineering segment, we have seen a very sharp jump in EBIT margin. So, just wanted to understand is it sustainable? And are we looking some improvement on the business and on the top line and the margin side, sir?

Srinivasan Ravi: Yes, it is sustainable. And with the operating leverage, which we have now started to generate, we will see margin expansion in the next financial year.

And the demand for these products is increasing in India, and we are the second largest player in the country as far as the static racking. And we are among the two largest Indian players, I would say, on the automated storage and both are gaining traction.

The second important point is since the market is also growing and there's been consolidation of the supplier base, it is a very clear segregation, which has happened from the top five players and the other players. They have become regional players. And also on the top five players, I think the number one and number two where we are number two. And among the other three, there is also clear gaps which is there, just like in the passenger vehicle segment. This means the larger projects execution mostly lies on three of the suppliers.

So that way, I think there's no need to undercut each other on this matter. And we feel that we have made enough traction in the -- and also proved the product in the market. So, we need not also go on a cost cutting -- sorry, the sales price cutting strategy to win orders. So the optimum usage of the plant

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will come in, in the next two, three quarters, where we will be able to see margin expansion due to better operating leverage and also better purchasing power from the steel.

Abhishek Jain: Okay, sir. Got it. Sir, my next question on the operating margin side. From last 2 quarters, we have seen that operating margin is hovering around 15% to

15.3%. So, just wanted to understand what would be the margin level in quarter 4 and in FY '27? As you said that this quarter margin also impacted because of the addition of the new plants and that impacted to some extent the aluminium margin. So if we take the FY '27 number, what kind of the margin expansion we can build in our model?

Srinivasan Ravi: The model of percentage of revenue as the margin, I think it doesn't hold good for many reasons. For example, aluminium exports from China has been dropped by 8%. So, aluminium prices have jumped by around 16% from \$2,800 to around \$3,050, something like this and the highest level since April '22, which was the last peak. So, when the top line only increases with the

same value addition, not margin, but value addition of absolute value, artificially, it looks like the margin reduces.

So, we have to look at it in relation with the commodity prices. So, I would kindly request you to look at the gross margin and the margin versus -- the EBITDA margins or EBIT margins versus the gross margins. That will be the right figure because aluminium again further increases, artificially, it looks like our margins have come down.

Abhishek Jain: But in the third quarter, if I see that top line number of this aluminium business that was quarter-on-quarter flat, despite that, we have seen around 200 bps

margin contraction. So if you can throw some light over there that what were the key reasons for that 200 bps of margin contraction on EBIT level and how these numbers will start to improve?

Srinivasan Ravi: See, the revenue, what you see on aluminium is some of the increased aluminium prices. So, you can say that the top line has been flat. It may be reduced for us as far as our contribution goes totally because it may be attributed that the top line being flat or growing or being stable maybe because of the increased aluminium prices.

So, you cannot just look at the top line and look at it. I said only one-time event about this new plant at Shoolagiri for the alloy wheel, which has impacted our margins. Yes, that will be there for a quarter or two, then it will go away just like we had in the past about when we started the Bhiwadi plant, if you remember. But otherwise, the top line are not strictly comparable between even Q2 and Q3 because aluminium prices are different.

Moderator: We take the next question from the line of Nikhil Rao from iThought PMS.

Nikhil Rao: So, I have a question on the order book for stationary engines. Can you provide the split for the 100 million between prime parcels and backup parcels?

Srinivasan Ravi: So, our customers do not tell us whether it's for prime power or backup power. So, we have no -- and these are fungible. At least the product what we make

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is fungible. They manufacture everything under one roof. So the second point is the order book. I think it is -- we are inching towards an annual level of around \$60 million and then also for FY '29.

And now the balance \$30 million, \$40 million also will get tied up in the next year or so. So, we will be on track with the \$100 million revenue for FY '29, FY '30, FY '29, possibly if the testing and acceleration. The demand for the products is quite high and the customer support on the product -- the order books as well as on the product development is quite significantly high. We will be touching a peak requirement in the market by 2030. All the OEMs are geared up towards that. So, we are on time for this to catch this upward curve.

Nikhil Rao: Okay. And from this Fronberg acquisition, do you see any demand coming in beyond data centers like from other industries? And also, what kind of steady-state margins are you expecting from this business?

Srinivasan Ravi: See, energy per se has been growing not significantly in the past, but these data centers or AI has driven the energy to be suddenly spike, I would say. But even if the spike is over and even at a larger base, we still see energy will -- demands will keep growing and backup requirements will keep growing. But it will not be as high as this what is happening. So once we are into this elite league of this supply of these critical parts, I think there is many -- a lot of validation required to onboard a supplier. We are through with the first phase. Second phase is on now. So, we will be starting to supply in a year, 1.5 years, the first invoicing will start. So, that is the most important point in our milestone so that we will continue to leverage this relationship with our customers for future products. India per se is also well poised for this -- taking advantage of this technological growth because there's not much of capacity in Europe, nor in North America.

Since Craftsman also owns a foundry for this large engines, Craftsman Fronberg Guss, which is near -- it is in Hamburg, which is near Nuremberg. We have an insight into whatever capacities are available in Europe also totally and what is really happening to those capacities. So, we are working hand-in-hand with the customer to see we align with their future requirements on volume.

Nikhil Rao: Okay. And one more question. What are the current debt levels of the company, both short and long term? Given that OEMs finished 2025 with like near optimal inventory days, has there been like a bullwhip effect on your working capital needs because of the recent surge in demand because of the GST reduction?

Srinivasan Ravi: No, on the Powertrain, I think there is no increased requirement of working capital per se. In aluminium, I think the delta price of the price increase will have that marginal 10% or 15% increase in the working capital requirement. So the question is net debt to -- I would rather look at debt to EBITDA. Debt to EBITDA on a consolidated level, we are at 2.55 on a 9-month figure, which is annualized.

Nikhil Rao: Okay. Thank you. That's all from my side.

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Moderator: Thank you. We take the next question from the line of Ajox Frederick from Sundaram Mutual Fund. Please go ahead.

Ajox Frederick: Sir, in aluminium, are there products where we can benefit out of this aluminium price increase, meaning it is not on per tonnage basis and on more product level pricing?

Srinivasan Ravi: We never have ever quoted for per tonnage basis at all. Aluminium is a calculated material cost, and that is it. And that is anybody can calculate it, not only the customer. So it is a very clear engineering number, which nobody can dispute on the weight of the part, nor on the cost of the material. Cost of material, of course, there can be some dispute on plus/minus 3% on market prices.

That is it. So beyond that, whatever is the gross value addition, what we do on the casting side and the post casting process can be painting, can be some heat treatment and also can be also the machining side. So, we are an engineering company where we do a lot of machining per se as Craftsman stand-alone. But Sunbeam and DR Axion are more on the casting side. Sunbeam on the exports, yes, it is fully finished product. So, we never have ever quoted for per tonne basis on the matter. It is always component to component and this component, this price.

Ajox Frederick: Okay. So I mean, despite quoting at those levels, you're saying the spread is what we compute as value add. So always when prices increase, there will be an optimal reduction in margins. So, that will always happen?

Srinivasan Ravi: Yes, correct. See, suppose a tailor is getting INR1,000 for stitching and the garment is INR2,000, the margin is on -- say, it has got INR300 margin. So the material cost goes up. We have no -- it is a pass-through. So it will only optically increase the top line revenue.

Ajox Frederick: Yes. Got it. So sir, secondly, on this Euro FTA, can there be better opportunities than earlier envisaged in Kothavadi from Europe?

Srinivasan Ravi: No, I think the Kothavadi project is based on a very special product where there's a unique once-in-a-lifetime sort of requirement coming up for the OEMs who are manufacturing those products, which are hardly less than 10 companies all over the world. So, this is driving that. They are going to lose their customer base if they don't ramp up on that matter. So, everybody is in a race to create capacities. Nobody is worried about this FTA per se.

I think I mentioned in the previous earnings call, the engine or the generator, generator costs anywhere between \$1 billion -- sorry, \$1 million to, say, \$1.5 million per generator, whereas our product may be around \$20,000, \$30,000

depending on the configuration and size of the engine, things like that. So, we are not any significant game changer as far as their bill of material or the cost goes in.

So it more is driven by the capability of the supplier, in this case, Craftsman and also the reliability of quality is extremely important for the customer to take

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a decision. This was normally made in-house. So the trust to give the orders outside to a supplier itself is a big, big step for these OEMs.

If you ask for the other -- n

at the bottom of the pyramid, at least the middle of the pyramid products where we are somewhat present a little, but on the top of the pyramid products, this is not the criteria. FTA is not the criteria. But middle of the pyramid products, there is an -- earlier it was, we need to be 30% cheaper than what they develop in Europe.

Now, Europe costs have gone up and now they're feeling the pinch. Now, they're looking at 20%, we should be cheaper than Europe to get the order. We don't really engage on those sort of businesses. But with this FTA coming in, I think the gap will be further reduced totally. And the trust on Indian supplier base has to improve because of infrastructure for shipping, logistics, reliability of quality and delivery.

Once it improves, we can come at even at a 10% leverage we have on the pricing is we have lesser pricing than the European counterparts, we can easily win the order. But for the aluminium, the other things are happening. Now, I'm switching over to aluminium. Sorry about that. But I would say that I want to clarify, aluminium there is a lot of distress in the aluminium supplier community vendor base, especially in the auto ancillary, both in North America as well as in Europe.

They all invested heavily for Europe and many of them are getting insolvent or they don't have the ability to invest further. So when the swim back is happening to hybrid and ICE in a bigger way, these companies are not able to adopt at all and the products have to be outsourced to other regions. So, we are still competing with our Asian partners and other regions also. So, I think between -- we are not really competing now with the European supplier base or the American supplier base on the products what we manufacture.

Moderator: We take the next question from the line of Mumuksh Mandlesha from Anand Rath Institutional Equities.

Mumuksh Mandlesha: Yes. Sir, on the capex side, what is the capex for the 9 months? And what is expected for the full year, sir? And can you again indicate the debt level? What is the debt gross and net currently, sir?

Srinivasan Ravi: I think this can be taken offline on this subject. So, we'll be reading out lot of numbers for various subsidiaries also. As I mentioned, consolidated net debt to EBITDA, you know the EBITDA levels. It is 2.55 as of now. And today, the return of capital employed is -- pre tax is around 16% totally.

ROE is around 12% annualized. So the -- we look at it now, there is a big upsurge in orders as we speak also. So, we are looking at stand-alone capex for Craftsman around close to INR1,000 crores this year because we have added quite significant revenue. If you recall, our IPO value were when the turnover was around, say, INR1,300 crores, INR1,400 crores range. And now this year alone, we added -- we are adding around INR1,000 crores to the top line overall.

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And we are seeing that this growth is going to continue in the coming quarters, also in the coming years. So, we are incurring capex at that level. So, I would not like to comment on closing debt or this. But I think we have seen the higher level of net debt to EBITDA at 2.55. This will keep improving.

Mumuksh Mandlesha: Got it, sir. And sir, finally, sir, on this recently, Sunbeam has sold its aluminium

piston asset to Shriram Pistons. Just want to understand, I mean, what kind of business was that, sir?

Srinivasan Ravi: It was generating around INR30 crores revenue approximately with 2 customers there, both on the 2- wheeler side in the NCR region, totally these customers. And historically, I think earlier it was a slightly higher number, but the products have migrated and moved during the Sunbeam's troubled period, they have not developed the new products. So it doesn't make any material change to have this INR30 crores revenue with the variety of products. And we are not a key market player also, Sunbe
am there.

So, we are simplifying the business model of Sunbeam to its core competencies overall on the strategies. In fact, not only that particular business, the number of customers also we have are on the exit mode. We have given 3 months, 6 months' notice for that. These customers, I think, numbering around 10 contribute to 5% of our revenue. So, this means that we'll become more and more efficient as we move on.

Now as we speak, I think 97% or 95% of the revenue is coming from 4, 5 customer groups, I would say, in total. So we want to focus on that, stabilize that and then add more customers, which are sizable value. Here after adding a customer on value, I think at threshold level, I think the initial orders itself, we are looking at \$10 million, going all the way to \$30 million, even for a smaller company like Sunbeam because of the new cost of, I would say, labor, the infrastructure, the capex .

The equipment cost has gone more, and the demand from the customer also are quite high because of the new requirement of quality and things like that. Also, as we speak, the increased requirements for all sort of tax and other compliances, software, all these things are also going up. So, we cannot really add retail business. This is why we are rationalizing Sunbeam's business.

Moderator: We take the next question from the line of Vignesh SBK from Ksema Wealth. Please go ahead.

Vignesh SBK: I just want to know, how do we see the revenues across the segments growing in the next couple of years? Do we see like industrial engineering like ramping up? What's your view on that?

Srinivasan Ravi: Yes. Industrial Engineering, I think high single digit or low double digit will be there. On Powertrain also, we see the similar number. Aluminium products will be in the high teens.

Vignesh SBK: Okay, sir. And how do you see like from ICE to electric vehicle shift and the benefiting or the usage of aluminium products more towards the EV? Is that happening?

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Srinivasan Ravi: Can you please repeat the question?

Vignesh SBK: The demand for the aluminium products, is it increasing as we slowly move to the EV side because of light weighting and something like that?

Srinivasan Ravi: I would answer that in two different ways. First, I will answer it for ICE, which is applicable, and then we'll talk about hybrid ICE and then the EV. All the three segments will benefit from light weighting very clearly because it means lesser carbon footprint, lesser cost of the vehicle in engine size and better.

Even the passenger car segment , you might have noticed slowly but surely that now 1.5 liter is becoming predominant, even though the 1.5 liter of the current passenger cars are pumping out more power than the 2 liters of the gasoline earlier. So, now earlier the 1.5 liter power was being used for 1.2 liter also. The engines have become more powerful and more smaller. So even in spite of all that, I think the engine capacity is moving in India from 1.2 to 1.5 liter.

So, this means that the other amenities or other features which the customers want, they will need some sort of engine power or a hybrid to supplement the activity. So, all this or the CAFE norms will drive them, drive the OEMs to have lesser emissions in total to meet the CAFE norms. So for that, light weighting is the best way.

And yes, on EV, it becomes more predominant because the more lighter the vehicle, the same battery will give a higher range or the -- we can reduce the size of the battery to give the same range. That means the cost of the battery in relation -- decrease in cost of the battery in relation with the increased content of aluminium, it is quite similarly advantageous for the OEM to move towards aluminium.

On the ICE and hybrid, the challenges are slightly different. The new platforms have to take the -- they have to bring out the new designs, which the Western world has already adopted in the last 10 years. And only then the aluminium content will increase. But as OEMs build new plants, it is only then possible for them to make this big change.

Always they say platform. I mean, we have to develop a new platform because the existing platform will not meet the safety norms or will not meet the new requirements which have come up. So when they invest for a new platform, which is much more than the Powertrain investment, they build in features which can take in more aluminium, I would say.

So, that is the time aluminium content will dramatically increase. We have got a long way to go for the increase of aluminium content in the passenger vehicle when compared to the Western world. So it is happening, but it's not happening at the pace what we want to happen.

Moderator: We take the next question from the line of Abhishek Jain from AlfAccurate Advisors Private Limited.

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Abhishek Jain: Sir, my next question is on debt side. So, what's your plan to reduce your debt? As you were earlier indicated that you will sell one of your land and you will start to reduce debt in FY '27. So, just wanted to understand how much debt reduction will happen in FY '27 onwards? And what is your target for the medium term?

Srinivasan Ravi: See, we have already told anything debt below -- debt-to-EBITDA below 2 is comfortable, and we'd like to stabilize at 1.5 when we have gone through this big growth cycle. So as we speak, it is 2.5 in spite of the land not getting sold. Land has become very -- and very hot property, I would say, in that region. And while we're waiting for the best price, we are engaged with multinational companies who are in the business of selling this land.

Various advertisements have come in. Offers have come in. So, we are evaluating these offers for the best possible price. We are carrying around INR350 crores worth value in the books, which was at the last year when we had done the evaluation. So, we are seeing what best we can do for shareholders. So, that will surely reduce the debt. But we are not in such a hurry that we have to sell the land at a lower price to reduce the debt.

Abhishek Jain: You mentioned that your debt -to-EBITDA reduction to be around 1.5 from the 2.5 now. So, how much time it will take?

Srinivasan Ravi: Sir, I think I need to be very honest. If we grow at 5%, it will take only 2 years to get to debt -to-EBITDA of 1:1. And another 2 years, we grow at 5%, the debt will be gone totally. There will be no new customers. So, we are balancing that act on the matter. So at a steady state at a lower growth at around 8%, 10%, I think we can have a debt -to-EBITDA anywhere between 1 to 1.5 totally.

So, there will be -- today, we have grown the business from INR1,500 crores to INR7,000 crores. The very fact that India and our Asian neighbor, we have not kept paces. All our customers are disappointed that we don't have the capacity, nor infrastructure to handle those big orders totally.

So for that, I think without building bridges, I think the infrastructure will not grow in the country, nor we invest for -- we cannot have the multi-national customers to place single orders of \$50 million, \$100 million with us unless we have the capability to deliver that. So with a smaller base, yes, it looks like as if the capex is high. But I think we are looking at even in the aluminium space, competitors who are having \$8 billion only in aluminium revenue.

And all the top 10 aluminium players are between \$3 billion to \$8 billion. And you know that the stated fact is we are less than \$0.5 billion in aluminium revenue. So unless we scale up capacity, we cannot even bid for the orders. On one side, we want to broaden the customer base. We want to export. We want to be one among the players who are capable of going to the next 10, 15 year cycle of this sort of not only growth phase, I would say, sustainability. So, I think we are doing capex to sustain the company for -- with getting new orders at the new technologies.

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Abhishek Jain: Got it, sir. Sir, in the Powertrain business, you are also adding capacity. So, just wanted to understand when it will be completed and how much incremental revenue would be generated on this capacity, sir?

Srinivasan Ravi: I hope we'll continue to invest for the Powertrain for the first next 5 to 10 years. And this was a stated fact that we bet on ICE rather than on EV. And now we see that it is paying off. So, there is a lot of consolidation happening within India as well as rest of the world in the number of supplier base because, again, of the technological change and the new demands on the emission norms, I would say. So, we are becoming -- getting more inquiries as we speak. So as long that demand keeps going, we'll continue to expand and invest in capacities.

Abhishek Jain: And what would be the near-term capacity additions in the Powertrain business? How much that would be?

Srinivasan Ravi: I think 10% capacity is -- 5% to 10% is what we are looking at in the next 12 months starting from even this January, yes.

Moderator: We take the next question from the line of Nikhil Rao from iThought PMS. Please go ahead.

Nikhil Rao: Yes. Thanks for the opportunity. So DR Axion's EBITDA margins are at 20% I think currently. So, just wanted to know if this is the peak or .. in the coming year? And how can we achieve this good growth?

Srinivasan Ravi: See, we are putting up one more plant for DR Axion. We have done the disclosures in the stock exchange. You may be aware that we have received some orders. And it's quite significant this plant investments and capacities as we move on. So as we move on, when the new plant comes into operation, two quarters, we'll have a hit on the margins because there will be preoperative cost, which is there and suboptimum utilization of the plant.

But as we move forward, again, it will normalize. And when that plant comes in at full operating capacity in the coming 3, 4 years, we will see that margin expansion will happen because the older projects come down. Again, margin expansion, I put a caveat here or I put a disclaimer here, which is a very strong disclaimer. Our margins are related to only gross margins compared -- on percentage of the gross margins or the -- after the material cost is removed from the top line. So otherwise, it is not an apple-to-apple.

Today, aluminium is around INR230, INR240 or INR280 on the special alloys. No, no, sorry, on special alloys, it is more than INR 280. Tomorrow it may be INR500. So if we calculate margins on that, it will be wrong. So, I would rather say it will come on operating leverage and how well we control our costs and how well we are controlling our -- I mean, the product mix and our strategies going forward.

Moderator: We take the next question from the line of Himanshu Singh from Baroda BNP Paribas Mutual Fund.

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Himanshu Singh: Sir, so just wanted to understand what is our exposure by segment? Can you give any rough figure like CV, passenger vehicle, 2-wheelers?

Srinivasan Ravi: Only in the Powertrain, you are talking about as a whole as a company. I think

you're talking about as a whole as a company. As a consolidated revenue per se across all the subsidiaries also, passenger vehicle contributes to 34% revenue, 2- wheeler is 24%, commercial vehicle is 12%, storage is 9% and balance is -- tractor is around 4%, and all other products, I mean, off -highway is around 5%. Other Powertrain is 4%. So it is quite a long tail.

Himanshu Singh: Okay. Sure, sir. And sir, next question is on the stand- alone aluminium

performance. So, we have seen the revenues also coming down and margins on the EBIT level falling sharply, almost like 500 basis points. Any part

icular

reason? How should we see this going ahead?

Srinivasan Ravi: See, there are OEMs who shut shop for the annual maintenance and post the festive season, inventory correction, the product mix would have changed. Maybe our revenue would have been flat because of aluminium prices or because of new products we have brought into line, which are suboptimum and the existing product lines will not be utilized properly in December because customers will not invert material in the last two weeks of the month because the year of manufacture and a lot of other things which are there.

We also have increased our capacities quite significantly, and we carried those costs in December, which it is below optimum level for December usage. So, this will continue. As we ramp up, it will not be a stable level. There will be fluctuations from one quarter depending on festive season, depending on how the customer performs, how that particular product segment is contributing. So,

we will have that. But as on an annual basis, I don't see any big change.

Moderator: Ladies and gentlemen, as there are no further questions from the participants,

I now hand the conference over to Mr. Srinivasan Ravi for his closing comments.

Srinivasan Ravi: Thank you very much for joining. And what I wish to tell our shareholders and investors, I would say thank you for staying with us during this large change,

what we have brought about the company from a stand- alone to with the subsidiaries and things like that. We have more interesting things to do in the

-- to make the company more strategically aligned in line with the global requirements. So, we are working on that. And thank you for your support.

Moderator: Thank you. On behalf of Craftsman Automation Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited for readability purposes)

Call: May 2026

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13th May, 2026

To

The Manager - Listing, The Manager - Listing,
BSE Limited, National Stock Exchange of India Limited,
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Phiroze Jeejeebhoy Towers, Bandra Kurla Complex ,
Dalal Street, Bandra (East),
Mumbai - 400 001 Mumbai - 400 051
Scrip Code: 543276 Stock Code: CRAFTSMAN

Dear Sir/Madam,

Sub: Transcript of the Earnings Conference Call on the Audited Financial
Results (Standalone & Consolidated) for the quarter and financial year
ended 31st March , 2026 ;

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing
Obligations and Disclosure Requirements) Regulations, 2015 and our intimation and
outcome letter dated 27th April, 2026 and 8th May, 2026 respectively, we are enclosing
herewith the transcript of the earnings conference call organized on Friday , the 8th May,
2026 at 4.00 P.M. (IST) on the Audited Financial Results (Standalone & Consolidated)
for the quarter and financial year ended 31st March , 2026 .

The transcript of the earnings conference call will be uploaded on the website of the
Company at www.craftsmanautomation.com .

We request you to kindly take the aforesaid information on record and disseminate the
same on your respective websites.

Thanking you.

Yours faithfully,

for CRAFTSMAN AUTOMATION LIMITED

Shainshad Aduvanni
Company Secretary and Compliance Officer

Encl: As above

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CRAFTSMAN AUTOMATION LIMITED

Transcript of the Earnings Conference Call held on 8th May, 2026
for the quarter and year ended 31st March , 2026

This document might contain forward -looking statements that involve a number of risks,
uncertainties and other factors that could cause the actual results to differ materially from those
in the forward- looking statements. We do not intend or assume any obligation to update any
forward -looking statement, which speaks only as of the date on which it is made.

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Conference Call of Craftsman Automation Limited. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions

after the presentation concludes. Should you need any assistance during this conference, please signal an operator by pressing star followed by zero on your touchtone telephone.

I now hand the conference over to Mr. Srinivasan Ravi, Chairman and Managing Director of Craftsman Automation Limited. Thank you, and over to you, Mr. Ravi.

Srinivasan Ravi: Thank you. Good afternoon, everybody, and thanks for joining the earnings call. We have uploaded the presentation. I hope all of you had a chance to have a look at it. So straight away, we can start with the Q&A.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. Please note that some of the statements made during this earnings conference call may constitute forward-looking statements, which are subject to risks and uncertainties and are not guarantees of future performance. We encourage you to refer to the disclaimer section in the company's investor presentation. Further, the management will not be addressing any customer-specific queries due to confidentiality obligations. Participants are requested to avoid mentioning customer names while asking questions.

We have a question from the line of Prites

h Chheda from Lucky.

Pritesh Chheda: Yes, sir. Can you talk about a little bit on the alloy wheel project on the expansion side that we had?

Srinivasan Ravi: The exit rate of the alloy wheel, approximately it is around volume-wise annualized when you look at it on the March. It is equal to around 3 million alloy wheels is the exit rate for the month of March. We have been ramping up in steps at Bhiwadi as well as in Shoolagiri. We have done at a volume which is at a run rate equal to close to 3 million wheels for the month of March for the annualized time, say.

Pritesh Chheda: The project would have started in quarter 4, right?

Srinivasan Ravi: Quarter 4 or quarter 3 for Shoolagiri. But Bhiwadi is in operational, the phase 1 is operational for the full year.

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Pritesh Chheda: Okay. And how about the Hosur one?

Srinivasan Ravi: Hosur one we started in Q3, and we are still ramping up. Yeah, both plants we are still ramping up. The exit run rate has been to the tune of annualized March number when we annualize, it is equal to around 3 million (nos).

Pritesh Chheda: Okay. In the aluminium die casting side of the business, the acquisition of Sunbeam, where are we in terms of the capturing of margins via the shift and what is the progress there?

Srinivasan Ravi: We are just lacking behind on the margin-wise with a single, still at single-digit for various reasons. We are on the right track that we are exiting customers where it's not profitable, exiting subsegments of the business with same customers where it's not profitable totally or even selling one portion of the low-value business which is around INR30 crore per year. We have sold that line of equipment and business which we had disclosed to the stock exchange. The customers who are exiting also need some time to find other suppliers. These are non-profitable businesses and unviable going forward. The restructuring is on, so we are on the right track. From Q2 onwards on the current year, we will see some traction. The reduction of manpower, the reduction of products, reduction of customers and revisiting everything and also resetting the prices which are legacy prices, legacy products.

And also, on the aluminum price reset or the aluminum price pass-through, we have been very clear with the customers. Where aluminum price pass-through is not there, then we are declining to supply. All these are in action as far as Sunbeam is concerned. Not only in Sunbeam, across the other aluminum plants also, which is, it is slightly common. We will

see the results coming into Q2 from Sunbeam.

Pritesh Chheda: Okay. My last question is on the growth rate overall. How should we see FY '27 to be looking like on the revenue growth side?

Srinivasan Ravi: As I mentioned last time itself, we for the first time we had given some guidance because of so many changes in the business, so many plants coming in and also subsidiaries. I will just give you a rough indication. It is truly double digit, most probably, in the mid -teens, I would say. That is what is the expectation for the growth. When we say mid- teens, we also have to assume that the aluminum prices are around the level what it's currently.

If there's any change in aluminum prices, there can be some commodity price impact which will either inflate or deflate the top line. I say that we are still on the growth path. That is very clear. New projects are kicking in across all the divisions, I would say, whether it's powertrain or aluminum or, I mean, also industrial engineering segment. The momentum of growth is reasonably, we are well -placed, I would say.

Moderator: The next question is from the line of Vignesh from Ksema Wealth.

Vignesh: Sir, I just want to understand, are you having any plans to scale up any particular segment over a medium term for the next 3 to 4 years apart from the powertrain segment?

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Srinivasan Ravi: Powertrain is scaling up. Also, the stationary engine side is the order book is for the first \$100 million is finalized and is with us. So as slated earlier -- as stated earlier, I would say, we will be able to reach that \$100 million sort of revenue in '29, '30. So, it is on track. The second phase, the order intake of the inquiry momentum is pretty strong. So, we may go for Phase 2 expansion there also further beyond that \$100 million revenue.

You are aware that the data center market or AI is booming all over the world. And post the Iran crisis, there is more focus on the Pacific region for installing data centers. This is giving some more advantage to manufacturing in India in some sense for them. Capacity -wise, almost everybody is full. That is the another positive point.

Coming to the general powertrain, the other projects of multinational companies setting up plants here and ramping up, that is also work in progress. We are seeing that. The domestic business farm sector has been doing better. Truck segment is somewhat muted, I would say, in general.

So, the other business about the export of some truck engine blocks to outside India, which we said will be discontinued, but that is going to continue. That is the good news. On the powertrain, we are stable, and we are growing. I think we can expect a double- digit growth.

On the aluminum side, we are present from 2- wheeler to 4- wheeler to also industrial aluminum, some portion is there. Frankly speaking, we are focusing on value- added products like casting and machining. We are not interested really to do only the casting portion. Wherever we are doing a little, I think, we are in negotiation with customer. Either we convert it to with machining or we have to find new customers with higher value addition because aluminum per se, the commodity prices are going up, energy prices are going up, labor cost is going up, and also all consumables are going up. The margins on basic raw casting is not going to be viable.

At Craftsman, we don't have that business model. 95% is machined. In DR Axion, it is critical casting, so it is still okay for some basic machining. For Sunbeam, it is not okay because it is not so complicated parts, but at the same time, most cases machining is not there. Not most cases, at least the domestic portion machining is not there. There will be some tough decisions to take in the coming quarters on the improvement in value addition.

To answer your question, we don't really worry about which is the customer. We are getting inquiries for 4- wheelers for export market. Both Europe and North America, we are increasing, and there is more increasing inquiry trend, at least. This means, the potential for growth in the export segment is quite high. We are picky in choosing the business which

is viable and sustainable over a longer period of time.

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Our stated ambition on the aluminium business, in the last year, I think I had mentioned a couple of times at least during the earnings call, that the first leg or first phase will be to touch \$1 billion on the aluminium business. For that, we are also increasing the focus by merging the entities of the business model, which we have also put -up disclosures in the stock exchange. The aluminium business is on a growth track.

On the industrial engineering, yes, it is a smaller portion of the business, but that is also the backbone for our powertrain and aluminium business. There also we see good traction going forward.

Vignesh: That was helpful, sir. Thanks for detailed answer. Just one question, sir. On the second phase of the powertrain segment. When are we planning to start and commission and the revenues we can see here for the second phase?

Srinivasan Ravi: I think we should take a decision by September based on the order input. Now the orders what we have already

agreed to take or taken or order received, I would say, is completing the capacity for Phase 1, both at the foundry site as well as at the machining site. At the foundry site, it is modular and it is only incremental investments required to go to the next phase. On the machining side, it might not be just incremental, it's slightly more than incremental. We are preparing for that today.

The lead times are quite high. One good thing is we had our investment done at starting from 2021 onwards itself in small steps. In 2023, 2024, we had made disclosures, in 2024 even a public disclosure regarding this business. I think this gestation period is quite long. That is the reason our foundation in this business is pretty strong, and we are able to capture the orders or the growth which is coming in a hurry now.

Even the next set of orders, we'll be able to have a step up incremental investment where all the building blocks are there to go up. But all the decisions will be taken on basically after reconsidering or looking at the order position in September.

Moderator: The next question is from the line of Senthilkumar from Joindre Capital. Please go ahead.

Senthilkumar: Thanks for the opportunity. I just want to know if there are any new business opening for our industrial engineering racks in data center business?

Srinivasan Ravi: Data center per se, yes, there is a possibility, but it'll be more going into aluminum side for certain reasons. I understand that requirement is also using some extrusions and things like that. So far, we have given racks for the manufacturing sector, where for the automotive, where they are storing the batteries because it has to be very safe for fireproof and things like that. We have made supplied ASRS systems and vertical lift modules for these divisions. The scale which our Asian neighbouring country has done, I think there they're using a lot of storage. There is a lot of discussion happening for 2 of the

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projects coming in for battery manufacturing. Yes, something may come up. It may be awarded to multinationals, but I think there is an opportunity, but it not be in the scale of what has happened in our neighboring country, China.

Moderator: The next question is from the line of Joseph George from IIFL.

Joseph George: I have two questions, sir. One is in relation to the powertrain segment margins. We saw a good spike this quarter. Is it attributable to scale benefits, and will it sustain? One. In relation to that, you mentioned that, you know, overheads, labor, etcetera, are going up. This question pertains to, you know, all the segments. How easy will it be to pass on all these

overheads, you know, energy costs, maybe labor, etcetera, to the customers in the given context?

Srinivasan Ravi: On the powertrain segment, I think we have grown only a small portion last year. It's not the scale benefit which has really played out in the last year. I would say that the repair and maintenance which went on for almost 4, 5 quarters, which was depressing the EBIT margins, was the main -- EBITDA margins were the main reason for that change.

Whatever the -- some of the manpower reduction, by some automation or better methods, that has also paid off in general. I would say the new products, which at the newer prices, which some of them have come into production, has helped also the -- to average the legacy prices. That is --, the scale has still not built up in the powertrain as we expected. It is likely to have a meaningful advantage in the coming years, I would say.

I would draw one attention here. The amount of capex which has gone into powertrain and subsequently also in aluminum, the capex powertrain is very difficult to replicate because of the today's cost scenario. You had mentioned the operating cost. I will now talk about capital costs.

Capital cost, some of it is real estate like la

nd and building, which everybody knows how much it has gone up. But I also say the equipment which was costing, say, \$100,000 may have gone up to \$110,000 or \$115,000 over the period last 20 years with better features.

Maybe the better features or better productivity might have improved, offset the increased cost of the -- in dollar terms, maybe from \$100,000 to maybe \$110,000 or \$120,000. What is the most challenging is the dollar when we look at a period of almost 15, 20 years, it is almost doubled. In 20 years, it's almost doubled, right, totally on this.

The capex cost for anybody entering this business is very, very, very large, totally. Here we are using a mixture of our own equipment manufacturing for the special purpose machines, and very, very prudently we are adjusting the requirements to still be competitive and get more orders.

The new orders are coming at new prices. There are legacy issues which we need to address on all the consumables, like power, the cutting oil, which is petroleum-based, the tools which are carbide based, which is imported from China, which has increased multiple-fold in the last time. Of course, the labor, which is -- labor cost is the beginning of the journey, I would say.

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We are less than \$1 on the contract labor. Of course, we don't employ a lot of contract labor, but it is less than \$1 per hour. This is going to significantly improve to double or triple in the coming years. What we have done is in the last many years, we have never cut back on capex.

That is shown in our depreciation being very, very high. That is helping us to mitigate some of the labor cost increases, and the Labor Code really is not affecting us in a meaningful way in total. More so, whatever equipment we have invested in the last few years require less and less labor going forward. We can afford to retain the quality labor, I would say, in some sense.

Coming to the aluminum commodity price for the aluminum business, and also across all plants regarding the power and fuel, mainly power and fuel is more specific for the aluminum business. The legacy products from at least the one of the acquisitions we made in the last, is suffering very badly because of the 15-year-old, 10-year-old legacy products and some of the minuscule customers.

The minuscule customers we are exiting. The legacy products, we are resetting the prices or we are exiting or we are relocating that capacity to other profitable customers. That is on air eady. That is the way we need to look at it because what costed something 10 years ago, the component price on the gross margin cannot remain the same today, in today's context of prices. Yes, there should be not a price increase, but a reset of the prices, I would say, because price increase means it is a small percentage, but now on, I mean, value addition

portion, it has to be a reset.

Joseph George: Understood, sir. Sir, the second aspect I wanted to discuss was on cash flows. When I look at your cash flow statement, in FY 2025 there was a negative working capital impact of about INR400 crores, and FY 2026 there's another INR600 crores. I want to understand how to think about this. Is it because of, you know, one-time reduction in payables which will reverse in coming years? Or is this the level at which the working capital days will, you know, stay from here on?

Srinivasan Ravi: I think the plants which are suppose the aluminum business was ramping up in the last few years. Earlier it was mainly power rain driven, so that means suddenly there was a spike in the working capital requirement and now rationalization has happened. I think the payment cycles are also set in. I think it is the same way going forward. I don't think there is any big change.

Joseph George: Okay. Sir, last thing was on capex. What is your expectation of capex for, say, FY 2027, 2028? As a result, how will, you know, the debt reduction, etcetera, move?

Srinivasan Ravi: On FY 2027 itself, we are not very clear about the capex as to day because we have taken some interim requirements. But September we have to decide on the capex even for FY 2027. FY 2028 depends on the performance of FY 2027. We are continuously monitoring the net debt to EBITDA as the monitor to bring it down.

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That is how we look at it. Today, we are more concerned about the absolute payout on the cash flow for the manpower related costs. It may be workers, it may be staff, it may be anything related to services outside also. This is the inflationary manner. We don't mind some investment to offset that increased cost.

Joseph George: Okay. Should we think of, you know, capex similar to, say, last year, INR1,000 crore -INR1,100 crore for this year? I know you mentioned that you have to reset it in September. But as of now, is that a good number to work with?

Srinivasan Ravi: See, when we speak, the dollar has become 95. We do not know whether the dollar is going to go somewhere else. We do not know whether we are going to get medium gestation projects or quick product projects, I would say. When there is a quick project, then the capex hits us immediately. Otherwise, it may be postponed by a year or two. We will take it in steps going forward.

As I mentioned that, net debt to EBITDA will continuously start falling down because the heavyweight lifting has been done. To proportionate to the gross block today, if you look at it, and the gross block is also a little deceptive because the bulk of the investment has been done many years ago, and that was done at a lower capex cost.

Today, when DR Axion wanted to go for another plant, just for the greenfield, land acquisition itself on public disclosure, you know, it is in the region of around, INR150 crores. Around INR150 crores, just the land which is adjacent to the SI PCOT area. We paid less than the SIPCOT area, it is -- the capex which is required. At the current civil construction, when you are looking at it, it's high. So, the cost of doing business or cost of expansion is disproportionately high on this matter. In spite of that, our ROCE on a consolidated basis has been 16%. We can track net debt to EBITDA and ROCE more rather than the debt portion. As Craftsman, we look at more the outflow towards manpower costs, which is I think the for us which is causing sleepless nights, not the debt portion.

Moderator: The next question is from the line of Vinay Nadkarni from Hathway Investments. Please go ahead.

Vinay Nadkarni: Just wanted to know a couple of things. One is on the capacity utilization. If you can just throw some light on powertrain and then aluminum, all the three

different units. At what capacity are they being utilized?

Srinivasan Ravi: Powertrain, we are still at around 65%, 70% because there are some pockets and segments where the customers are not doing well. But I think 85% will be the upper limit. That means, we have around 20%, 25% headroom if the market does well. There also we are slightly adding capacity on the conventional powertrain. On the new powertrain business of the large engines, it is still not seeing any revenue.

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Only samples are going and some pilot lots are getting invoiced, but it is not even 0.5% of our powertrain revenue as of now. Even in the current year, we don't expect that we'll be anywhere a meaningful single-digit. It'll be a very low single-digit number.

Next year it may be reaching a high single-digit number, I think a part of the powertrain of the large engine projects. '29, FY 2029, FY 2030 will be seeing good traction on that segment. There the capacity utilization is practically in 10% level because still all the lines and samples and prototypes are going on. There is no revenue per se. Overall, if you take that new powertrain business

also into consideration, our capacity utilization is around 60%.

Vinay Nadkarni: On aluminum?

Srinivasan Ravi: Aluminum, on the alloy wheel, I think I had just mentioned that our exit rate is around close to 3 million (nos) on the annualized basis as of March, and our capacity is around 5.5 million (nos). I think we should touch around close to 4 million (nos) in the next year. That means around 70%, 80% capacity utilization within the plants.

The next level of expansion there, which we had said phase 2, we are not really pushed hard on that. We want to wait and watch on this matter. We are looking at the commodity prices pass through on the aluminum pricing. It has to happen. That we need lot of cooperation, support from the customer to do that. There should not be lead lag there, which will hurt us badly.

Second thing is, imports of this alloy wheel. What is the way going forward? Is there going to be some competition coming there again back after the BIS

norms has been more or less settled down now? We have to wait and watch.

The current capacity is more or less sold. We don't have any major issue on that matter. To expand further, which will give better operating leverage is a matter of question. We'll take a decision after this financial year. I don't think we'll take a decision in this financial year to further stretch the alloy wheel capacity.

Vinay Nadkarni: What about Sunbeam and DR Axion? Are they included in this?

Srinivasan Ravi: No. Sunbeam and DR Axion does not do alloy wheel.

Vinay Nadkarni: What are their capacities?

Srinivasan Ravi: The Sunbeam is a new acquisition where we are downsizing the capacity, downsizing the customer base, downsizing the product lines. I think that was my first statement, that we are exiting customers. We are selling the -- some of the lines which has there been a public disclosure. Even with the same customers, some products we are exiting. Capacity utilization, which is around 70%, will come down to around 45%, 50% in the near for the Sunbeam because some of them are legacy products unviable to continue manufacturing.

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That is one thing, and subsequently also the cost will come down. The operating cost will come down and no impact on -- actually margins will improve when we do that activity. That capacity will be utilized for new customers and new products in that way. That is a new acquisition which is work in progress.

On DR Axion, I think, we are operating at a reasonable capacity, which is beyond this capacity we cannot really extend ourselves because we are a very critical component supplier to the 4-wheeler manufacturing customers of ours. We have received more orders with the same customer base and also more Indian OEMs also have given orders to us recently. We are expanding that capacity. Their capacity utilization is the tune of around 80%, 85%, I would say. Beyond that, it's again seasonal, so we cannot go beyond that. There will -- there is investments going on in DR.

Craftsman side also the capacity utilization is a reasonable 70%, 80% level, but our incremental orders are quite strong, so we are increasing capacity. Sunbeam, as I mentioned, we are decreasing capacity. The capacity will be reallocated among that. That is one of the reasons for our restructuring, if you have seen, so that we can, with one vendor code or with the same customer base, we can operate the capacities.

Vinay Nadkarni: The other thing which I wanted to check out was what is this deal that you have done with Suprash Developers and Srikara Technologies for your Sriperumbudur project?

Srinivasan Ravi: That is DR Axion, we couldn't get the land on time from SIPCOT, which is equivalent to MIDC in Maharashtra. The land parcel what we wanted is 50 acres, we couldn't get that. We got bits and pieces of 8, 10 acres and new sites which were still not allocated. There should have been a delay of 2 years in the project.

The customer was giving an order, a time-bound order. Adjacent to the SIPCOT land at a lower price, which I had mentioned now in the same earnings call, we had taken a 15%, 20% lesser land parcel, which has been accumulated by some property developers by buying maybe from 150 individual land users. We have taken over their -- as a vehicle, the investment in those 2 companies. We have taken around 50 acres of land at around INR150 crore cost, but we have taken over those companies. Those are the subsidiaries.

Vinay Nadkarni: Okay. This will be developed, by when would that be commissioned? Because it's a greenfield project, right?

Srinivasan Ravi: The greenfield project is already on. The civil construction is on, and the plant will be commissioned by December. So next year it will be in operation. All this will get merged when we are doing the scheme of things, whatever we have filed. There will be no subsidiary once that is. . .

Vinay Nadkarni: Yeah. One last question, if you don't mind. Any development on the Sunbeam land sale?

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Srinivasan Ravi: We have put it up for sale. Now the prices have gone up. The government has taken some action for widening the road, and we are road facing. We have seen that the property prices are shooting up. But still, I think the sale is little elusive because whoever is looking for buying it is asking a discount from the current market price.

Current market price has got reset by at least 15% in the last one year on the matter. It should get sold. It's only a matter of time. Initial price, whatever you wanted to sell, at that price there are too many buyers, I would say, but we are not willing to sell at that price.

Moderator: The next question is from the line of Vignesh from Ksema Wealth. Please go ahead.

Vignesh: Thanks for the opportunity. Sir, just want to check on this manpower thing which we are focusing on rationalization or cutting costs. Could you throw some light on it, how are we planning to do it?

Srinivasan Ravi: This is by better operations in general. Better operations means also better equipment, better layouts, better processes, and some amount of ergonomics in the handling of the production. On top of it, some semi-automation and some automation where there is some volumes. This means that we're reinventing the production to a very high manpower productivity.

Vignesh: Any approximate cost or like benefits we would be estimating from this move, sir?

Srinivasan Ravi: I am sure that still it will be inflationary even after doing all that. When inflation of manpower cost is going to go up by 20% year-on-year instead of the 5%,

10%, that will be good enough to have a manpower savings or without additional manpower growing. We'll mostly be able to offset the incremental manpower cost, but surely there will be incremental manpower cost.

If not, otherwise, we will see huge amount of incremental cost, which will not be for Craftsman or Craftsman Group alone, it's across the industry. You can see that happening all over the place. Now everybody is talking about labor shortage. It's not really labor shortage, it is the cost of labor going up and labor not willing to work at that particular prices. We have seen protests in the NCR region, overall across three states, various reasons.

I don't want to comment on that because it's very sensitive. I would say that there is going to be a reset in the labor cost, all the governments are working towards also increasing the minimum wages, which has been done on some states very recently in the last few months. Now the new labor code also is coming to picture, and this minimum wages will be getting reset. This is on the bottom of the pyramid.

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We don't employ too many people at the bottom of the pyramid except for the acquired company like Sunbeam

. Otherwise, also the cost of manpower is going to go up in general. This is more than, as I mentioned, what is worrying us more is not the debt, as I mentioned. What is worrying us the inflationary manpower cost, which is very difficult to pass on to customer. This is where we are working on.

Vignesh: Okay. Thanks for your perspective. Any timeline for the aluminum segment of reaching \$1 billion, sir?

Srinivasan Ravi: I think it will be 2 to 3 years' time. It is also a little sensitive towards aluminum prices, but I would say that at the current aluminum prices, I think 2 to 3 years we should be there.

Moderator: The next question is from the line of Ram Seshan from Avendus Spark. Please go ahead.

Ram Seshan: My question is primarily on the decision to consolidate the aluminum entities, Sunbeam, DR Axion. Could you walk us through, you know, your strategy behind this? You know, what are the steps that you'll practically be taking to extract more value from this consolidated entity? That's what I wanted to know.

Srinivasan Ravi: We look at our public disclosure, we also mentioned that not only Sunbeam and DR, we also looked at our aluminum business of Craftsman also. How we can have better leverage or better synergy between all the aluminum businesses. That is our target. The easy one was how to do it with the DR and Sunbeam. It's also related to Craftsman aluminum business.

The way to look at is so that, for example, we'll be around INR6,500 crore in the aluminum business in the FY 2027 or so. Just an approximation. I don't want to give any guidance. Please, negate that if it is taken as a guidance. What I'm trying to say is that some equipment, some people, some processes may be redundant here. We may have customer base. It's difficult to do marketing with these small subsegments in the business.

Our competitors across the world are \$3 billion to \$6 billion in revenue. These are the customers. Some of them are already present in India wanting to expand their footprint. When we go with each of the businesses at \$200 million, \$100 million revenue or \$300 million revenue and try to take an order for \$100 million, \$200 million, it is to share the resources and to grow the business, it is becoming unwieldy. It is very expensive. That is the reason for rationalizing the -- I mean, sorry, looking at the synergy and trying to merge these companies, businesses.

Ram Seshan: Understood. So this will not just put us in good state to win more businesses, but will also make the operations more efficient, so it'll be a benefit on both ends.

Srinivasan Ravi: Yes. see, Craftsman doesn't have a plant in Chennai for the aluminum business, but all our peers from the north and west have aluminum component manufacturing like Craftsman. There are quite a few. Some of them are also listed. All of them have got a presence in the Chennai region. But Craftsman per se doesn't have a presence in the Chennai region. We are in Coimbatore, and we are in Bangalore and Hosur as of now. We want to create a separate campus for that and add aluminum business of Craftsman, which is high pressure die casting mainly. Then DR's plant is full, we have to expand DR Axion. When we going to put a plant there for the DR Axion, then again, one more plant for Craftsman doesn't make sense. It is better if you look at it in the future to share. That is the idea behind it. But the first step is about very clear carrying the Craftsman -- sorry, DR and Sunbeam subsidiaries.

Moderator: The next question is from the line of Karthi from Suyash Advisors. Please go ahead.

Karthi: Sir, just on the leverage point, I understand philosophically you're thinking about leverage, but just from the outside, INR3,300 crore seems a bit on the higher side. Two questions. One is, are you looking at the consolidation of the aluminum business as a way to deleveraging, or do you

believe that there are

other ways to reduce debt? Some concrete guidance on that would be helpful.

Srinivasan Ravi: It will be more to fund our future investments maybe, but I think this debt portion of it, debt to EBITDA-wise, if you look at it, the forward-looking EBITDA, I think

we are already at 2.43 net debt to EBITDA. We are looking at, going forward, it'll be less than 2, I would say, in the coming, the current year itself, totally. And then it'll go down further to 1.5. That is a natural progression of the debt to EBITDA.

The way to look at is, if you don't grow the business at the current level and -- the level, I think, the debt may be lower, but I think the EBITDA margins will

start looking downward, I would say, with the new -- without the new products.

The land sale of Gurgaon, if you take away the land sale of Gurgaon, then look at the debt, we should look at the debt at, say, INR2,700 on the consolidated basis, not at INR3,100.

Moderator: We have a question from Shubham Batra from Ambit AMC. Please go ahead.

Shubham Batra: Hi, sir. Thanks for taking my question. Sorry if it is a repetitive question. Could you broadly tell me what margins will you be clocking DR Axion and Sunbeam in FY 2026 for the whole year?

Srinivasan Ravi: I think that will come in the segment-wise results. I think we independently, I think, we are around the same range, I would say. It is a slightly different business. On the aluminum side, we have given the segment-wise results. There is absolutely no profitability at -- if you look at it at EBITDA level, it may be there at Sunbeam, but profitability is not there. You can just look at that number between DR and -- bulk of the EBITDAs come from these two companies, Craftsman and DR.

Shubham Batra: Got it, sir. Secondly, sir, how is our alloy wheel business ramping up? What kind of revenues are we clocking there?

Srinivasan Ravi: Sir, I answered that already, I think, on the alloy wheel, because the current run rate is around 3 million (nos) exiting out of that. The revenue-wise, if you look at it, last year it's not that much. Around INR240 crores, I think so. Or INR280 crores, is it? Around INR280 crores is the revenue in the last financial year for the alloy wheel.

Shubham Batra: Got it, sir. And margins would be somewhere in the low single digit EBIT margins?

Srinivasan Ravi: For the Bhiwadi plant, it will be at the highest single digit or maybe even double digit, but at the Hosur plant it will be single digit because still it's ramping up. The plant utilization level is not high. That's the reason.

Moderator: We have a follow-up from the line of Vinay Nadkarni from Hathway Investments. Please go ahead.

Vinay Nadkarni: Yeah, thanks for the opportunity again. If I look at the aluminum business EBIT level, we are at around 10.3%, which was same as last year. This year with the correction that you are trying to make in consolidation, etcetera, would you look at, at least a couple of percentage points growth there?

Srinivasan Ravi: The aluminum business significant capex has been done last year. If we had stopped capex in the second half of the year, I think the margins would have improved. Those capex has not been put to use at all. What is restarting the margin expansion is the new capex which is work in progress, it is under commissioning or just started production, which has not yielded to the full quarter revenue but surely not the full year revenue on the matter. When the base becomes higher on the installed capacity and then marginal investments are being made, that might not affect the depression in margins. But I think that is one of the reasons you see that it is not an apple-to-apple comparison.

Vinay Nadkarni: Yeah, but could you look at -- I mean, should we look at around 100, 200 bps increase in the next year on this margin?

Srinivasan Ravi: If

you're going at this rate, no. Because the future capex in this year will again spoil the margins. Whatever gains we are making on the installed capacity.

Vinay Nadkarni: Maybe another two, three years down the line, it could be much better. . .

Srinivasan Ravi: Yeah. If our base is 100 and we are expanding by 5%, then the margins will improve. But if our base is 100 and we are expanding at 30, and the result is shown as 110 on the practical results because still other things are not utilized. It's something like 20% the growth in capacity but a 5% growth in the revenue, so it is not -- it is disproportionate.

Vinay Nadkarni: Understood. So, the coming years will be much better?

Srinivasan Ravi: I think when we reach across \$1 billion and then we slow down the capex and then it is an smaller portion of the installed capacity, then the margin should improve, provided we get the right products at the right prices, yes.

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Moderator: Ladies and gentlemen, that was the last question. I now hand the conference back to Mr. Srinivasan Ravi for closing comments.

Srinivasan Ravi: Thank you for all joining, and thank you for the confidence of the investments done. I think investments done a little earlier and the borrowing done earlier is a better choice because in the coming few years the capex, the same capex which has been done in this financial year, it will be 1.5x more because of the capex cost increase. This is one of the factors which we have taken into account that to put up capex a little earlier so that we'll become more competitive in the future. Thank you very much, and we'll sign off.

Moderator: Thank you. On behalf of Craftsman Automation Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines. Thank you.

(This document has been edited for readability purposes)